Hanwha Investment&Securities

October 28, 2026

2027 OUTLOOK REPORT

All Sectors (13 Industries)

Korea 2027 Industry Outlook

Food & Beverage | Cosmetics | Retail/Apparel | Airlines | Internet/Games | Semiconductors | Banks
Insurance | Autos | Construction/Utilities | Defense | Steel/Non-ferrous | Power Equipment

All Sectors **Corporate Analysis Team** Research Center

Contents

03 **Summary**
Sector views and top picks

06 **I. Food & Beverage**
A Growing Market, Easing Supply

18 **II. Cosmetics**
Growth That Does Not Rely on a Single Driver

29 **III. Retail/Apparel**
Into the Unknown

52 **IV. Airlines**
Good Times at Last

75 **V. Internet/Games**
From Expansion to Fruition

98 **VI. Semiconductors**
At the End of Doubt, Growth Again

255 **Appendix**
Target price history and deviation

117 **VII. Banks**
The Investment Point Is Shareholder Returns Again

128 **VIII. Insurance**
Earnings Growth through Improved Core Profitability

139 **IX. Autos**
Hold the Line

165 **X. Construction/Utilities**
Time to Prove It

188 **XI. Defense**
Beyond Infinity

208 **XII. Steel/Non-ferrous**
Bottom after Expectations Reset

234 **XIII. Power Equipment**
One More Jump Up

261 **Disclosures**
Investment ratings and compliance notice

Summary (1/3)

I **Food & Beverage**	▪ Ramen demand is spreading to Europe following the U.S., and capacity expansions are easing supply constraints. ▪ The carry-over effect of price increases and a recovery in volume are expected to lift domestic sales by more than 4%. ▪ Supply to the U.S. and Europe will expand as the Jiaxing plant starts operating.	TOP PICK **Samyang Foods** (003230) Han Yu-jeong, Research Fellow
II **Cosmetics**	▪ On the back of export-market diversification, 2027 exports are forecast at USD 17.8 billion (+19.3%). ▪ Dependence on Greater China will shrink as market share rises in the U.S. and the company expands in Europe and emerging markets. ▪ Overseas growth and productivity improvements strengthen earnings growth.	TOP PICK **Cosmax** (192820) Han Yu-jeong, Research Fellow
III **Retail/Apparel**	▪ The macro environment in 2027 is unfavorable, but income polarization centered on semiconductor companies is under way. ▪ Stronger polarization is expected to improve consumption centered on luxury goods. ▪ Foreign inbound momentum continues.	TOP PICK **Lotte Shopping** (023530) Lee Jin-hyeop, Research Fellow
IV **Airlines**	▪ Structural demand growth driven by an expansion in inbound travel. ▪ Market restructuring through the integrated Korean Air, the integrated Jin Air and M&A of other unlisted LCCs. ▪ The airline sector benefits from stabilizing oil prices and exchange rates.	TOP PICK **Korean Air** (003490) Park Su-yeong, Senior Researcher
V **Internet/Games**	▪ Domestic companies' GPU procurement and AI data center expansions are expected to begin translating into actual revenue. ▪ More than the scale of new capacity, customer contracts, compute supply prices and utilization rates are the key to corporate value re-rating. ▪ The advance of Japanese game companies confirms the potential to monetize existing IP, so the focus is on earnings turnaround capability rather than growth.	TOP PICKS **NHN** (181710) **Kakao Games** (293490) Kim So-hye, Team Head

Summary (2/3)

VI **Semiconductors**	▪ The recent correction stems from concerns over the sustainability of AI investment. Stable interest rates and narrowing credit spreads are the catalysts for a rebound. ▪ Hyperscalers' AI investment matters more than neoclouds, and the trend of expanding investment is expected to continue. ▪ Earnings growth is expected from larger HBM4 shipments and a higher share of high-value-added memory in 2027, and valuation appeal is emerging.	TOP PICK **Samsung Electronics** (005930) Park Jun-young, Senior Researcher
VII **Banks**	▪ As earnings momentum weakens YoY, the focus returns to shareholder returns.	TOP PICK **KB Financial Group** (105560) Kim Do-ha, Senior Research Fellow
VIII **Insurance**	▪ Improvement in core profitability, including the loss ratio and the interest spread, is expected.	TOP PICK **DB Insurance** (005830) Kim Do-ha, Senior Research Fellow
IX **Autos**	▪ In 2027, profitability will come under pressure from macro uncertainty and intensifying volume push-outs from China. ▪ Hold the Line: protect profitability with North American HEVs and defend market share centered on European BEVs. ▪ Ahead of L2+ SDV and robot mass production in 2028, this is the time to highlight future-readiness, such as pilots.	TOP PICK **Hyundai Motor** (005380) Kim Sung-rae, Senior Research Fellow

Summary (3/3)

X **Construction/Utilities**	▪ Construction: continued growth in orders and earnings. ▪ Utilities: patience is needed until uncertainty is resolved. ▪ Top pick in construction is Samsung E&A, with Hyundai E&C and GS E&C as second-preferred.	TOP PICK **Samsung E&A** (028050) Song Yu-rim, Senior Research Fellow
XI **Defense**	▪ Global weapons demand has entered a structural force-rebuilding cycle. ▪ Concerns over oversupply remain limited despite increased production by global defense companies. ▪ Earnings growth is expected to continue in 2027–2029 on the back of a large order backlog.	TOP PICK **Hanwha Aerospace** (012450) Chae Un-saem, Senior Researcher
XII **Steel/Non-ferrous**	▪ Steel earnings grow in 2027, driven by cost declines larger than the decline in selling prices. ▪ In non-ferrous metals, smelting profit falls on adjustments in zinc and silver prices and a stronger won. ▪ There is room for further downward revisions to consensus. Among steel stocks trading at the low end of their P/B range, POSCO Holdings is the first choice.	TOP PICK **POSCO Holdings** (005490) Kwon Ji-woo, Senior Researcher
XIII **Power Equipment**	▪ Earnings growth based on the order backlog already secured is expected to continue in 2027. ▪ It is hard to conclude that DC demand is slowing. The power infrastructure cycle remains valid. ▪ The key is the earnings conversion of existing drivers (profitability and top line) plus the new driver (800VDC).	TOP PICK **LS ELECTRIC** (010120) Kim Ye-in, Researcher

SECTORS

I **Food & Beverage**
II Cosmetics
III Retail/Apparel
IV Airlines
V Internet/Games
VI Semiconductors
VII Banks
VIII Insurance
IX Autos
X Construction/Utilities
XI Defense
XII Steel/Non-ferrous
XIII Power Equipment

I

Food & Beverage

A Growing Market, Easing Supply

Korea 2027 Industry Outlook

Food & Beverage: Summary

1

Growth is shifting outside Asia

- The global ramen market is growing +4.7% a year, with China and Japan stagnant. The U.S. market has grown 2.2x over five years.
- Ramen exports in Jan–Sep 2026 were +25.5%, with exports to Europe +48.1%. Two Korean companies account for 87% of the increase in the U.S. market.

2

In 2027, the supply shortage is resolved

- With the completion of Jiaxing (1Q27) and Noksan (end-October), the four Korean companies' share of the global ramen market rises from 11.7% to 14.3%.
- Higher grain prices and a stronger won will provide justification for raising export selling prices.

3

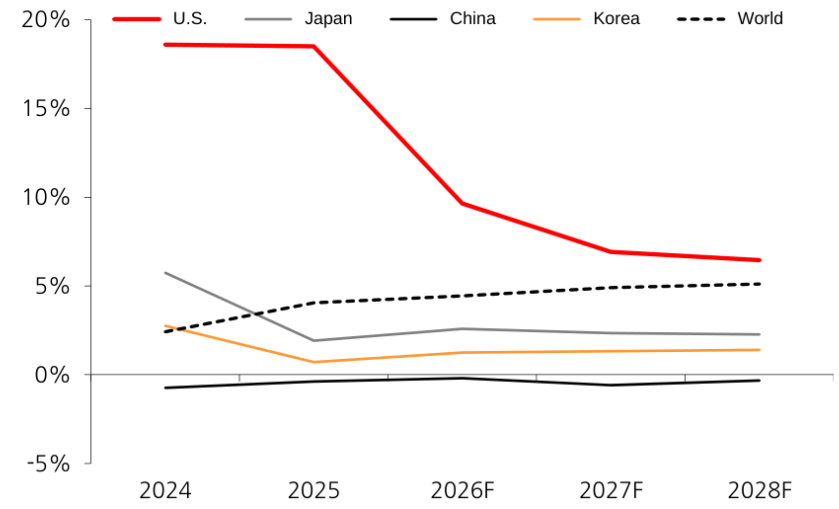
Both P and Q are forecast to trend upward

- The carry-over effect of the 2H26 price increases is +3–6%p, and with the cost index at 105 for flour milling and 102 for ramen, there is room for additional increases.
- Premium products, channels and inbound demand should lift retail sales (nominal) by more than 4%.

Food & Beverage: The Misconception of a Mature Market

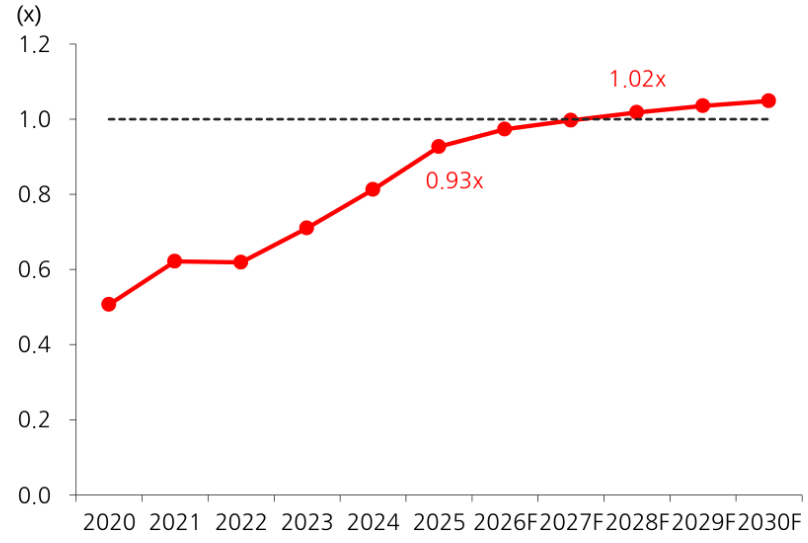
- The global ramen retail market is expected to grow from USD 51.5 billion in 2025 to USD 56.4 billion in 2027F, a CAGR of +4.7% (Euromonitor). Although it is called a mature category, it is a promising market that adds more than USD 2 billion of new market every year.
- China, one-third of the market, is at a CAGR of -0.4% over 2025–2027F and Japan is only +2–3%, so the contribution of these two mature markets is effectively zero. All of the incremental growth occurs outside Asia.
- The U.S. grew at a CAGR of +17.5% in 2020–2025 and accounted for 23% of global incremental growth. Its share rose from 4.2% to 7.6% and is expected to reach 8.4% in 2027F. Ramen's share within the U.S. rice, pasta and noodle market also rose from 17.0% to 26.9%.
- The U.S. ramen market grew 2.2x in five years (USD 1.75 billion to USD 3.93 billion), and rose from 0.51x to 0.93x relative to pasta. This is the result of ramen becoming a category that competes on the same shelf as pasta rather than an Asian convenience meal.

Ramen Market Growth Rate by Country vs. World



Source: Euromonitor, Hanwha Research Center

U.S. Ramen/Pasta Market Size Ratio

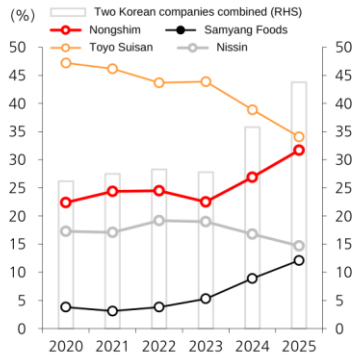


Source: Euromonitor, Hanwha Research Center

Food & Beverage: After the U.S., Europe

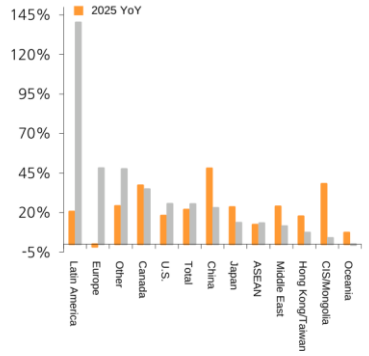
- In 2025, Nongshim (31.7%) and Samyang Foods (12.1%) had a combined 43.8% share of the U.S. ramen market, overtaking Maruchan (34.1%) for the first time. The two Korean companies contributed 87% of the USD 610 million market increase.
- Korean ramen exports in Jan–Sep 2026 were USD 1.41 billion (+25.5% YoY). While the U.S. market grew +9.6%, exports to the U.S. grew +25.6%. In the change in global share from 2020 to 2025 as well, Samyang Foods (+1.6%p) and Nongshim (+1.3%p) ranked first and second.
- Exports to Europe were USD 225 million (+48.1%), twice the overall growth rate, and at a 15.9% share are approaching the U.S. (17.3%). By country: the Netherlands at USD 87.9 million (+39%), the U.K. at 56.4 (+53%) and Germany at 31.4 (+20%).
- Europe is following the path the U.S. took in 2020–2025 (ramen/pasta from 0.51x to 0.93x) with a lag of two to three years.

U.S. Ramen Market Share by Company



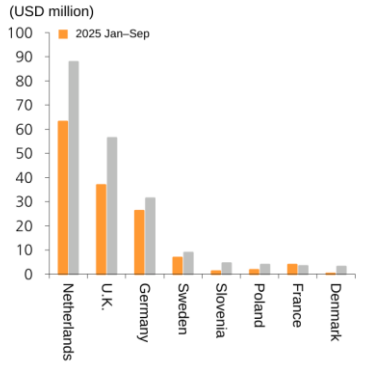
Note: Company sales are on an RSP basis
Source: Euromonitor, Hanwha Research Center

Ramen Export Growth Rate by Region



Source: Korea Customs Service, Hanwha Research Center

Ramen Exports to Major European Countries (Jan–Sep)

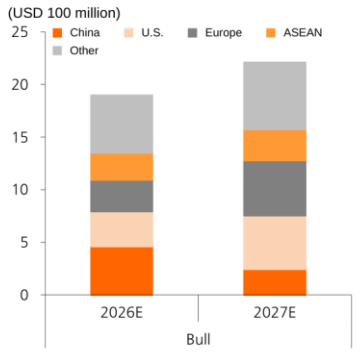


Source: Korea Customs Service, Hanwha Research Center

Food & Beverage: Supply Loosens and Pricing Adds to It

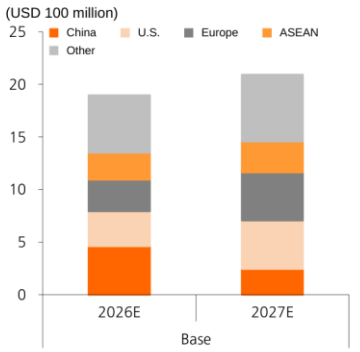
- 2027 is the year overseas capacity is completed: Samyang Foods' Jiaxing plant in 1Q27 (total capacity +40%), Nongshim's Noksan plant begins trial operation at end-October (export capacity from 700 million to 1.2 billion units), with CJ CheilJedang and Orion following. It is the first year in which the ceiling on growth, held back by shortages, is lifted.
- In 2027, ramen exports are USD 2.09 billion in the Base case (+10.4%, vs. USD 1.90 billion in 2026). Samyang Foods' -68% to China is filled by +55% to the U.S. and +87% to Europe, and Nongshim is +30%. If the U.S. and Europe fully fill the remaining Korean capacity, the Bull case is USD 2.21 billion (+16.6%).
- Even if export statistics look slower because of the transfer to Jiaxing, overseas sales growth continues. The four Korean companies' global share is 11.7% (2025) to 14.3% (2027E).
- Wheat is +28% and palm oil +10% (vs. the 2025 average), and the KRW/USD rate goes from 1,429 won to 1,350 won. With a +7% increase in export selling prices, in USD terms Bull is +24.7% and Base +18.1%; in KRW terms +17.8% and +11.6%.

2027 Exports, Bull: USD 2.21 Billion



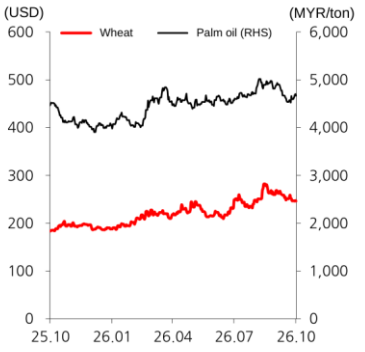
Note: 2026E and 2027E are Hanwha Research Center estimates
Source: Korea Customs Service, Hanwha Research Center

2027 Exports, Base: USD 2.09 Billion



Note: 2026E and 2027E are Hanwha Research Center estimates
Source: Korea Customs Service, Hanwha Research Center

Wheat and Palm Oil Prices (Last 12 Months)

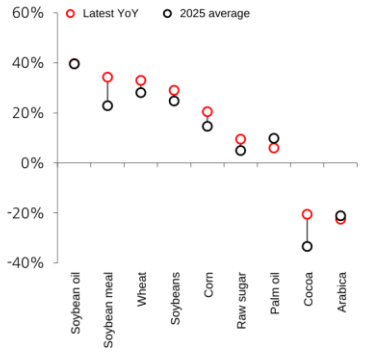


Source: Bloomberg, Hanwha Research Center

Food & Beverage: Costs Are the Justification, Price Increases Resume

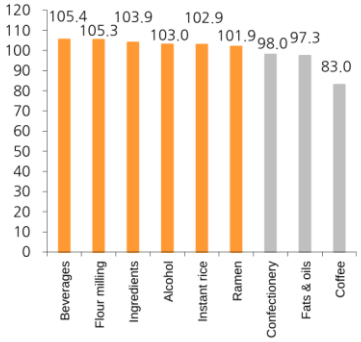
- In 2027, costs are a structure in which rising grain prices are offset by a stronger won. At end-September wheat was +33% and soybean oil +40% (YoY), but the KRW/USD rate is in the 1,300s. At an assumed rate of 1,350 won, the cost index (2026 = 100) is 105 for flour milling, 105 for beverages, 102 for ramen, 98 for confectionery and 83 for coffee.
- The price cuts made in March–April 2026 in line with the government's price policy (4.8–14.6% at the four ramen companies) were reversed by increases from CJ CheilJedang (+8%) in July, Nongshim (+5.8%) in August, Paldo and Ottogi in September, and Haitai (+7.8%) in October.
- Because the increases are concentrated in July–October, the 2027 carry-over effect is +3–6%p, or 50–75% of the increase rate. Nongshim's bagged noodles, Samyang Foods (unchanged since November 2022), Orion, Lotte Wellfood and Binggrae have not yet raised prices.
- With processed food CPI stable at 0.8–2.8%, the policy justification to restrain price increases is weak, while cost increases in flour and sugars provide justification for increases. We judge that the likelihood of additional price increases in 1H27 is high.

Major Grain Prices YoY (End-September)



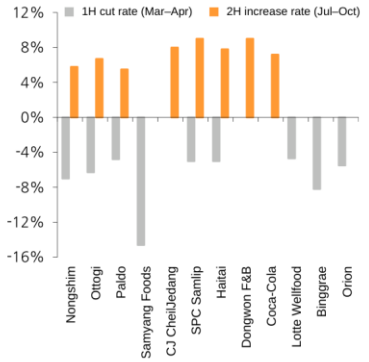
Source: CBOT, ICE, BMD, Hanwha Research Center

2027 Cost Index by Item (2026 = 100)



Note: Based on average September 2026 prices and an exchange rate of 1,350 won
Source: Hanwha Research Center estimates

1H26 Price Cuts vs. 2H26 Price Increases

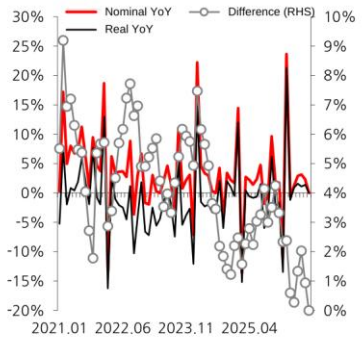


Note: Average of company announcements, as of early October
Source: Companies, press reports, Hanwha Research Center

Food & Beverage: Domestic Demand That Earns More Even When It Sells Less

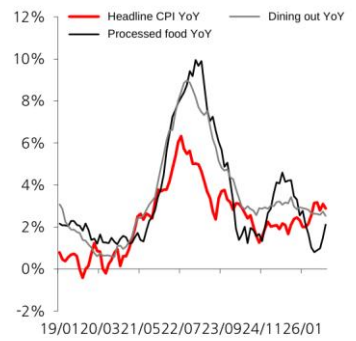
- The nominal index of domestic food and beverage retail sales rose from 91.8 in 2019 to 116.8 in 2025 (+27.2%), while the real (constant-price) index fell from 95.6 to 93.4 (-2.3%). All of the six years' growth in value came from price (P).
- The processed food CPI of +7–8% in 2022–2023 reflected price increases in the cost pass-through phase, and it later stabilized at +1–2%. In Jan–Aug 2026, processed food CPI was +1.5% and the real index +1.3%, positive for the first time in four years (+4.0% in August).
- In 2027, ASP is +3% (reflecting the full-year effect of price increases, and premiumization), and volume is +1% or more on the shift from dining out to eating at home.
- With both P and Q increasing, the nominal index of domestic food and beverage retail sales is expected to grow by more than 4% in 2027.

Food & Beverage Retail Sales: Nominal vs. Real



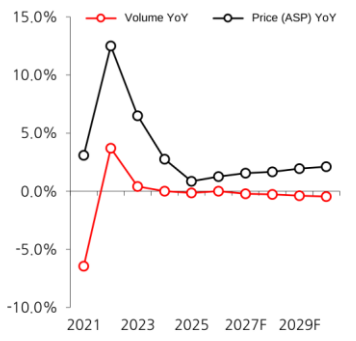
Source: KOSIS, Hanwha Research Center

Processed Food and Dining-Out CPI vs. Nominal Sales YoY



Source: KOSIS, Hanwha Research Center

Domestic Ramen Sales Volume and Price per kg

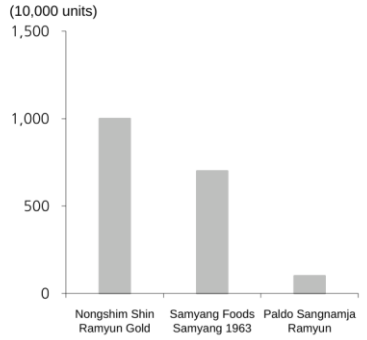


Source: Euromonitor, Hanwha Research Center

Food & Beverage: Premium, Channels and Inbound, the Three Pillars of ASP

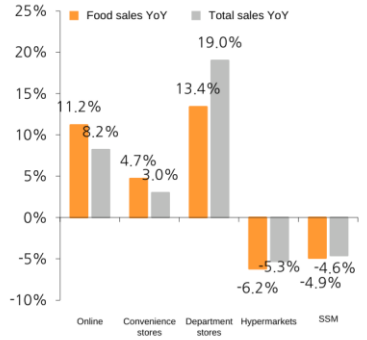
- In 2023 through 1H26, when price increases were blocked, the ASP tool was high-priced new products. Shin Ramyun Gold (1.4x per 100g) and Samyang 1963 (2.2x) sold 10 million and 7 million units within one month of launch. The protein food market grew from KRW 120.6 billion in 2019 to KRW 800 billion in 2026E.
- One-person households are 36.6% and those aged 65 or older 20.7%, and the GLP-1 usage rate among U.S. adults is 11%. The reallocation toward small-portion, high-unit-price products and toward protein and functional foods is structural demand that is favorable to ASP.
- In Jan–Aug 2026, food sales were +11.2% online and +4.7% at convenience stores vs. -6.2% at hypermarkets. The online share rose from 53.0% (2022) to 59.7%. The shift from low-unit-price channels to small-pack and premium channels will raise realized ASP.
- Foreign visitors to Korea in 2026 are around 23 million (15.05 million in Jan–Aug, +21.6%), and overseas card small-amount retail spending is KRW 2.0 trillion (2.14x the 2019 level). This is net incremental demand that fills the stagnation in domestic volume.

Sales Volume in the First Month After Premium Ramen Launches



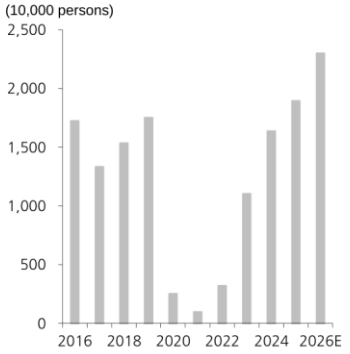
Source: Press reports, Hanwha Research Center

Food Sales Growth Rate by Retail Channel (Jan–Aug)



Source: Ministry of Industry and Trade, Hanwha Research Center

Annual Foreign Visitors to Korea

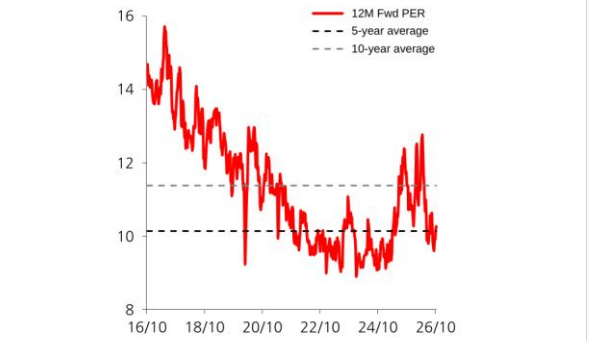


Note: 2026E is a Hanwha Research Center estimate
Source: Korea Tourism Organization, Hanwha Research Center

Food & Beverage: Stocks Whose Earnings Are Rising Nonetheless

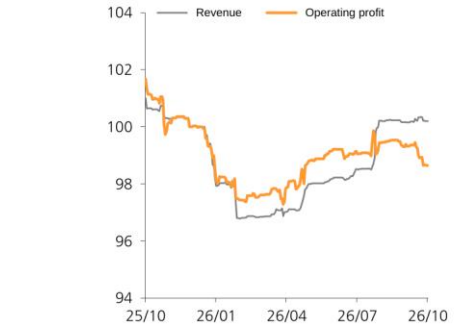
- The Food & Beverage 12M forward PER is 10.3x, in line with the 5-year average (10.1x) and below the 10-year average (11.4x).
- The 2027E operating profit consensus of KRW 5.3 trillion for the seven companies is -1.3% from the beginning of the year and revenue is +0.2%, so expectations for earnings have stayed in place throughout the year.
- By stock, movements diverge. Versus the start of the year: Lotte Wellfood +12.3% (OPM 4.7% to 5.2%), KT&G +5.8%, Orion +4.8%, Samyang Foods +3.6% and Nongshim +2.7%, vs. CJ CheilJedang -14.4% (5.1% to 4.5%) and Lotte Chilsung -11.6%.
- Samyang Foods, which has a high likelihood of upward earnings estimate revisions, is the top pick in the Food & Beverage sector for 2027.

Food & Beverage 12M Forward PER Trend



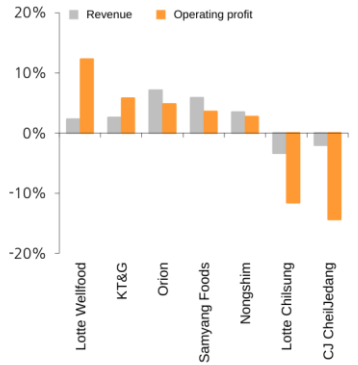
Note: As of October 21, 2026; dotted lines show the 5-year and 10-year averages
Source: Quantiwise, Hanwha Research Center

Food & Beverage: 2027E Consensus Trend for the Seven Companies



Note: December 30, 2025 = 100; sum of the seven companies
Source: Quantiwise, Hanwha Research Center

2027E Consensus Change by Stock



Note: Change from December 30, 2025 to October 21, 2026
Source: Quantiwise, Hanwha Research Center

Samyang Foods (003230): 2027 Food & Beverage Top Pick

Buy (Maintained)

Target Price
1,800,000 KRW

Current Price (10/26)	Upside
1,116,000 KRW	**▲61.3%**

Market Cap	**KRW 8,406.8 billion**
Shares Outstanding	**7,533 thousand shares**
52-Week High / Low	**1,547,000 / 1,022,000 KRW**
90-Day Avg. Daily Value	**KRW 69.616 billion**
Foreign Ownership	**18.6%**

SHAREHOLDERS

Samyang Roundsquare (+7 others)	**45.0%**
National Pension Service (+1 other)	**11.2%**
Yoon Young-hee (+1 other)	**0.0%**

- Revenue is forecast at KRW 3.9552 trillion in 2027 (+28.1%) and KRW 4.7543 trillion in 2028 (+20.2%).
- The new Jiaxing plant in China, scheduled to start operating in 1Q27, is expected to complete its ramp-up on a two-shift basis in August on a monthly basis and in 4Q on a quarterly basis. Average utilization in 2027 is estimated at 50%.
- After the Jiaxing plant is completed, production in Korea for the U.S. and Europe is expected to expand.
- The U.S. share of sales volume is forecast to expand from 17% in 2025 to 20% in 2026 and 25% in 2027, and the Europe share from 5% in 2025 to 8% in 2026 and 12% in 2027.
- A new plant investment decision before the end of this year, followed by consideration of a second China plant investment
- The new Jiaxing plant is expected to exceed 100% utilization in 2028, and the Korean plants are expected to exceed 100% utilization in 2029 even after transferring China production to the new Jiaxing plant.
- Because a supply shortage in 2029 is unavoidable, we expect a decision on a new overseas plant to be made within 2026.
- Based on current estimates, the production shortfall in 2029 is substantial, so the new Jiaxing plant is likely to move to a three-shift system from 2H28.
- We judge that, besides the new Jiaxing plant, investment not only in a new overseas plant but also in an additional plant within China is likely to be considered.

Samyang Foods Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
Revenue	1,728	2,352	3,087	3,955	4,754
Operating Profit	345	524	722	919	1,128
EBITDA	391	588	805	1,008	1,223
Net Income (Controlling)	272	389	567	693	854
EPS	36,106	52,217	75,960	92,932	114,534
Net Debt	36	154	-145	-555	-1,156
PER	30.9	21.4	14.7	12.0	9.7
PBR	10.3	6.7	4.7	3.5	2.6
EV/EBITDA	21.6	14.6	10.3	7.8	5.9
Dividend Yield (%)	0.3	0.4	0.7	0.8	1.0
ROE	39.4	37.6	37.2	32.8	30.3

Source: Hanwha Research Center

Samyang Foods (003230): Earnings Estimates

Table 3. Samyang Foods Quarterly and Annual Earnings Estimates (Unit: KRW billions, %)

(KRW billions, %)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Revenue	714	770	803	799	864	970	1,005	1,117	2,352	3,087	3,955
Domestic	129	124	128	135	134	129	133	140	468	517	536
Overseas	585	646	675	664	730	840	872	977	1,884	2,570	3,419
China	166	181	243	192	189	197	274	230	580	782	890
U.S.	186	204	233	232	257	300	334	383	595	853	1,275
Europe	77	113	76	115	132	197	132	220	183	381	681
Other	156	148	124	126	152	145	131	144	525	554	573
YoY	35.0%	39.3%	27.1%	25.2%	20.9%	25.9%	25.1%	39.9%	36.1%	31.2%	28.1%
Domestic	23.2%	10.2%	5.2%	5.1%	3.7%	4.0%	3.9%	3.7%	19.3%	10.4%	3.8%
Overseas	38.0%	46.7%	32.3%	30.3%	24.7%	30.1%	29.1%	47.2%	41.0%	36.4%	33.0%
China	36.4%	44.1%	31.4%	29.3%	13.5%	8.8%	13.0%	20.0%	41.2%	34.7%	13.9%
U.S.	39.8%	54.3%	49.5%	32.3%	38.6%	47.4%	43.8%	65.4%	57.2%	43.3%	49.4%
Europe	214.6%	125.9%	44.6%	105.3%	70.1%	74.5%	73.9%	91.9%	459.9%	108.2%	78.7%
Other	7.6%	11.8%	5.4%	-3.4%	-2.3%	-1.8%	5.7%	14.5%	2.3%	5.4%	3.4%

Samyang Foods (003230): Earnings Estimates (cont.)

Table 3. Samyang Foods Quarterly and Annual Earnings Estimates (Unit: KRW billions, %) (cont.)

(KRW billions, %)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Revenue Mix											
Domestic	18.1%	16.2%	15.9%	16.9%	15.5%	13.4%	13.2%	12.5%	19.9%	16.7%	13.6%
Overseas	81.9%	83.8%	84.1%	83.1%	84.5%	86.6%	86.8%	87.5%	80.1%	83.3%	86.4%
China	23.3%	23.5%	30.2%	24.0%	21.9%	20.3%	27.3%	20.6%	24.7%	25.3%	22.5%
U.S.	26.0%	26.4%	28.9%	29.0%	29.8%	31.0%	33.3%	34.3%	25.3%	27.6%	32.2%
Europe	10.8%	14.7%	9.5%	14.4%	15.2%	20.4%	13.1%	19.7%	7.8%	12.4%	17.2%
Other	21.8%	19.2%	15.5%	15.7%	17.6%	15.0%	13.1%	12.9%	22.3%	17.9%	14.5%
Operating Profit	177	176	184	185	206	215	232	265	524	722	919
YoY	32.2%	46.7%	40.7%	32.9%	16.2%	22.3%	26.2%	43.5%	52.1%	37.8%	27.2%
Operating Margin	24.8%	22.9%	22.9%	23.2%	23.8%	22.2%	23.1%	23.8%	22.3%	23.4%	23.2%

Source: Samyang Foods, Hanwha Research Center

SECTORS

I Food & Beverage

II **Cosmetics**

III Retail/Apparel

IV Airlines

V Internet/Games

VI Semiconductors

VII Banks

VIII Insurance

IX Autos

X Construction/Utilities

XI Defense

XII Steel/Non-ferrous

XIII Power Equipment

II

Cosmetics

Growth That Does Not Rely on a Single Driver

Korea 2027 Industry Outlook

Cosmetics: Summary

1

2027 exports are forecast at USD 17.8 billion (+19.3%)

- Jan–Sep exports were USD 11.14 billion (+30.8%), bringing USD 15 billion for the full year into view.
- 2027 cosmetics exports are estimated at USD 19.3 billion (+29.2%) in the Best case, USD 17.8 billion (+19.3%) in the Base case and USD 16.4 billion (+9.4%) in the Worst case.
- In the Base scenario, contribution to growth is Europe 6.4%p, Other 4.5%p, Middle East/CIS/Latin America 3.3%p, U.S. 2.9%p and Greater China 0.4%p.

2

A structure created by diversification

- The three major regions had a CAGR of -0.9% in 2021–2025 vs. +18.9% for the rest.
- Export destinations number 202 countries, widening the base for growth.

Cosmetics: Re-acceleration, and a Wider Axis of Growth

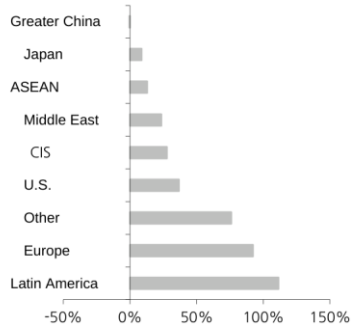
- Cosmetics exports in Jan–Sep 2026 were USD 11.14 billion (+30.8% YoY), and USD 1.51 billion in September (+31.4%), the largest monthly figure. Annual export growth went from +20.3% in 2024 to +12.3% in 2025 and +31% in 2026, a high growth rate despite the base effect, bringing USD 15 billion for the full year into view.
- Cumulative 2026 growth is Latin America +111.3%, Europe +92.3%, Other +75.9%, the U.S. +36.7%, CIS +27.8% and the Middle East +23.5%, vs. Greater China -0.4%. It is significant that growth is occurring in all regions rather than in a specific country.
- The three major regions of the U.S., Greater China and Europe had a CAGR of -0.9% in 2021–2025, vs. +18.9% for all other regions. The share of the remaining regions is 27.1% (2021) to 43.5% (2025) to 45.0% (2027E), and the number of export destination countries went from 172 to 202.
- A structure that does not rely on any single country is the strongest basis for the +19.3% forecast for 2027.

Cosmetics Exports by Year



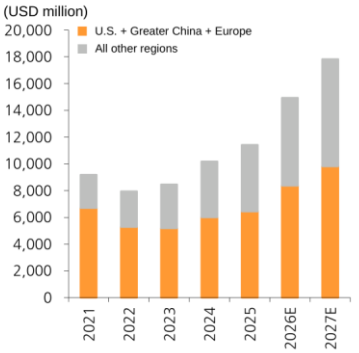
Note: 2026E and 2027E are Hanwha Research Center estimates
Source: Korea Customs Service, Hanwha Research Center

Growth Rate by Region, Jan–Sep 2026



Source: Korea Customs Service, Hanwha Research Center

Three Major Regions vs. Rest of the World

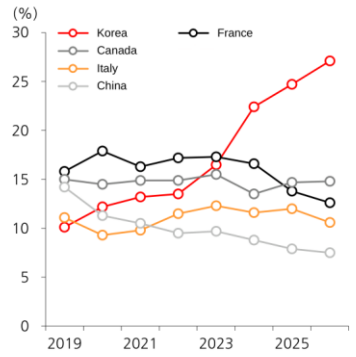


Note: 2026E and 2027E are Hanwha Research Center estimates
Source: Korea Customs Service, Hanwha Research Center

Cosmetics: Market Share in the U.S., Breadth in Europe

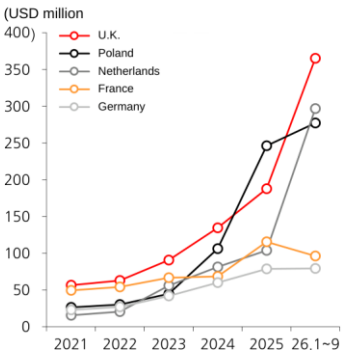
- The U.S. cosmetics import market shrank from USD 7.59 billion in 2024 to USD 7.29 billion in 2025, and grew only +2.4% in Jan–Aug 2026. Over the same period, Korean-made products grew +17.2%, with share rising from 10.1% (2019) to 22.4% (2024) and 27.1% (Jan–Aug 2026).
- Korea is taking the place of France (-12.2%), Italy (-10.6%) and Japan (-5.3%).
- In the Base scenario, we assume exports to the U.S. grow +14% in 2027 and Korea's share of the U.S. cosmetics import market rises +2.3%p.
- Exports to Europe in Jan–Sep 2026 are +92.3%: the U.K. +171.7%, the Netherlands +302.7%, Estonia +208.4% and Poland +55.9%.
- Europe (USD 1.62 billion) has overtaken ASEAN (USD 1.02 billion). Although the scale per country is small, the number of countries that can be entered is large, making it a market with substantial medium- to long-term headroom.

Share of the U.S. Import Market by Country



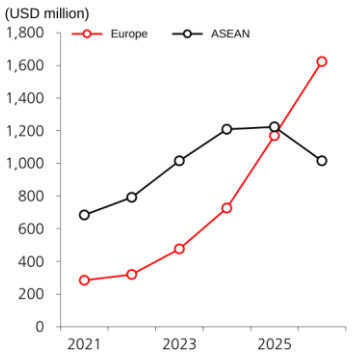
Source: USA Trade Online, Hanwha Research Center

Exports to Major European Countries



Source: Korea Customs Service, Hanwha Research Center

Exports to Europe vs. ASEAN

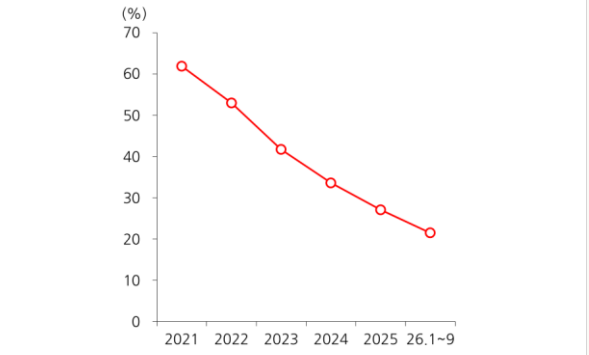


Source: Korea Customs Service, Hanwha Research Center

Cosmetics: Greater China Is an Option, the Rest Is the Main Feature

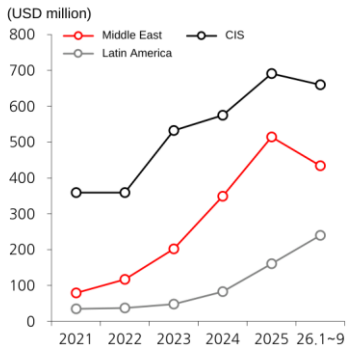
- Exports to Greater China are -0.4% in Jan–Sep 2026. The decline has stopped from -11.2% in 2025, but this is not a recovery. Greater China's share of total exports went from 61.9% (2021) to 21.5%.
- China's cosmetics retail sales are recovering at +6.1% in Jan–Aug, but local brands' share is approaching 70%. Greater China's contribution in 2027 is 0.4%p, an option whose downside is closed and only the upside is open.
- Latin America is +111.3% (Brazil +105.3%, Mexico +71.3%), CIS +27.8% (Uzbekistan +135.5%), the Middle East +23.5% (Türkiye +93.3%) and Canada +128.2% to USD 250 million.
- In 2027 contribution, the Middle East, CIS and Latin America combined (3.3%p) exceed the U.S. (2.9%p). Individual markets are small, but the number of countries is large, so a large combined contribution is the nature of Others.

Greater China's Share of Exports



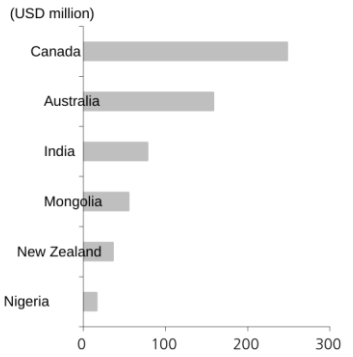
Source: Korea Customs Service, Hanwha Research Center

Exports to the Middle East, CIS and Latin America



Source: Korea Customs Service, Hanwha Research Center

Major Countries in Other Regions (Jan–Sep)

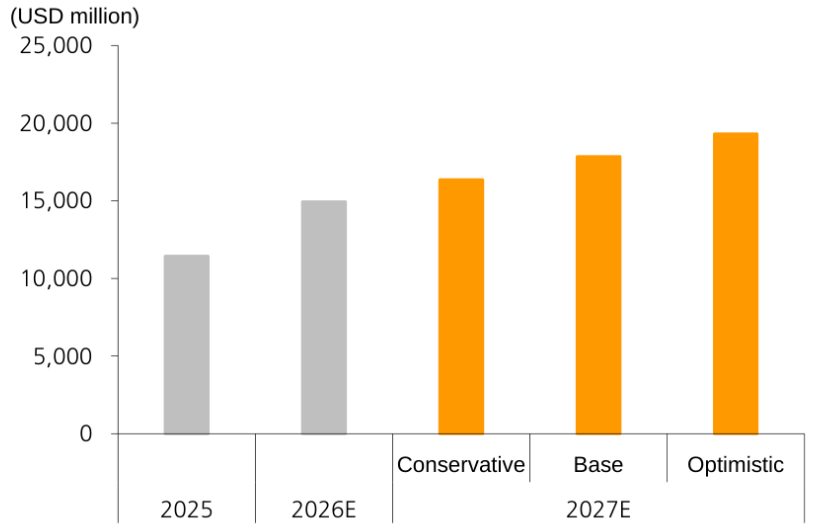


Source: Korea Customs Service, Hanwha Research Center

Cosmetics: 2027 Exports +19.3%, the Composition of the Numbers

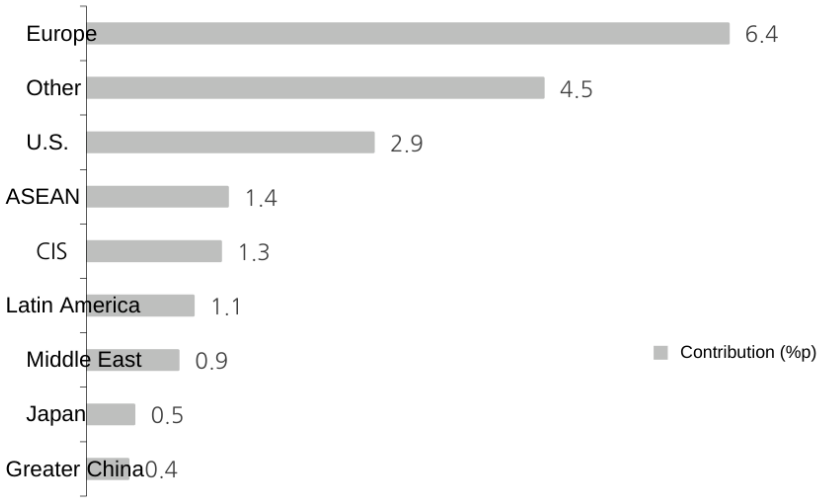
- 2027 cosmetics exports are the sum of regional growth rates applied separately on top of 2026E of USD 14.95 billion. The base case is USD 17.8 billion (+19.3%), the conservative case USD 16.4 billion (+9.4%) and the optimistic case USD 19.3 billion (+29.2%).
- Contribution is Europe 6.4%p > Other 4.5%p > Middle East, CIS and Latin America 3.3%p > U.S. 2.9%p > Greater China 0.4%p. The U.S. is only 15% of the growth contribution, and growth is 19% even if Greater China stays at the prior-year level.
- The optimistic case is where the 2026 growth pace (+31%) continues for one more year, and the conservative case is where growth in major regions is halved. For the U.S., a conservative +14% is set to reflect the stagnation of the import market.
- The basis of the 2027 forecast is a diversified structure, not the recovery of a specific country.

2027 Cosmetics Export Scenarios



Note: 2026E and 2027E are Hanwha Research Center estimates
Source: Korea Customs Service, Hanwha Research Center

2027 Growth Contribution by Region (Base)

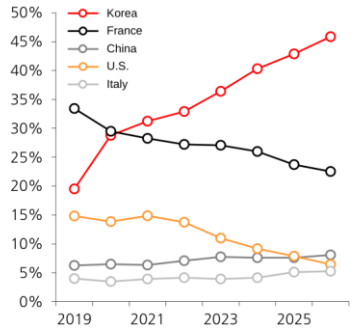


Source: Hanwha Research Center

Cosmetics: Intensifying Competition Is Not the Same as a Peak-Out

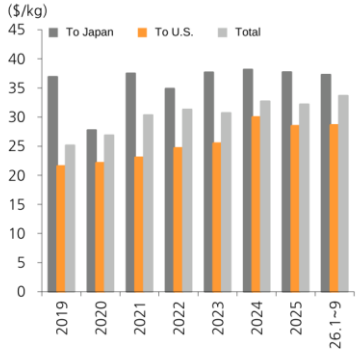
- In Japan, although total export volume is growing, growth at individual companies is dispersing. The export unit price to Japan fell from a peak of $38.2 in 2024 to $37.3 in Jan–Sep 2026. The export unit price to the U.S., currently the main export market, also fell from $30.0 to $28.7, leaving room for the price decline to be read as an early signal of overcrowded competition.
- 1) Although export growth has slowed, Korea's share of the Japanese import market remains solid at 45.9%.
- 2) For Japan, color cosmetics unit prices pulled down the overall average, while the export unit price of basic skincare remains at its peak at +5.5%.
- 3) Basic skincare export volume to Japan is solid at +18.0%.
- 4) Considering that the unit price to the U.S. also reflects the 2026 tariff effect, there is no reason to interpret the decline in export unit price as intensifying competition and overcrowding.

Share of the Japanese Import Market by Country



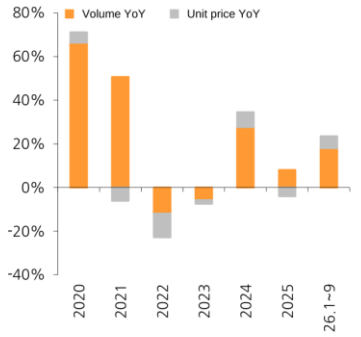
Source: Japan Trade Statistics, Hanwha Research Center

Cosmetics Export Unit Price Trend ($/kg)



Source: Korea Customs Service, Hanwha Research Center

Basic Skincare Exports to Japan: Volume and Unit Price Contributions

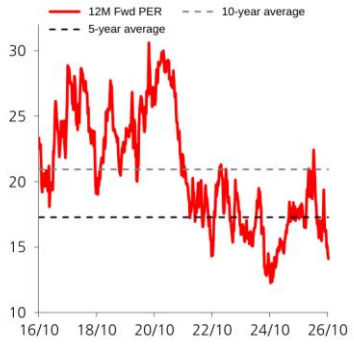


Source: Korea Customs Service, Hanwha Research Center

Cosmetics: Stocks Whose Earnings Are Rising Nonetheless

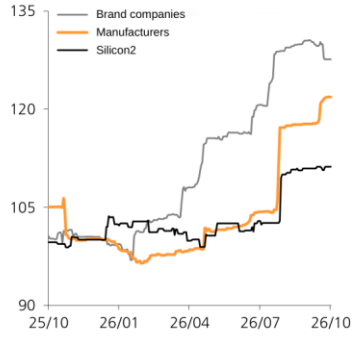
- The 12M forward PER of 14.1x is -37% from the April peak (22.4x) and below the 5-year average (17.3x) and 10-year average (20.9x). In the meantime, the 2027E operating profit consensus for the nine companies has been revised up +24.1% from the beginning of the year.
- The 2027 operating profit consensus for brand companies (APR, Amorepacific, LG H&H and Dalba Global) has been revised up +27.6% from the beginning of the year, but 87% of the upward revision came from APR (+68.6%), and the other companies were only +2–8%. Even this has seen no upward revisions since September.
- The 2027 operating profit consensus for manufacturers (Cosmax, Kolmar Korea, Cosmecca Korea and Pumtech Korea) has been revised up +21.9% from the beginning of the year. Upward revisions began in earnest after the 2Q earnings season rather than in 1H and are still in progress in October (+16.9% over three months). It is a structure in which the +17.4% upward revision in revenue drove earnings.
- Cosmax, which has a high likelihood of upward earnings estimate revisions, is the top pick in the Cosmetics sector for 2027.

Cosmetics 12M Forward PER Trend



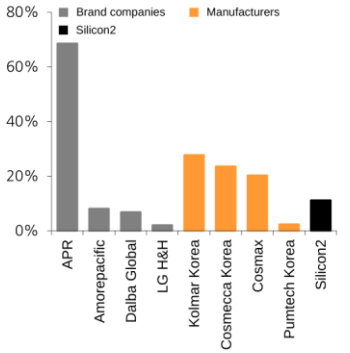
Note: As of October 21, 2026; dotted lines show the 5-year and 10-year averages
Source: Quantiwise, Hanwha Research Center

2027E Operating Profit Consensus Trend by Group



Note: December 30, 2025 = 100; sum by group
Source: Quantiwise, Hanwha Research Center

2027E Operating Profit Consensus Change by Stock



Note: Versus the beginning of the year; stock PER is based on the October 19 closing price and consensus
Source: Quantiwise, Hanwha Research Center

Cosmax (192820): 2027 Cosmetics Top Pick

Buy (Maintained)

Target Price
370,000 KRW

Current Price (10/26)	Upside
268,000 KRW	**▲38.1%**

Market Cap	**KRW 3,041.7 billion**
Shares Outstanding	**11,350 thousand shares**
52-Week High / Low	**308,500 / 144,900 KRW**
90-Day Avg. Daily Value	**KRW 33.633 billion**
Foreign Ownership	**33.9%**
SHAREHOLDERS	
Cosmax BTI (+11 others)	**27.5%**
National Pension Service (+1 other)	**12.9%**
Norges Bank (+1 other)	**6.1%**

- Revenue is forecast at KRW 3.8106 trillion in 2027 (+20.8%) and KRW 4.4376 trillion in 2028 (+16.5%).
- Consolidated revenue in 1H26 was +21.8% YoY, below the overall export growth rate of +29.6% YoY, but in 2H we expect +41.3% YoY, well above the overall export growth rate.
- We estimate 2027 consolidated revenue will grow +20.8% YoY; the revenue growth rate of the Korean entity is conservatively assumed at +19.5% YoY, in line with the overall export growth rate.
- We expect the earnings growth rate (+25.7% YoY) to exceed the revenue growth rate (+20.8%) on productivity improvements in low-margin products, a turnaround to growth in color cosmetics orders and a larger share of large orders.

Investment Opinion BUY, Target Price Maintained at 370,000 KRW

- The 2023–2028E CAGR of revenue is expected to reach +20.1%.
- We expect not only growth at the Korean entity but also high growth at overseas entities such as China, the U.S. and Southeast Asia to drive company-wide earnings growth and a valuation re-rating.

Cosmax Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
Revenue	2,166	2,399	3,153	3,811	4,438
Operating Profit	175	196	281	354	425
EBITDA	244	270	380	476	556
Net Income (Controlling)	86	123	185	221	269
EPS	7,560	10,847	16,269	19,464	23,746
Net Debt	705	846	945	957	923
PER	35.5	24.7	16.5	13.8	11.3
PBR	6.4	5.4	4.3	3.5	2.8
EV/EBITDA	15.3	14.4	10.5	8.4	7.1
Dividend Yield (%)	0.9	1.2	1.9	2.1	2.6
ROE	20.5	23.9	29.2	28.0	27.5

Source: Hanwha Research Center

Cosmax (192820): Earnings Estimates

Table 6. Cosmax Quarterly and Annual Earnings Estimates (Unit: KRW billions, %)

(KRW billions, %)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Revenue	682	795	822	855	872	946	981	1,012	2,399	3,153	3,811
Domestic	423	518	556	542	543	603	656	637	1,527	2,040	2,439
Overseas	284	305	290	341	356	374	356	408	936	1,220	1,493
East	195	197	179	227	232	243	221	270	633	798	966
Shanghai	135	145	119	152	162	181	151	184	425	550	678
Guangzhou	56	49	55	63	63	56	64	74	188	222	258
Southeast Asia	47	54	47	48	58	63	59	61	171	197	241
Indonesia	23	29	28	33	30	35	35	40	98	113	140
Thailand	24	25	19	15	28	28	24	21	73	83	102
U.S.	42	54	63	66	67	68	76	76	133	225	286
YoY	15.9%	27.5%	40.3%	42.3%	27.8%	19.0%	19.4%	18.4%	10.7%	31.5%	20.8%
Domestic	16.7%	23.3%	45.0%	50.8%	28.2%	16.3%	18.0%	17.5%	12.4%	33.7%	19.5%
Overseas	15.8%	37.1%	35.6%	33.7%	25.6%	22.5%	22.8%	19.5%	7.8%	30.3%	22.4%
East	19.6%	32.9%	28.0%	24.9%	19.0%	23.0%	23.3%	19.2%	10.1%	26.1%	21.0%
Shanghai	23.8%	33.3%	30.5%	30.0%	20.2%	25.1%	26.9%	21.5%	14.2%	29.4%	23.3%
Guangzhou	15.0%	19.1%	19.8%	19.0%	13.7%	15.3%	18.0%	17.3%	1.9%	18.2%	16.1%
Southeast Asia	-12.1%	22.4%	29.3%	31.0%	23.1%	17.4%	24.7%	26.9%	9.1%	14.9%	22.8%
Indonesia	-23.2%	38.5%	30.1%	30.0%	30.8%	19.9%	24.1%	21.0%	-13.7%	15.7%	23.5%
Thailand	1.7%	7.9%	28.1%	33.3%	15.9%	14.4%	25.6%	40.3%	68.3%	13.9%	22.0%
U.S.	46.5%	79.4%	70.8%	79.3%	58.9%	25.8%	19.9%	14.9%	-3.3%	69.9%	27.1%
Operating Profit	53	74	84	70	78	89	102	84	196	281	354
Standalone	38	56	67	55	50	67	79	65	155	216	260

Cosmax (192820): Earnings Estimates (cont.)

Table 6. Cosmax Quarterly and Annual Earnings Estimates (Unit: KRW billions, %) (cont.)

(KRW billions, %)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Domestic and Overseas Consolidated Subsidiaries	15	17	18	15	28	22	24	19	41	65	93
YoY	3.3%	21.3%	97.5%	71.7%	47.6%	20.9%	21.2%	19.7%	11.6%	43.7%	25.7%
Standalone	10.8%	13.0%	94.5%	52.3%	32.0%	18.6%	18.0%	17.5%	11.4%	39.8%	20.5%
Domestic and Overseas Consolidated Subsidiaries	-11.8%	58.9%	109.5%	216.2%	86.7%	28.3%	33.4%	27.6%	12.3%	58.4%	43.0%
Operating Margin	7.8%	9.3%	10.3%	8.2%	9.0%	9.4%	10.4%	8.3%	8.2%	8.9%	9.3%
Standalone	9.0%	10.9%	12.0%	10.1%	9.2%	11.1%	12.0%	10.1%	10.1%	10.6%	10.7%
Domestic and Overseas Consolidated Subsidiaries	5.8%	6.3%	6.7%	4.9%	8.6%	6.5%	7.3%	5.2%	4.7%	5.9%	6.8%

Source: Cosmax, Hanwha Research Center

SECTORS

I Food & Beverage
II Cosmetics
III **Retail/Apparel**
IV Airlines
V Internet/Games
VI Semiconductors
VII Banks
VIII Insurance
IX Autos
X Construction/Utilities
XI Defense
XII Steel/Non-ferrous
XIII Power Equipment

III

Retail/Apparel

Into the Unknown

Korea 2027 Industry Outlook

Retail/Apparel: Summary

1
2026 Review

- Department store share prices, which outperformed in 1H, ultimately underperformed the market in 2H.
- The essence is the stagnation of earnings estimates. What matters is whether department stores can show growth even from a high base.

2
2027 Preview

- It is hard to say that overall consumption will be good in an unfavorable macro environment of interest rates, asset prices and so on.
- Polarization will intensify further because of income polarization centered on semiconductor companies.
- Only luxury-goods-centered consumption is expected to be strong.
- Foreign-visitor momentum is expected to continue in 2027. The effect of the exchange rate will be no more than short-term.

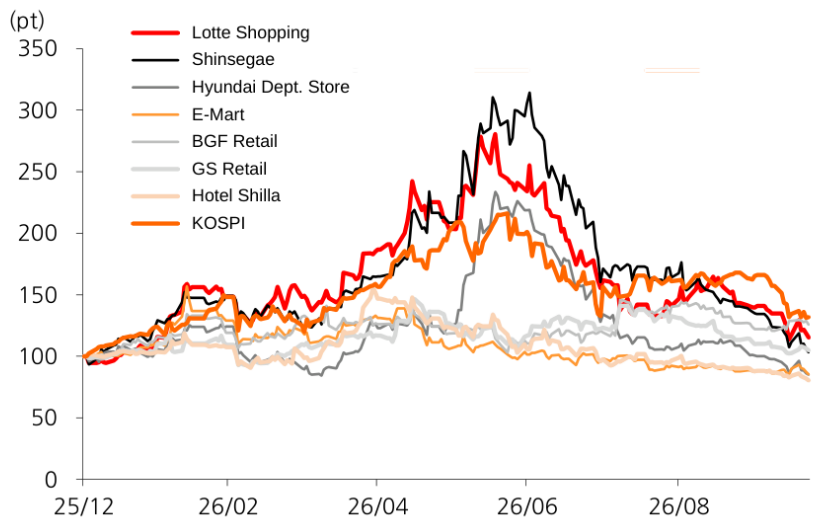
3
A luxury-goods-centered investment strategy remains valid

- A department-store-centered investment strategy remains valid. Lotte Shopping in Retail and Handsome in Apparel are presented as top picks.
- If the structural growth of department stores falls short of market expectations, convenience stores will be an alternative.

2026 Review: Ultimately Underperformed

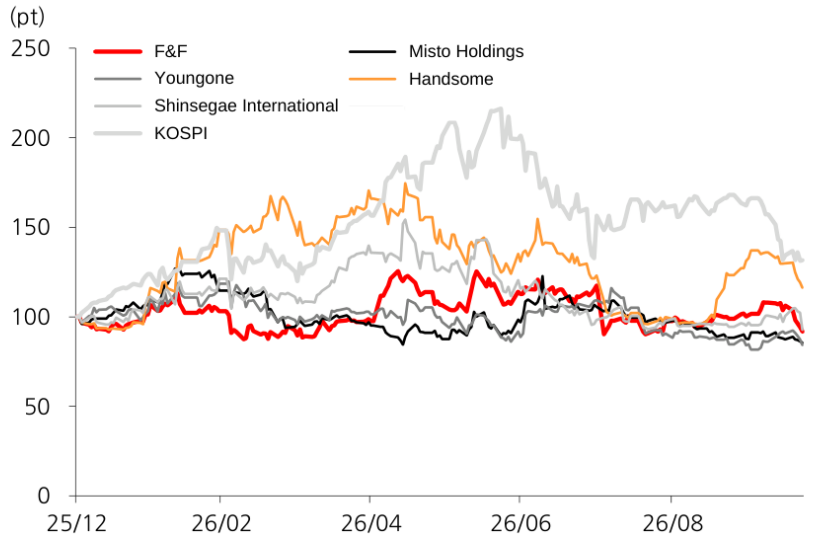
- The 2026 share price returns of the Retail and Apparel sectors were -0.2% YTD and -11.7% YTD, respectively, underperforming the KOSPI by 31.9%p and 43.4%p, respectively.
- Department stores, where domestic consumption strength and foreign-inbound momentum stood out, even showed +51%p outperformance versus the KOSPI through 1H, but recorded 25.8%p underperformance on share price weakness in 2H caused by a shrinking wealth effect and concerns over inbound momentum from a stronger won.
- Among our Retail/Apparel coverage, only BGF Retail and Handsome recorded returns at the KOSPI level. BGF Retail was helped by the strong convenience store industry and growing market interest in defensive stocks in 2H. Handsome was helped by stronger shareholder returns, a turnaround in domestic apparel and new-brand momentum.

Retail Sector Share Price Return



Source: QuantiWise, Hanwha Research Center

Apparel Sector Share Price Return

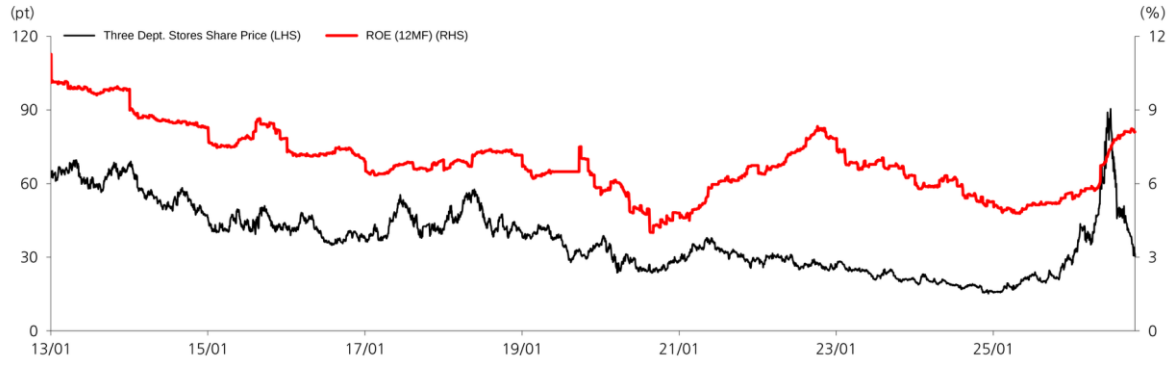


Source: QuantiWise, Hanwha Research Center

2026 Review: Why Were Department Stores in 1H and 2H So Different? What Is the Fundamental Reason?

- The stagnation of ROE consensus is the main reason for the stagnation (correction) of department store share prices
- There are various views on the department store share price correction. Representative ones are the shrinking wealth effect from the strong market correction in July and the possibility of slower foreign sales growth due to a stronger KRW/USD exchange rate.
- Focusing only on the essential internal factor, it is the stagnation of ROE estimates. Over the long term, not only department stores but most of the Retail sector have had share prices move in sync with the direction of ROE estimates, and the strength of the department store sector in 1H can be seen as the share price reflecting strong upward revisions to ROE estimates.
- Therefore, it can be interpreted that the share price correction is occurring as ROE estimates have been adjusted rather than revised upward since 2H.

Department Store Share Prices and ROE (12MF) Forecast

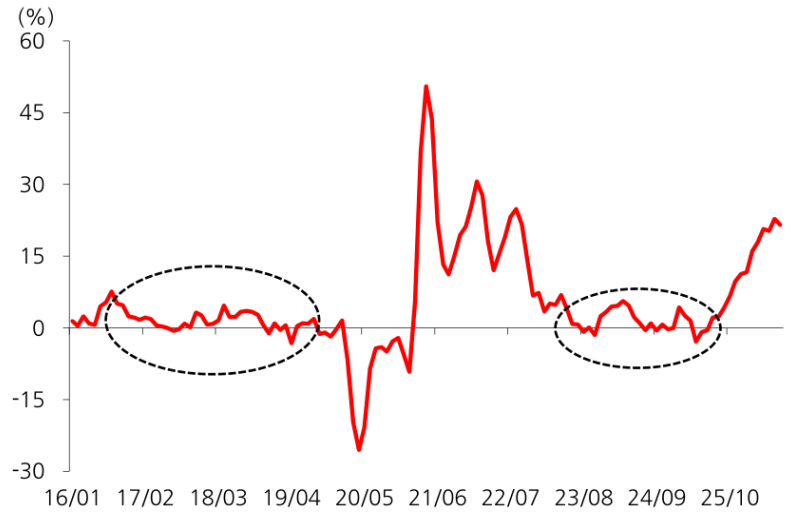


Note: For ROE, values excluding Lotte Shopping are applied because of outlier estimates
Source: QuantiWise, Hanwha Research Center

2026 Review: What Is Needed for Department Store Earnings Estimates to Be Revised Up?

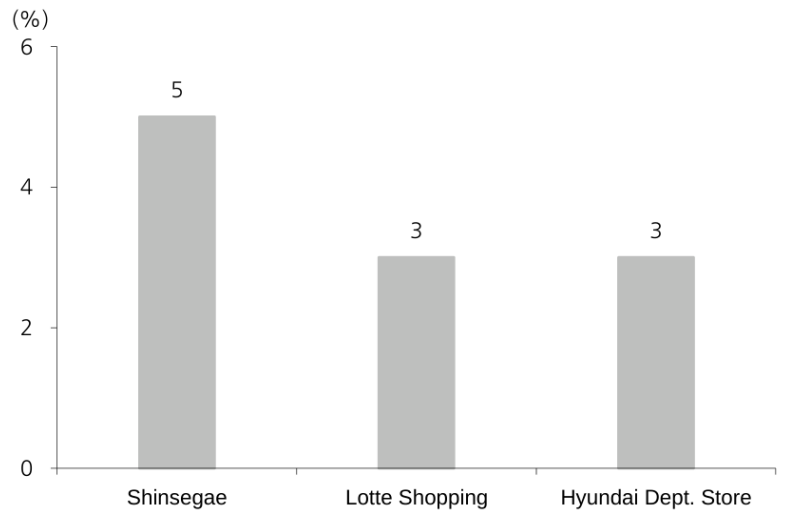
- Over the past 10 years, absent special circumstances such as COVID-19, department stores have formed a growth cycle within 0% to 10%, but this year they have shown growth exceeding +20%.
- As the sector enters a high-base period, it is hard to proactively raise 2027 estimates.
- If ROE estimates determine the direction of the share price, the key will be whether a same-store growth rate high enough for earnings estimates to be revised up can be sustained. The minimum required growth rates for department store earnings growth in 2027 are about +3% for Lotte Shopping/Hyundai Department Store and +5% for Shinsegae.
- To gain confidence that 1H 2027, which has a high base, can exceed the minimum required growth rates, 4Q growth needs to reach roughly +HSD% for Lotte Shopping/Hyundai Department Store and +DD% for Shinsegae.

Department Store Sales Growth (3MMA)



Source: Ministry of Industry and Trade, Hanwha Research Center

Required Growth Rate of Department Stores for 2027 Earnings Estimate Upgrades

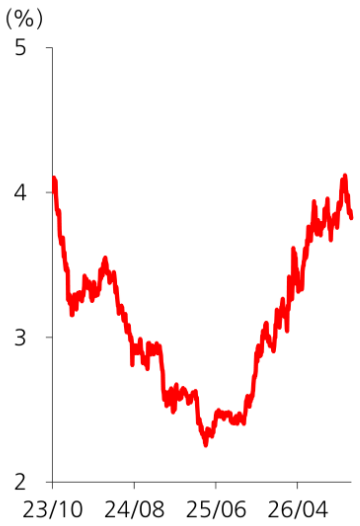


Source: Company data, Hanwha Research Center

2027 Consumption Outlook: It Is Hard to Say All Consumption Will Be Good

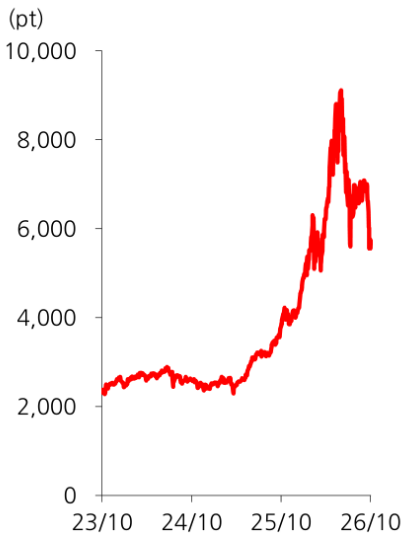
- It is true that the macro environment surrounding 2027 consumption is not favorable. High oil prices from the Middle East situation and the upward revision to economic growth from the AI investment cycle act as inflationary pressure, taking the economy into a high-interest-rate range.
- The stock market continues to correct in 2H, and although Seoul real estate prices are rising, Gangnam, the top-tier district, has turned lower because of government real estate policy, so the wealth effect is shrinking.
- Share prices of major luxury companies remain weak, reflecting concerns over slowing global demand.

3-Year Treasury Yield



Source: Bank of Korea, Hanwha Research Center

KOSPI



Source: QuantiWise, Hanwha Research Center

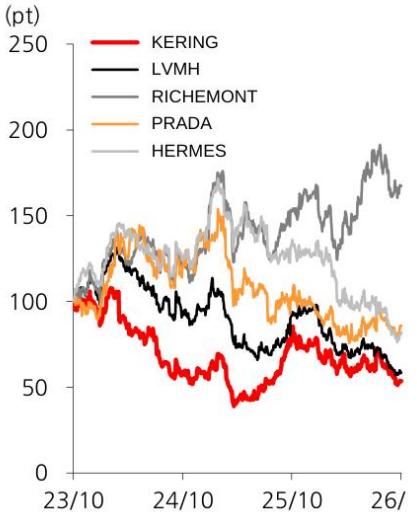
2027 Consumption Outlook: It Is Hard to Say All Consumption Will Be Good (cont.)

Decline in Gangnam Real Estate Prices



Source: Press reports, Hanwha Research Center

Share Prices of Major Luxury Companies

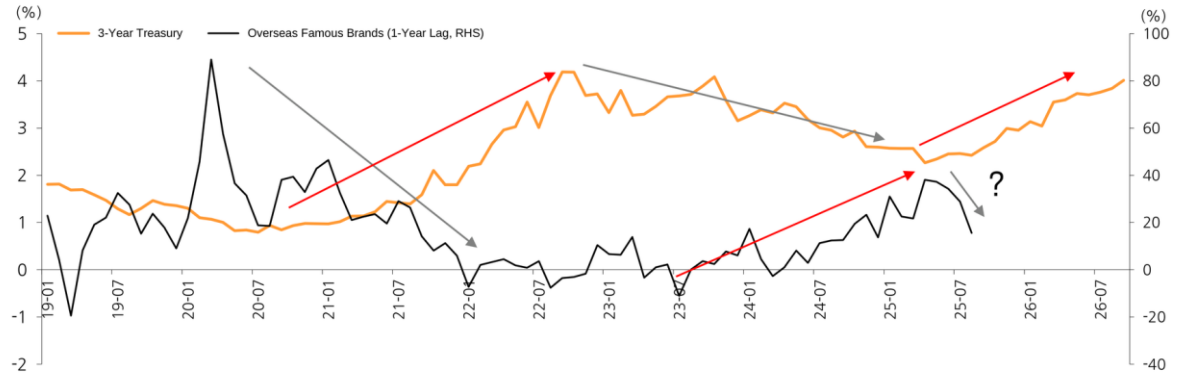


Source: Bloomberg, Hanwha Research Center

2027 Consumption Outlook: Under Normal Conditions, a Slump in Luxury Consumption Would Be Unavoidable

- Under normal conditions, a defensive strategy centered on consumer staples (favoring hypermarkets/convenience stores over department stores/apparel) would be valid for the 2027 Retail/Apparel investment strategy.
- This is because prices suppress real income growth, and rising interest rates weaken the upward momentum of asset prices, making it hard to expect a wealth effect. Interest rates also lead to higher household costs such as interest expense.
- In fact, looking at interest rates and luxury goods growth since 2019, it is true that when interest rates rose, luxury goods growth slowed one year later, and when interest rates fell, luxury goods growth rebounded one year later.

Interest Rates and Luxury Goods Growth



Source: Hanwha Research Center

2027 Consumption Outlook: Polarization Intensity Up

- The variable will be the large-scale performance bonuses at semiconductor companies. The total performance bonuses of Samsung Electronics and SK hynix are estimated at about KRW 60–70 trillion (about KRW 700–800 million per person). That is a huge amount, equal to about 12–14% of Korea's one-year consumption market. The problem is that this huge amount of income is concentrated among semiconductor company employees, who account for only 0.2% of the total population. Polarization of consumption will inevitably widen. Rather than consumption spreading across the board with rising income, consumption growth centered on some high-priced luxury goods is expected.
- An increase in asset income from expanded shareholder returns at semiconductor companies is also expected. Dividend income secured by individual investors is estimated at about KRW 15 trillion. Including fund distributions and expanded dividend linkage at companies holding semiconductor company shares, the amount will be larger. Capital income is also likely to be a factor driving polarization.
- In conclusion, although the macro environment surrounding the consumption market is weak, this is a period with special circumstances, so strong consumption of luxury goods will continue.

Relative Strength of Card Spending by Item in Regions with High Semiconductor Exposure

Item/Region	Icheon	Cheongju Heungdeok	Hwaseong	Pyeongtaek	Yongin Giheung
Total	-0.3	2.5	2.6	-0.4	-0.8
Automobiles	0.2	0.5	0.6	0.3	0.5
High-Priced Discretionary	0.5	0.5	0.2	-0.2	0.2
Online	0.2	1.2	1.2	0.6	0.0
Dining Out	-0.6	0.0	0.1	-0.3	-0.3
Daily Consumption	-0.2	0.2	0.2	-0.3	-0.5
Leisure & Culture	-0.1	0.0	0.0	-0.0	-0.1
Medical & Education	-0.4	-0.0	-0.1	-0.3	-0.1
Fuel	0.2	0.1	-0.0	0.1	-0.3
Other	-0.2	0.1	0.3	-0.2	-0.2

Note: Relative to nationwide
Source: Bank of Korea, Hanwha Research Center

Samsung Electronics Shareholder Return Policy Disclosure

□ Expected scale and implementation plan for 2026 shareholder returns
- Although subject to change depending on 2026 business results and investment, etc., the remaining resources for 2026 shareholder returns (50% of 3-year total FCF, less KRW 29.3 trillion implemented in 2024–2025) are expected to be about KRW 90–110 trillion

* When calculating 3-year total FCF, expenditures related to 'advance payments' (deposit-type) under memory-product LTAs (long-term supply agreements) and to employee performance-bonus stock compensation are deducted

- In 3Q 2026, a cash dividend of about KRW 30 trillion, including the regular quarterly dividend, is planned; details will be finalized at the board meeting to be held at the end of October 2026

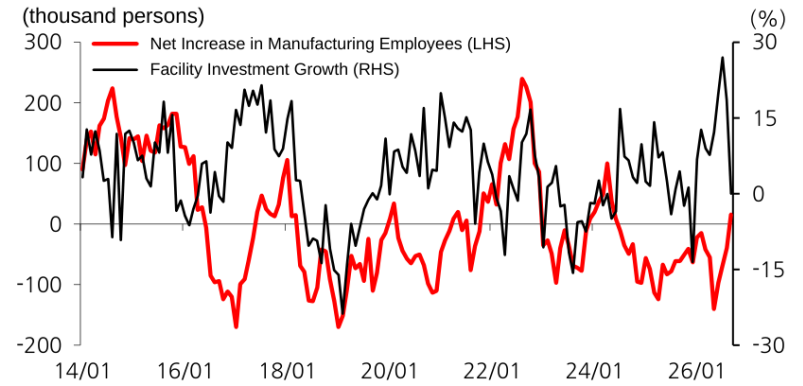
- The scale and specific implementation plan of the remaining shareholder returns will be finally decided at the board meeting scheduled for end-January 2027, after the 2026 results, and announced separately
· The remaining shareholder returns will be implemented considering cash dividends and share buybacks/cancellations comprehensively

Source: DART, Hanwha Research Center

2027 Consumption Outlook: Employment Recovery Is Likely to Be Positive

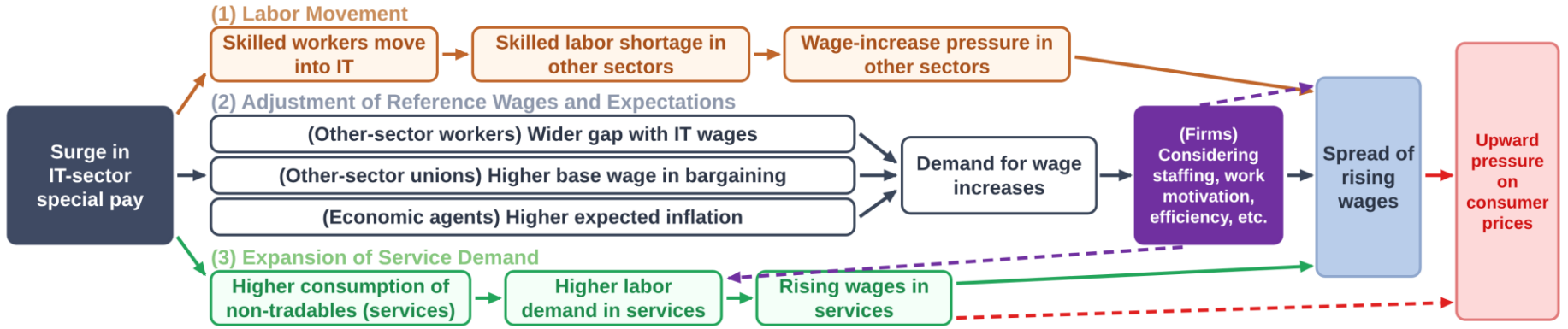
- Facility investment has continued double-digit growth since May. AI demand is strong and large-scale investment, including the government's three mega-projects, is scheduled, so strong facility investment is likely to continue.
- Manufacturing employment has not yet shown a meaningful recovery, but job growth may follow with a lag after facility investment.
- Over the medium to long term, attention is on whether income growth centered on semiconductor companies can create a ripple effect that leads to across-the-board increases in employment and wages.

Facility Investment Index Growth Rate and Net Manufacturing Employment Increase



Source: KOSIS, Hanwha Research Center

Path by Which Special Pay Increases in the IT Sector Spill Over into Prices via Wage Increases in Other Sectors

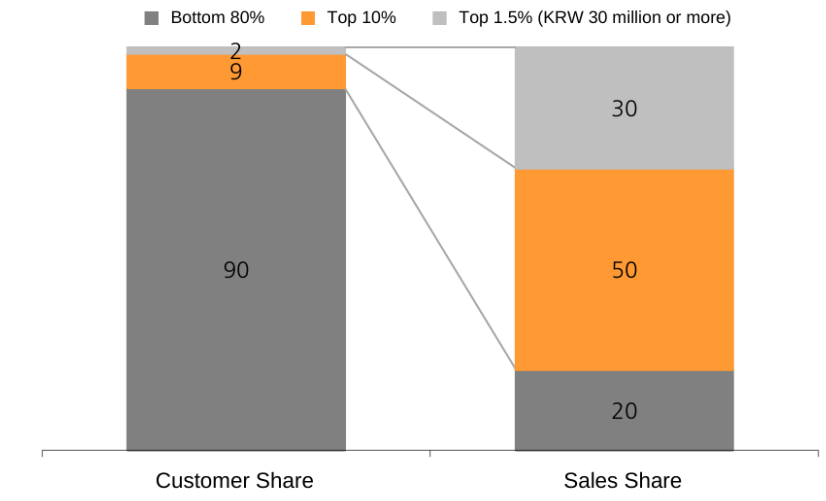


Source: Bank of Korea, Hanwha Research Center

Department Store Preference: Strengthening Polarization > Macro Concerns

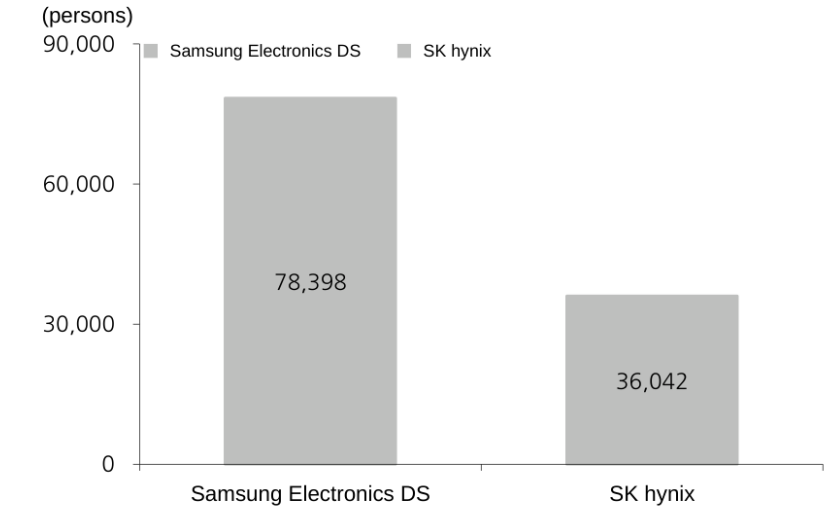
- Department stores are a consumption-polarization channel where the top 10% of customers account for 80% of sales. The relative impact is limited, but it is true that top VIPs are also exposed to possible consumption declines from rising interest rates and asset price burdens.
- If we assume that department store spending by the top 10% falls 10%, the impact on department store sales would be around -8%. What also needs to be considered is semiconductor company employees who could become new VIPs. Samsung Electronics DS and SK hynix have about 110,000 employees. If they enter as VIPs spending KRW 30 million or more per year (top 1.5%, about 60,000 people), the sales newly created for department stores would be about 60%. In conclusion, the impact on department store sales of polarization strengthening and the VIP base widening will be larger than that of macro concerns.
- Cases in which department store sales declined were limited, absent external shocks such as MERS (2015) and COVID-19 (2020).

Share of Sales by Department Store Customer Segment



Source: Press reports, Hanwha Research Center

Number of Employees: Samsung Electronics DS and SK hynix

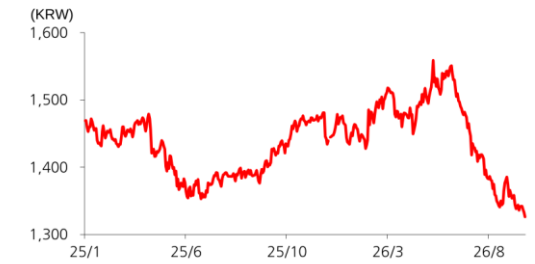


Source: DART, Hanwha Research Center

Department Store Preference: The Exchange Rate Has Only a Short-Term Impact

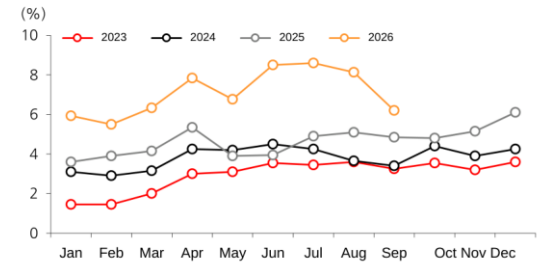
- The won has been strengthening rapidly since the start of 2H. A weakening of foreign purchasing power is unavoidable because of the stronger won. In fact, the average foreign-sales share of the three department stores in September was 6.2%, down from the July peak of 8.6%, and we judge it to be so. This is because luxury companies carry out global price rebalancing, taking the exchange rate and other factors into account.
- A representative recent case is Boucheron, which carried out global price rebalancing. Afterwards, the price format of Korea = Japan < Hong Kong < China, which had been broken by the exchange rate, was restored. As a result, Korea's price advantage from the perspective of Chinese tourists has been secured again.
- Major luxury price rebalancing is likely to take place at year-end/start of the year.

KRW/USD Exchange Rate



Source: Bank of Korea, Hanwha Research Center

Foreign Sales Share at Department Stores



Source: Company data, Hanwha Research Center

Price Comparison across Major Asian Countries after Boucheron Price Rebalancing

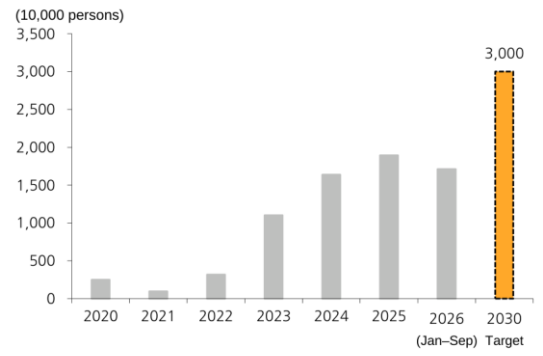


Note: Boucheron prices are as of 10/23
Source: Boucheron, Hanwha Research Center

Department Store Preference: Foreign-Visitor Momentum Is Structural

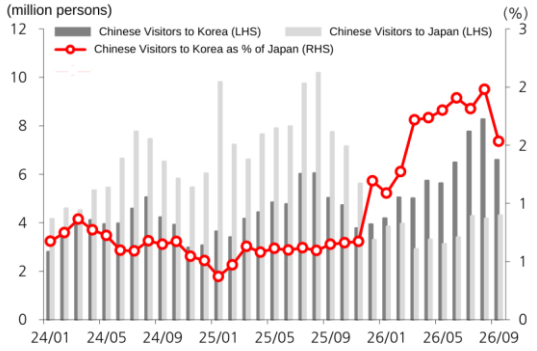
- The inbound momentum that stood out from this year is a benefit from a geopolitical perspective owing to worsening China–Japan relations, before price advantage. Considering the ban on Korean content (Hanhanryeong), short-term resolution is unlikely.
- In addition, an inbound bottleneck has formed from a supply shortage of infrastructure such as flights and accommodations that could accommodate the nearly 10 million Chinese visitors to Japan in 2025 (for reference, 18.94 million foreign visitors to Korea in 2025). A situation in which foreign tourist growth equals the expansion of infrastructure supply to meet excess demand is expected to continue for a long time.
- It is also an important point that Korea's shopping content is diversifying as Korea's position within Asia strengthens. In the past, the order in which famous overseas brands entered Asia was "Japan or Hong Kong → Korea," but recently there are more cases of entering Korea first. Such brand entries are establishing themselves as Korean shopping content that stimulates demand from Asian inbound tourists. Of course, the expansion of K-brands is also positive from a shopping content perspective.
- Luxury's concentration on Korea is also linked to Korea's strengthened position.

Foreign Visitors to Korea and Government Target



Source: Korea Tourism Organization, press reports, Hanwha Research Center

Chinese Visitors to Korea vs. Chinese Visitors to Japan



Source: Tourism Knowledge Information System, JNTO, Hanwha Research Center

Expansion of Korea–China Air Traffic Rights

International Air Traffic Rights Newly Allocated in September

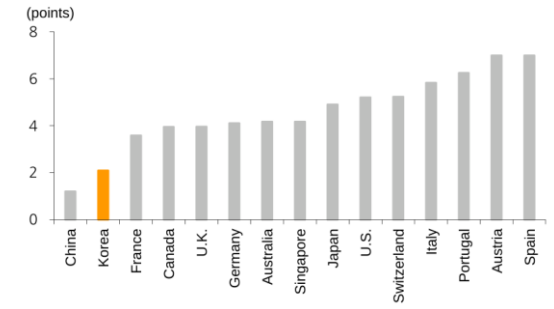
China	Incheon–Beijing	14 per week
China	Incheon–Shanghai	7 per week
China	Incheon–Guangzhou	7 per week
China	Incheon–Dalian	7 per week
China	Incheon–Chengdu	7 per week
China	Incheon–Harbin	7 per week
Philippines	Korea–Manila	11,636 seats per week
India	Seoul–New Delhi/Mumbai, etc.	12 per week
Czech Republic	Incheon–Prague	3 per week
Portugal	Korea–Portugal	4 per week
Poland	Busan–Poland	3 per week
Finland	Busan–Helsinki	3 per week

No limit on destination cities for the Portugal and Poland routes.
Source: Ministry of Land, Infrastructure and Transport

Source: Press reports, Hanwha Research Center

Department Store Preference: Foreign-Visitor Momentum Is Structural (cont.)

Hotel Density Comparison, Major Countries



Source: World Economic Forum, Hanwha Research Center

Lotte Main Store Alo Store



Source: Google, Hanwha Research Center

Skims to Be Launched by Handsome at Year-End (Seoul and Hong Kong Are the First Asian Stores)

Seoul and Hong Kong Selected at the Same Time… Skims' First Asian Store Location

Kim Kardashian's Skims, Korea's first store at Dosan Park… exclusive contract with Handsome

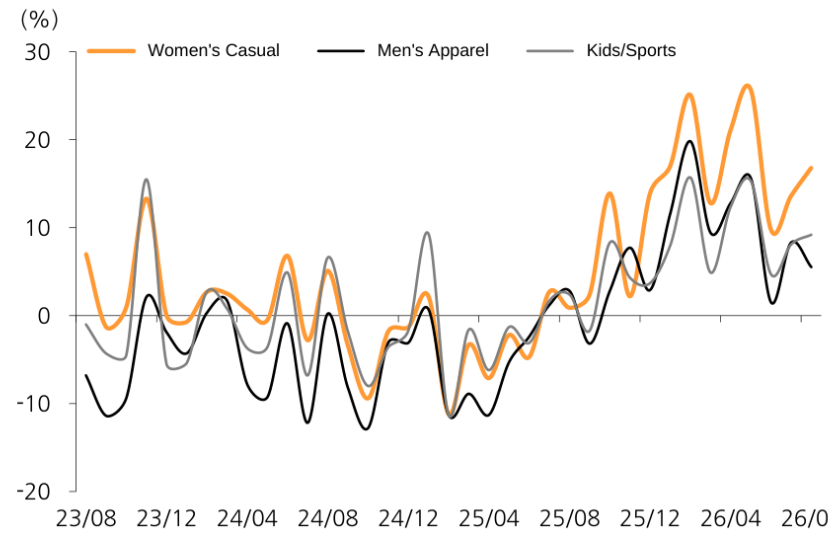


Source: Press reports, Hanwha Research Center

Domestic Apparel Brand Preference: In Step with Department Stores, with Profitability Also Expected

- Strong luxury-goods consumption centered on department stores is expected as consumption polarization widens.
- We judge that strong sales of high-end apparel, which Handsome and Shinsegae International sell mainly through department stores, will move in step.
- Attention is also on cost-ratio improvement alongside top-line growth. If strong luxury consumption continues, the full-price sell-through rate will rise and cost-ratio improvement is likely to continue, and when importing apparel and fabric, a stronger won may also improve the cost ratio.
- At Handsome, momentum is expected from new brands such as Skims and Satisfy. At Shinsegae International, momentum is expected from the overseas expansion of its manufactured cosmetics.

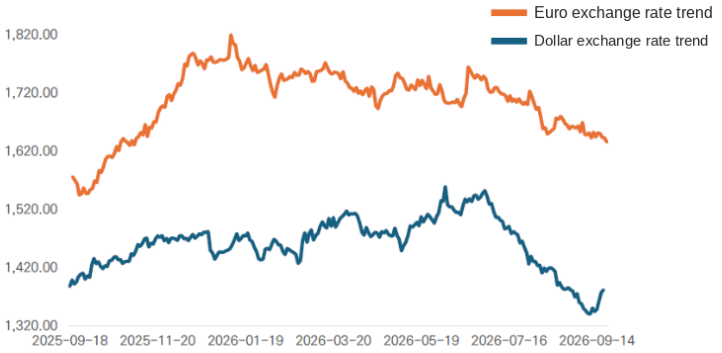
Department Store Fashion Growth Rate



Source: Ministry of Industry, Resources and Trade, Hanwha Research Center

Handsome Profitability Improvement from the Exchange Rate

- Exchange-rate fluctuations affect costs, as the company uses premium European materials and buys imported goods (KRW 200 billion settled for the full year 2025)
- A 4–5% decline in the exchange rate is expected to improve costs by about KRW 10 billion

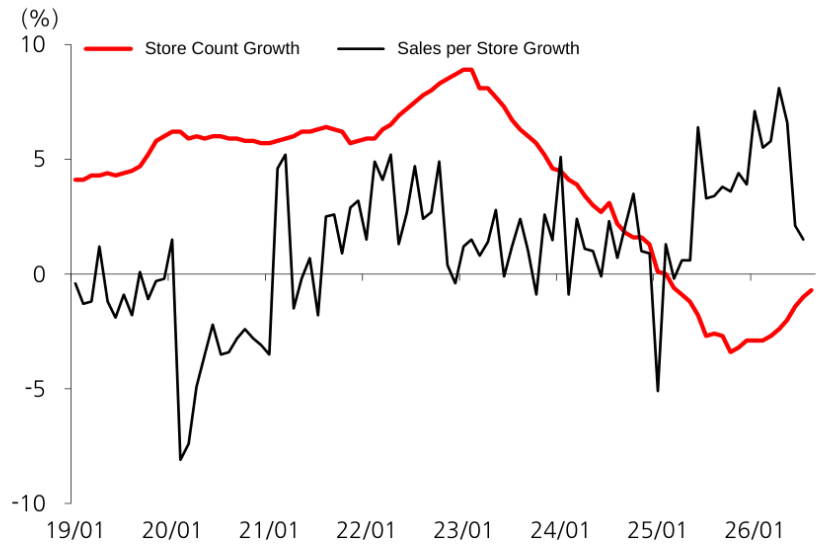


Source: Handsome, Hanwha Research Center

Convenience Store Second Preference: 2026 Was Overshadowed by Department Stores

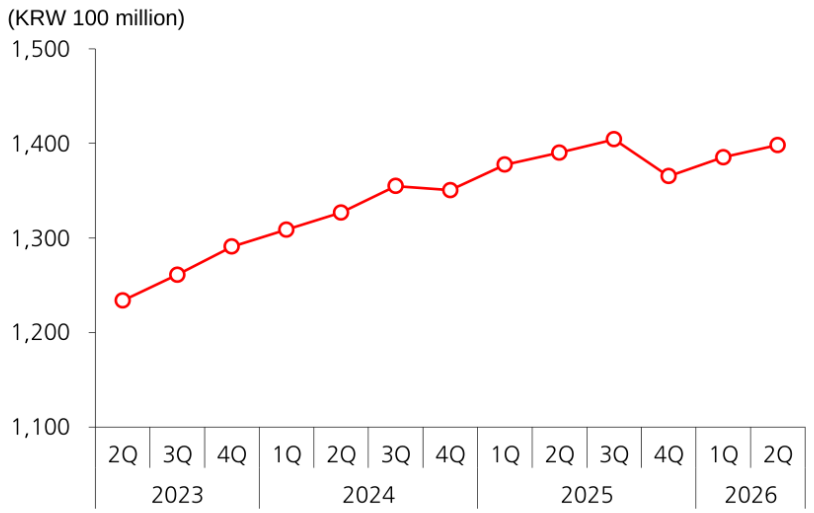
- Convenience stores' qualitative growth is expected to continue in 2027.
- Convenience store counts have turned to net increases, but the increase is limited. With fixed-cost growth limited, operating leverage from same-store-centered growth can continue in 2027.
- We judge that the biggest reason convenience stores did not stand out within the Retail sector this year despite the strong convenience store format was that they were overshadowed by market expectations for the structural growth of department stores. If the structural growth of department stores in 2027 falls short of market expectations, convenience stores could stand out.

Convenience Store Sales per Store and Store Count Growth



Source: Ministry of Industry, Resources and Trade, Hanwha Research Center

BGF Retail Fixed Costs (Depreciation + Rent)

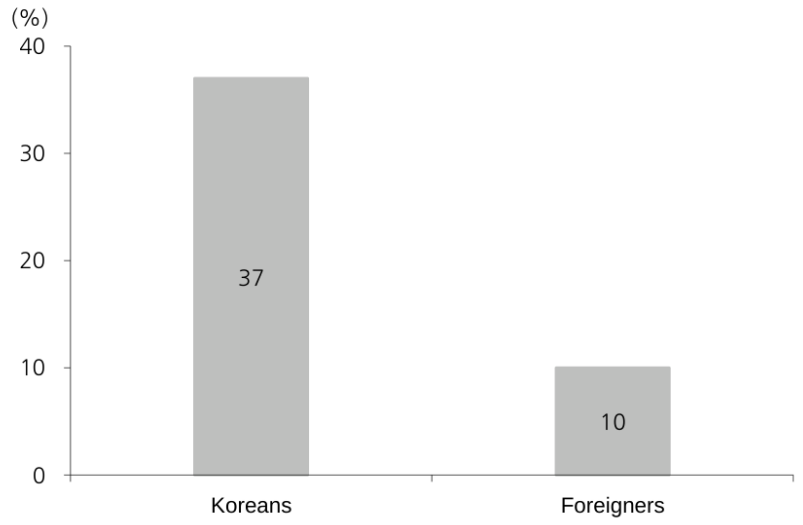


Note: Fixed costs are the sum of depreciation and rent
Source: Hanwha Research Center

Convenience Store Second Preference: Cost Improvement Is Also Expected from a Higher Share of General Merchandise

- The increase in foreign tourists is also positive. The foreign sales share has expanded to about 3%. It is true that the sales share and contribution are lower than at department stores, but the difference from department stores is that it clearly helps improve the cost ratio. Tobacco accounts for only about 10% of foreign customers' sales, lower than the 30–40% for Korean customers. Therefore, if the share of foreign sales rises, an increase in the share of general merchandise sales is a natural flow.
- In particular, inbound demand for convenience stores is experiential consumption. Unlike department stores, which are inevitably affected even if the effect of the direction of the exchange rate is short-term, convenience stores can expect to benefit fully when foreign inbound tourists increase.
- In addition, while discussion of a tobacco price increase is being delayed, a wave of price increases centered on processed foods is continuing in 2H. This too can lead to a higher share of general merchandise sales on top of a higher average spend per customer, leading to cost-ratio improvement.

Tobacco Share of Sales: Koreans vs. Foreigners



Source: Ministry of Industry, Resources and Trade, Hanwha Research Center

Sharp Processed Food Price Increases in 2H

Ottogi raises instant rice prices… up to 29.4% at convenience stores ↑



Source: Press reports, Hanwha Research Center

Investment Strategy

- Consumption polarization is expected to strengthen in 2027. For the Retail/Apparel investment strategy, we present an Overweight strategy centered on department stores and domestic brands.
- Department stores are expected to continue structural growth driven by income-led luxury consumption (consumption polarization) and foreign-inbound momentum.
- Domestic brands move in step with department stores and are also expected to see profitability improvement from a stronger won.
- If the structural growth of department stores falls short of market expectations, we present convenience stores as an alternative.
- For top picks, we present Lotte Shopping in Retail and Handsome in Apparel.
- Lotte Shopping is expected to benefit from the structural growth of department stores and the knock-on benefit from hypermarket industry restructuring. For Handsome, we expect a valuation re-rating from stronger shareholder returns, along with earnings improvement from strong high-end apparel consumption, cost-ratio improvement and new brand launches.

Table 7. Key Retail/Apparel Coverage

Company	Ticker	Market Cap (KRW billions)	Target Price (KRW)	Current Price (KRW)	P/E 26E (x)	P/E 27E (x)	P/B 26E (x)	P/B 27E (x)
E-Mart	139480	1,837.9	100,000	66,600	-49.6	7.7	0.2	0.2
Lotte Shopping	023530	2,302.7	200,000	81,400	5.0	4.2	0.1	0.1
Hyundai Department Store	069960	1,576.4	160,000	73,100	5.1	4.8	0.3	0.3
Shinsegae	004170	2,314.1	630,000	245,000	5.1	4.6	0.5	0.4
Hotel Shilla	008770	1,365.8	51,000	34,800	13.9	7.3	1.2	1.0
BGF Retail	282330	2,207.2	190,000	127,700	10.5	9.0	1.5	1.4
GS Retail	007070	1,730.7	32,000	20,700	7.8	7.3	0.5	0.5
Misto Holdings	081660	1,919.3	78,000	36,150	5.7	4.8	0.9	0.8
F&F	383220	2,306.1	100,000	60,200	4.8	5.6	1.0	0.9
Youngone	081660	1,986.6	130,000	67,400	4.8	5.2	0.6	0.6
Hansae	105630	331.2	12,000	8,280	6.2	4.1	0.4	0.4
Shinsegae International	031430	353.4	22,000	10,100	6.0	4.3	0.4	0.4
Handsome	020000	380.1	36,000	17,700	5.7	4.6	0.3	0.3

Source: Hanwha Research Center

Lotte Shopping (023530): Top Pick Again in 2027

Buy (Maintained)

Target Price
200,000 KRW

Current Price (10/26)
81,400 KRW

Upside
▲145.7%

Market Cap	**KRW 2,302.7 billion**
Shares Outstanding	**28,289 thousand shares**
52-Week High / Low	**203,500 / 64,100 KRW**
90-Day Avg. Daily Value	**KRW 16.877 billion**
Foreign Ownership	**14.7%**
SHAREHOLDERS	
Lotte Holdings (+24 others)	**59.0%**
National Pension Service (+1 other)	**10.8%**
Treasury Shares (+1 other)	**0.1%**

Department Stores to Keep Structurally Growing in 2027

- Domestic demand for luxury-goods channels, i.e. department stores, is expected to remain strong as consumption polarization strengthens.
- Foreign inbound momentum, which has been disrupted by the stronger exchange rate, is also expected to strengthen again from 2027. With the inbound bottleneck continuing, the diversification of shopping content from Korea's strengthened position in Asia has not changed.

Continued Spillover Benefit from Hypermarkets

- The spillover benefit for hypermarkets from Homeplus's weakened operating competitiveness continues. We forecast same-store growth of MDS% or higher.

Investment Opinion: BUY, Target Price KRW 200,000, Top Pick Opinion Maintained

- With polarization, the JV value of SPA brands such as Uniqlo, Zara and Muji may also come into focus for the company.
- Differentiated dividend appeal can come into focus, with a 2026 dividend yield of 7.1% and a 2027 dividend yield of 8.6% expected.
- The current share price is at a P/E of 4.2x.

Lotte Shopping Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
Revenue	13,987	13,738	14,304	14,629	15,003
Operating Profit	473	547	825	894	928
EBITDA	1,589	1,603	1,899	1,936	1,956
Net Income (Controlling)	-968	52	457	554	587
EPS	-34,219	1,822	16,171	19,592	20,750
Net Debt	11,862	11,413	11,127	10,383	9,693
PER	-2.4	44.7	5.0	4.2	3.9
PBR	0.1	0.2	0.1	0.1	0.1
EV/EBITDA	8.9	8.6	7.1	6.6	6.1
Dividend Yield (%)	4.7	4.9	7.1	8.6	9.8
ROE	-7.7	0.3	3.0	3.5	3.6

Source: Hanwha Research Center

Lotte Shopping (023530): Earnings Estimates

Table 10. Lotte Shopping Quarterly and Annual Earnings Estimates (Unit: KRW billions, %, % YoY)

(KRW billions, %, %YoY)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Revenue	3,582	3,485	3,628	3,610	3,645	3,555	3,720	3,709	13,738	14,304	14,629
YoY	3.6%	4.0%	6.4%	2.5%	1.8%	2.0%	2.5%	2.8%	-1.8%	4.1%	2.3%
Department Stores	872	891	808	1,013	899	919	833	1,044	3,339	3,585	3,695
Domestic Department Stores	837	856	776	975	862	881	800	1,004	3,213	3,444	3,547
Discount Stores	1,526	1,330	1,518	1,416	1,622	1,416	1,561	1,463	5,471	5,788	6,062
Domestic Discount Stores	1,041	979	1,168	1,020	1,093	1,028	1,174	1,025	3,925	4,208	4,320
Himart	517	591	653	524	507	573	666	535	2,369	2,285	2,281
Supermarkets	317	324	311	282	286	305	313	284	1,274	1,235	1,187
Home Shopping	232	239	213	235	235	241	216	237	902	919	928
Culture Works	125	106	141	141	100	111	148	148	434	513	507
Other	-3	-11	-16	-1	-3	-11	-16	-1	-44	-31	-31
Operating Profit	253	90	195	287	249	114	217	314	547	824.7	894
YoY	70.6%	121.4%	49.2%	26.1%	-1.6%	26.8%	11.3%	9.4%	15.6%	50.8%	8.4%
Department Stores	191	120	129	295	197	125	134	304	504	735	760
Domestic Department Stores	184	112	122	285	189	117	126	294	491	704	726
Discount Stores	34	-38	29	-14	25	-32	37	-6	-7	11	23
Domestic Discount Stores	9	-42	25	-18	5	-41	28	-15	-57	-27	-23
Himart	-15	1	6	-10	-12	-3	9	-7	10	-17	-14
Supermarkets	2	-2	7	-4	3	0	7	-4	8	3	6
Home Shopping	26	20	10	18	29	23	12	20	45	74	84
Culture Works	8	-14	16	5	7	2	18	6	-11	15	34
Other	6	3	-2	-2	0	0	0	0	-2	5	0

Lotte Shopping (023530): Earnings Estimates (cont.)

Table 10. Lotte Shopping Quarterly and Annual Earnings Estimates (Unit: KRW billions, %, % YoY) (cont.)

(KRW billions, %, %YoY)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Operating Margin	7.1%	2.6%	5.4%	8.0%	6.8%	3.2%	5.8%	8.5%	4.0%	5.8%	6.1%
Department Stores	21.9%	13.4%	16.0%	29.1%	21.9%	13.6%	16.0%	29.2%	15.1%	20.5%	20.6%
Domestic Department Stores	21.9%	13.1%	15.8%	29.3%	21.9%	13.2%	15.8%	29.3%	15.3%	20.4%	20.5%
Discount Stores	2.2%	-2.8%	1.9%	-1.0%	1.5%	-2.3%	2.4%	-0.4%	-0.1%	0.2%	0.4%
Domestic Discount Stores	0.8%	-4.3%	2.1%	-1.8%	0.5%	-4.0%	2.4%	-1.5%	-1.4%	-0.6%	-0.5%
Supermarkets	0.7%	-0.6%	2.1%	-1.5%	1.1%	-0.1%	2.3%	-1.3%	0.6%	0.2%	0.5%

Source: Lotte Shopping, Hanwha Research Center

Handsome (020000): Handsome

Buy (Maintained)

Target Price
36,000 KRW

Current Price (10/26)
17,700 KRW

Upside
▲103.4%

Market Cap	**KRW 380.1 billion**
Shares Outstanding	**21,477 thousand shares**
52-Week High / Low	**27,950 / 14,350 KRW**
90-Day Avg. Daily Value	**KRW 2.602 billion**
Foreign Ownership	**23.3%**

SHAREHOLDERS

Hyundai Home Shopping (+1 other)	**43.3%**
Baring Asset Management (+3 others)	**8.7%**
National Pension Service (+1 other)	**8.2%**

Organic Growth

- Demand for the high-end apparel the company sells is expected to remain strong as consumption polarization continues.
- Cost-ratio improvement from a stronger won is also expected. A 5% fall in the exchange rate is expected to improve profit by KRW 10 billion per year.

Non-Organic Growth

- Momentum from new brand launches such as Skims and Satisfy stands out. Both brands are the first antenna stores in Asia, so inflow of foreign demand is expected in addition to domestic demand.
- Momentum from overseas expansion, such as SYSTEM's entry into Japan, stands out. Starting with Hankyu Department Store, local partner companies plan to roll out stores.

Investment Opinion: BUY, Target Price KRW 36,000, Top Pick Opinion Presented

- Stronger shareholder returns (dividends of at least 20% of standalone operating profit, share buybacks/cancellations of KRW 10 billion every year) are also positive.
- The current share price is at a P/E of 4.6x.

Handsome Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
Revenue	1,485	1,492	1,597	1,686	1,746
Operating Profit	63	52	85	105	116
EBITDA	135	122	154	176	188
Net Income (Controlling)	45	46	67	82	91
EPS	1,908	2,061	3,123	3,820	4,220
Net Debt	66	44	15	-12	-51
PER	9.3	8.6	5.7	4.6	4.2
PBR	0.3	0.3	0.3	0.3	0.2
EV/EBITDA	3.3	3.5	2.6	2.1	1.8
Dividend Yield (%)	4.2	4.2	4.5	5.6	6.2
ROE	3.2	3.3	4.6	5.4	5.7

Source: Hanwha Research Center

Handsome (020000): Earnings Estimates

Table 13. Handsome Quarterly and Annual Earnings Estimates (Unit: KRW billions, %, % YoY)

(KRW billions, %, %YoY)	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025E	2026E	2027E
Revenue	410.4	363.2	331.3	492.2	434.9	386.8	348.1	515.8	1,491.6	1,597.1	1,685.7
YoY	7.9%	7.5%	7.0%	6.1%	6.0%	6.5%	5.1%	4.8%	0.4%	7.1%	5.5%
Product Revenue	303.7	249.2	230.4	361.8	312.8	256.6	237.3	372.6	1,078.0	1,145.0	1,179.3
Merchandise Revenue	104.2	111.5	99.1	127.5	119.7	127.7	109.0	140.3	402.1	442.4	496.6
Other	2.5	2.5	1.8	2.9	2.5	2.5	1.8	2.9	11.1	9.8	9.8
Gross Profit	243.4	195.2	192.0	271.8	259.3	211.8	202.8	286.3	840.0	902.4	960.2
Gross Margin	59.3%	53.7%	58.0%	55.2%	59.6%	54.7%	58.3%	55.5%	56.3%	56.5%	57.0%
SG&A Expenses	206.9	190.6	184.1	235.8	217.3	200.6	192.1	245.5	787.9	817.4	855.5
Operating Profit	36.5	4.6	7.9	35.9	42.0	11.2	10.7	40.8	52.2	85.0	104.7
Operating Margin	8.9%	1.3%	2.4%	7.3%	9.6%	2.9%	3.1%	7.9%	3.5%	5.3%	6.2%
YoY	67.4%	557.1%	217.9%	32.2%	15.0%	143.3%	34.6%	13.5%	-18.1%	52.1%	16.7%

Source: Handsome, Hanwha Research Center

SECTORS

I Food & Beverage
II Cosmetics
III Retail/Apparel
IV **Airlines**
V Internet/Games
VI Semiconductors
VII Banks
VIII Insurance
IX Autos
X Construction/Utilities
XI Defense
XII Steel/Non-ferrous
XIII Power Equipment

IV

Airlines

Good Times at Last

Korea 2027 Industry Outlook

Airlines: Summary

1
Structural growth in demand

- Domestic airlines' existing demand is centered on Korean outbound travel.
- With the recent steep growth in foreign inbound, the contribution of foreign inbound to airlines' passenger transport results has increased.
- Two-way inbound/outbound demand is expanding on major routes such as China, Japan and the Americas, driving airlines' strong operating results.

2
Market restructuring

- The launch of the integrated FSC raises competitiveness in long-haul international routes and the Asia-Pacific transfer market. Solid cargo results are also expected.
- The launch of the integrated Jin Air and further M&A among unlisted LCCs lead to easing of the intense competition that has been excessive in the short-haul international market, with Jeju Air expected to be the biggest beneficiary.

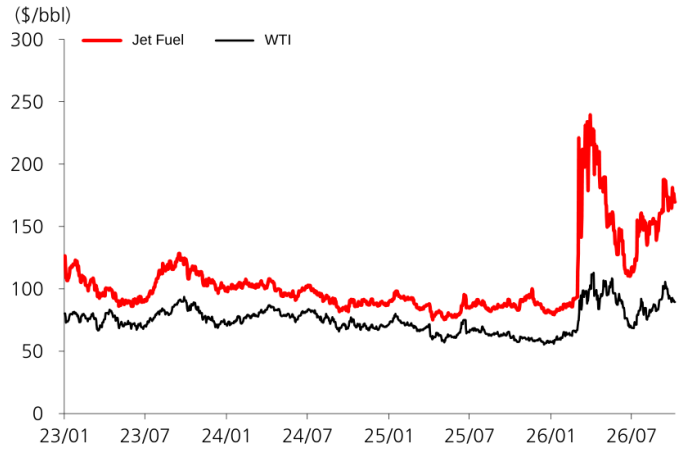
3
Korean Air is the Top Pick

- Korean Air (003490): integration synergies are estimated at KRW 500 billion, which will exceed market expectations.
- Jeju Air (089590): the biggest beneficiary of the restructuring of the domestic aviation market and the period of structural demand expansion.

Concerns over Passenger Demand Slowing Because of the War: High Exchange Rate + High Oil Prices

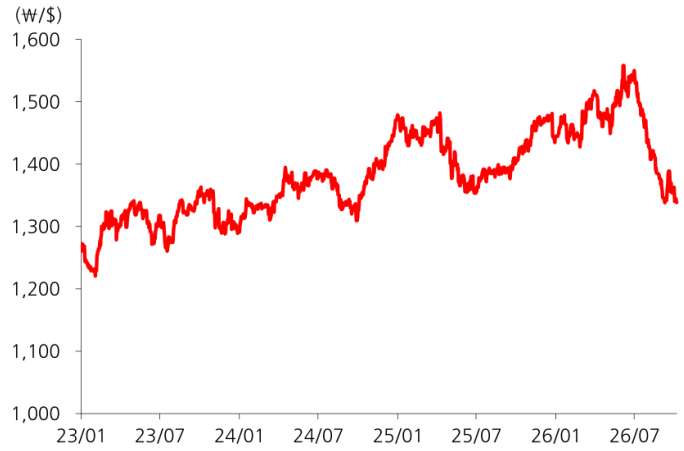
- After the Middle East war, macro (oil price/exchange rate) volatility has widened, and concerns over a slowdown in Korean overseas travel demand have grown.
- Jet fuel price increase → fuel surcharge increase → higher airfares → greater travel cost burden
- Oil prices rose because of the Middle East war. Jet fuel prices became more volatile than crude oil prices during the war because of higher kerosene demand and the destruction of refining facilities.
- Jet fuel prices (MOPS) surged to a level close to USD 240 per barrel at the end of March. They have since repeatedly fallen and risen, and have recently risen again.
- US dollar exchange rate increase → greater travel cost burden
- The value of the won plunged right after the Middle East war because of worsening investor sentiment toward won assets and Korea's energy import structure.
- The KRW/USD exchange rate hit KRW 1,558 in early June.
- The exchange rate then showed stability on dollar selling by exporters and others, but volatility has recently widened on a surge in U.S. Treasury yields and other factors.

Oil Prices



Source: Bloomberg, Hanwha Research Center

Exchange Rate

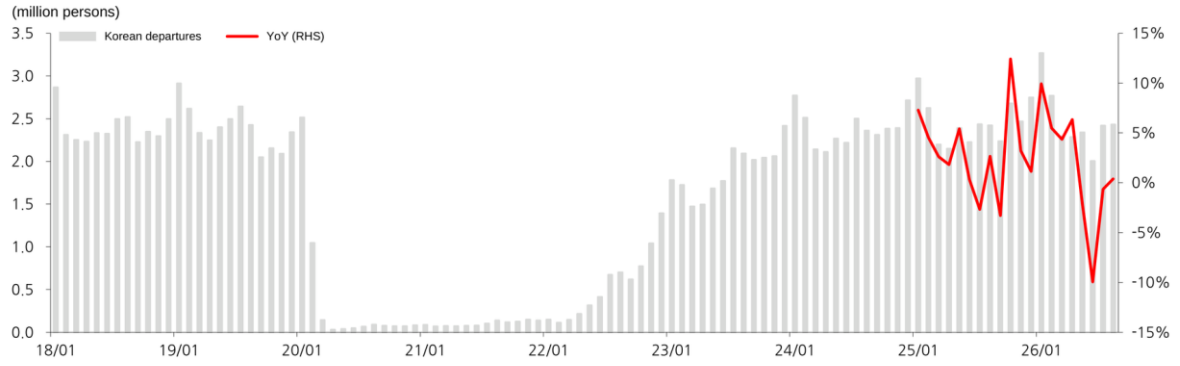


Source: Bloomberg, Hanwha Research Center

Concerns over Passenger Demand Slowing Because of the War: Outbound Temporarily Stalled

- In 2025, the number of Korean departures for the full year exceeded 29 million, above the pre-pandemic level.
- 28,714,247 in 2019 vs. 29,550,177 in 2025
- The pent-up effect of overseas travel demand, which was strong after the pandemic, continued through April of this year.
- The YoY growth rate of Korean departures in January 2026 was 9.9%
- However, after the Middle East war, the cost burden increased because of higher fuel surcharges and a higher exchange rate, and the number of Korean departures in May–June declined YoY.
- May YoY -2.1%, June YoY -10.0%
- Korean outbound demand recovered with the summer peak season. The reduced burden of fuel surcharges and the exchange rate also worked effectively.
- July YoY -0.7%, August YoY +0.4%

Monthly Number of Korean Departures

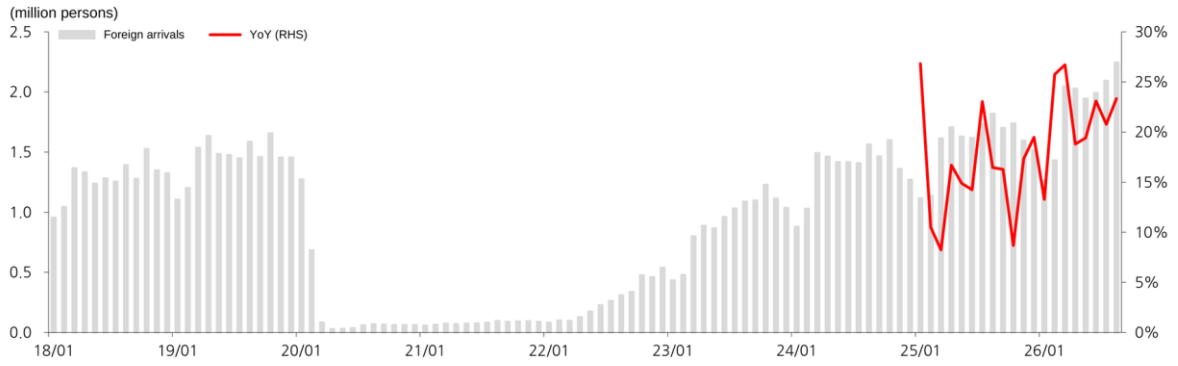


Source: Departure Tourism Statistics, Hanwha Research Center

The Concerns Were Merely Concerns: Strong Inbound Contributed to Strong Passenger Results

- In 2025, the number of foreign arrivals for the full year came close to 19 million, exceeding 2019, before the pandemic.
- 17,502,756 in 2019 vs. 18,936,562 in 2025
- This year, the number of foreign arrivals is setting a new monthly record almost every month.
- The number of foreign arrivals topped 2 million for the first time in March
- The number of foreign arrivals in August came close to 2.25 million (YoY +23%), a record high
- The strong passenger transport results despite high oil prices/a high exchange rate were backed by strong foreign inbound growth.
- Despite the temporary stall in outbound, international passenger transport results were able to show strength ultimately thanks to inbound, which was not broken and was in fact strong

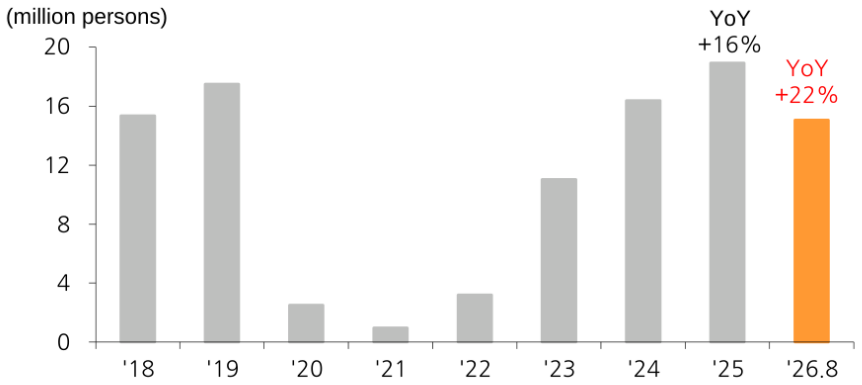
Monthly Number of Foreign Arrivals



Source: Korea Tourism Statistics, Hanwha Research Center

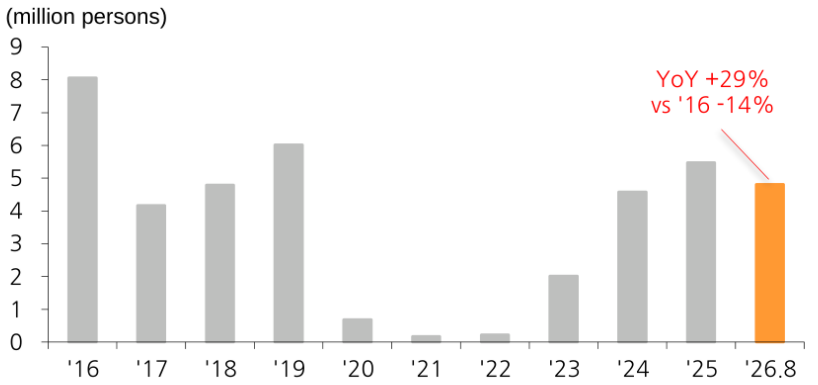
The Concerns Were Merely Concerns: Strong Inbound Contributed to Strong Passenger Results

Foreign Arrivals by Year



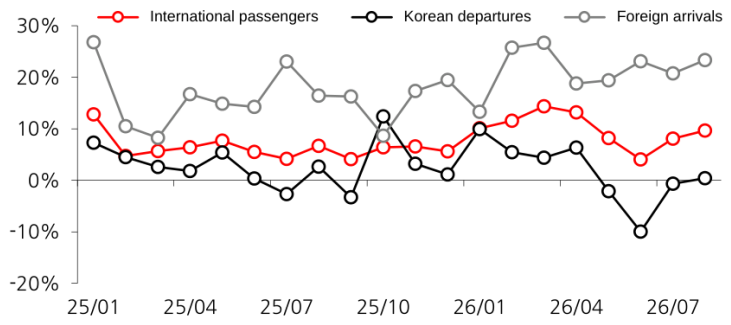
Source: Departure Tourism Statistics, Hanwha Research Center

Chinese Tourists to Korea by Year



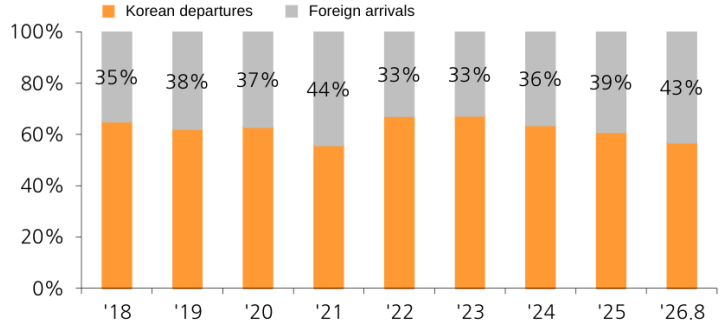
Source: Departure Tourism Statistics, Hanwha Research Center

Year-on-Year Growth Comparison: International Passengers, Korean Departures and Foreign Arrivals ('25–'26)



Source: Departure Tourism Statistics, Incheon International Airport Corporation, Korea Airports Corporation, Hanwha Research Center

Share of Korean Outbound vs. Foreign Inbound among Arrivals and Departures by Year

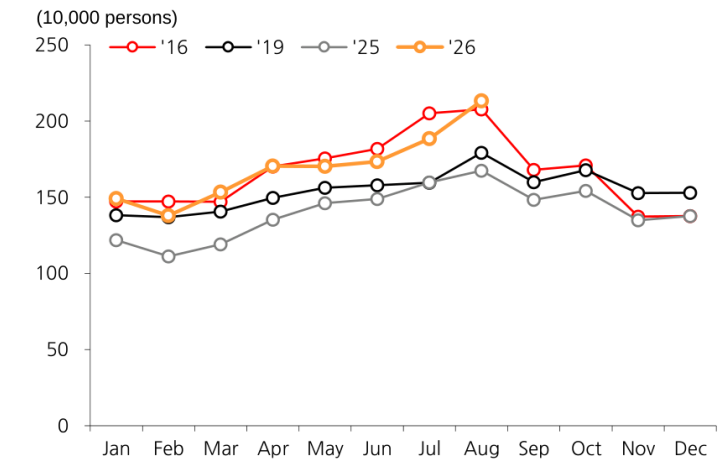


Source: Departure Tourism Statistics, Hanwha Research Center

Structural Growth in International Passenger Demand: Expanding Supply on China Routes

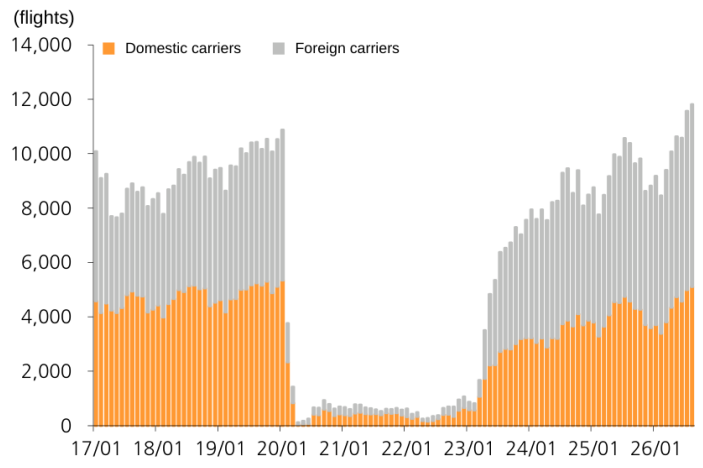
- Passengers on China routes are increasing rapidly, helped by growth in Chinese tourists to Korea and in Koreans' visa-free travel to China.
- August passengers on China routes were about 2.13 million, exceeding the August 2016 transport results (about 2.08 million), just before the Korean content ban (Hanhanryeong) took full effect
- Supply on China routes continues to expand as two-way inbound/outbound demand is strong.
- Round-trip flights by domestic carriers in August were 5,101, YoY +12%
- Round-trip flights by foreign carriers in August were 6,718, YoY +15%
- Supply on China routes is expected to expand further following the Ministry of Land, Infrastructure and Transport's ad hoc allocation of traffic rights on September 16.
- LCCs received expanded allocations on major routes from Incheon such as Beijing, Shanghai, Guangzhou, Dalian, Nanjing, Changsha and Hangzhou
- Expanded allocations, centered on LCCs, on routes from regional airports to Beijing, Shanghai, Chengdu, Harbin, Dalian and Xiamen

Passengers on China Routes



Source: Incheon International Airport Corporation, Korea Airports Corporation, Hanwha Research Center

Monthly Round-Trip Flights on China Routes

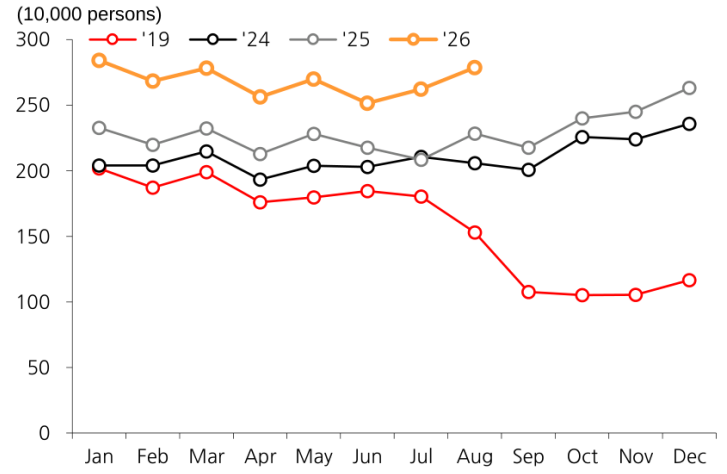


Source: Air Portal, Hanwha Research Center

Structural Growth in International Passenger Demand: Expanding Supply on Japan Routes

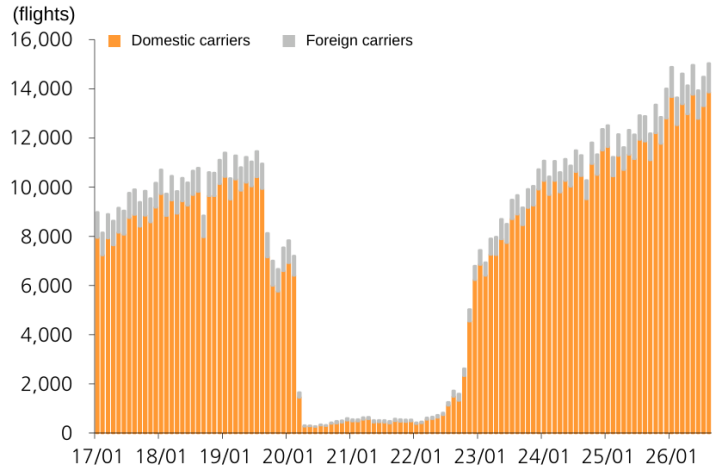
- Korean outbound to Japan remains solid amid the continuing weak yen.
- August passengers on Japan routes were 2.79 million, YoY +22%
- July passengers on Japan routes were 2.62 million, YoY +25%. Meanwhile, Korean tourists to Japan in the same month came close to 900,000, growing YoY +32%
- Supply on Japan routes has expanded steeply, centered on domestic LCCs, as the number of Koreans visiting Japan has increased since the pandemic.
- August round-trip flights of the two major domestic carriers were 2,245 for Korean Air (YoY +13%) and 1,182 for Asiana Airlines (YoY -13%)
- August round-trip flights of domestic LCCs were 2,020 for Jin Air (YoY +11%), 2,572 for Jeju Air (YoY +15%), 1,800 for Trinity Airways (YoY +31%) and 4,048 for other LCCs (YoY +31%)
- With Koreans' tourism demand for Japan surging, major LCCs are expanding supply centered on branch routes from Incheon to Japan. Aero K and others are expanding new supply on trunk/branch routes from regional airports to Japan

Passengers on Japan Routes



Source: Incheon International Airport Corporation, Korea Airports Corporation, Hanwha Research Center

Monthly Round-Trip Flights on Japan Routes

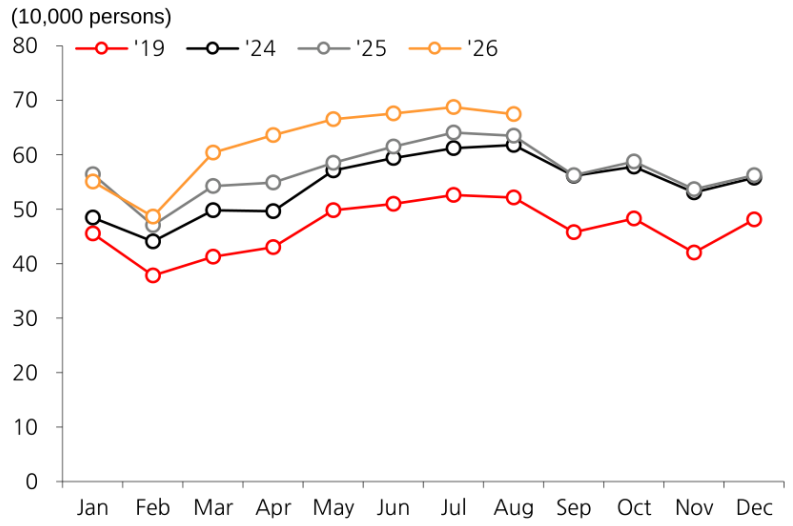


Source: Air Portal, Hanwha Research Center

Structural Growth in International Passenger Demand: Two-Way Inbound/Outbound Expansion on Americas Routes

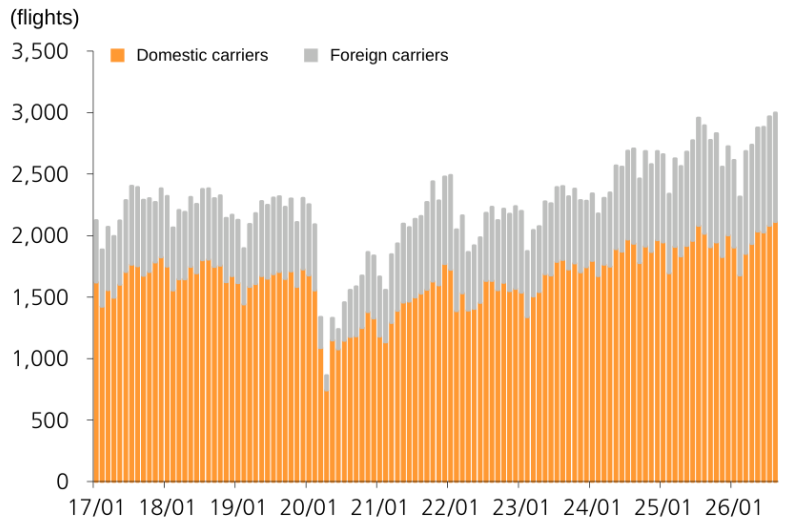
- With solid Korean business demand, demand on Americas routes is expanding as visitors to Korea from the Americas increase.
- With the won continuing to weaken against the dollar, tourism demand for Korea from visitors from the Americas has increased
- This can be seen from expanded supply/transport by domestic carriers, but especially from the steeper growth, compared with the past, of supply/transport by foreign carriers
- Korean Air's Americas-related revenue is expanding steeply.
- By route: revenue on Americas routes is strong every quarter
- By region of sale: revenue sold/recognized in the Americas is strong every quarter → driving higher dollar revenue and higher overall international fares

Passengers on Americas Routes



Source: Incheon International Airport Corporation, Korea Airports Corporation, Hanwha Research Center

Monthly Round-Trip Flights on Americas Routes

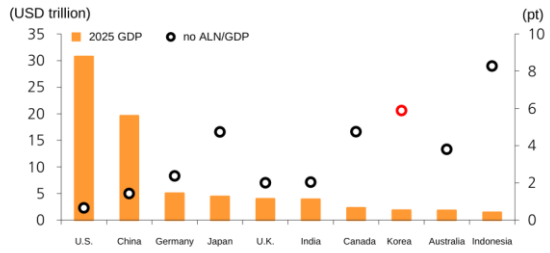


Source: Air Portal, Hanwha Research Center

Restructuring of the Domestic Aviation Industry Is Inevitable

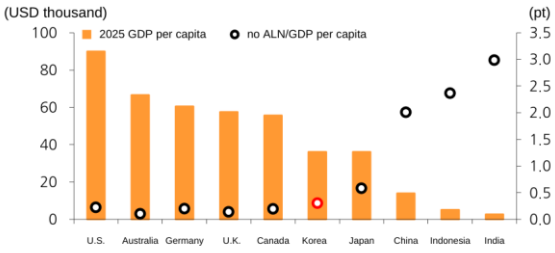
- Before the integration of the Korean Air Group, there were 11 domestic FSCs and LCCs in total
- Korean Air, Asiana Airlines, Jin Air, Air Busan, Air Seoul, Jeju Air, Trinity Airways, Air Premia, Aero K, Eastar Jet, Parata Air
- Compared with G20 countries on a pre-integration basis, the domestic aviation market is oversupplied
- Airlines per USD 1 trillion of GDP: average 3.6 vs. Korea 5.9
- Airlines per USD 1,000 of per-capita GDP: average (excluding China/Indonesia/India) 0.2 vs. Korea 0.3
- Airlines per 10,000 km² of land area: average 0.1 vs. Korea 1.1
- Further restructuring of the LCC market is also expected after the launch of the Korean Air Group's integrated FSC and LCC.

GDP Size in 2025 and Number of Airlines, Major G20 Countries



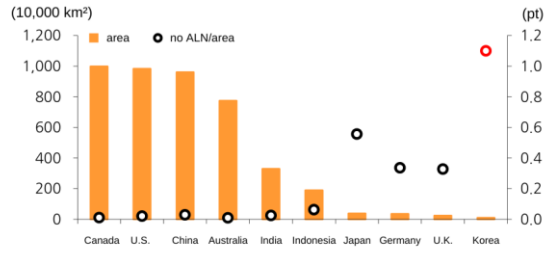
Source: IMF WEO, Hanwha Research Center

Per-Capita GDP in 2025 and Number of Airlines, Major G20 Countries



Source: IMF WEO, World Bank, Hanwha Research Center

Land Area and Number of Airlines, Major G20 Countries

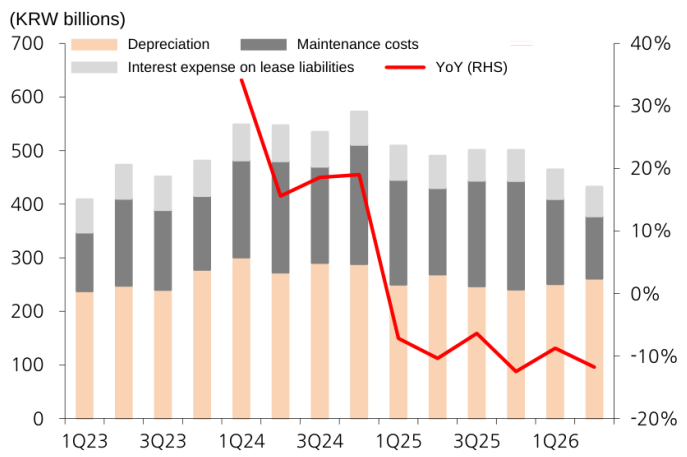


Source: CIA, Hanwha Research Center

Launch of the Integrated FSC: Asiana Airlines' Numbers Are Already Improving

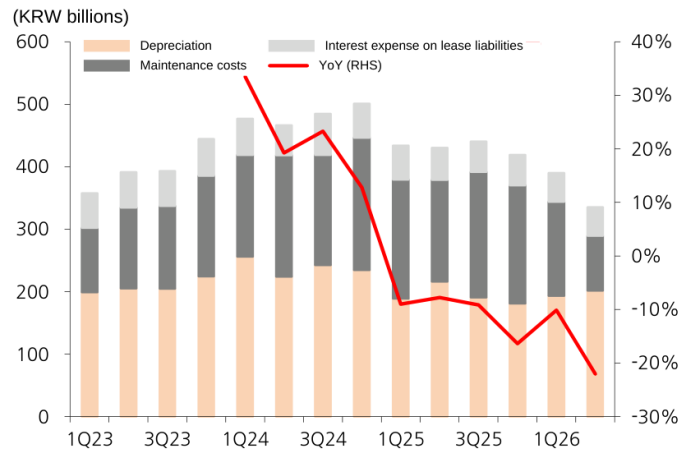
- Most of an airline business's costs are costs procured from outside
- The larger the contract size, the lower the unit cost can be
- In particular, aircraft-related costs (depreciation, maintenance, interest expense on lease liabilities, etc.) are strongly fixed-cost in nature
- A representative application is aircraft leasing
- If Korean Air signs an integrated lease contract for five companies (Korean Air/Asiana Airlines/Jin Air/Air Busan/Air Seoul), the contract unit price falls
- Savings in fixed-type costs such as depreciation and lease interest expense are expected
- Korean Air has maintenance capability and will complete a large-scale maintenance facility in the Unbuk district in 2027
- If maintenance for the five companies is internalized, it can be relatively free from the recent global trend of rising maintenance costs

Asiana Airlines Quarterly Aircraft-Related Costs (Consolidated)



Source: DART, Hanwha Research Center

Asiana Airlines Quarterly Aircraft-Related Costs (Standalone)

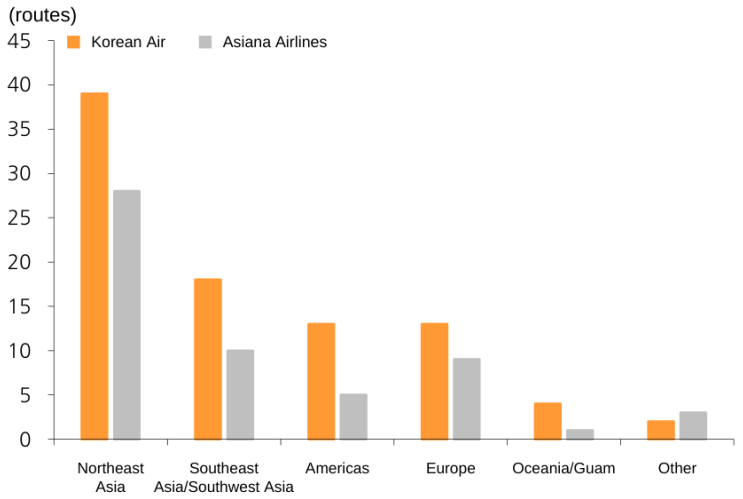


Source: DART, Hanwha Research Center

Launch of the Integrated FSC: Higher Passenger Revenue through Route Efficiency

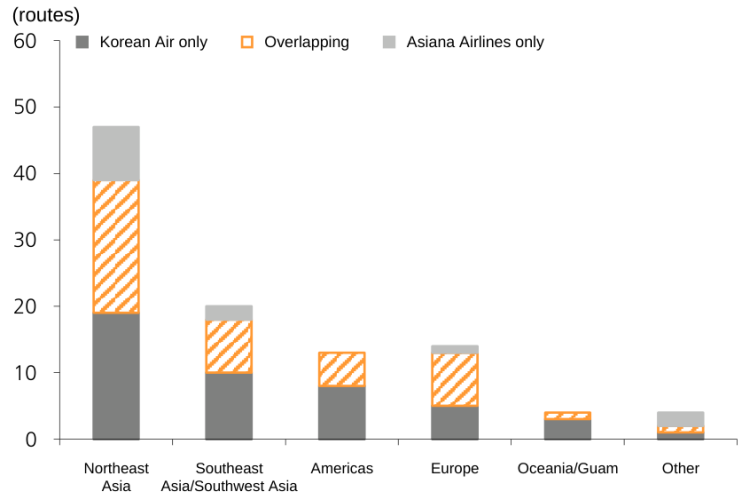
- Korean Air and Asiana Airlines have a total of 43 overlapping routes
- Northeast Asia 20, Southeast Asia/Southwest Asia 8, Americas 5, Europe 8, Oceania/Guam 1, Other 1
- Korean Air serves more routes than Asiana Airlines in most regions
- For long-haul routes, the FSC's main routes, especially the Americas, all five routes served by Asiana Airlines are overlapping routes
- On the New York/LA/San Francisco/Seattle routes, overlapping departure time slots between the two companies are confirmed
- After the OZ→KE flight number change, time slot adjustments are expected for efficient L/F management and other purposes
- Securing many long-haul route slots can increase transfer-passenger connectivity → competitiveness in the Asia-Pacific transfer passenger market is expected to improve

Number of Routes Served by Korean Air and Asiana Airlines



Source: Korean Air, Asiana Airlines, Hanwha Research Center

Number of Routes Served by Korean Air and Asiana Airlines (Overlapping Routes Marked)

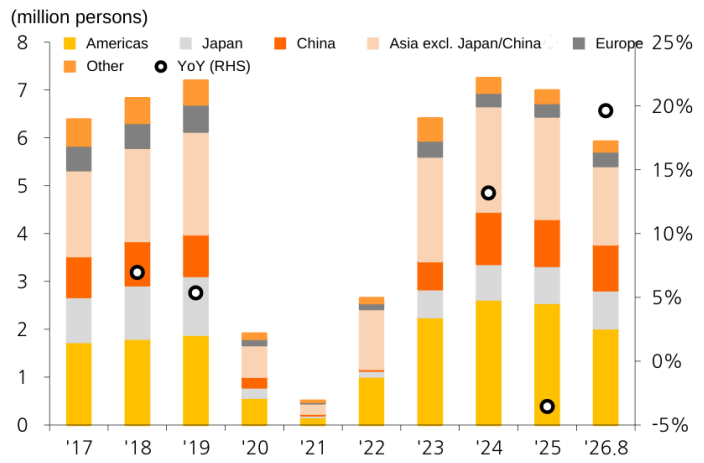


Source: Korean Air, Asiana Airlines, Hanwha Research Center

Launch of the Integrated FSC: Higher Passenger Revenue through Route Efficiency

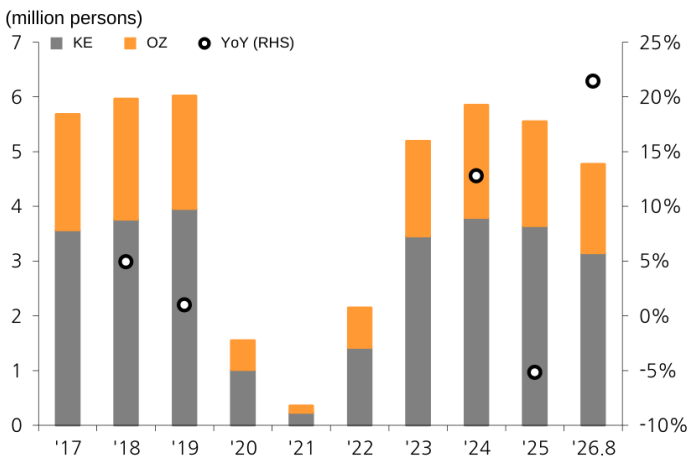
- Cumulative through August, transfer passengers at Incheon Airport were 5.92 million, +20% over the same period last year
- Over the same period, transfer passengers at Incheon Airport using the integrated FSC were 4.77 million (YoY +21%), about 81% of total transfer demand
- Transfer demand at Incheon Airport has increased because of the Middle East war and U.S.–China conflict
- Cumulative through August this year, passenger transfer results by region are the Americas 2.02 million (+13%), Asia excluding Japan/China 1.64 million (+9%), Japan 790,000 (+40%), China 960,000 (+36%), Europe 310,000 (+53%), etc.
- In the aftermath of the Middle East war, Europe ↔ Asia transfer demand at Incheon Airport has increased
- With the U.S.–China conflict deepening, Americas ↔ China transfer demand at Incheon Airport has increased
- Incheon Airport's position as an Asia-Pacific transfer hub is expected to expand in the future → high contribution to flexible growth in the integrated FSC's passenger results

Annual Incheon Airport Passenger Transfer Volume (Total)



Source: Incheon International Airport Corporation, Hanwha Research Center

Annual Incheon Airport Passenger Transfer Volume (KE+OZ)

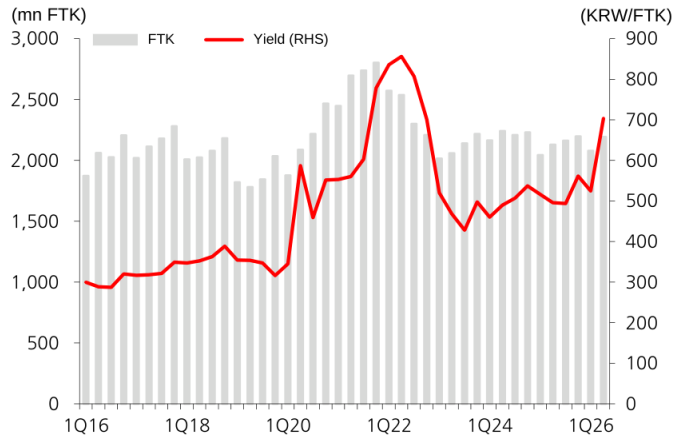


Source: Incheon International Airport Corporation, Hanwha Research Center

Launch of the Integrated FSC: Strengthening Air Cargo Competitiveness

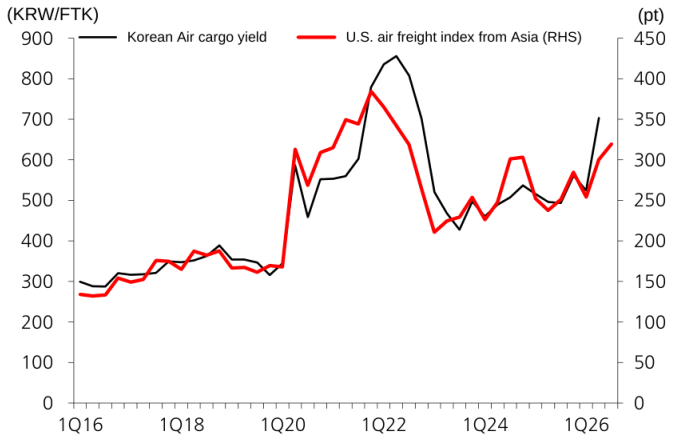
- Solid global air cargo market
- IATA: excluding March, when the Middle East war had an effect, strong air cargo demand has been confirmed throughout this year
- Cumulative global air cargo volume through August YoY +4.6%, and especially YoY +7.5% in Asia
- Korean Air's 2Q26 air cargo yield was KRW 703.4 (a level similar to the early stage of the pandemic cargo crunch)
- Expanded global corporate AI-related investment and strong K-beauty exports are effective
- Cumulative through August, the export value of semiconductor manufacturing equipment (HS code 8486) exported by air was YoY +33% and export weight YoY +44%
- Cumulative through August, the export value of cosmetics (HS code 3304) exported by air was YoY +27% and export weight YoY +44%
- The shortage of freighters in the global aircraft market continues. With the integration of OZ, efficiency of the cargo business is expected to increase by using OZ passenger aircraft belly cargo

Korean Air Quarterly Cargo Volume and Yield



Source: Korean Air, Hanwha Research Center

Korean Air Cargo Yield vs. U.S. Air Freight Price Index from Asia

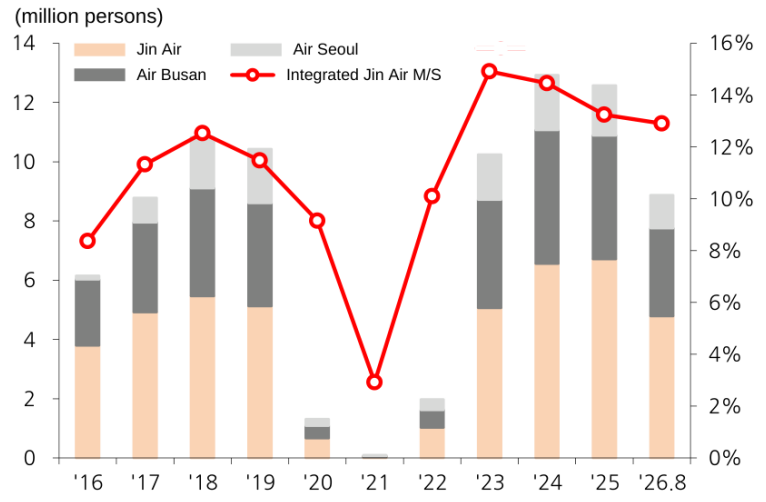


Source: Korean Air, U.S. Bureau of Labor Statistics, FRED, Hanwha Research Center

Launch of the Integrated Jin Air: LJ Becoming Bigger than OZ

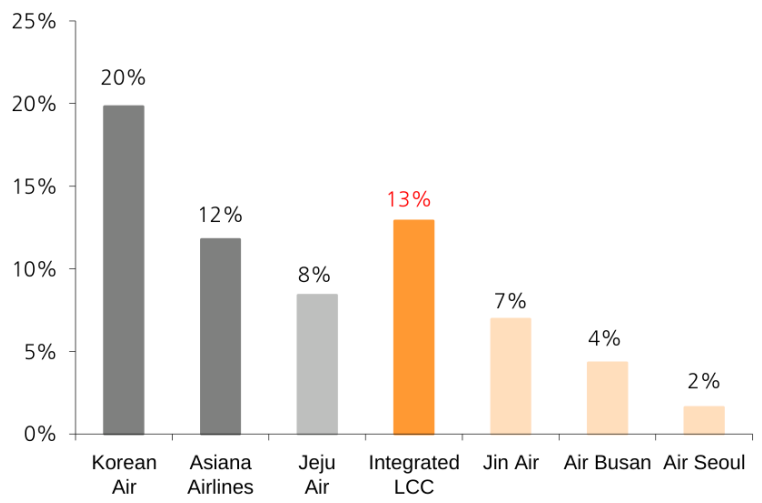
- After the launch of the integrated FSC, the integrated Jin Air of Jin Air + Air Busan + Air Seoul is scheduled to launch next March
- New shares issued at Jin Air : Air Busan = 1 : 0.2862684 and Jin Air : Air Seoul = 1 : 0.7501939
- Simply adding up international passengers as of 2025, the three companies' share is 13.2%, slightly above Asiana Airlines' results
- The three companies' combined aircraft total 60 (for reference: Asiana Airlines has 66 aircraft)
- Jin Air plans to return its B777-200 wide-body aircraft and will deploy A321-200 aircraft on routes from October. The A321-200 (A321ceo) aircraft were delivered from Asiana Airlines (all Air Busan and Air Seoul aircraft are Airbus-built)
- In 3Q, small aircraft will be leased from Korean Air and Asiana Airlines: 10 A321neo (Korean Air), 3 B737-900 (Korean Air) and 1 A321ceo (Korean Air). Last year, Chairman Cho Won-tae said the A321neo would be used as the main aircraft type of the integrated LCC

Integrated Jin Air Annual International Passengers



Source: Incheon International Airport Corporation, Korea Airports Corporation, Hanwha Research Center

International Market Share of Major Korean Airlines, Cumulative through August 2026

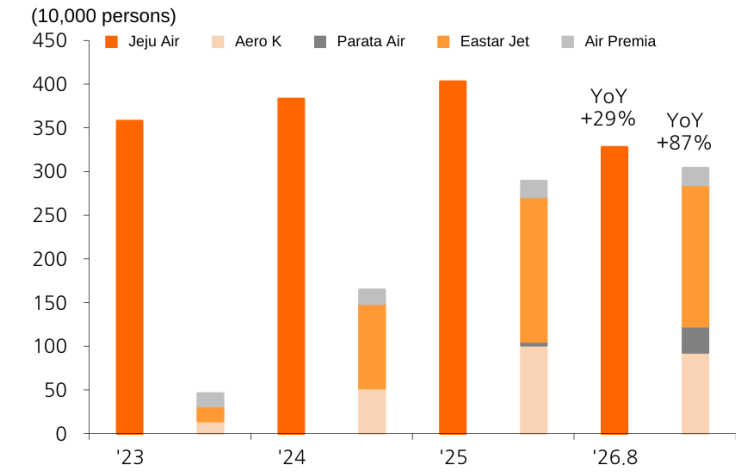


Source: Incheon International Airport Corporation, Korea Airports Corporation, Hanwha Research Center

And the LCC Restructuring Is Not Over: For Now, the Winner Is Jeju Air

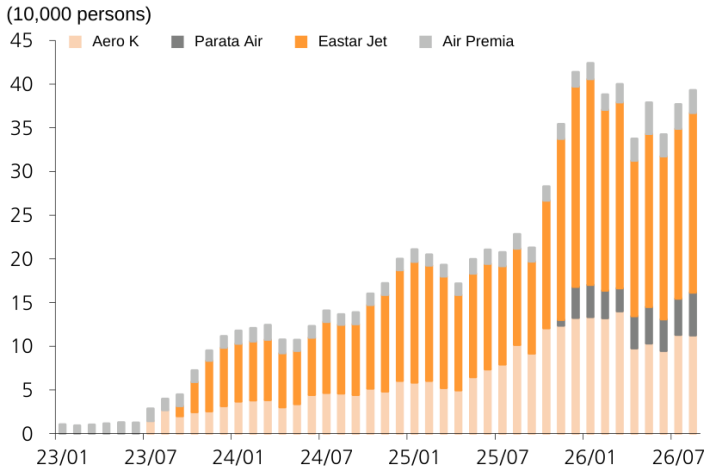
- Japan routes have the best demand of all international routes → the driver of the LCCs' strong results in 1Q26
- With strong demand, supply is expanding, with new service not only from major regional cities but also to small regional cities
- Aero K operates 12 Japan routes from Cheongju with 99 flights per week. It serves small regional cities beyond major cities, such as Ibaraki/Matsuyama/Obihiro
- Eastar Jet operates 5 Japan routes from Gimhae with 51 flights per week. Air Premia will newly launch an Incheon–Sapporo route from December
- Jeju Air is expected to ultimately monopolize Japan routes
- Demand on Japan routes is expected to remain strong next year. Supply competition may continue, but Jeju Air, which can focus only on its core business, is expected to expand its M/S
- The integrated Jin Air has many matters beyond its core business to attend to next year, such as internal/external integration
- For unlisted LCCs, it will be hard to focus only on competition on Japan routes: the Eastar + Air Premia integration, Parata Air securing financial soundness and entering Americas routes, Aero K securing financial soundness, etc.

Annual Japan-Route Passengers: Jeju Air vs. Unlisted LCCs



Source: Air Portal, Hanwha Research Center

Monthly Japan-Route Passengers of Unlisted LCCs



Source: Air Portal, Hanwha Research Center

And the LCC Restructuring Is Not Over: For Now, the Winner Is Jeju Air

Table 14. Unlisted LCC Japan Route Operations (As of the 3rd Week of October 2026)

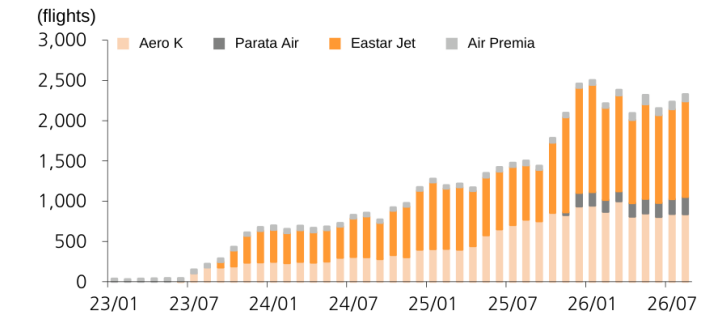
Airline	Departure	Destination	Current Operating Days	Current Weekly Flights
Aero K	Cheongju	Osaka/Kansai	Mon/Tue/Wed/Thu/Fri/Sat/Sun	21
Aero K	Cheongju	Tokyo/Narita	Mon/Tue/Wed/Thu/Fri/Sat/Sun	20
Aero K	Cheongju	Fukuoka	Mon/Tue/Wed/Thu/Fri/Sat/Sun	12
Aero K	Cheongju	Kitakyushu	Mon/Tue/Wed/Thu/Fri/Sat/Sun	10
Aero K	Cheongju	Sapporo	Mon/Tue/Wed/Thu/Fri/Sat/Sun	7
Aero K	Cheongju	Nagoya	Mon/Tue/Wed/Thu/Fri/Sat/Sun	7
Aero K	Cheongju	Okinawa	Mon/Tue/Wed/Thu/Fri/Sat/Sun	7
Aero K	Cheongju	Hiroshima	Mon/Wed/Thu/Fri/Sun	5
Aero K	Cheongju	Kumamoto	Wed/Thu/Sat/Sun	4
Aero K	Cheongju	Ibaraki	Tue/Thu/Sat	3
Aero K	Cheongju	Matsuyama	Wed/Fri/Sun	3
Aero K	Cheongju	Obihiro		-
Parata Air	Incheon	Osaka/Kansai	Mon/Tue/Wed/Thu/Fri/Sat/Sun	12
Parata Air	Incheon	Tokyo/Narita	Mon/Tue/Wed/Thu/Fri/Sat/Sun	12
Parata Air	Incheon	Sapporo	Mon/Tue/Wed/Thu/Fri/Sat/Sun	7
Eastar Jet	Incheon	Tokyo/Narita	Mon/Tue/Wed/Thu/Fri/Sat/Sun	35
Eastar Jet	Incheon	Fukuoka	Mon/Tue/Wed/Thu/Fri/Sat/Sun	28
Eastar Jet	Incheon	Osaka/Kansai	Mon/Tue/Wed/Thu/Fri/Sat/Sun	14
Eastar Jet	Incheon	Sapporo	Mon/Tue/Wed/Thu/Fri/Sat/Sun	8

And the LCC Restructuring Is Not Over: For Now, the Winner Is Jeju Air (cont.)

Table 14. Unlisted LCC Japan Route Operations (As of the 3rd Week of October 2026) (cont.)

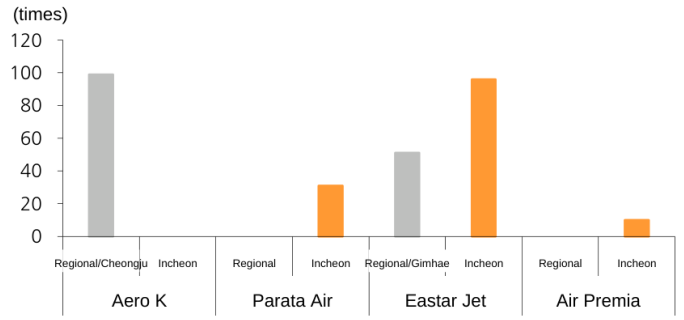
Airline	Departure	Destination	Current Operating Days	Current Weekly Flights
Eastar Jet	Incheon	Okinawa	Mon/Tue/Wed/Thu/Fri/Sat/Sun	8
Eastar Jet	Incheon	Tokushima	Tue/Thu/Sat	3
Eastar Jet	Incheon	Kagoshima		-
Eastar Jet	Gimhae	Fukuoka	Mon/Tue/Wed/Thu/Fri/Sat/Sun	19
Eastar Jet	Gimhae	Osaka/Kansai	Mon/Tue/Wed/Thu/Fri/Sat/Sun	14
Eastar Jet	Gimhae	Sapporo	Mon/Tue/Wed/Thu/Fri/Sat/Sun	7
Eastar Jet	Gimhae	Kumamoto	Mon/Tue/Wed/Thu/Fri/Sat/Sun	7
Eastar Jet	Gimhae	Okinawa	Tue/Thu/Sat/Sun	4
Air Premia	Incheon	Tokyo/Narita	Mon/Tue/Wed/Thu/Fri/Sat/Sun	10
Air Premia	Incheon	Sapporo		-

Monthly Japan-Route Flights of Unlisted LCCs



Source: Air Portal, Hanwha Research Center

Unlisted LCC Japan Route Operations



Note: As of the 3rd week of October
Source: Company data, Hanwha Research Center

Note: As of the 3rd week of October
Source: Company data, Hanwha Research Center

Korean Air (003490): First Year of Integration, Heading Toward KRW 1 Trillion in Synergies

Buy (Maintained)

Target Price
43,000 KRW

Current Price (10/26)
25,100 KRW

Upside
▲71.3%

Market Cap	**KRW 9,242.3 billion**
Shares Outstanding	**368,221 thousand shares**
52-Week High / Low	**32,000 / 21,000 KRW**
90-Day Avg. Daily Value	**KRW 75.702 billion**
Foreign Ownership	**26.7%**

SHAREHOLDERS

Hanjin KAL (+29 others)	**30.3%**
National Pension Service (+1 other)	**10.0%**
Korean Air Employee Stock Ownership Association (+1 other)	**2.3%**

Integrated Korean Air Synergies Forecast at up to KRW 1 Trillion

- If OZ passenger and cargo fares converge to KE's within limits that do not violate the Fair Trade Commission's merger "toxic clauses," revenue and operating profit are forecast to expand by about KRW 930 billion.
- As of 2025, the maintenance cost per OZ aircraft is about 3 times that of KE. Using KE's in-house maintenance after integration would save about KRW 500 billion in maintenance costs.
- OZ's average labor cost per person needs to be brought to KE's level. Operating expenses that rise when the average wage gap is closed are estimated at about KRW 360 billion.
- Taking into account the revenue expansion and cost savings, offset by labor cost growth, synergies are forecast at up to KRW 1 trillion.

Underestimated Integration Synergies. Actively Buying Remains Valid

- Amid recent wider market volatility, the company's share price volatility has also widened, but the phase of stabilizing oil prices and exchange rates is favorable for the company.
- In particular, the synergies mentioned above are underestimated. Even taking a more conservative approach to the assumption on closing the fare gap and cutting the gap closure to about half, annual synergies are about KRW 700 billion, well above the KRW 300 billion presented by the company.
- This is a range in which actively buying is valid.

Korean Air Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
Revenue	17,871	25,226	28,790	28,744	30,808
Operating Profit	2,110	1,114	320	2,596	4,581
EBITDA	3,906	3,969	3,414	6,073	8,342
Net Income (Controlling)	1,317	780	277	2,253	3,413
EPS	3,575	2,115	751	6,115	9,267
Net Debt	12,566	16,961	18,461	16,603	13,265
PER	7.0	11.9	33.4	4.1	2.7
PBR	0.9	0.8	0.8	0.7	0.6
EV/EBITDA	5.6	6.6	8.1	4.3	2.7
Dividend Yield (%)	3.0	3.0	3.0	3.0	3.0
ROE	13.2	7.3	2.5	18.9	23.5

Source: Hanwha Research Center

Korean Air (003490): Earnings Estimates

Table 17. Korean Air Standalone Earnings Estimates (Unit: KRW billions, unless otherwise stated)

	1Q26	2Q26	3Q26P	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Revenue	4,515	5,020	5,045	5,348	6,247	6,517	6,511	6,880	16,502	19,928	26,155
Domestic	103	120	121	163	192	152	158	191	470	508	693
ASK (mn)	646	610	619	852	1,203	907	949	1,174	2,910	2,727	4,232
RPK (mn)	546	531	512	725	1,017	790	785	998	2,459	2,314	3,589
L/F (%)	84.5%	87.0%	82.7%	85.0%	84.5%	87.0%	82.7%	85.0%	84.5%	84.8%	84.8%
Yield (KRW/RPK)	189	227	237	225	189	193	201	191	191	219	193
International	2,510	2,727	2,796	2,791	3,817	3,787	3,883	3,876	9,374	10,825	15,363
ASK (mn)	22,110	22,686	23,341	23,800	33,621	35,798	36,832	37,557	89,480	91,937	143,807
RPK (mn)	19,560	19,761	19,860	20,230	29,743	31,183	31,339	31,923	75,551	79,411	124,188
L/F (%)	88.5%	87.1%	85.1%	85.0%	88.5%	87.1%	85.1%	85.0%	84.4%	86.4%	86.4%
Yield (KRW/RPK)	128	138	141	138	128	121	124	121	124	136	124
Cargo	1,091	1,542	1,432	1,710	1,390	1,716	1,594	1,922	4,409	5,775	6,622
AFTK (mn)	2,961	3,076	3,156	3,183	3,431	3,603	3,698	3,765	11,995	12,376	14,497
FTK (mn)	2,079	2,192	2,277	2,324	2,409	2,567	2,668	2,749	8,530	8,872	10,393
L/F (%)	70.2%	71.3%	72.1%	73.0%	70.2%	71.3%	72.1%	73.0%	71.1%	71.7%	71.7%
Yield (KRW/FTK)	525	703	629	736	577	668	598	699	517	651	637
Other	811	630	695	683	848	862	876	891	2,248	2,820	3,477
Operating Expenses	3,998	4,758	4,624	4,882	5,724	5,911	5,829	5,813	14,963	18,262	23,276
Fuel Costs	1,081	1,999	1,696	1,806	2,086	1,829	1,712	1,729	4,163	6,582	7,355
Jet Fuel Unit Price ($/bbl)	123	160	152	163	144	126	117	113	86	149	125
Volume Used (kbbl)	7,770	7,930	8,138	8,594	11,136	11,256	11,595	12,125	31,897	32,432	46,112
Depreciation	524	531	547	564	814	830	846	862	1,949	2,166	3,351

Korean Air (003490): Earnings Estimates (cont.)

Table 17. Korean Air Standalone Earnings Estimates (Unit: KRW billions, unless otherwise stated) (cont.)

	1Q26	2Q26	3Q26P	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Maintenance Costs	160	143	139	142	198	198	198	198	593	583	793
Labor Costs	714	734	832	931	939	1,294	1,315	1,167	3,115	3,211	4,715
Other	1,520	1,352	1,409	1,440	1,687	1,760	1,758	1,858	5,142	5,720	7,062
Operating Profit	517	262	421	466	523	606	682	1,067	1,539	1,666	2,879
OPM (%)	11.4%	5.2%	8.4%	8.7%	8.4%	9.3%	10.5%	15.5%	9.3%	8.4%	11.0%

Source: Korean Air, Hanwha Securities

Jeju Air (089590): Leverage Is Expanding

Buy (Maintained)

Target Price
6,500 KRW

Current Price (10/26)
5,250 KRW

Upside
▲23.8%

Market Cap	**KRW 423.4 billion**
Shares Outstanding	**80,641 thousand shares**
52-Week High / Low	**6,580 / 4,015 KRW**
90-Day Avg. Daily Value	**KRW 1.757 billion**
Foreign Ownership	**4.0%**

SHAREHOLDERS

AK Holdings (+5 others)	**53.6%**
Jeju Air Employee Stock Ownership Association (+1 other)	**1.1%**
Treasury Shares (+1 other)	**0.1%**

Earnings Expected to Keep Shining after Years of Determined Effort

- In 2Q26, the company recorded the most resilient results compared with other LCCs. This was thanks to its cost and route efficiency strategies to date.
- In 3Q26, as in the previous quarter, the company is estimated to record the strongest operating profit among the other LCCs.
- Strong results are driven by strong Japan routes and cost slimming.
- Going forward, revenue growth from flexible adjustment of the route portfolio and operating profit leverage from the cost efficiency strategy are expected to stand out.

LCC Top Pick

- The only LCC operator able to fully reflect in its operating results the benefits of structural growth in international passenger demand and market restructuring.
- While other competitors are expected to remain unsettled by integrations and the like, the company is in an environment where it can focus solely on operations.
- The aviation industry is expected to draw attention as a sector benefiting from stabilizing oil prices and exchange rates, and this is also a favorable phase in terms of supply and demand.
- Target P/B of 1.4x and target price of KRW 6,500 maintained.

Jeju Air Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
Revenue	1,936	1,580	2,045	1,950	2,007
Operating Profit	80	-112	44	138	392
EBITDA	218	35	202	293	392
Net Income (Controlling)	22	-116	40	90	319
EPS	270	-1,443	497	1,114	3,961
Net Debt	506	928	1,509	1,901	2,233
PER	19.5	-3.6	10.6	4.7	1.3
PBR	1.3	1.5	1.4	1.1	0.6
EV/EBITDA	4.3	38.2	9.6	7.9	6.8
Dividend Yield (%)	n/a	n/a	n/a	n/a	n/a
ROE	6.8	-38.9	13.7	25.6	58.2

Source: Hanwha Research Center

Jeju Air (089590): Earnings Estimates

Table 21. Jeju Air Quarterly and Annual Earnings Estimates (Unit: KRW billions, unless otherwise stated)

	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Revenue	516	462	538	529	486	426	538	500	1,580	2,045	1,950
Domestic	56	91	75	70	39	69	75	79	233	292	262
ASK (mn)	569	673	669	659	466	552	696	779	2,372	2,570	2,493
RPK (mn)	535	632	622	560	392	508	654	662	2,158	2,349	2,216
L/F (%)	94.0%	93.9%	93.0%	85.0%	84.0%	92.0%	94.0%	85.0%	91.0%	91.4%	88.9%
Yield (KRW/RPK)	105.1	143.9	120.0	125.0	99.8	136.8	114.0	118.8	107.8	124.2	118.1
International	441	350	447	443	430	340	447	405	1,262	1,682	1,622
ASK (mn)	4,839	4,039	5,183	5,248	4,936	4,443	5,286	5,353	19,021	19,309	20,018
RPK (mn)	4,342	3,543	4,613	4,618	4,343	3,776	4,705	4,497	15,813	17,116	17,321
L/F (%)	89.7%	87.7%	89.0%	88.0%	88.0%	85.0%	89.0%	84.0%	83.1%	88.6%	86.5%
Yield (KRW/RPK)	101.6	98.7	97.0	96.0	99.0	90.0	95.0	90.0	79.8	98.2	93.6
Other	19	21	16	16	17	17	17	17	85	72	67
Operating Expenses	447	507	529	518	457	415	469	471	1,692	2,001	1,812
Fuel Costs	122	201	199	199	160	130	142	141	474	721	573
Jet Fuel Unit Price ($/bbl)	123	160	152	163	144	126	117	113	86	149	125
Volume Used (kbbl)	832	725	916	924	834	781	938	966	3,296	3,397	3,519
Depreciation	39	39	42	39	39	39	39	39	147	158	155
Maintenance Costs	55	49	50	46	51	51	50	50	179	200	202
Labor Costs	77	76	86	86	71	72	88	94	309	324	325
Other	154	142	153	148	136	124	150	147	583	598	557
Operating Profit	69	-45	9	12	29	11	69	29	-112	44	138
OPM- (%)	13.4%	-9.7%	1.6%	2.2%	5.9%	2.5%	12.9%	5.9%	-7.1%	2.2%	7.1%

Source: Jeju Air, Hanwha Securities

SECTORS

I Food & Beverage
II Cosmetics
III Retail/Apparel
IV Airlines
V **Internet/Games**
VI Semiconductors
VII Banks
VIII Insurance
IX Autos
X Construction/Utilities
XI Defense
XII Steel/Non-ferrous
XIII Power Equipment

V

Internet/Games

From Expansion to Fruition

Korea 2027 Industry Outlook

Internet/Games: Summary

1

Internet/SW: The standard for the premium given to growth is changing

- Strong AI computing demand and shareholder value creation are different issues.
- Domestic companies' GPU procurement and AI data center expansion are expected to begin translating into actual revenue.
- Customer contracts, compute supply unit prices and utilization rates, rather than the scale of new expansion, are the key to re-rating corporate value.

2

Games: Focus on profit conversion ability rather than growth

- The advance of Japanese game companies confirms the monetization potential of existing IP.
- Domestic game companies are also pursuing genre diversification away from a focus on MMORPGs.

3

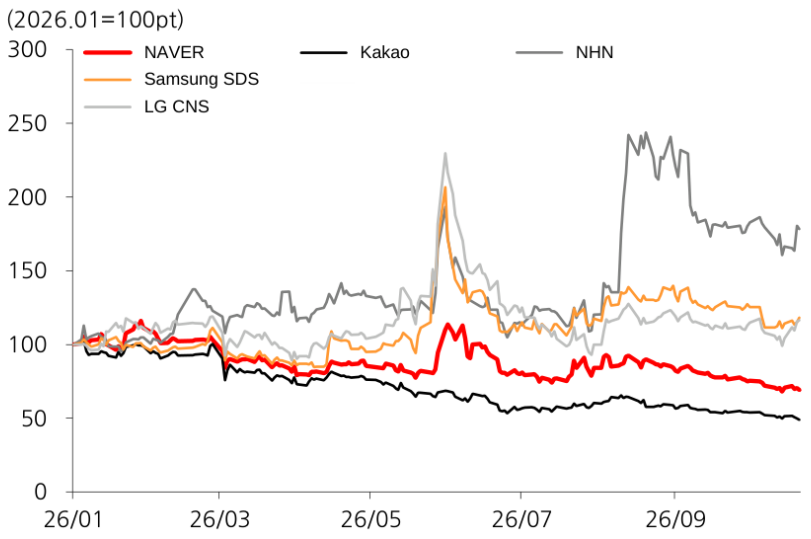
Top Picks: NHN, Kakao Games

- NHN: earnings growth is expected through an expanded private-sector GPUaaS customer base and new data center expansion.
- Kakao Games: normalization of profit in 2027 is expected through new game launches and the Me2On acquisition.

2026 Review

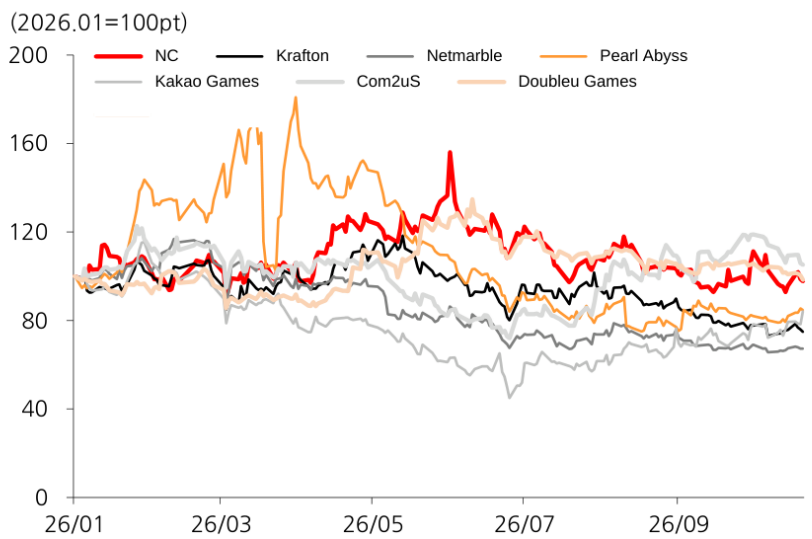
- This year's share price differentiation in the Internet/SW sector shows that expectations for AI infrastructure expansion are not being reflected as the same premium for all companies. For NAVER and Kakao, slowing growth in existing platform businesses and uncertainty over the profit contribution of new AI businesses weighed on shares, while NHN and the SI companies recorded relatively high share price performance as the expansion of AI computing supply became concrete.
- In games, shares of major companies were generally weak, with differentiation according to the commercial success of individual IP and expectations of earnings recovery. We judge that rather than growth opportunities in the game industry having disappeared, the burden of development and marketing costs for large new titles and uncertainty over sustaining revenue after launch are being reflected in corporate value.

Internet Companies: YTD Share Price Return



Source: Quantiwise, Hanwha Research Center

Game Companies: YTD Share Price Return



Source: Quantiwise, Hanwha Research Center

2027: The Standard for the Premium Given to Internet/SW Growth Is Changing

- A feature commonly confirmed in this year's share price movements is that growth expectations are not leading to a sector-wide rise. Even as AI infrastructure investment and game launches continue, the share prices of related companies have differentiated, and investor sentiment has been relatively weak especially for companies with slowing growth in existing businesses and high uncertainty over the monetization of new businesses.
- We expect the standard for the premium the market gives to growth to change. What will matter shifts from the potential for future growth itself to whether actual revenue is generated and whether operating profit is sustainable. In the AI DC industry, customer contracts and the monetization schedule of AI infrastructure, and in games, re-monetization of existing IP and the profit contribution of new genres, are expected to emerge as the key evaluation criteria.

Table 22. 2027 Investment Decision Criteria by Sector

Key Theme	Key to 2027 Investment Decisions	Main Impact
AI Data Center	Facilities/GPU scale → long-term contracts/utilization rate/ROIC	New business value of AI DC
AI Search/Agentic Commerce	Traffic → ad conversion/transaction execution	NAVER advertising/commerce / Kakao TalkBiz
Game Industry	New releases → re-monetization of existing IP/profit contribution of new genres	Valuations of domestic game companies

Source: Hanwha Research Center

Strong AI Computing Demand and Shareholder Value Creation Are Different Issues

- The AI DC industry should be evaluated centered on profit contribution and capital efficiency, not on the adoption of technology itself. The essence is not the amount of GPUs held but the ability to convert deliverable computing into recurring revenue and cash. In other words, announcing facilities does not guarantee customer acquisition and cash flow.
- Recently, CoreWeave has shown the coexistence of growth and capital burden. Even with a high backlog, delays in building facilities, financing costs, customer concentration and equipment replacement can weigh on shareholder value.
- It is worth noting that securing power capacity in MW does not translate directly into actual GPU installation, customer contracts, revenue generation and cash collection.

Table 23. CoreWeave: Financing Costs behind Overwhelming Order Growth

Indicator	Detail	Interpretation
2Q26 Revenue Backlog	About USD 104.2 billion	Securing of medium- to long-term customer demand
2026 Capex Guidance	USD 35–39 billion	Massive initial investment requirement
2025 Net Loss	About USD 1.2 billion	Gap between EBITDA and net income
October 2026 Market Concerns	Borrowing burden/construction delays	Re-evaluation of execution and capital market risk

Source: CoreWeave, Hanwha Research Center

Table 24. AI DC Business Valuation: Separating the Five Stages

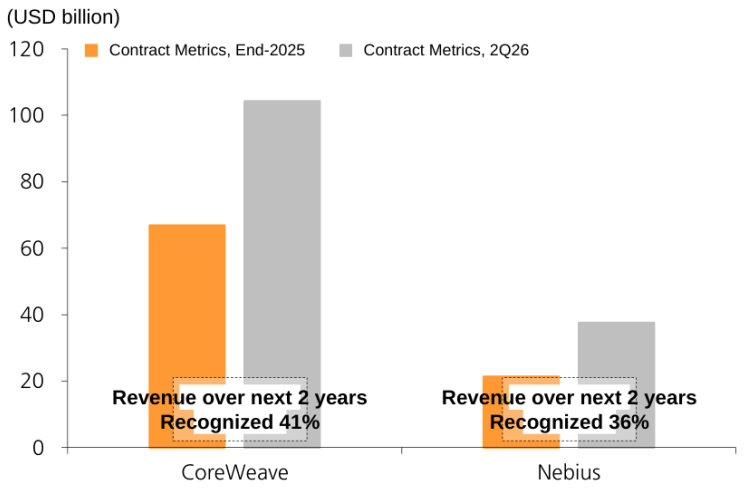
Stage	Description
1. Installed Capacity	Secured MW is the supply potential of site, power and cooling. It is not confirmed revenue
2. GPU Service Capacity	Actual sellable capacity differs depending on GPU model, power per server, cooling and network
3. Customer Contracts	Contract price, term, take-or-pay, early termination and customer credit quality are key
4. Revenue/Cash Flow	Time lag between contract announcement and actual service delivery, revenue recognition and cash receipt
5. Recovery of Invested Capital	Reflects equipment depreciation, financing costs, maintenance and generational-replacement capex

Source: Hanwha Research Center

Backlog Is a Signal of Demand; Revenue Is the Result of Delivery

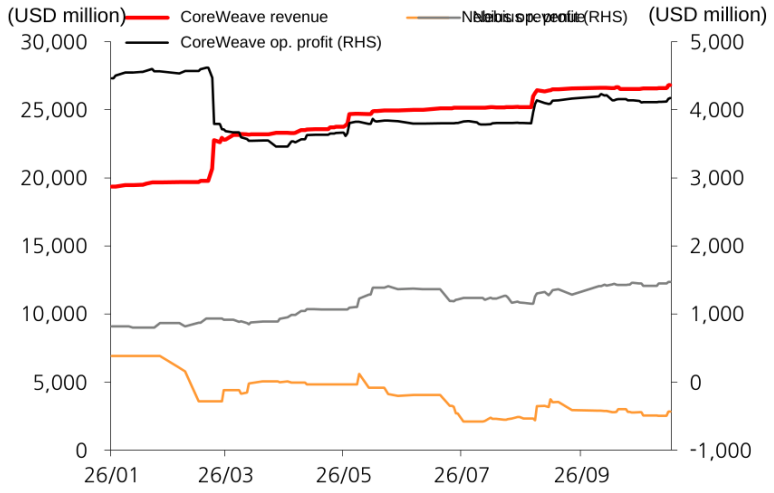
- CoreWeave's and Nebius's order backlog growth rates in 2Q were +56% and +76%, respectively, so demand from large customers has been secured to a considerable extent.
- However, the expected amount of the total backlog to be recognized as revenue within the next two years is only 41% for CoreWeave and 36% for Nebius.
- Based on long-term contracts, medium- to long-term revenue visibility has been secured, but there is a considerable time lag until revenue is actually realized.
- Large costs for GPU purchases and DC construction are incurred first, while revenue secured through customer contracts is recognized over a long period after actual computing supply begins. As contract size grows, the investment burden can also increase at the same time, and in the early stage of business expansion there is a possibility that FCF deteriorates despite revenue growth.

A Significant Time Lag Exists Before Revenue Is Actually Realized



Source: CoreWeave, Hanwha Research Center

2027F Consensus Trend for CoreWeave and Nebius



Source: Bloomberg, Hanwha Research Center

NAVER AI Factory: Separating the Public Business Plan from Capital Raising

- NAVER explained that it expects the AI Factory business to generate revenue in 1H next year.
- However, for NAVER too, what remains to be verified is the number of GPUs actually in commercial operation, the GPU model and service start timing, whether the major customer contracts include minimum purchase/minimum revenue guarantees, and the contract term. That is, the planned capacity of 200MW through 2028 should not be converted into total revenue.
- And the real meaning of asset-light should be considered. Using external capital can raise capital efficiency but does not automatically expand profit.
- In the short term, check whether the October 30 payment deadline of the Nvidia rights offering and the Brookfield project financing are completed as scheduled.

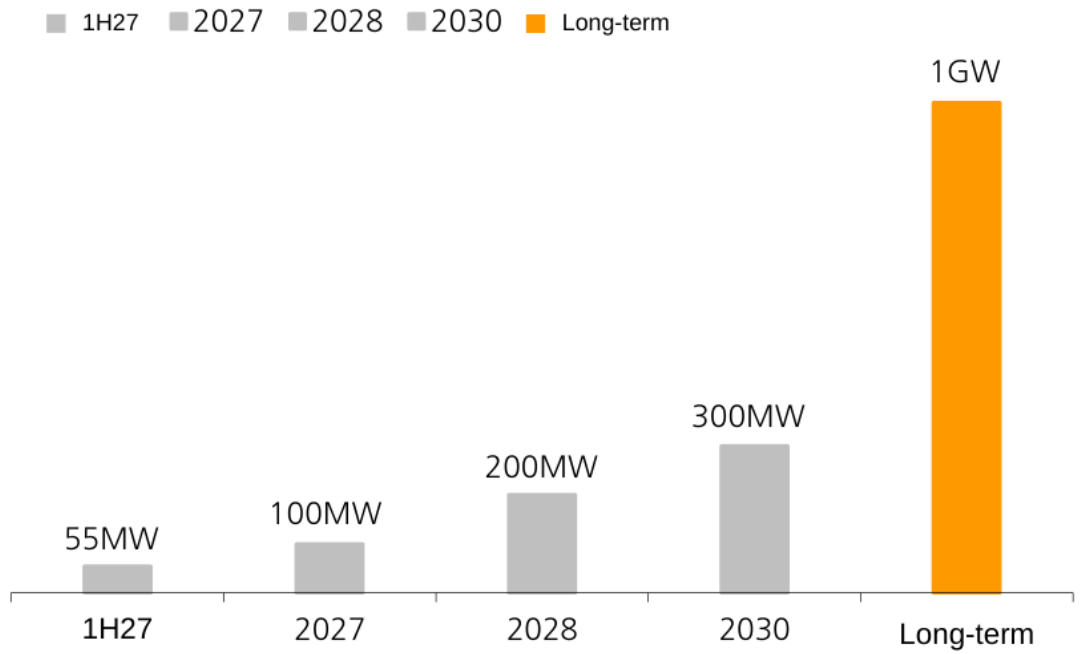
Table 25. NAVER AI Factory Business Earnings Estimates

Item	2027E	2028E	2029E	Mid-to-Long Term ~1GW
Year-End Capacity	100MW	200MW	200MW	1,000MW
Average Annual Capacity	70MW	150MW	200MW	1,000MW
Average Utilization Rate	75%	85%	95%	95~100%
Effective Operating Capacity	53MW	128MW	190MW	950~1,000MW
AI Factory Revenue	About KRW 1.0 trillion	About KRW 2.4 trillion	About KRW 3.6 trillion	About KRW 18–19 trillion
OPM Assumption	5~8%	12~15%	18~20%	20%+
AI Factory Operating Profit	KRW 50–80 billion	KRW 300–400 billion	KRW 600–700 billion	KRW 3.6–3.8 trillion+

Source: Hanwha Research Center

NAVER AI Factory: Separating the Public Business Plan from Capital Raising (cont.)

NAVER AI Factory Infrastructure Expansion Roadmap



Source: NAVER, Hanwha Research Center

Responding to Domestic Demand: The Axes of Competition Differ

- The domestic public cloud market in 2026 is about KRW 8.5 trillion, forecast to grow at a CAGR of 18.6% through 2029.
- Most of the M/S belongs to public IaaS operators. NHN's position will not be the overall public cloud market but the execution of public-sector projects, operation of B200 clusters, and the combination of the AI Factory and the SW layer. That is, share in the GPU-specialized segment is more important.

Table 26. Classification of Cloud Providers

Competitive Axis	Key Players	Core Competitiveness
Generic IaaS	AWS, MS and other global CSPs	Price, service breadth, ecosystem
Domestic SI/CSP	Samsung SDS, NAVER, KT Cloud, etc.	Public-sector references, SI, regulatory response
AI infra capacity/ops	NHN Cloud and GPU operators	GPU count, MW, cluster operation, public-sector AI projects

Source: Hanwha Research Center

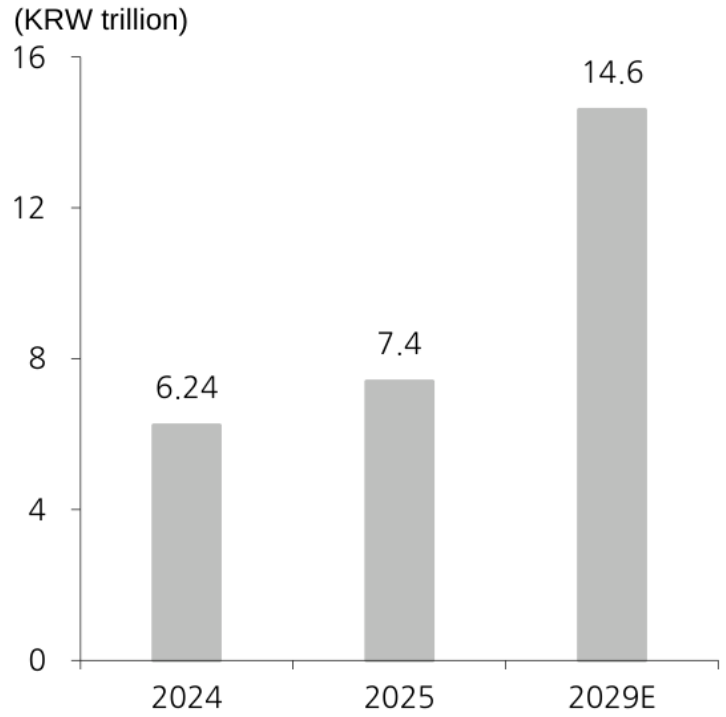
Table 27. Paths of Domestic Demand

Public cloud transition	Adoption of private cloud by administrative bodies, local governments and public institutions
AI compute demand	GPU/AI platforms are incorporated as a new budget line within cloud spending
Regulated-industry hybrid	Mixed private/public structures in finance, healthcare and manufacturing
Sovereign	Requirements for data location, security and domestic operating responsibility

Source: Hanwha Research Center

Responding to Domestic Demand: The Axes of Competition Differ (cont.)

Domestic Public Cloud: KRW 7.4 Trillion in 2025 → KRW 14.6 Trillion in 2029



Source: IDC, Hanwha Research Center

Scale of Infrastructure Secured < How Efficiently It Is Monetized

- Even for the same AI DC, the economics differ depending on whether facilities, computing or model access is sold.
- Direct construction, facility leasing and external computing contracts act as substitutes depending on the customer's choice, but form a complementary relationship within the infrastructure supply chain.
- The key differences lie in whether assets are held, the scope of revenue recognized directly, and the value-added creation ability of operating SW, and even with the same expansion of AI demand, the earnings contribution differs by company.
- Therefore, corporate value needs to be evaluated centered on actual customer contracts, computing utilization rate and cash generation relative to invested capital, rather than the scale of AI DC investment or the amount of power secured.

Table 28. Checking Who Owns the Assets and Who Bears Service Responsibility and Reinvestment Risk

Item	Facilities/Power	GPU/CPU Computing	Managed AI/Models
Product Sold	Floor space/power/cooling	GPU-hour/dedicated cluster	Deployment/operation/API tokens
Revenue Metrics	Contracted power/rent	Billing rate × resources × unit price	Processed tokens/service unit price
Major Costs	Land/construction/electricity	GPU/network/depreciation	Serving/SW/operating staff
Key Competitiveness	Timing of power connection/location	Equipment procurement/customer acquisition	Performance/development convenience/automation
Key Risks	Vacancy/initial investment	Equipment replacement/unit price decline	Model price competition/quality

Source: Hanwha Research Center

Table 29. Choices in Cloud Procurement

Evaluation Item	Build Directly	Lease Facility + Own GPU	Procure External Computing
Initial Investment	Bear both facilities and GPUs	Investment centered on GPU equipment	Centered on prepayments/reservation fees
Supply Timing	Depends on power/permits/construction	Depends on facility availability	Pre-deployed equipment is relatively fast
Operational Control	Highest	Facility depends on contract	Depends on service level
Cost Nature	Depreciation/financing costs	GPU depreciation + rent	Usage fees by period/commitment fees
Suitable Demand	Predictable long-term strategic demand	Medium- to long-term fixed demand	Rapid expansion/demand fluctuation

Source: Hanwha Research Center

Scale of Infrastructure Secured < How Efficiently It Is Monetized (cont.)

Table 30. Global Operator Comparison

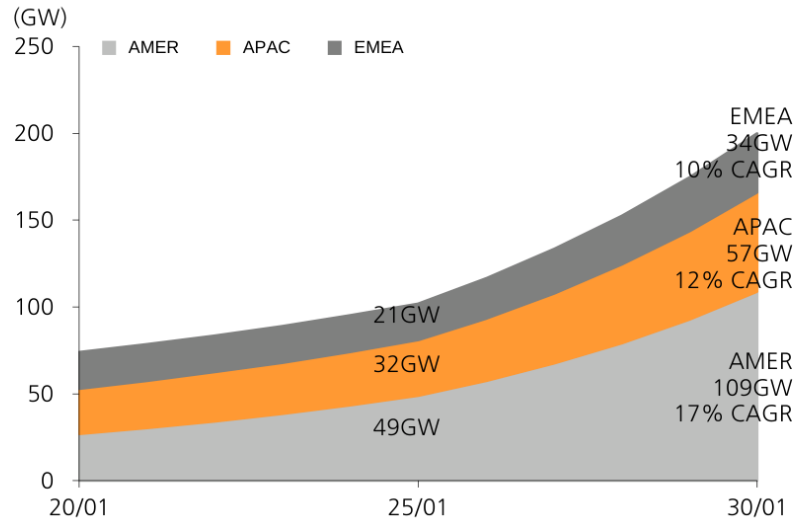
Company	Core Business	Supply/Revenue Structure
CoreWeave	Large-scale GPU clusters	Centered on long-term commitments/conversion of contracted revenue
Nebius	AI cloud + inference platform	GPU reservations/Token Factory
Sharon AI	Australia-centered regional GPU	Colocation, regional global demand
IREN	Integrated power/facilities/GPU	Dedicated supply for large customers, construction/procurement risk
xAI	Own models + external computing	External sales of large-scale infrastructure/internal demand
Akamai	Existing CDN/cloud expansion	CPU-centered long-term cloud/leveraging existing SW strengths

Source: Hanwha Research Center

Demand Flowing into Korea within the APAC Market Estimated at 4.5GW

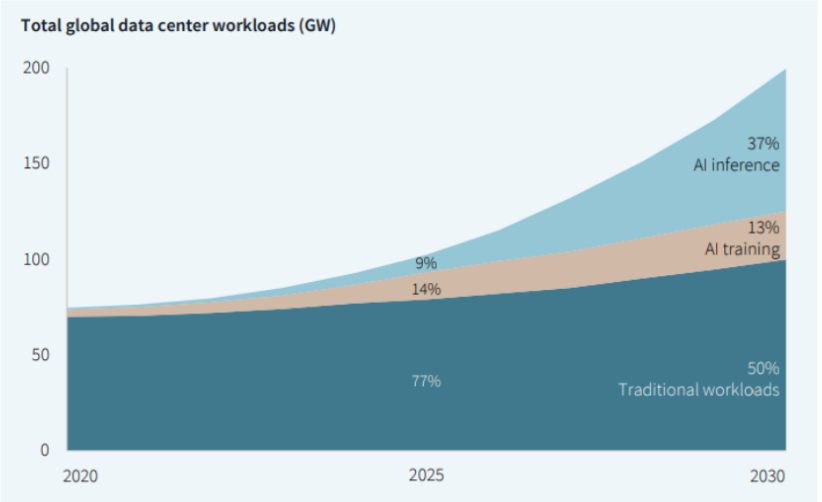
- Demand flowing from overseas into Korean data centers is estimated at about 4.5GW.
- Market research firm JLL forecasts APAC DC capacity to increase from 32GW in 2025 to 57GW in 2030, a CAGR of 12%.
- If we assume AI accounts for 50% of this workload and estimate that 50% of that is non-sensitive and movable across countries, the market in which Korean operators can compete forms at about 15GW.
- Assuming Korea secures about 30% of the 15GW, demand flowing from overseas into Korean DCs is estimated at about 4.5GW.
- This scale corresponds to about 8% share of the entire APAC DC market.

Global Data Centers to Grow at a 14% CAGR through 2030



Source: JLL Research, 2026 Global Data Center Outlook, Hanwha Research Center

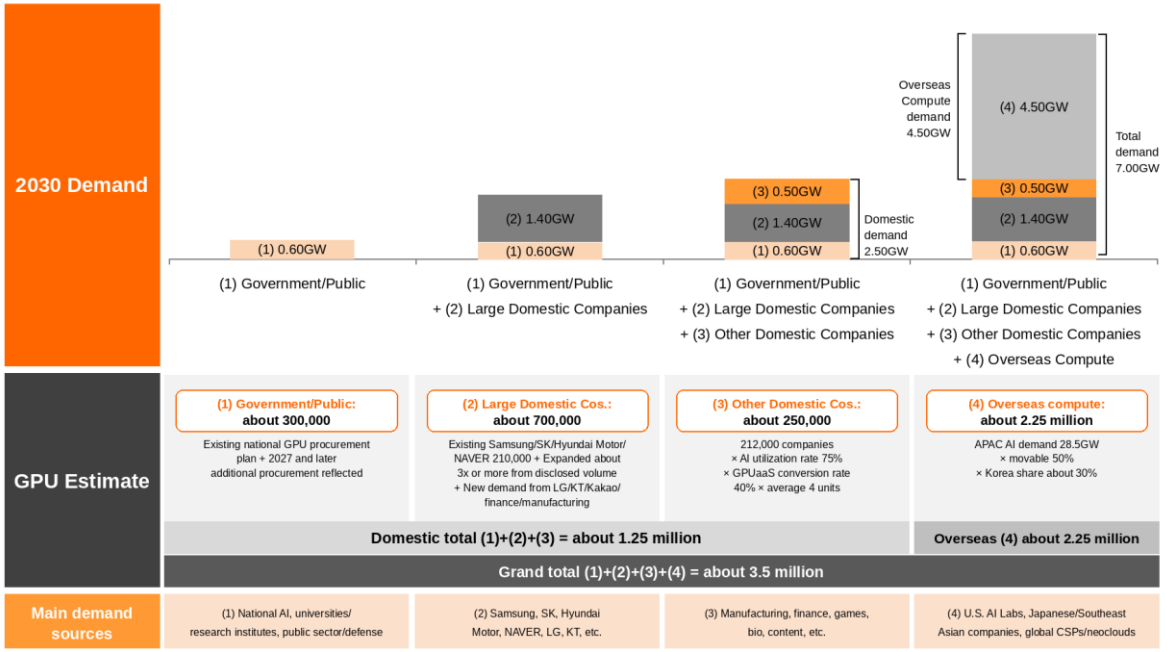
Global Data Center Workload Composition



Source: JLL Research, Hanwha Research Center

Domestic Demand Estimate: Domestic Absorbable Demand in 2030 Is About 7G

Estimating Domestic Demand

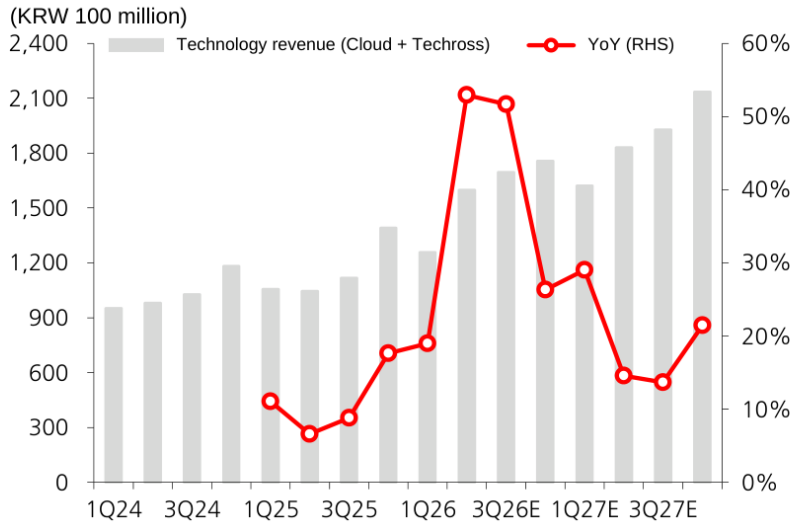


Source: Hanwha Research Center estimates

GPUaaS New Service Revenue Reflected in Earnings in Earnest

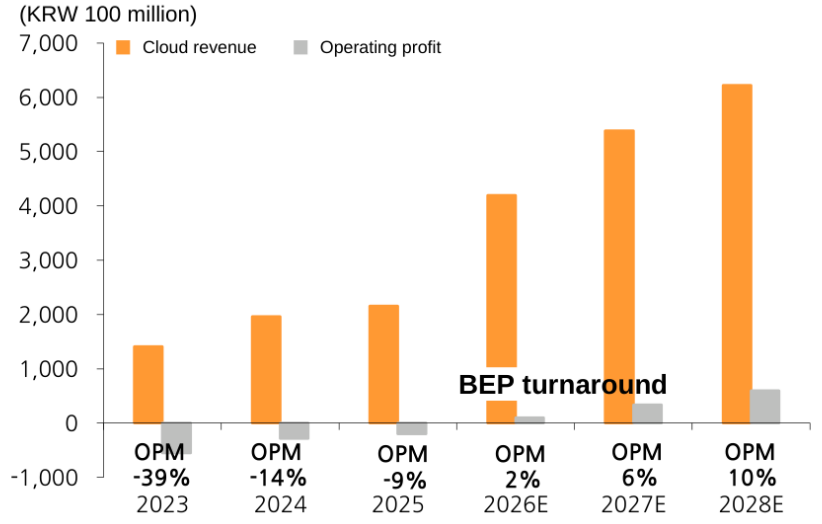
- Business results related to GPUaaS are expected to expand further from 2H of this year. Starting with its 2Q26 results, NHN will expand its medium- to long-term earnings base as the Yangpyeong B200 region begins full-scale operation. Discussions on public-sector AI projects and long-term contracts for remaining capacity are also under way.
- The cloud entity had high revenue growth even before GPUs came into full swing, with a 2022–25 revenue CAGR of 22.6% and a trend of narrowing losses.
- This year, the NHN Cloud entity is expected to reach BEP and, through operating leverage, a medium- to long-term OPM of about 15%.

NHN Cloud Segment Quarterly Revenue



Source: NHN Cloud, Hanwha Research Center

NHN Cloud Segment Annual Revenue and Operating Profit



Source: NHN Cloud, Hanwha Research Center

NHN Capacity

- NHN is currently operating about 26MW through its own data centers and leased capacity for other businesses.
- It is pursuing the securing of data centers of 30MW going forward. The specific site and use will be disclosed soon.

Table 31. NHN Cloud IDC Capacity Status and Plan (Assumptions)

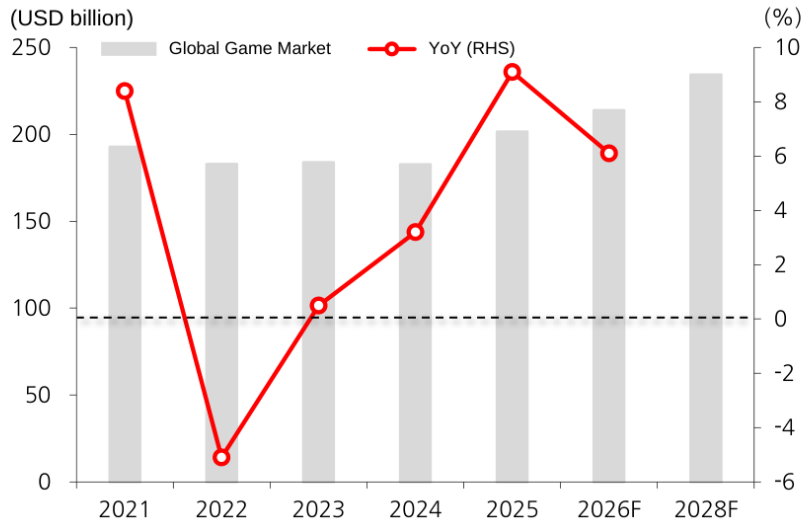
Category	Center/Region	Main Use	Number of GPUs/AI Accelerators	MW Capacity	Operating Status	Remarks
Pangyo	NHN Cloud Center	Existing cloud region + private-sector GPUaaS	About 500~1,000 units	3MW (estimated)	In operation	Based on Blackwell Ultra 1,000+ units for Krafton. MW estimated as 8 server rooms x 3,500 RU x 8.8kW/rack ÷ 42U
Gwangju	National AI Data Center	Public-sector AI computing + GPU service	About 1,500 units	3.5MW	In operation	Public/national AI project in nature. Composed of A100/H100/T4/IPU, etc. Based on press reports
Yangpyeong	Yangpyeong AI Data Center, Factory X Seoul	B200 GPUaaS, government/private-sector AI infrastructure	7,656 units	20MW	In operation	6,120 units are for the government AI project; 1,536 units are NHN's own / subject to private-sector long-term contracts
Total (Current)	Pangyo + Gwangju + Yangpyeong		About 10,000+ units	26.5MW	In operation	
Additional 30MW Expansion Plan	New	Next-generation GPUaaS / B300+ support	About 8,000~9,000 units (estimated)	+30MW	Planned	20MW external lease + 10MW self-built, targeting 2H 2027. GPU count applies the Yangpyeong density of 7,656 units/26MW
Total after Expansion			About 18,000~19,000 units+	65.1MW		

Source: NHN Cloud, Hanwha Research Center

Game Sector: Focus on Profit Conversion Ability over Growth

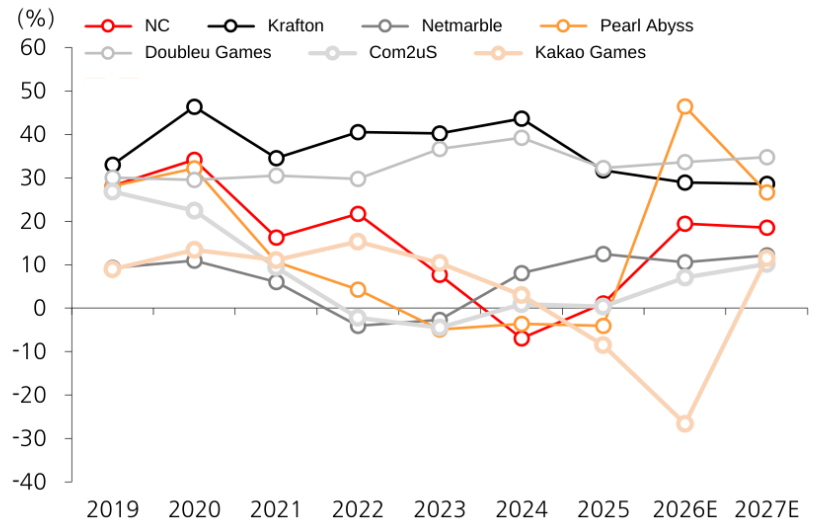
- Even if the global market growth rate is about 6%, profit growth rates by company are greatly differentiated by the concentration of hit titles, revenue mix and cost control.
- Rather than growth of the overall market, share gains from the success of new titles and the long-term success of existing IP act as the key variables determining individual companies' earnings.
- Sequels using existing IP and long-term live services are expected to contribute to profit improvement by lowering the burden of new-customer acquisition and development/marketing costs.
- As the effects of domestic game companies' restructuring, workforce efficiency and disposal of non-core businesses accumulate, in 2027 it is worth paying attention to companies whose operating profit improvement is larger than their top-line growth.

Global Games Market Outlook



Source: Newzoo, Hanwha Research Center

Profit Growth Rates Differ Greatly by Company

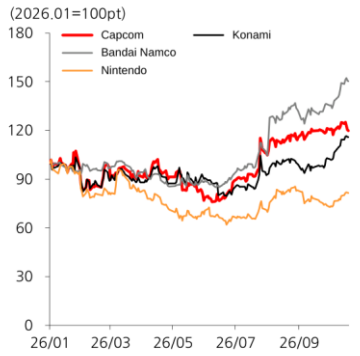


Source: Quantiwise, Hanwha Research Center

Growth Formula Confirmed at Japanese Game Companies; Domestic Companies Also Restructuring Their Business Structures

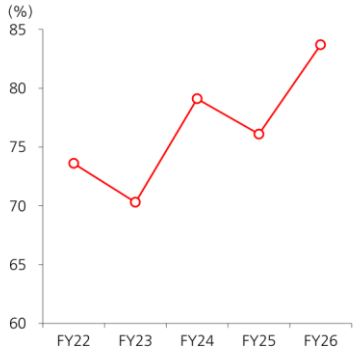
- We see the earnings growth and share price rise of major Japanese game companies as showing the medium- to long-term growth direction of the domestic game sector.
- What major companies whose multiples are expanding have in common is that they do not depend only on the success of a specific new title, but combine recurring monetization of existing IP, expanded global sales, long-term services and revenue from diverse genres.
- Capcom's catalog (existing-title) share of FY26 unit sales reaches 83.7%, meaning that even while releasing new titles every year, it secures a substantial sales volume from accumulated IP.
- Konami's game business (digital entertainment) operating margin rose from 21.8% in FY23 to 34.5% in FY26. Long-term operation of eFootball, the use of existing IP such as Yu-Gi-Oh!, and repeat sales of the Metal Gear and Silent Hill series contributed to growth.

Share Prices of Major Japanese Companies



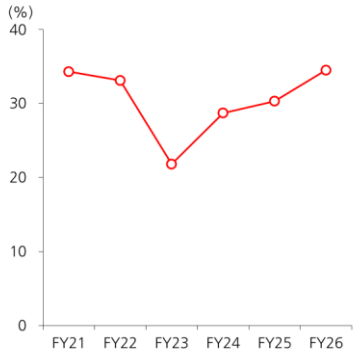
Source: Bloomberg, Hanwha Research Center

Capcom Catalog Game Sales Volume Share



Source: Capcom, Hanwha Research Center

Konami Game Business Operating Margin



Source: Konami, Hanwha Research Center

Investment Strategy

- In the 2027 Internet/SW industry, the delivery schedule of new computing capacity, the pace at which contracted revenue is realized, and the upfront investment burden and financing costs must be considered together, rather than the size of neocloud companies' order backlog itself. We judge that the premium will be concentrated in companies that secure long-term demand while minimizing capital input and stably converting contracts into cash.
- In other words, this will be a period in which improving the profitability of existing businesses and the revenue contribution of new businesses become more important than the adoption of AI technology itself. For NAVER, in addition to AI-based search/advertising efficiency and commerce growth, the early-stage monetization of the AI data center business is expected to act as a new factor lifting corporate value. In particular, if an investment structure using external capital becomes concrete and earnings visibility based on long-term customer contracts is secured, we judge that additional value for the AI DC business can be reflected. For Kakao, the trend of user activity metrics after the launch of the AI agent and integrated membership is the investment point. We expect the possibility of new monetization to be confirmed gradually from 2027.
- The game industry is currently moving away from a high-spending, new-title-dependent structure centered on existing MMORPGs toward securing revenue stability through diverse genres. We judge this to be a strategy to ease earnings volatility from the success or failure of individual new titles and to secure relatively stable recurring revenue.
- Representative examples are NC and Kakao Games. Both companies are expanding their portfolios into mobile casual and social casino while keeping MMORPGs as their core business. As the profit contribution of new genres is verified, we expect game companies' valuations to depend more on the stable cash generation of the entire portfolio than on expectations for the success of individual new titles.
- We present NHN and Kakao Games as top picks.
- For NHN, profit growth is expected from the full-year reflection of GPUaaS revenue that began this year and expanded long-term contracts. It is pursuing an additional 30MW of AI DC by next year, so medium- to long-term growth visibility after 2028 is also likely to improve. Expanding the infrastructure business is possible on the basis of stable cash generation from the game and payment businesses.
- For Kakao Games, an earnings turnaround is expected as the effects of large new title launches and the consolidation of Me2On are fully reflected. It plans to expand its business scope from a domestic mobile MMORPG focus to global PC/console and casual games. We note the possibility that earnings recovery and corporate value re-rating appear at the same time, through revenue contribution from new games and an expanded operating leverage from cost efficiency.

NHN (181710): The Period When AI Infrastructure Growth Potential Connects to Earnings

Buy (Maintained)

Target Price
87,000 KRW

Current Price (10/26)
49,100 KRW

Upside
▲77.2%

Market Cap	**KRW 1,587.4 billion**
Shares Outstanding	**32,329 thousand shares**
52-Week High / Low	**75,200 / 26,150 KRW**
90-Day Avg. Daily Value	**KRW 13.285 billion**
Foreign Ownership	**14.7%**
SHAREHOLDERS	
Lee Jun-ho (+16 others)	**57.4%**
National Pension Service (+1 other)	**9.9%**
Treasury Shares (+1 other)	**6.0%**

- Securing profitability while lowering the initial investment burden through the government GPU project is the key competitive strength
- Medium-term earnings visibility is expected to be secured from expanded long-term contracts at the Yangpyeong AI data center. The company plans to expand its new data center business based on the GPU operating experience and customer references secured in the existing Yangpyeong region. The new capacity is being reviewed on the premise of introducing the latest GPUs, so it is expected to secure higher computing performance and revenue potential than the existing B200-based business.
- Business expansion is expected through the combination of the existing cloud business and GPUaaS. Its strength is that it can provide not just simple GPU leasing but integrated cloud infrastructure, network, storage and operation/management services.
- Entry into a valuation re-rating phase in which the business value of AI infrastructure is fully reflected is expected
- 2027 revenue is forecast at KRW 3.36 trillion (YoY +11.1%) and operating profit at KRW 255.4 billion (YoY 26.3%).
- The effect of regulatory easing for domestic web board games and the stable revenue base of the Japanese mobile game business are being maintained. If new launches centered on the Japanese market and operating efficiency of existing games progress, the profit contribution of the game business is expected to expand.
- The target price applies a target P/E multiple of 18x to 27E estimated EPS.

NHN Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
Revenue	2,456	2,516	3,020	3,356	3,725
Operating Profit	-33	132	202	255	322
EBITDA	72	236	331	427	534
Net Income (Controlling)	-133	32	116	152	205
EPS	-4,073	1,018	3,690	4,830	6,510
Net Debt	-410	-1,401	-1,041	-908	-1,039
PER	-12.1	48.2	13.3	10.2	7.5
PBR	1.1	1.1	1.0	0.9	0.8
EV/EBITDA	16.4	0.8	1.6	1.6	1.0
Dividend Yield (%)	1.0	1.0	1.0	1.0	1.0
ROE	-8.6	2.2	7.7	9.3	11.4

Source: Hanwha Research Center

NHN (181710): Earnings Estimates

Table 34. NHN Quarterly and Annual Earnings Estimates (Unit: KRW billions, %, % YoY)

(KRW billions, %, %YoY)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Revenue	671.4	757.9	778.5	812.2	793.8	825.9	850.3	885.9	2,516	3,020	3,356
YoY (%)	11.9	25.3	24.4	18.5	18.2	9.0	9.2	9.1	2.4	20.0	11.1
Game Revenue	127.8	139.6	129.7	127.2	130.0	135.5	137.9	137.8	479	524	541
PC	48.0	49.1	49.9	47.9	51.0	53.3	52.4	50.3	173	195	207
Mobile	79.8	90.5	79.9	79.3	79.0	82.2	85.5	87.4	306	329	334
Payment	354.6	394.0	398.2	410.8	402.1	432.3	440.9	484.8	1,266	1,558	1,760
Technology	125.7	159.8	165.2	180.0	178.2	195.8	201.8	212.6	460	631	788
Operating Expenses	645.1	700.0	723.5	749.0	738.8	766.4	783.9	811.4	2,384	2,818	3,101
YoY (%)	12.7	20.1	21.0	18.8	14.5	9.5	8.3	8.3	-0.6	7.0	8.5
Labor Costs	114.1	116.0	117.9	118.3	124.7	128.0	126.4	126.8	436	466	506
Commission Expenses	456.2	507.3	520.8	543.4	525.5	546.7	562.9	586.5	1,681	2,028	2,222
Advertising Expenses	23.6	17.5	25.5	26.8	26.0	27.1	28.0	29.3	87	93	110
Operating Profit	26.3	57.9	54.9	63.2	55.0	59.5	66.4	74.5	132.4	202.3	255.4
YoY (%)	-5.0	164.2	98.8	14.4	109.5	2.8	20.9	17.9	Turn to profit	52.8	26.3
Operating Margin (%)	3.9	7.6	7.1	7.8	6.9	7.2	7.8	8.4	5.3	6.7	7.6
Net Income	31.1	29.1	31.6	22.9	43.0	43.1	40.1	26.0	51.9	116.3	152.3
YoY (%)	Turn to profit	158.8	75.6	-0.3	38.3	48.2	26.9	13.9	Turn to profit	124.1	30.9
Net Margin (%)	4.6	3.8	4.1	2.8	5.4	5.2	4.7	2.9	2.1	3.9	4.5

Source: NHN, Hanwha Research Center

Kakao Games (293490): Strength of the Earnings Turnaround and Valuation Recovery

Buy (Maintained)

Target Price
15,000 KRW

Current Price (10/26)
59,200 KRW

Upside
▲52.0%

Market Cap	**KRW 353,411.1 billion**
Shares Outstanding	**5,969,783 thousand shares**
52-Week High / Low	**87,800 / 55,900 KRW**
90-Day Avg. Daily Value	**KRW 1,633.801 billion**
Foreign Ownership	**52.6%**

SHAREHOLDERS

L Triple A Investment (+1 other)	**20.1%**
Kakao (+6 others)	**7.7%**
Treasury Shares (+1 other)	**5.0%**

Expanded Operating Leverage Expected from Higher New-Title Revenue and Cost Control

- Earnings were weak in 2025–26 on stabilizing downward revenue from existing mobile MMORPGs and delayed new title launches, but new title launches resume from 4Q26. Next year, revenue contribution from new games and the effect of consolidating Me2On are added, so top-line growth and operating profit improvement are expected to appear together.
- In January 2027, the release of "Odin Q: Valkyrie's Call" is expected to restore the growth momentum of its core MMORPG. Business restructuring and cost efficiency work has been carried out, and a conservative cost execution stance to lower the fixed-cost burden is being maintained. While revenue scale increases from new launches, if growth in labor and operating costs is limited, we judge the improvement in operating profit is likely to exceed revenue growth.

A Turnaround Driven by Both New Titles and M&A

- 2027 revenue is forecast at KRW 627.0 billion (YoY +84.8%) and operating profit at KRW 79.9 billion (YoY turn to profit).
- If the success of new titles is confirmed, we judge a share price re-rating that reflects medium- to long-term growth expectations, beyond a simple normalization of earnings, is possible.
- The target price applies a target P/E multiple of 18x to 27E estimated EPS.

Kakao Games Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
Revenue	627	465	339	627	684
Operating Profit	19	-40	-92	80	92
EBITDA	91	8	-52	121	135
Net Income (Controlling)	-109	-100	-119	72	93
EPS	-1,314	-1,125	-1,122	681	875
Net Debt	444	280	85	-29	-149
PER	-8.5	-10.0	-10.0	16.4	12.8
PBR	0.7	0.8	0.8	0.8	0.8
EV/EBITDA	17.9	181.6	-24.9	9.6	7.8
Dividend Yield (%)	n/a	n/a	n/a	n/a	n/a
ROE	-8.0	-7.9	-9.1	4.9	6.0

Source: Hanwha Research Center

Kakao Games (293490): Earnings Estimates

Table 37. Kakao Games Quarterly and Annual Earnings Estimates (Unit: KRW billions, %, % YoY)

(KRW billions, %, %YoY)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Revenue	82.9	75.0	73.1	108.1	169.5	158.4	152.7	146.5	465.0	339.2	627.0
YoY (%)	(32.5)	(35.2)	(42.6)	9.3	104.3	111.1	108.7	35.5	(25.9)	(27.1)	84.8
Mobile	55.0	52.7	51.1	78.7	113.0	96.0	87.9	78.7	350.8	237.5	375.5
PC	27.9	22.3	22.1	29.4	31.5	36.4	36.8	36.8	114.2	101.7	141.5
YoY (%)											
Mobile	(42.7)	(47.8)	(39.8)	14.1	105.2	82.1	72.1	0.0	(35.1)	(32.3)	58.1
PC	4.1	50.5	(48.2)	(1.6)	13.0	63.2	66.7	25.0	31.6	(10.9)	39.1
Operating Expenses	108.4	98.0	101.9	122.9	140.0	135.7	135.1	136.3	504.6	431.3	547.1
YoY (%)	(19.9)	(21.2)	(23.3)	9.8	29.1	38.5	32.5	10.9	(17.0)	(14.5)	26.8
Labor Costs	38.7	39.2	40.0	41.2	39.2	40.0	40.8	41.6	150.1	159.2	161.4
Commission Expenses	45.9	36.5	35.8	51.9	74.6	71.3	68.7	65.9	234.2	170.2	280.4
Advertising Expenses	4.6	3.5	6.6	9.7	7.6	5.5	6.1	8.8	37.4	24.5	28.1
Operating Profit	(25.5)	(23.0)	(28.8)	(14.8)	29.5	22.7	17.6	10.2	(39.6)	(92.1)	79.9
Operating Margin (%)	(30.7)	(30.7)	(39.4)	(13.7)	17.4	14.3	11.5	7.0	(8.5)	(27.2)	12.7
Net Income	(39.5)	(57.0)	(41.3)	0.9	21.7	24.2	22.5	4.2	(37.8)	(136.7)	72.5
Net Margin (%)	(47.6)	(76.0)	(56.4)	0.8	12.8	15.3	14.7	2.8	(8.1)	(40.3)	11.6

Source: Kakao Games, Hanwha Research Center

SECTORS

I Food & Beverage
II Cosmetics
III Retail/Apparel
IV Airlines
V Internet/Games
VI **Semiconductors**
VII Banks
VIII Insurance
IX Autos
X Construction/Utilities
XI Defense
XII Steel/Non-ferrous
XIII Power Equipment

VI

Semiconductors

At the End of Doubt, Growth Again

Korea 2027 Industry Outlook

Semiconductors: Summary

1

Doubts about AI investment do not mean damaged fundamentals

- Concerns over recovering AI CAPEX and neocloud credit risk have come to the fore.
- Hyperscalers are at the center of AI investment, and the trend of continued AI investment is expected to expand.
- Cloud demand and a growing order backlog support continued AI infrastructure investment.

2

Improving financial conditions are the catalyst for a rebound

- If nominal rates stabilize and credit spreads narrow on price stability and a soft landing, the funding burden of AI infrastructure is expected to ease.
- Attention should be on reconfirmation of hyperscaler CAPEX and whether AI companies secure funding.

3

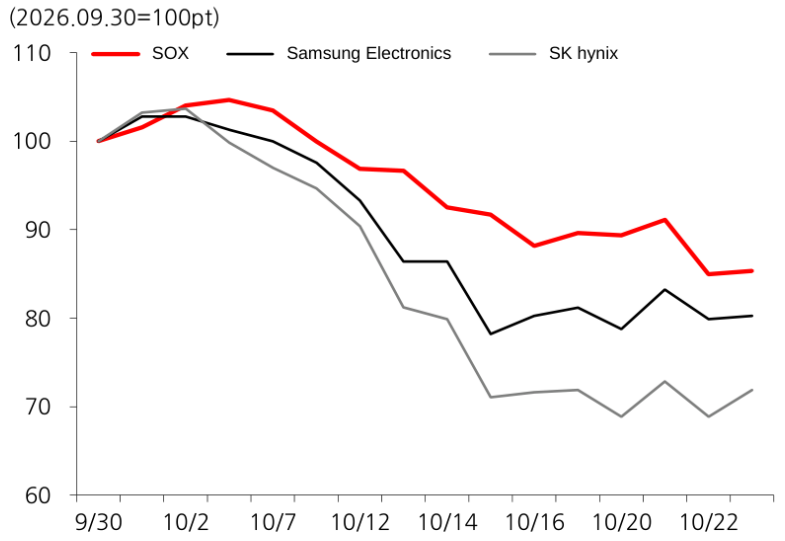
In 2027, HBM4 will lead profit growth

- Demand for high-performance memory rises with expanded AI accelerator investment.
- Product mix improves with the Rubin launch and full-scale HBM4 shipments.
- Valuations have fallen relative to earnings growth, and a re-rating of the domestic memory sector is expected.

Doubts about AI Investment Have Begun

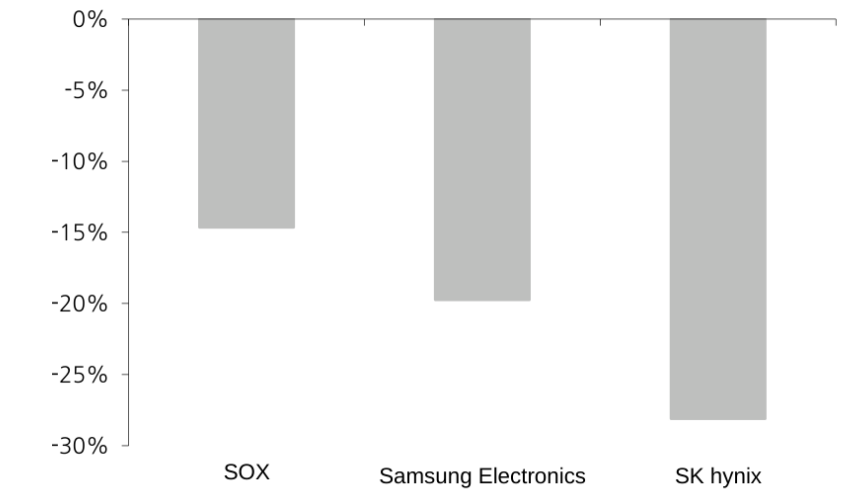
- Since October, the share price correction in the global semiconductor sector has gathered pace. From the end of September to October 23, the SOX index fell 14.6%, while Samsung Electronics and SK hynix fell 19.7% and 28.1%, respectively. Concerns about recovering returns on expanded AI investment are the main cause.
- In particular, concerns over the large-scale borrowing and deteriorating cash flow of neocloud companies have grown. Added to this are US Treasury yield volatility and macroeconomic uncertainty, dampening investor sentiment across the semiconductor sector.
- However, we judge that the recent share price correction reflects excessive doubts about the sustainability of investment rather than any real slowdown in AI semiconductor demand. Because no CAPEX cut by major hyperscalers has been confirmed, there is no need to interpret it as damage to structural growth.

Semiconductor Sector Share Price Trend



Source: Investing.com, Hanwha Research Center

Return in October vs. End of September

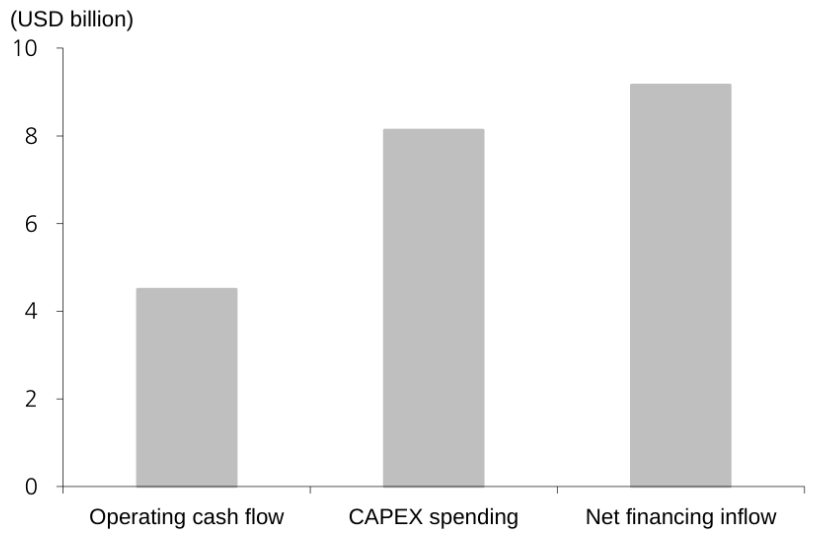


Source: Investing.com, Hanwha Research Center

The Problem Is Not AI Demand but Funding

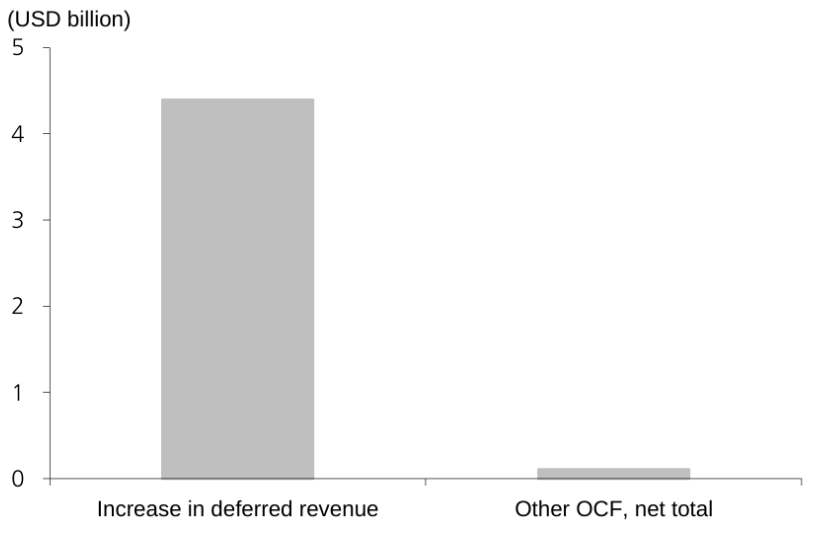
- AI infrastructure is an industry that requires massive upfront capital expenditure while taking considerable time to recover the investment. Because of a business structure that secures GPUs and data centers in advance, a time lag arises between revenue growth and cash flow improvement, which is a bigger problem especially for neocloud companies that have no other cash flows.
- Nebius's 1H26 operating cash flow was USD 4.5 billion, but about USD 4.4 billion of that came from an increase in deferred revenue. Over the same period, spending on equipment and intangible assets was USD 8.1 billion, confirming a high investment burden relative to its own cash generation capacity.
- The core problem for neocloud companies at present is the funding burden needed for expanded investment rather than an absence of final computing demand. We note the possibility that related concerns will ease as financial conditions improve and investment funds are secured.

Nebius 1H26 Cash Flow



Source: Nebius, Hanwha Research Center

Increase in Deferred Revenue within OCF

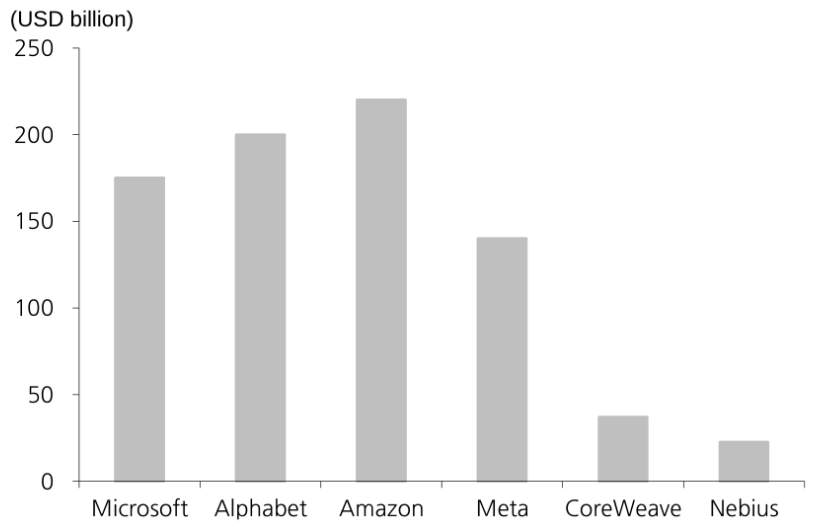


Source: Nebius, Hanwha Research Center

The Center of AI CAPEX Is the Hyperscalers

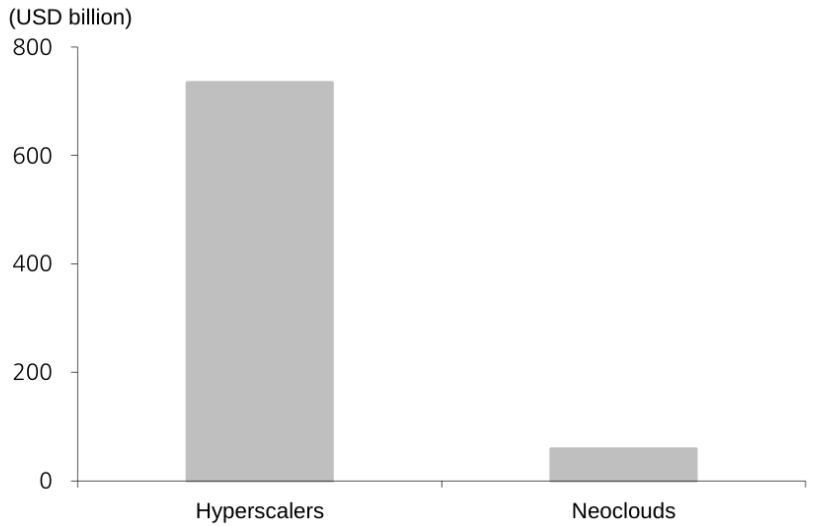
- Recent concerns about AI investment began with the deteriorating financial health of neocloud companies such as CoreWeave. However, the absolute scale of AI infrastructure investment is overwhelmingly by hyperscalers, and we judge that the impact of investment setbacks at some neoclouds on the overall market will be limited.
- The combined 2026 CAPEX guidance and estimates of Microsoft, Alphabet, Amazon and Meta are about USD 730 billion. In contrast, the combined annual investment plans of CoreWeave and Nebius are about USD 55–64 billion, less than 10% of the four hyperscalers.
- Ultimately, the key variable for AI semiconductor demand is whether hyperscalers continue to invest, rather than neocloud funding. As long as the financial health and cloud business growth of the major hyperscalers are maintained, the trend of expanding AI infrastructure investment is expected to continue.

2026 CAPEX by Company



Source: Reuters, Hanwha Research Center

Combined CAPEX by Group

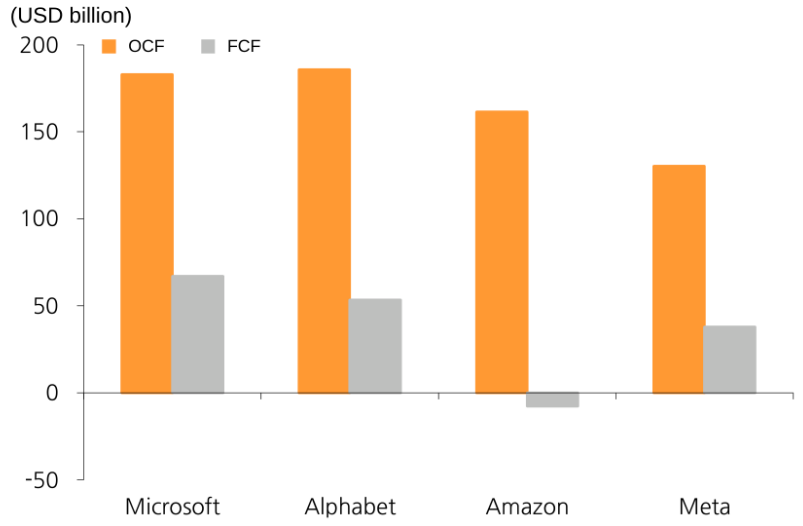


Source: Reuters, Hanwha Research Center

FCF Deficits and Credit Risk Are Separate Issues

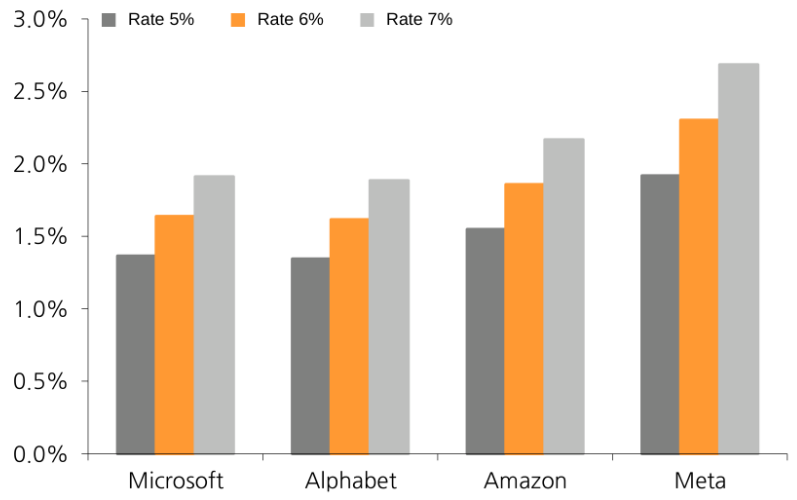
- With the surge in AI CAPEX, hyperscalers' FCF is decreasing and their need for external funding is growing. However, operating cash flow from existing businesses remains solid, and the FCF deficit is mainly due to higher capital expenditure. In judging credit risk, the interest repayment burden from additional borrowing needs to be considered.
- The annual OCF (2025.07.01–2026.06.30) of Microsoft, Alphabet, Amazon and Meta is about USD 182.9 billion, USD 169.7 billion, USD 161.4 billion and USD 129.2 billion, respectively. Even if each borrowed an additional USD 50 billion a year at a 6% interest rate, interest expense would be USD 3 billion, only 1.6–2.3% of each company's OCF.
- It is also positive that issuing long-term corporate bonds can spread out principal repayment dates. Despite rising interest expense from accumulating borrowings, we judge that the short-term debt repayment burden will be limited given the cash generation capacity of existing businesses.

Hyperscalers' Annual OCF and FCF



Source: Company data, Hanwha Research Center

Interest on Hyperscalers' Additional Borrowing



Source: Company data, Hanwha Research Center

AI Investment Is a Matter of Survival, Not Choice

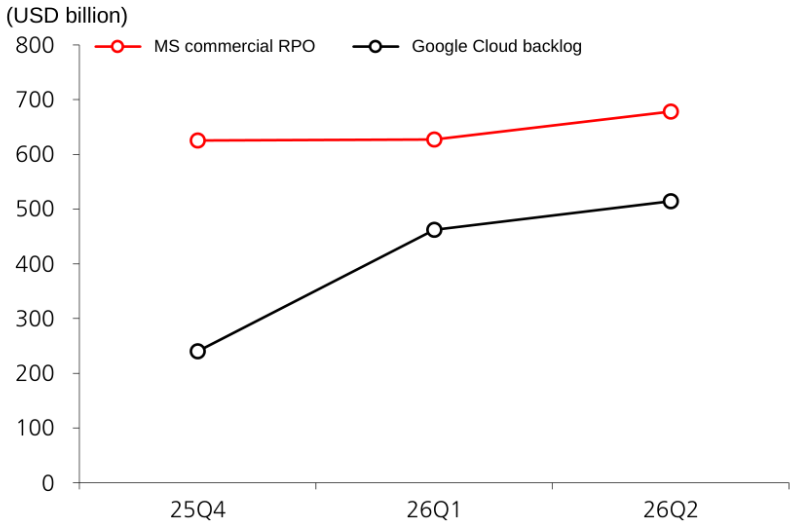
- AI infrastructure investment has changed from expanding new businesses into an essential investment for maintaining dominance of the existing cloud market. As AI model training and inference demand emerges as the core driver of cloud growth, whether compute capacity is secured determines future revenue growth and the ability to attract customers.
- In the cloud business, data, applications and AI models are combined on a single platform, creating high customer switching costs. If customers are not secured in the early AI infrastructure competition, cloud and software revenue may also be lost in the future. The opportunity cost of reducing investment would far exceed the short-term FCF improvement.
- With the recent emergence of AI Agents and the like, demand for AI data centers is no longer pre-expansion for future demand but is becoming existing demand. Since investment is largely to respond to customer demand already secured, we judge that the incentive for hyperscalers to cut CAPEX is limited.

YoY Revenue Growth of Major Clouds



Source: Company data, Hanwha Research Center

Trend in RPO and Backlog of Major Cloud Providers

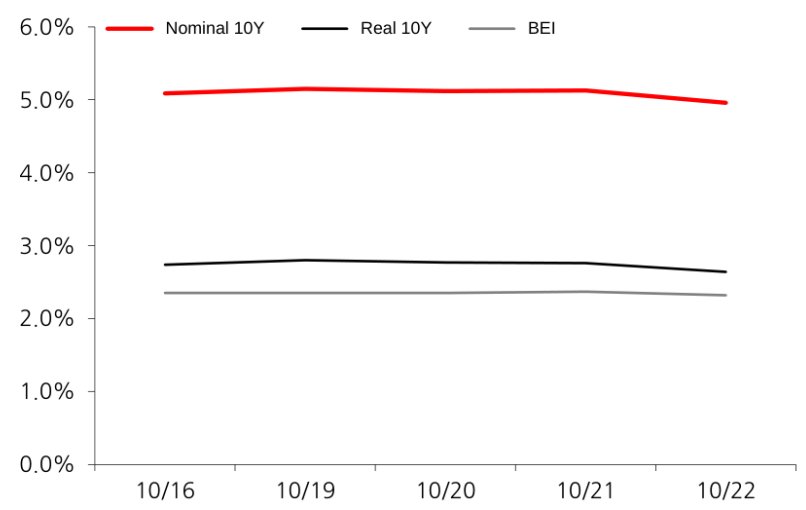


Source: Company data, Hanwha Research Center

What Matters More Than the Fall in Interest Rates Is the Reason for the Fall

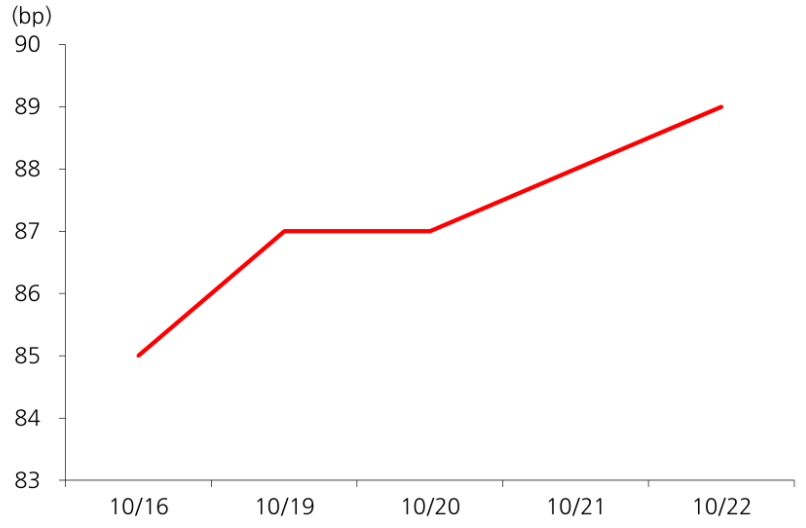
- Despite the recent fall in US Treasury yields, the share price correction in the semiconductor sector continues. We judge this to be the result of concerns over AI investment returns and credit risk outweighing expectations of improved funding costs from falling rates. To judge the sustainability of AI infrastructure investment, the direction of nominal rates and credit spreads needs attention.
- The impact on the semiconductor sector differs depending on the cause of the fall in nominal rates. A fall in nominal rates due to price stability and a soft landing is positive for easing companies' funding costs, but a fall due to recession concerns could lead to wider credit spreads and shrinking investment.
- The most favorable environment for the domestic semiconductor sector is a phase in which falling nominal Treasury yields and narrowing credit spreads accompany price stability and sustained corporate growth. This is expected to act as a factor lowering AI infrastructure operators' interest expense and refinancing burden and raising the sustainability of hyperscaler CAPEX.

US 10-Year Nominal Yield/Real Yield/BEI



Source: FRED, Hanwha Research Center

US Investment-Grade Corporate Bond OAS

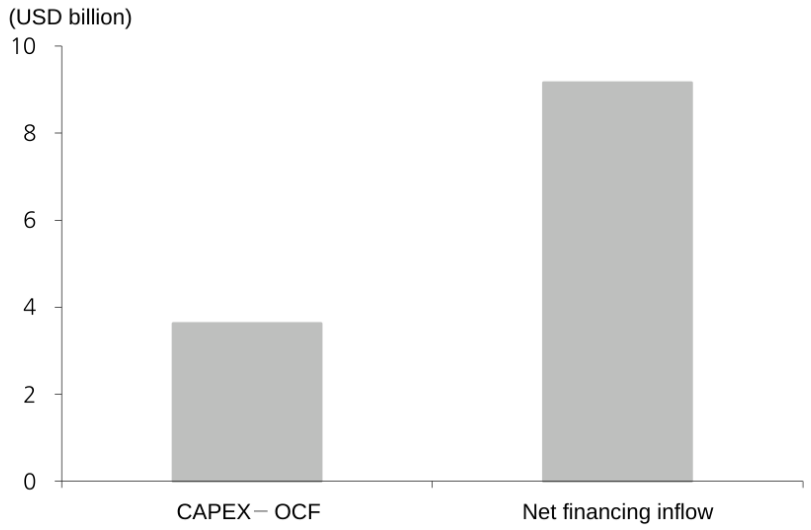


Source: FRED, Hanwha Research Center

Two Conditions for a Rebound

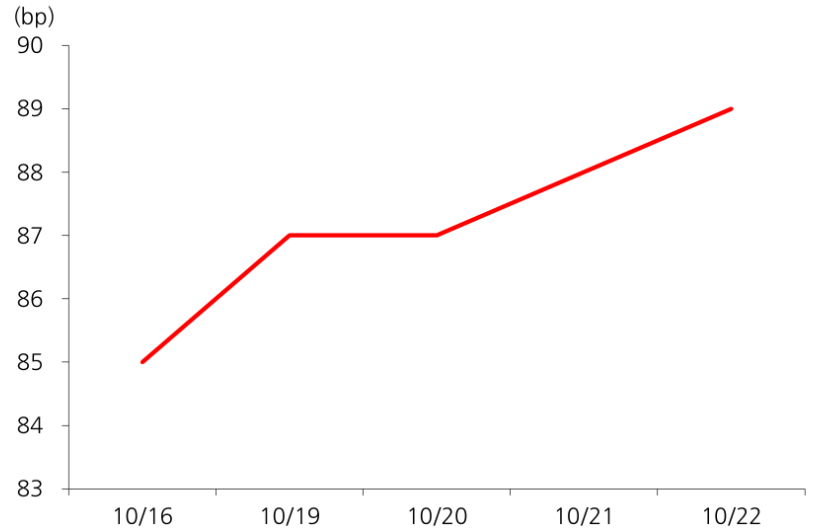
- The first condition is the resolution of funding uncertainty for AI infrastructure investment. This requires prior stabilization of US Treasury yields, corporate credit spreads and CDS premiums. We judge the recent correction in the semiconductor sector stems from heightened financial market uncertainty rather than damaged fundamentals. Improved financial conditions are expected to be a major trigger for recovery in investor sentiment.
- The second condition is reconfirmation of the trend of expanding CAPEX by major hyperscalers. If AI infrastructure investment plans and cloud revenue growth are maintained in upcoming earnings releases, we judge that concerns over AI investment returns will ease gradually.
- If the two conditions are met, a rebound in semiconductor sector shares is expected.

Investment Cash Shortfall and Net Financing Inflow



Source: Fred, Hanwha Research Center

Investment-Grade Corporate Bond Credit Spread

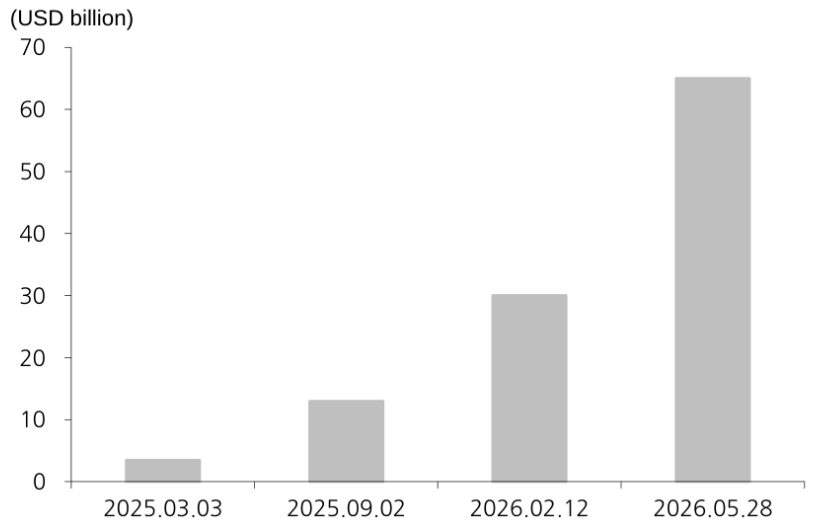


Source: Fred, Hanwha Research Center

Anthropic IPO, a Catalyst for New Funding Inflows

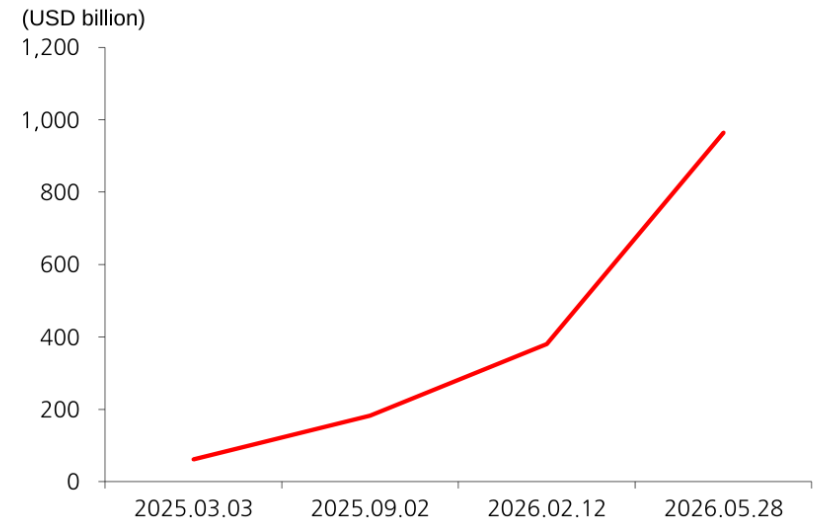
- Expanded funding in the AI industry is expected to act as an additional upside catalyst for the semiconductor sector. In particular, attention is on the possibility of an Anthropic IPO. If a listing materializes, a large inflow of funds is expected for AI model development and securing computing infrastructure.
- Expanded funding by AI model companies can lead to revenue growth for cloud operators and expanded data center investment. In particular, if newly raised funds are put into additional compute purchases, this would stimulate demand for AI accelerators and memory.
- However, the IPO schedule and size of the raise have not yet been decided. Whether there is new spending beyond existing investment plans is the key variable for increased semiconductor demand. Attention is needed on expanded funding by AI model companies going forward.

Anthropic Private Funding by Round



Source: Anthropic, Hanwha Research Center

Anthropic Post-money Valuation

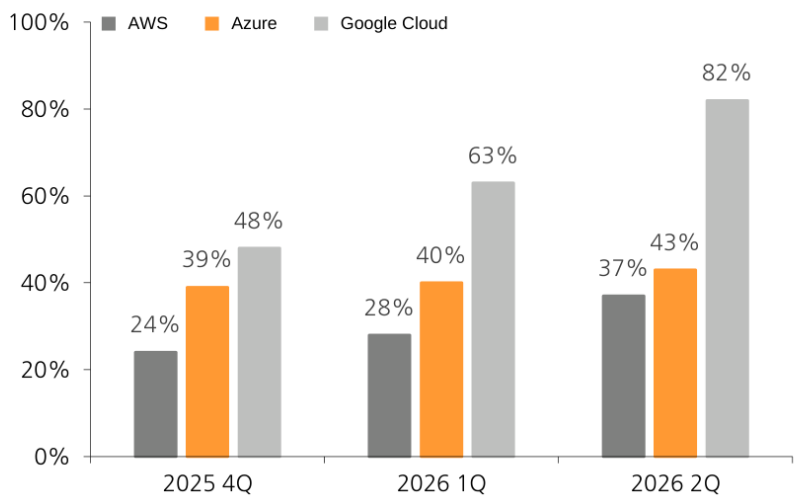


Source: Anthropic, Hanwha Research Center

AI Infrastructure Investment Expansion Continues in 2027

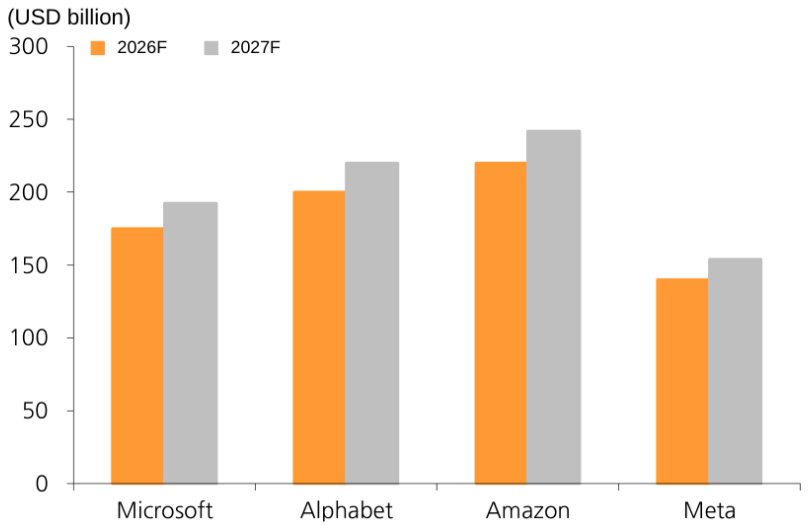
- The trend of expanding AI infrastructure investment by major hyperscalers is expected to continue in 2027. 2027 CAPEX estimates are USD 242.0 billion for Amazon, USD 220.0 billion for Alpabet, USD 192.5 billion for Microsoft and USD 154.0 billion for Meta. Large-scale investment execution and expansion of existing projects continue.
- In particular, the high growth rates of major cloud businesses such as Azure, Google Cloud and AWS support expanded AI infrastructure investment. Preemptive investment to secure data center supply capacity is proceeding in parallel with execution of existing projects, so the trend of CAPEX expansion is expected to be maintained.
- We judge that major hyperscalers' CAPEX is likely to increase in 2027 as well. With data center expansion and wider adoption of AI accelerators proceeding at the same time, structural growth in global semiconductor demand is expected to continue.

Revenue Growth Trend by Major Cloud Business



Source: Company data, Hanwha Research Center

2026 and 2027 Major Hyperscaler CAPEX Scenarios

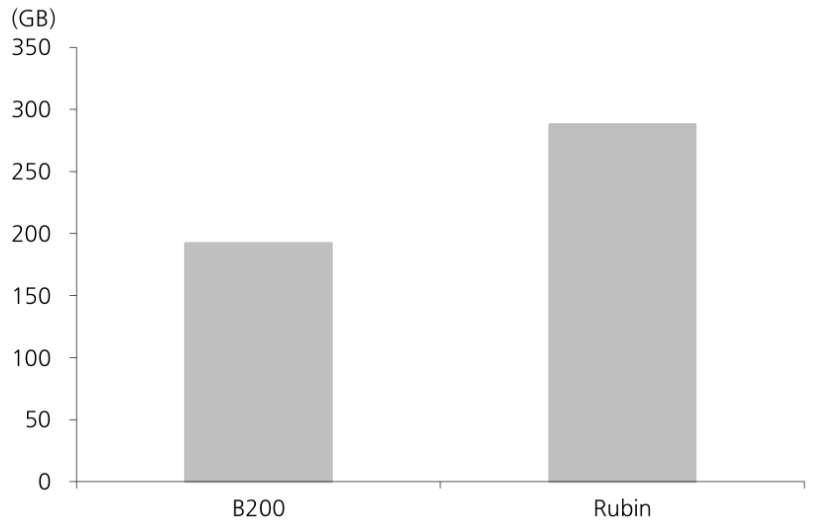


Source: Hanwha Research Center

Semiconductors Are the Ultimate Beneficiary of Expanded AI Investment

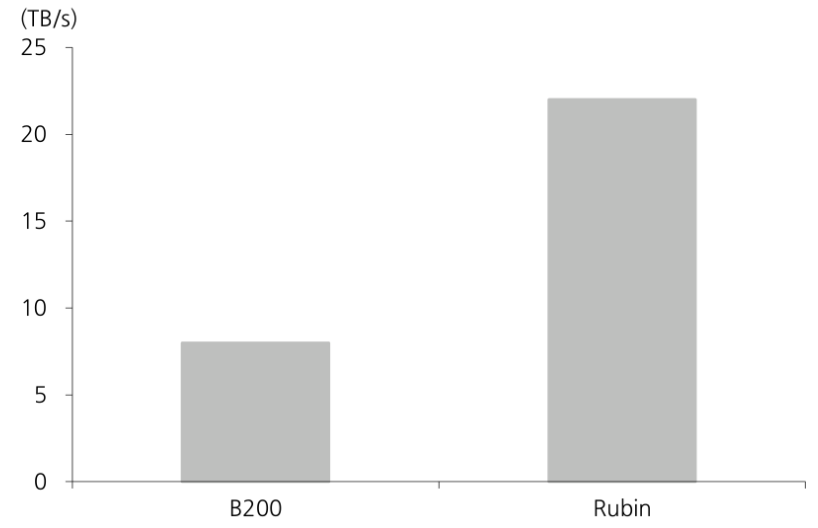
- Expanded AI infrastructure investment leads to increased shipments of AI accelerators such as GPUs and ASICs. At the same time, investment in memory semiconductors is also expanding, acting as a structural growth driver for the semiconductor industry.
- In particular, higher AI accelerator performance is accompanied by increased demand for high-performance memory. NVIDIA Rubin supports up to 288GB of HBM4 per GPU and 22TB/s of memory bandwidth. Memory capacity is 1.5x and bandwidth 2.75x that of the B200.
- Going forward, the AI semiconductor market is expected to see rising accelerator shipments and wider adoption of high-performance memory at the same time. In particular, HBM is becoming the key component determining AI system performance, and direct benefits are expected for domestic memory makers

HBM Capacity per GPU



Source: NVIDIA, Hanwha Research Center

GPU Memory Bandwidth



Source: NVIDIA, Hanwha Research Center

2027: HBM4 at the Center of Growth

- HBM4 is expected to be the core growth driver of the memory industry in 2027. Demand for HBM4 is expected to expand with the full-scale shipments of the NVIDIA Rubin platform. After initial mass production in 2026, shipment growth and annual earnings contribution are expected to begin in earnest in 2027.
- HBM4 is a next-generation high-value-added memory requiring higher data transfer speeds and bandwidth than existing products. We judge that rising ASPs from product upgrades and a growing HBM4 revenue share will drive profitability improvement at domestic memory makers.
- In particular, in 2027 the effects of higher HBM4 shipments and improved product mix are expected to be reflected at the same time. With early mass-production yield stabilization and capacity expansion proceeding in parallel, earnings growth at domestic memory makers is expected to strengthen further.

Table 38. Key Performance Comparison by HBM Generation

Comparison Item	HBM3E	HBM4
Data I/O (bit)	1,024	2,048
Pin Speed (Gbps)	9.6	10~11.7
Upgradable Speed (Gbps)	10.5	13.0
Adopting GPU	B200 / B300	Rubin

Source: Press reports, Hanwha Research Center

Table 39. HBM4 Penetration Expansion Timeline

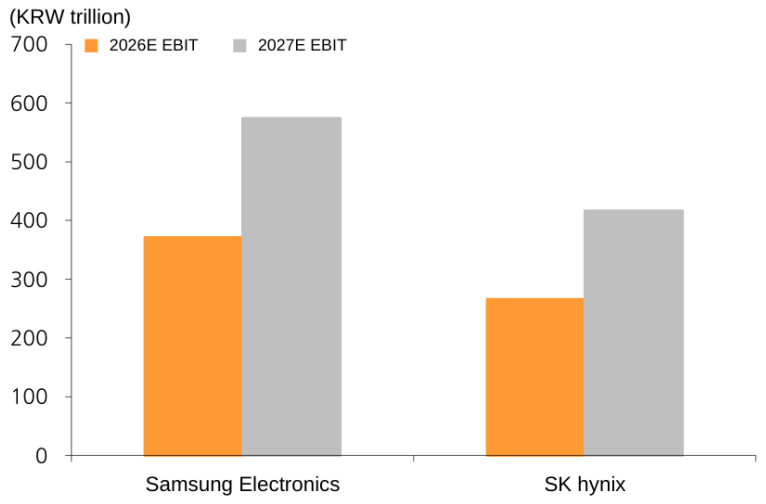
Timeline	Content
2025	B200 and B300 based on HBM3E
1H 2026	Samsung announced commercial product shipments on 2/12; SK hynix mass-production shipments in 2Q
2H 2026	NVIDIA begins shipments to Rubin customers; full-scale mass production of HBM4 for Rubin
2027	Rubin proliferation; HBM4 annual revenue contribution expands

Source: Press reports, Hanwha Research Center

Excessive Concerns Go to Share Prices, Growth Goes to Earnings

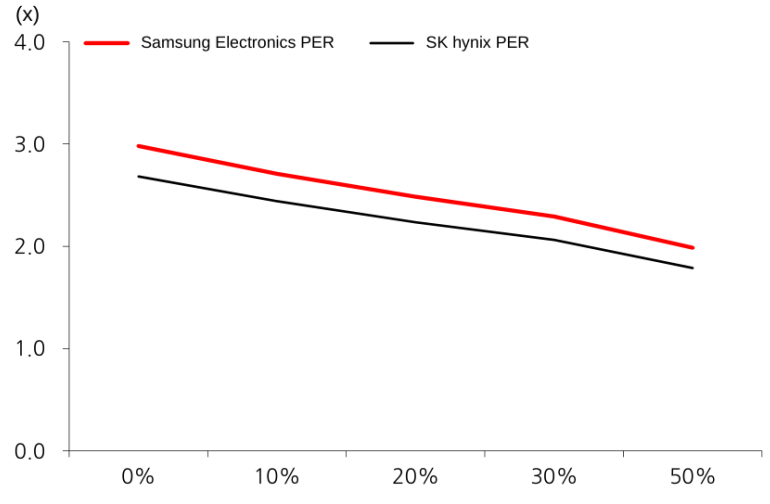
- The recent share price correction in the domestic semiconductor sector has greatly increased valuation appeal. Based on October 23 closing prices and consensus, the 2027E PER of Samsung Electronics and SK hynix is about 3.0x and 2.7x, respectively. Considering the outlook for profit growth, we judge the valuation to be excessively low.
- Meanwhile, expectations of 2027 earnings growth at domestic memory makers remain valid. Full-scale HBM4 shipments and a rising share of high-value-added products are expected to drive profit growth. Rising memory demand from expanded AI infrastructure investment is also a positive factor.
- If easing of financial market uncertainty becomes the trigger for a share price rebound, HBM4-centered profit growth is expected to be the core driver sustaining the upward trend. We judge the current share price correction reflects excessive concerns rather than damaged fundamentals, and maintain a positive view of the domestic semiconductor sector.

Operating Profit Forecasts for Samsung Electronics and SK hynix



Source: Hanwha Research Center

Change in 2027E PER from EPS Upgrades at Samsung Electronics and SK hynix



Source: Hanwha Research Center

Samsung Electronics (005930): A New Growth Phase Led by HBM4

Buy (Maintained)

Target Price
580,000 KRW

Current Price (10/26)
213,000 KRW

Upside
▲172.3%

Market Cap	**KRW 1,245,257.3 billion**
Shares Outstanding	**5,846,279 thousand shares**
52-Week High / Low	**362,500 / 94,800 KRW**
90-Day Avg. Daily Value	**KRW 5,449.518 billion**
Foreign Ownership	**46.1%**

SHAREHOLDERS

Samsung Life Insurance (+18 others)	**19.7%**
National Pension Service (+1 other)	**7.8%**
BlackRock Fund Advisors (+16 others)	**5.1%**

AI Investment Concerns Are Excessive; Memory Cycle Supported by Solid Demand

- Concerns about the sustainability of AI infrastructure investment have recently grown, but we judge that the direction of structural growth is unchanged. There is no need to over-extend the credit risk of some neocloud companies into a contraction of AI industry investment as a whole. Major hyperscalers are securing investment capacity on the back of solid operating cash flow (OCF), and AI service commercialization and expanding inference demand are expected to support rising memory demand. The recent share price correction is judged to stem from deteriorating investor sentiment rather than damaged fundamentals.

2027 Outlook: Restored HBM4 Competitiveness and Accelerating Earnings Growth

- We forecast 2027 revenue of KRW 994 trillion (YoY +39.3%) and operating profit of KRW 605 trillion (YoY +62.9%). The key growth drivers are expanded HBM4 supply and higher memory ASPs. Samsung Electronics is strengthening its technological competitiveness through HBM4 using 1c DRAM and an in-house 4nm base die. In 2027, higher HBM4 supply on expanded Rubin shipments and a rising share of high-value-added products are expected to drive profitability improvement. We judge that, starting with HBM4, competitiveness recovery and a re-rating of corporate value will begin in earnest.

Valuation

- We maintain our BUY rating and a target price of KRW 580,000 (applying 27F EPS of KRW 93,865 and a target P/E of 6.2x).

Samsung Electronics Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
Revenue	300,871	333,606	713,048	993,821	1,068,611
Operating Profit	32,726	43,601	371,388	605,057	463,310
EBITDA	75,357	90,528	424,603	665,966	530,764
Net Income (Controlling)	33,621	44,261	323,689	551,978	425,597
EPS	5,433	7,250	54,879	93,865	71,628
Net Debt	-93,285	-100,582	-318,270	-660,159	-967,898
PER	39.2	29.4	3.9	2.3	3.0
PBR	3.7	3.4	1.9	1.1	0.9
EV/EBITDA	17.0	14.1	2.5	1.1	0.8
Dividend Yield (%)	0.7	0.8	4.7	7.0	8.0
ROE	9.0	10.8	55.4	55.8	30.5

Source: Hanwha Research Center

Samsung Electronics (005930): Earnings Estimates

Table 42. Samsung Electronics Earnings Estimates (Unit: KRW billions, %, % YoY)

(KRW billions, %, %YoY)	1Q26	2Q26	3Q26P	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Revenue	133,873	171,500	195,000	212,675	227,071	237,145	254,428	275,177	333,606	713,048	993,821
DS	81,700	127,537	147,189	163,013	173,503	187,595	203,405	223,555	133,600	519,439	788,058
DRAM	53,618	84,931	98,260	108,331	117,128	128,484	142,308	159,883	73,624	345,141	547,803
NAND	21,212	35,885	41,361	45,166	46,669	49,030	50,501	52,016	34,174	143,623	198,215
LSI	6,870	6,721	7,568	9,516	9,707	10,082	10,596	11,655	25,802	30,675	42,039
MX/NW	38,520	33,196	31,615	31,434	40,113	34,559	32,928	32,746	124,667	134,765	140,346
Smartphones	33,905	28,672	27,187	26,741	35,546	30,060	28,502	28,035	106,825	116,504	122,143
Tablets	2,928	2,871	2,887	2,911	2,840	2,813	2,801	2,853	11,326	11,598	11,307
Other	1,687	1,653	1,541	1,781	1,727	1,686	1,625	1,858	6,516	6,663	6,897
VD/DA	14,300	14,170	14,480	15,121	14,586	15,315	16,387	16,715	57,235	58,071	63,004
SDC	6,700	7,328	8,100	9,316	7,370	8,107	9,323	9,510	29,901	31,444	34,310
Harman	3,800	4,025	4,227	4,731	3,600	3,913	4,113	4,665	15,800	16,783	16,291
Other	-11,147	-14,757	-10,611	-10,939	-12,101	-12,344	-11,729	-12,014	-27,597	-47,454	-48,187
Operating Profit	57,233	89,490	107,400	117,263	131,833	144,099	156,876	172,248	43,298	371,383	605,057
OPM (%)	43%	52%	55%	55%	58%	61%	62%	63%	13%	52%	61%
DS	53,700	89,079	105,396	115,022	128,837	141,510	153,985	169,806	25,663	363,197	594,138
DRAM	42,358	66,310	78,681	82,263	95,861	106,149	119,085	133,710	29,811	269,612	454,805
NAND	12,727	25,516	28,138	33,082	33,868	36,107	35,582	36,650	2,807	99,462	142,207
LSI	-1,386	-2,746	-1,423	-323	-892	-747	-681	-553	-6,955	-5,878	-2,874
MX/NW	2,830	-161	576	739	2,569	1,616	1,371	643	12,339	3,984	6,199
Smartphones	2,712	-185	536	696	2,499	1,560	1,321	612	11,948	3,760	5,993
Tablets	117	24	39	43	70	56	49	30	390	223	205

Samsung Electronics (005930): Earnings Estimates (cont.)

Table 42. Samsung Electronics Earnings Estimates (Unit: KRW billions, %, % YoY) (cont.)

(KRW billions, %, %YoY)	1Q26	2Q26	3Q26P	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Other	0.3	0.4	0.1	0.1	0.2	0.2	0.1	0.1	1.3	0.9	0.5
VD/DA	200	148	223	-205	49	157	211	-35	272	366	381
SDC	800	932	1,196	1,890	725	1,032	1,401	1,868	4,228	4,818	5,025
Harman	200	379	307	295	205	349	392	497	1,500	1,182	1,443
Other	-500	-888	-297	-479	-552	-565	-483	-530	-702	-2,164	-2,130
Net Income	47,225	71,624	99,773	107,019	121,489	134,479	144,171	159,540	45,207	325,641	559,680
Net Income (Controlling)	47,101	71,269	99,773	105,546	119,818	132,629	142,187	157,345	44,261	323,689	551,978

Source: Samsung Electronics, Hanwha Research Center

SK hynix (000660): Earnings That Will Prove the Sustainability of Growth

Buy (Maintained)

Target Price
3,150,000 KRW

Current Price (10/26)	Upside
1,275,000 KRW	**▲147.1%**

Market Cap	**KRW 931,377.8 billion**
Shares Outstanding	**730,492 thousand shares**
52-Week High / Low	**2,919,000 / 478,500 KRW**
90-Day Avg. Daily Value	**KRW 6,640.803 billion**
Foreign Ownership	**48.8%**

SHAREHOLDERS

SK Square (+10 others)	**20.0%**
National Pension Service (+1 other)	**7.3%**
Treasury Shares (+1 other)	**3.5%**

3Q26 Preview: Memory Price Increases Overwhelm the FX Burden

- 3Q revenue of KRW 97.0 trillion and operating profit of KRW 78.2 trillion are forecast. Despite the negative FX effect of the stronger won, the magnitude of memory price increases exceeds prior expectations, so an earnings surprise is expected. 3Q DRAM and NAND price increases are expected to be +23% and +15% QoQ, respectively, above the prior estimates of +18% and +8%. On solid pricing power, the profit improvement from higher ASPs is judged to fully offset the FX burden.

2027 Outlook: Full-Scale HBM4 Shipments, a New Driver of Earnings Growth Content

- We raised our 2027 operating profit estimate by 7.2%, from KRW 415 trillion to KRW 445 trillion. The key background is higher volumes from full-scale HBM4 shipments and an improved product mix. Rising HBM4 demand is expected with expanded mass production of the NVIDIA Rubin platform, and the high ASPs and expanded shipments from the next-generation product transition are expected to drive earnings growth. Unlike the funding concerns at some neocloud companies, hyperscalers' investment capacity is solid, so we judge that the trend of expanding AI investment will continue.

Valuation

- We maintain our target price of KRW 3,150,000 (applying 2027F EPS of KRW 487,563 and a target P/E of 6.5x) and a BUY investment rating.

SK hynix Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
Revenue	66,193	97,147	337,736	531,175	563,276
Operating Profit	23,467	47,206	264,956	445,472	461,208
EBITDA	36,049	61,136	283,456	473,063	496,213
Net Income (Controlling)	19,789	42,919	260,857	334,659	354,595
EPS	27,182	58,955	380,041	487,563	516,608
Net Debt	13,554	-242	-125,203	-387,719	-629,132
PER	46.9	21.6	3.4	2.6	2.5
PBR	12.6	7.7	2.3	1.3	0.8
EV/EBITDA	26.2	15.2	2.8	1.1	0.6
Dividend Yield (%)	0.2	0.2	0.2	0.2	0.2
ROE	31.1	44.2	102.8	60.5	39.6

Source: Hanwha Research Center

SK hynix (000660): Earnings Estimates

Table 46. SK hynix Earnings Estimates (Unit: KRW billions, %, % YoY)

(KRW billions, %, %YoY)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Revenue	52,576	79,319	97,033	108,808	116,322	128,085	138,704	147,922	97,065	337,736	531,175
DRAM	40,913	58,303	74,054	83,977	90,696	100,944	109,171	116,922	75,142	257,248	417,733
NAND	11,240	20,585	22,668	24,515	25,256	26,783	29,194	30,654	20,299	79,008	111,887
Other	427	431	312	316	371	357	339	346	1,625	1,486	1,555
Operating Profit	37,610	60,543	78,159	88,644	96,073	107,226	117,200	125,076	47,204	264,956	445,472
DRAM	31,912	47,928	62,205	71,381	77,998	87,821	96,071	102,892	45,019	213,426	364,782
NAND	5,654	12,454	15,867	17,161	17,976	19,293	21,029	22,081	1,957	51,136	80,379
Other	44	161	87	102	99	112	100	103	228	394	311
Operating Margin (%)	72%	76%	81%	81%	83%	84%	84%	85%	49%	78%	84%
DRAM	78%	82%	84%	85%	86%	87%	88%	88%	60%	83%	87%
NAND	50%	61%	70%	70%	71%	72%	72%	72%	10%	65%	72%
Net Income	40,346	93,923	58,692	68,153	73,428	82,341	88,613	90,642	42,948	261,113	335,024
Net Income (Controlling)	40,330	93,820	58,628	68,079	73,348	82,251	88,517	90,543	42,919	260,857	334,659

Source: SK hynix, Hanwha Research Center

SECTORS

I Food & Beverage
II Cosmetics
III Retail/Apparel
IV Airlines
V Internet/Games
VI Semiconductors
VII **Banks**
VIII Insurance
IX Autos
X Construction/Utilities
XI Defense
XII Steel/Non-ferrous
XIII Power Equipment

VII

Banks

The Investment Point Is Shareholder Returns Again

Korea 2027 Industry Outlook

Banks: Summary

1

Earnings momentum slows: slight margin improvement, higher credit costs

- 2027 EPS growth is expected at the 20% range YoY for BNK Financial and iM Financial, and 6–10% YoY for the others.
- 2027 NIM is expected to rise 2bp YoY on average, and net interest income is forecast to rise 7% YoY on average.
- With the credit cost ratio turning upward in 2027 for the first time in three years, provisions are expected to increase 7% YoY.

2

The 2027 investment point is shareholder returns again

- 2027E shareholder return ratios of major bank holding companies are mostly expected to rise.
- Shareholder return yields of bank holding companies are expected at 8–10%, and their defensive role is expected to strengthen.
- In a phase of weakening earnings momentum, we judge that relative shareholder returns will become the criterion for stock selection.

3

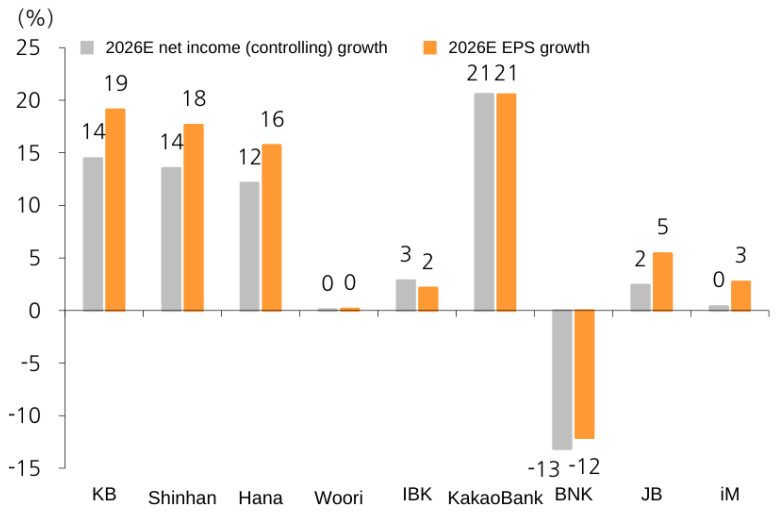
Top pick: KB Financial Group

- Even if the capital headroom secured through won strength is allocated to asset growth, shareholder return amounts are expected to rise to the KRW 4 trillion range.
- With a 2027E shareholder return ratio of 62% and shareholder return yield of 8.0%, we judge that investment appeal has been restored.

2027 EPS Expected to Increase 6–22%

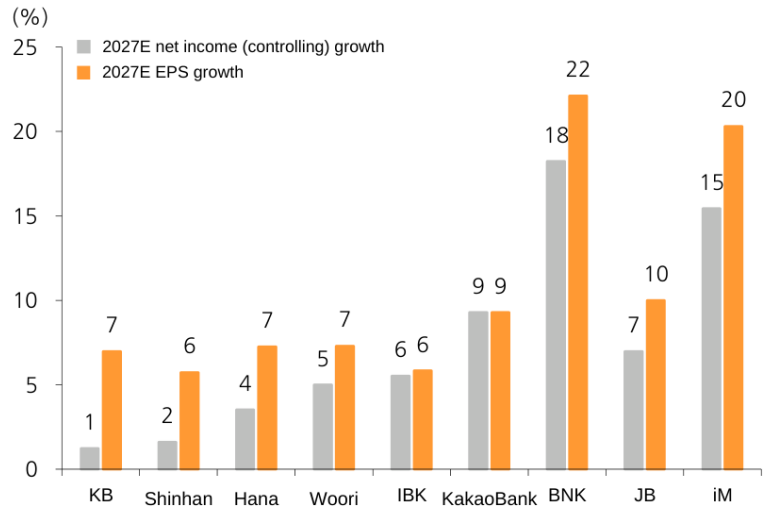
- We estimate that the 2027 net income attributable to controlling shareholders of bank stocks under Hanwha Securities coverage will rise (YoY) by less than 5% for the three large holding companies, by 5–10% for Woori Financial, KakaoBank, JB Financial and IBK, and by about 15–20% for BNK Financial and iM Financial.
- For the bank holding companies with the largest market capitalizations, profit growth falls versus 2026, mainly because the base of non-interest income has risen given their relatively high non-bank share.
- Meanwhile, owing to treasury share cancellation, the EPS growth rate of the seven bank holding companies is expected to exceed profit growth. In particular, the large companies, which have ample capital headroom and a high proportion of treasury share usage, are expected to benefit more from EPS growth.

2026 Net Income Attributable to Controlling Shareholders and EPS Growth Forecast



Note: KakaoBank is net income
Source: Hanwha Research Center

2027 Net Income Attributable to Controlling Shareholders and EPS Growth Forecast

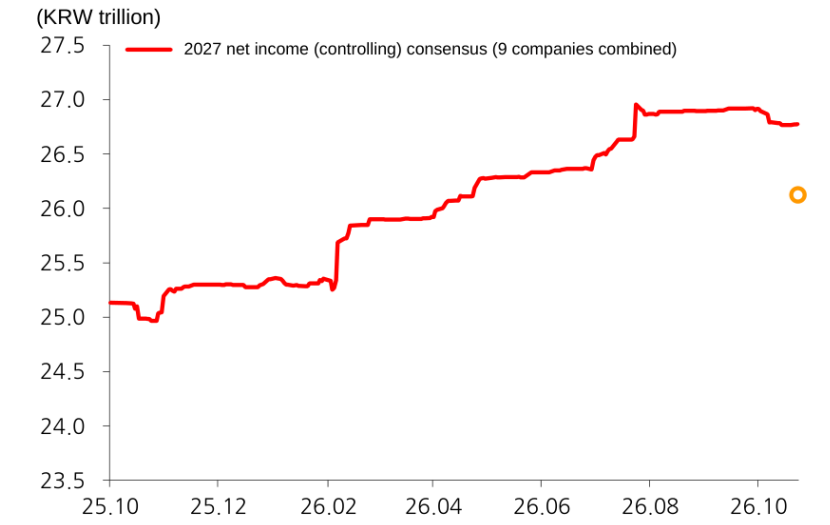


Note: KakaoBank is net income
Source: Hanwha Research Center

Consensus Trending Upward, but Differences in Temperature by Company

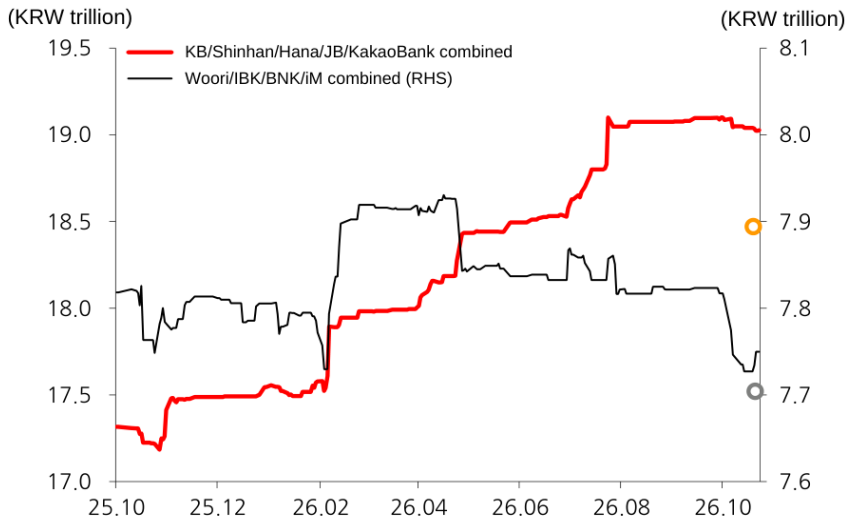
- Market expectations for 2027 bank earnings have been revised up 6% since the beginning of the year on a combined basis for the nine covered companies. However, there are differences in temperature by company.
- Earnings forecasts for KB Financial, Shinhan Financial, Hana Financial, JB Financial and KakaoBank have been revised up 8% on average since the beginning of the year, whereas those for Woori Financial, IBK, BNK Financial and iM Financial have been revised down 2%.
- This is interpreted as due to differences in intensity regarding (1) expectations of greater earnings power in non-interest businesses and (2) concerns about asset quality deterioration in 2027.
- We judge that 2027 is a phase in which expectations of improved interest margins from rising market rates are lower than in the previous year, while the possibility of a rise in the credit cost ratio due to repayment burdens on marginal borrowers is higher.

Bank Stocks' 2027 Net Income Attributable to Controlling Shareholders Consensus: Combined Covered Companies



Source: Quantiwise, Hanwha Research Center

Bank Stocks' 2027 Net Income Attributable to Controlling Shareholders Consensus: By Group

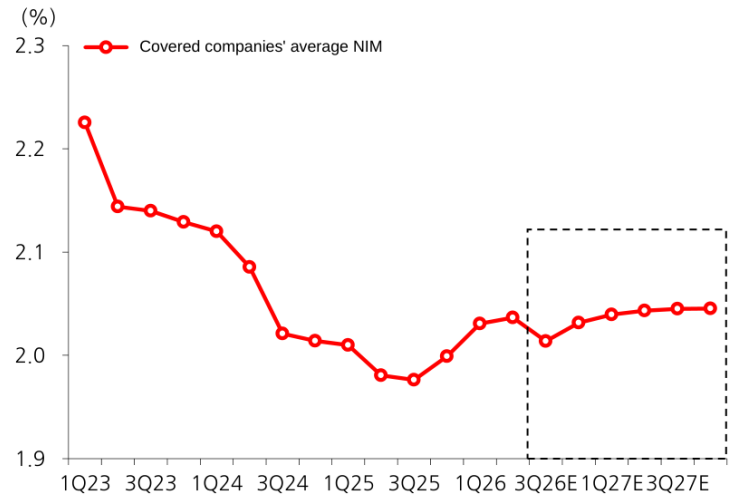


Source: Quantiwise, Hanwha Research Center

2027 Average NIM Forecast at +2bp YoY

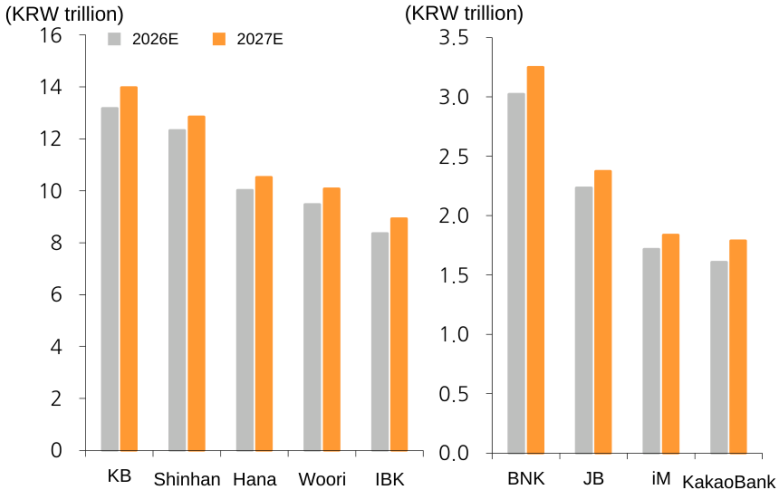
- The net interest margin (NIM) of covered banks is forecast to rebound in 4Q26 and then rise 2bp on average in 2027.
- Given the lag between market rates and bank NIM, consecutive QoQ increases during 2026 would have been natural, but margins have been sluggish due to (1) liabilities (funding) growing more than assets (loans) through 1H, (2) the rise in corporate loan rates being restrained, unlike funding rates and household loan rates that reflected market rates normally, and (3) a worsening mix within funding liabilities from August.
- In 4Q26, the funding burden is expected to ease, and with the CD rate, one of the base rates for corporate loans (mainly at commercial banks), rising in earnest from September, margins are forecast to rebound. However, the productive finance targets that remain in 2027 are still expected to restrain the rise in corporate loan rates.
- Won loan growth of covered banks in 2027 is estimated at 4.2% (household +3.1%, corporate +4.9%). As a result, net interest income is forecast to rise 7% YoY on average.

Covered Bank Stocks' Net Interest Margin (NIM) Trend and Forecast



Source: Company data, Hanwha Research Center

Covered Bank Stocks' Net Interest Income Forecast



Source: Hanwha Research Center

2027 Credit Costs Forecast at +7% YoY

- 2027 is expected to be a period of rising credit risk. The credit cost ratio of covered companies is forecast to turn upward for the first time in three years.
- We judge the grounds to be that market rates are rising on improved macroeconomic indicators concentrated in specific industries, deepening the burden on marginal borrowers, and that the NPL coverage ratios of major banks have recently declined.
- (Average NPL coverage ratio of the seven bank holding companies and IBK at end-1H26: 100.6%)
- Accordingly, we estimate that 2027 provisions for loan losses of covered companies will rise 7% YoY on average.

Covered Bank Stocks' Credit Cost Ratio (CCR) Trend and Forecast



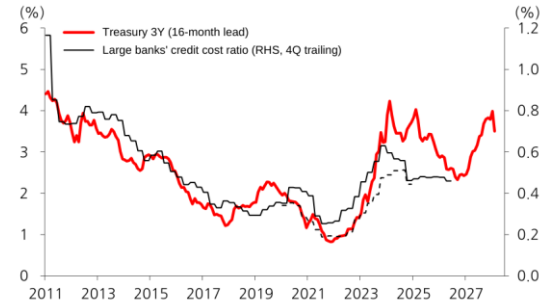
Source: Company data, Hanwha Research Center

Covered Bank Stocks' Loan Loss Provision Forecast



Source: Hanwha Research Center

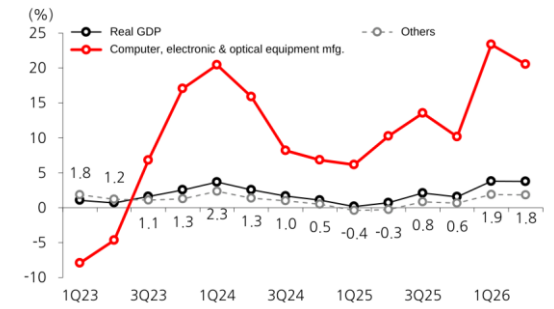
Bank Credit Cost Ratio Lagging Market Rates



Source: Korea Financial Investment Association, Company data, Hanwha Research Center

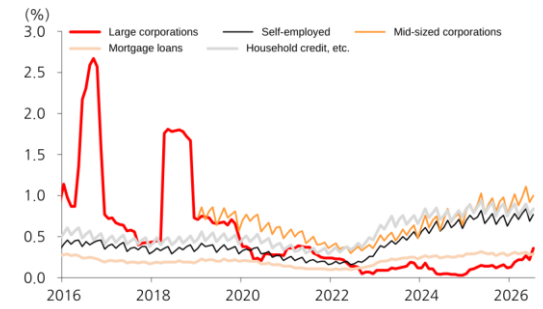
2027 Credit Costs Forecast at +7% YoY (cont.)

Economic Growth Concentrated in Specific Industries



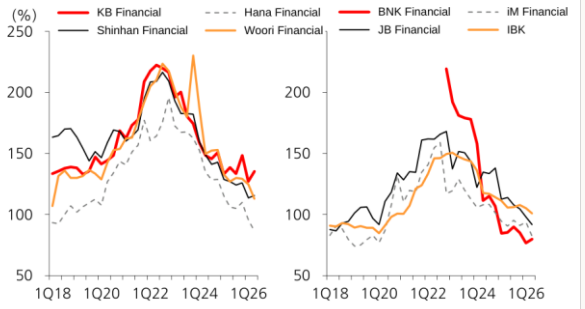
Source: Bank of Korea, Hanwha Research Center

Bank Sector Delinquency Rate Trend



Source: Financial Supervisory Service, Hanwha Research Center

NPL Coverage Ratio

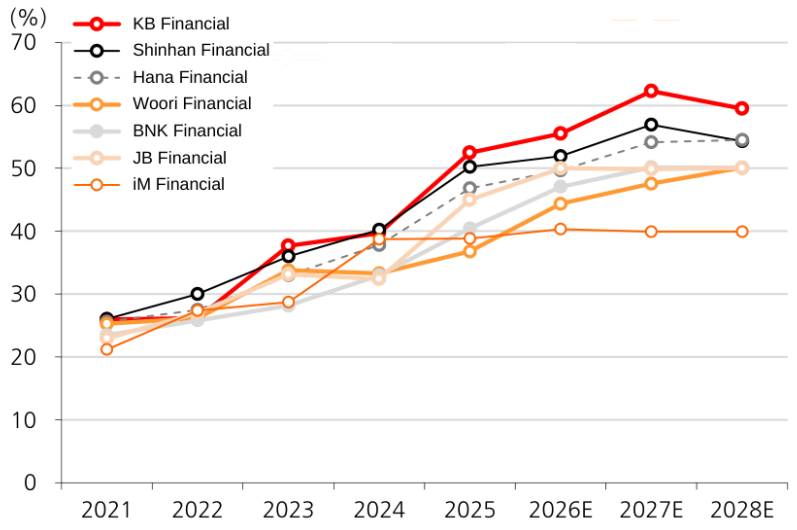


Source: Company data, Hanwha Research Center

2027 Bank Holding Company Return Yield Forecast at 8–10%

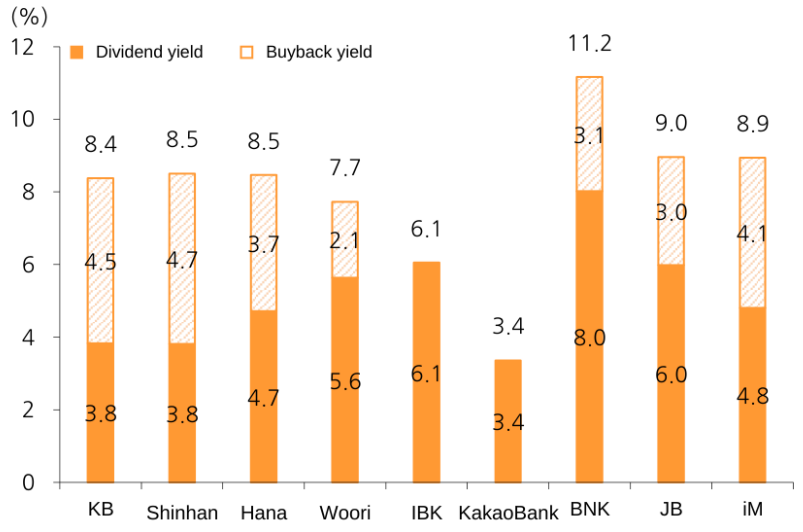
- 2027 shareholder return ratios of major bank holding companies are mostly expected to rise from the prior year. Much of the capital headroom generated by won strength in 2H26 is expected to be invested in risk-asset growth to build a base for future profits, but there is still expected to be room to allocate to returns.
- 2027E shareholder return ratio: KB Financial 62%, +7%p YoY / Shinhan Financial 57%, +5%p YoY / Hana Financial 54%, +4%p YoY / Woori Financial 48%, +3%p YoY / BNK Financial 50%, +3%p YoY / JB Financial 50%, flat YoY / iM Financial 40%, flat YoY
- Shareholder return yields are expected at 8–10% on a bank holding company basis. In an environment of heightened stock market uncertainty, the high earnings stability of bank stocks, the shareholder returns that this secures, and the higher return yields are judged to be factors strengthening their function as defensive stocks.

Bank Holding Companies' Shareholder Return Ratio Trend and Forecast



Source: Quantiwise, Hanwha Research Center

2027 Shareholder Yield Expectations

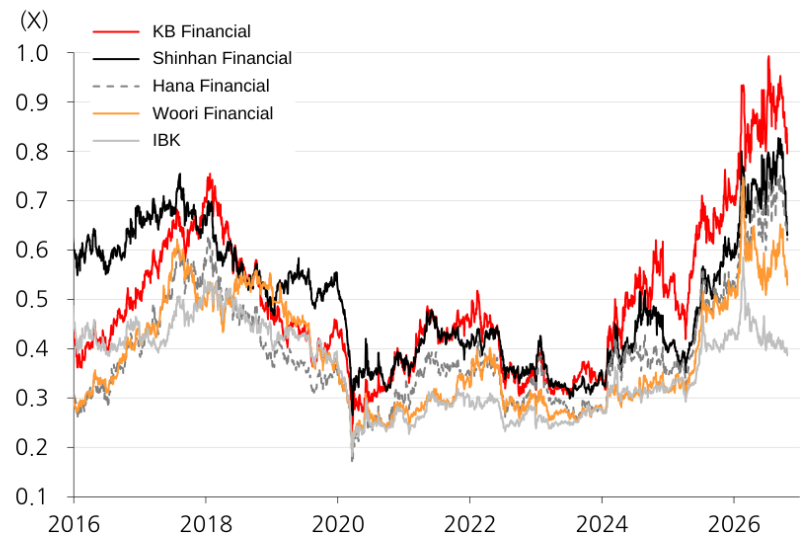


Source: Hanwha Research Center

The 2027 Investment Point Is Shareholder Returns Again

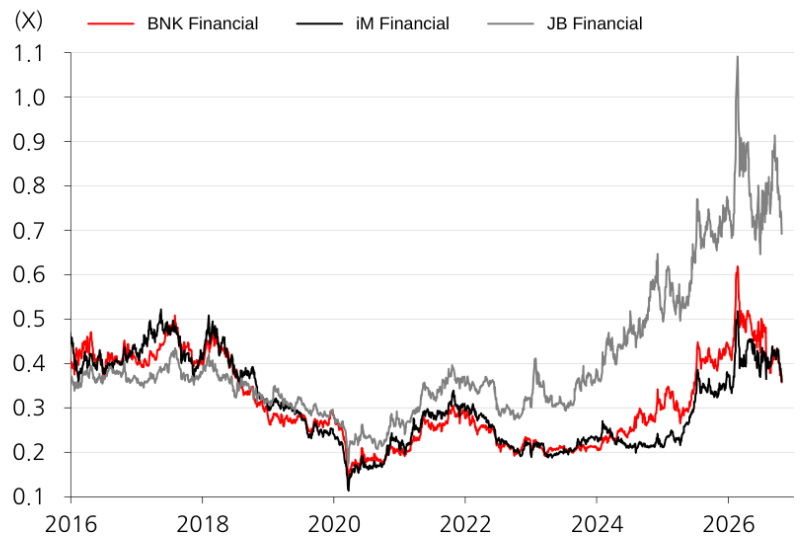
- Bank stock valuations have recently trended down. The average 12m forward PBR fell from the mid-September peak of 0.80x to 0.62x over 25 business days for commercial bank holding companies, and from 0.59x to 0.44x over the same period for regional bank holding companies, a decline in the 20% range.
- We judge the weak share prices of bank stocks to be the combined result of (1) the trend of market rates falling from their peak over the same period, (2) successive disappointments on quarterly margins, and (3) concerns over a rising credit cost ratio.
- Considering that 2027 is a period in which earnings momentum weakens versus 2026, the main investment point for the bank sector is expected to again depend on relative shareholder returns.

Covered Bank Stocks' 12m forward PBR - I



Source: Quantiwise, Hanwha Research Center

Covered Bank Stocks' 12m forward PBR - II



Source: Quantiwise, Hanwha Research Center

KB Financial Group (105560): KRW 4 Trillion-Range Shareholder Returns Expected

Buy (Maintained)

Target Price
220,000 KRW

Current Price (10/26)
147,200 KRW

Upside
▲49.5%

Market Cap	**KRW 52,210.0 billion**
Shares Outstanding	**354,688 thousand shares**
52-Week High / Low	**186,200 / 113,800 KRW**
90-Day Avg. Daily Value	**KRW 170.417 billion**
Foreign Ownership	**78.1%**

SHAREHOLDERS

National Pension Service (+1 other)	**9.2%**
Capital Research and Management Company (+3 others)	**7.1%**
BlackRock Fund Advisors (+14 others)	**6.2%**

2027 Net Income Attributable to Controlling Shareholders Forecast at +1% YoY, Adjusted EPS at +7% YoY

- KB Financial's 2027 net income attributable to controlling shareholders is forecast to rise 1% YoY. This is the result of assuming that recurring credit costs will rise (+8% YoY) against a high prior-year base of fee income related to asset markets.
- 2027 NIM is expected to return to the 1Q26 level, at +2bp YoY. Over the same period, CCR is assumed to rise 1bp YoY.
- With the annual scale of treasury share purchases and cancellation exceeding KRW 2 trillion for the first time, EPS growth is estimated to reach +7% YoY.

The Best Choice When Shareholder Returns Are the Main Interest

- In 2027, more attention is expected to focus on shareholder returns than on indicators such as profitability and growth. This is because the bank sector is forecast to be in a phase of weakening momentum.
- KB Financial has an affiliate structure that is advantageous for allocating the capital headroom secured through won strength to risk-asset investment. Even while allocating to growth, 2027 shareholder returns are estimated to increase to KRW 4.2 trillion (shareholder return ratio 62%).
- With the 12m forward PBR lowered to 0.80x amid the recent sector-wide share price weakness, the 2027 shareholder return yield rises to 8.0%, and we judge this to be a phase in which investment appeal has been restored. We maintain it as the top pick in the sector.

KB Financial Group Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
General Operating Income	17,135	18,117	19,547	19,988	20,673
Net Interest Income	12,827	13,073	13,170	13,981	14,574
Pre-Provision Operating Profit	10,197	11,053	11,870	12,049	12,392
Operating Profit	8,045	8,518	9,454	9,444	9,648
Net Income (Controlling)	5,078	5,833	6,677	6,760	6,905
EPS	13,572	16,222	19,250	20,684	22,087
BPS	154,949	164,669	177,506	195,397	212,609
PER	6.1	7.7	7.6	7.1	6.7
PBR	0.5	0.8	0.8	0.8	0.7
ROE	8.8	10.0	11.1	10.8	10.6
Dividend Payout Ratio	23.5	27.1	27.0	28.1	29.0
Dividend Yield	4.1	3.4	3.4	3.8	4.2

Source: Hanwha Research Center

KB Financial Group (105560): Earnings Estimates

Table 50. KB Financial Group Earnings Estimates (Unit: KRW billions, %)

(KRW billions, %)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
General Operating Income	5,009.6	5,242.2	4,839.1	4,455.8	5,075.9	5,112.0	5,064.9	4,735.3	18,117.3	19,546.6	19,988.1
Net Interest Income	3,334.8	3,143.4	3,324.9	3,367.3	3,430.9	3,483.1	3,519.3	3,547.7	13,073.1	13,170.4	13,981.0
Pre-Provision Operating Profit	3,244.7	3,352.7	3,062.7	2,209.7	3,240.4	3,232.0	3,217.4	2,358.9	11,052.8	11,869.7	12,048.7
Provision for Loan Losses	517.1	640.1	550.1	708.6	597.3	669.1	621.0	717.4	2,535.1	2,415.9	2,604.7
Operating Profit	2,727.6	2,712.5	2,512.6	1,501.2	2,643.1	2,562.9	2,596.5	1,641.5	8,517.7	9,453.8	9,444.0
Pre-Tax Profit	2,631.1	2,732.8	2,512.6	1,401.2	2,643.1	2,562.9	2,596.5	1,641.5	8,183.1	9,277.6	9,444.0
Net Income (Controlling)	1,892.4	1,992.2	1,812.6	979.7	1,894.9	1,843.8	1,873.1	1,147.7	5,833.2	6,676.9	6,759.6
% YoY											
General Operating Income	9.9	13.0	10.9	-2.2	1.3	-2.5	4.7	6.3	5.7	7.9	2.3
Operating Profit	19.0	27.2	7.6	-14.5	-3.1	-5.5	3.3	9.3	5.9	11.0	-0.1
Net Income (Controlling)	11.5	14.6	7.5	37.7	0.1	-7.4	3.3	17.2	14.9	14.5	1.2
Profitability Ratios											
Net Interest Margin	1.77	1.74	1.74	1.75	1.76	1.77	1.77	1.77	1.75	1.75	1.77
SG&A Expense Ratio	35.2	36.0	36.7	50.4	36.2	36.8	36.5	50.2	39.0	39.3	39.7
Credit Cost Ratio	0.42	0.52	0.44	0.56	0.46	0.51	0.47	0.54	0.53	0.49	0.50

Source: KB Financial Group, Hanwha Securities

SECTORS

I Food & Beverage
II Cosmetics
III Retail/Apparel
IV Airlines
V Internet/Games
VI Semiconductors
VII Banks
VIII **Insurance**
IX Autos
X Construction/Utilities
XI Defense
XII Steel/Non-ferrous
XIII Power Equipment

VIII

Insurance

Earnings Growth through Improved Core Profitability

Korea 2027 Industry Outlook

Insurance: Summary

1

Insurance profit and interest spread improve together

- 2027E OP: Samsung Life +151%, Samsung Fire & Marine +27%, Hanwha General, Hyundai Marine & Fire and Hanwha Life +15~20%, and DB Insurance +7% YoY forecast.
- Insurance: as competition for new contracts wanes and institutional improvements accompany it, the loss ratio and actual-versus-expected claims variance are expected to improve.
- Investment: the average interest spread of the six companies is estimated to rise 14bp YoY.

2

Introduction of Tier 1 capital regulation; shareholder returns diverge

- The T1 ratios of covered companies exceed the regulatory level, but they need to prepare for the surrender reserve burden and a strengthened discount rate.
- 2027E dividend yields of Samsung Fire & Marine, DB Insurance and Samsung Life are expected at 5.4~6.7%.
- The Samsung affiliates are expected to resolve excess capital through the announcement of a new value-up plan.

3

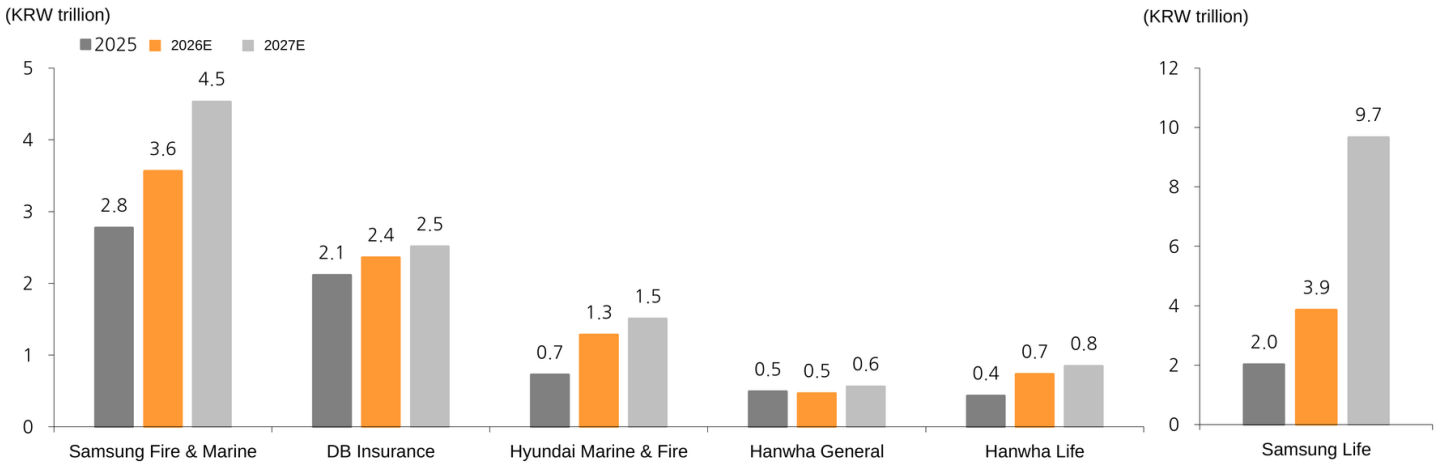
Top picks: DB Insurance, Hanwha General Insurance

- Under policies that curb moral hazard, an insurance profit growth phase is expected, centered on indemnity medical insurance and auto insurance.
- The top picks are presented by comprehensively considering benefits from improved sector profitability, capital capacity and earnings growth momentum.

2027 Dividend Income and Insurance Profit Growth Forecast

- We estimate that the 2027 operating profit of primary insurers under Hanwha Securities coverage will rise (YoY) 151% at Samsung Life, 27% at Samsung Fire & Marine, 15~20% at Hanwha General, Hyundai Marine & Fire and Hanwha Life, and 7% at DB Insurance.
- The grounds for the earnings growth estimates are that (1) for the Samsung affiliates, the increase in dividend income received from Samsung Electronics (house view) had the main effect, (2) for the second-tier non-life insurers, improvements in auto insurance profit and in the claims actual-versus-expected variance were decisive, and (3) for Hanwha Life, the base effect in investment profit played a large role.

Covered Insurers' 2027 Operating Profit Forecast



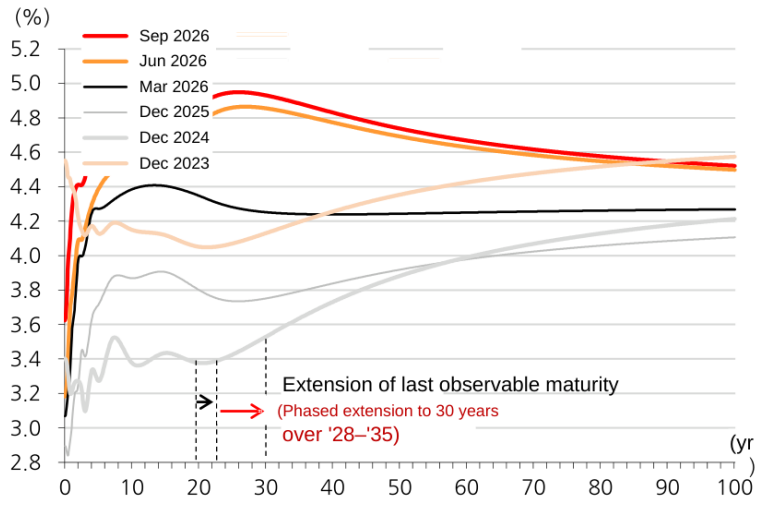
Note: Samsung Fire & Marine is on a consolidated basis; others are on a standalone basis

Source: Company data, Hanwha Research Center

Capital Capacity Improves on Rising Market Rates

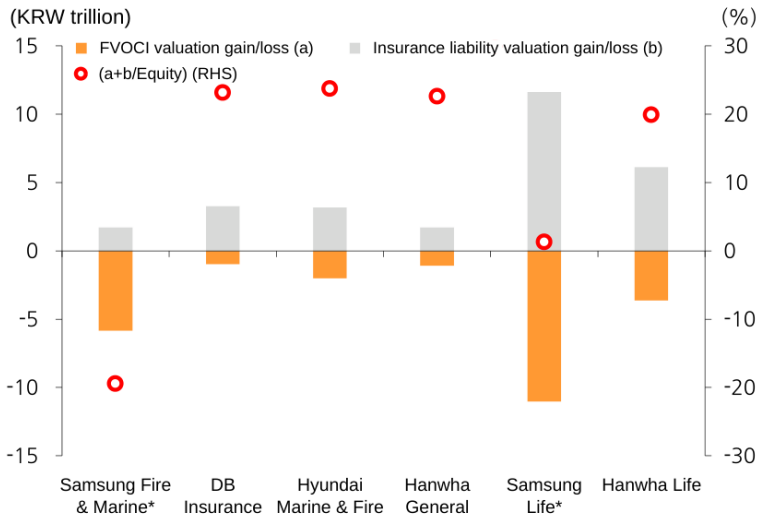
- As Treasury yields have continued to trend upward since September 2025, the insurance liability discount rate curve has shifted up, which contributed to lowering the liability burden.
- As rising rates also lower liability sensitivity itself, most listed companies had their duration gap turn positive (+) as of end-1H26.
- Considering that liability duration will rise again under the financial authorities' schedule to strengthen capital regulation, the current positive gap appears to be close to equilibrium. In addition, even if the average maturities of invested assets and insurance liabilities are similar, liabilities are estimated to be more heavily distributed in the long-maturity range, so a wider term premium is judged to be positive for capital.
- In the rate-rise phase during 1H26, most covered companies benefited from a capital-increasing effect, as liability valuation gains exceeded asset valuation losses in accumulated other comprehensive income (AOCI).

Interest Rate Term Structure Provided by the Financial Supervisory Service



Source: Financial Supervisory Service, Hanwha Research Center

Changes in Asset-Liability Valuation Gains/Losses within Capital in 1H26

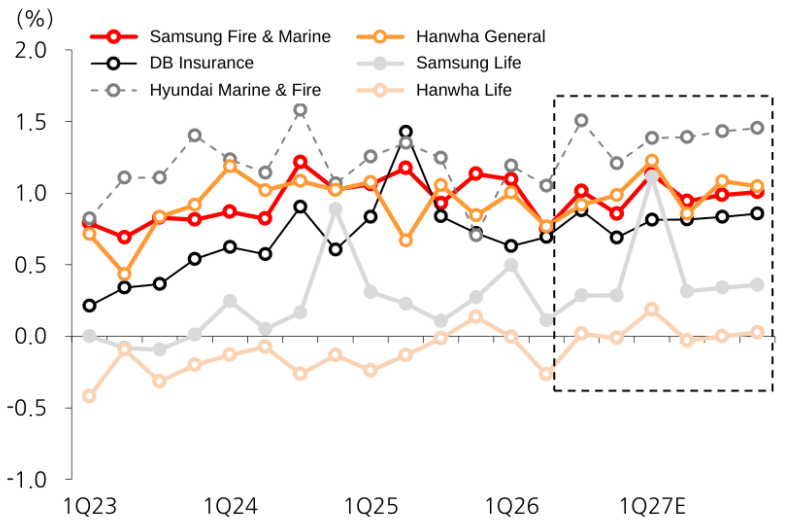


Note: *Changes in FVOCI from Samsung Electronics shares held are excluded
Source: Company data, Hanwha Research Center

2027 Interest Spread Forecast to Improve 14bp YoY

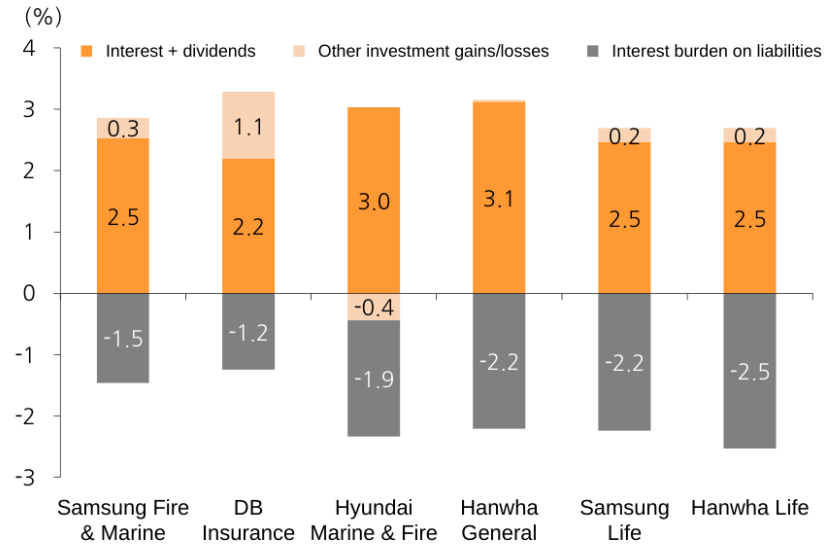
- Meanwhile, rising market rates do not immediately translate into a meaningful increase in investment profit. Insurers' investment profit is broadly divided into (1) interest/dividend profit, (2) interest burden on liabilities, and (3) other trading/valuation/FX/derivative gains and losses.
- We regard the interest spread, which is interest/dividend profit less interest burden, as the core earnings that can be estimated. When market rates rise, the interest rates on held assets and on new liabilities both rise, but because assets have a shorter reinvestment cycle than liabilities and companies can switch holdings at their discretion, an improvement in the interest spread can be expected.
- However, unlike banks, whose asset and liability rate reset cycles are short at about one year on average, insurers mostly have durations of about 10 years or more. Therefore, if elevated long-term rates are maintained for a long time, interest spread improvement is expected to appear cumulatively. The 2027 average interest spread of the six companies is forecast to improve 14bp YoY.

Covered Insurers' Core Investment Profit Spread (Interest + Dividend − Interest Burden)



Source: Company data, Hanwha Research Center

Composition of Net Investment Yield (2025)

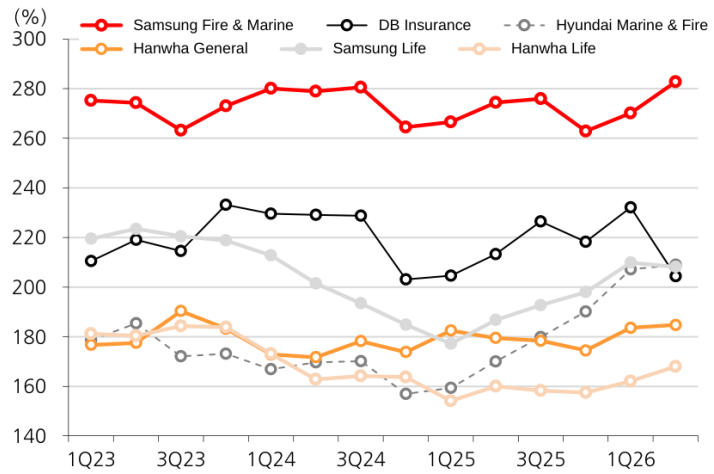


Source: Company data, Hanwha Research Center

Tier 1 (T1) Ratio Regulation to Be Introduced

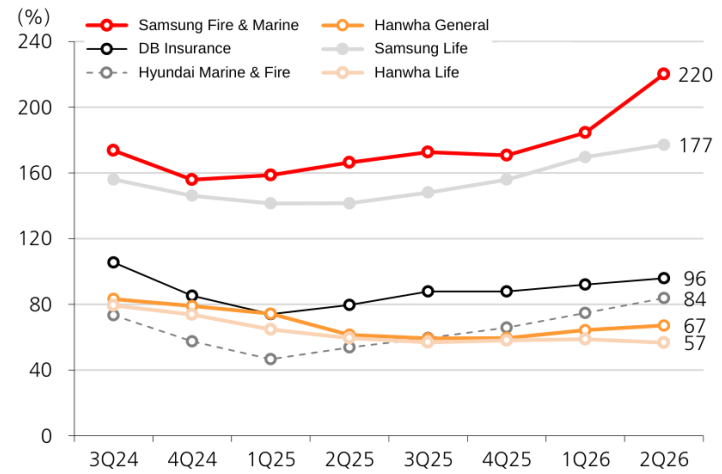
- Regulation of Tier 1 capital will be introduced for the insurance sector from 2027. The regulatory level of the T1 ratio is set at 50% and the sound level at 80%. Falling short of the regulatory level makes a company subject to management improvement measures by the Financial Supervisory Service, and falling short of the sound level requires like-for-like refinancing in order to redeem capital securities early.
- Even if the T1 ratio is below 50% for now, a transition period of 9 years through the end of 2035 will be granted. However, given the conservative nature of the market, listed companies are expected to be implicitly required to remain above 50%.
- All of our covered companies had T1 ratios above 50% as of end-2Q26. Short-term concerns are therefore limited, but considering (1) the T1 deduction after unappropriated retained earnings are exhausted by the increase in surrender reserves, and (2) the possibility that a resumed plan to strengthen the liability discount rate increases interest rate risk or reduces available capital, most insurers are expected to need company-level efforts.
- In addition, Samsung Fire & Marine and Samsung Life, which exceed the regulatory level by 3–4 times, are judged to have a high need to resolve excess capital that crowds out ROE.

K-ICS Ratio by Covered Insurer



Source: Financial Supervisory Service, Hanwha Research Center

Tier 1 (T1) Capital Ratio by Covered Insurer

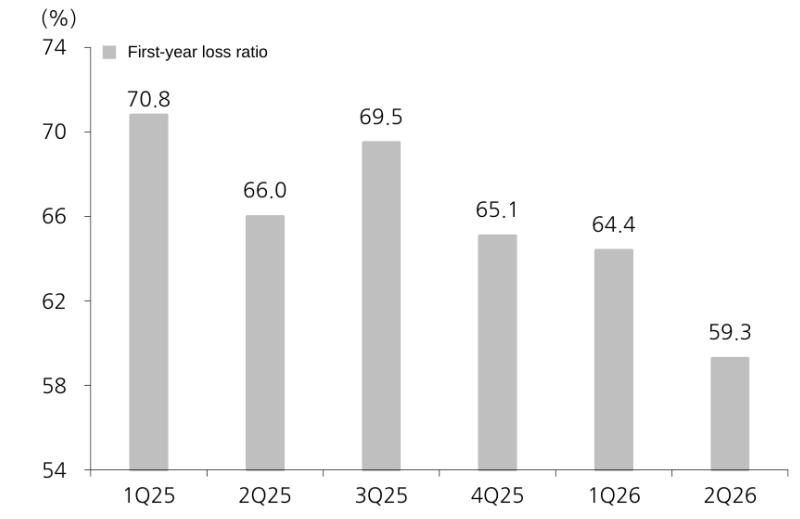


Source: Korea Non-Life Insurance Association, Korea Life Insurance Association, Hanwha Research Center

Profitability Improvement Expected as New Contract Competition Wanes

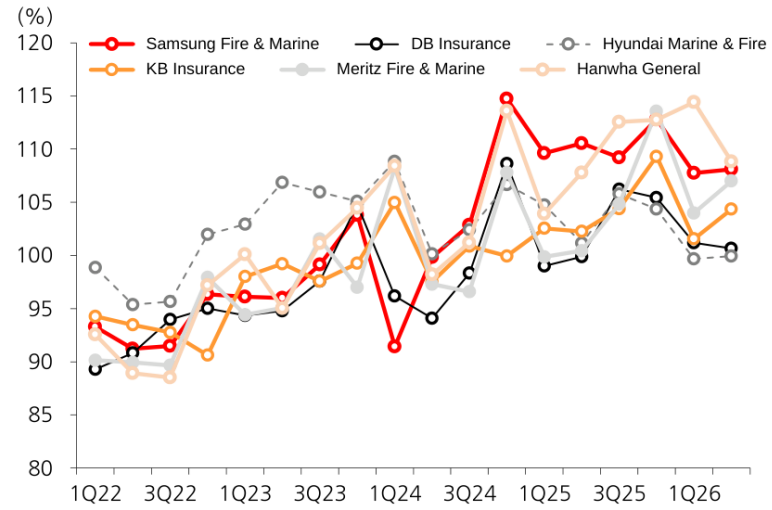
- Insurance profitability is forecast to improve in 2027. As the competition for new long-term protection-insurance contracts, which had continued across the sector to secure CSM since the introduction of IFRS 17, wanes, the first-year loss ratio, which had risen away from trend, is also showing signs of normalizing.
- Long-term insurance profitability at major non-life insurers is showing a trend of ceasing its YoY deterioration and turning to improvement, led by the large companies. The profitability indicator that matches risk and loading premiums against their costs (claims and operating expenses), excluding the savings component, worsened 4%p YoY on a big-three average in 2025 but improved 2%p YoY on average in 1H26.
- Because the incentives for indiscriminate competition have shrunk owing to the side effects of new-contract competition, such as weaker CSM strength from higher acquisition costs and greater cancellations, worse early loss ratios and a sharp rise in the surrender reserve burden, as well as to GA channel commission regulations, the trend of core profitability improvement is expected to continue for the time being.

Samsung Fire & Marine First-Year Loss Ratio Trend



Source: Samsung Fire & Marine, Hanwha Research Center

Long-Term Insurance Profitability Trend at Major Non-Life Insurers (Cost vs. Risk and Loading Premiums)

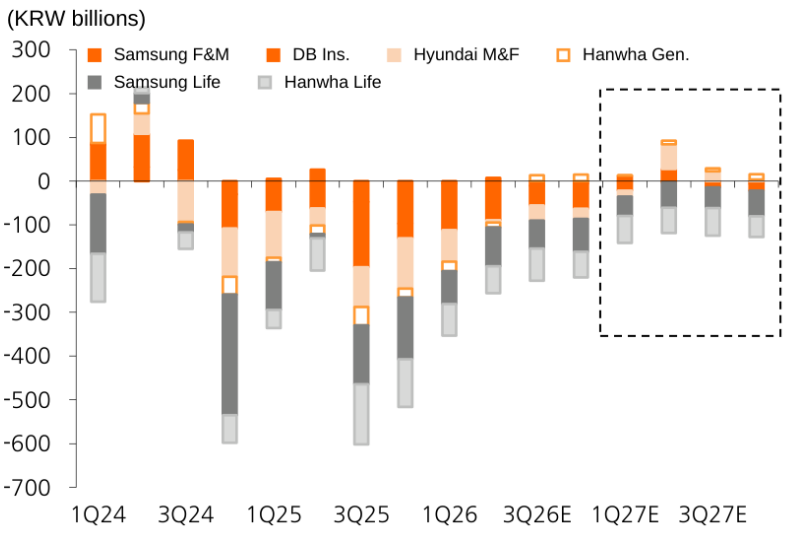


Source: Korea Insurance Development Institute, Hanwha Research Center

Loss Ratio Improvement Expected from Institutional Support

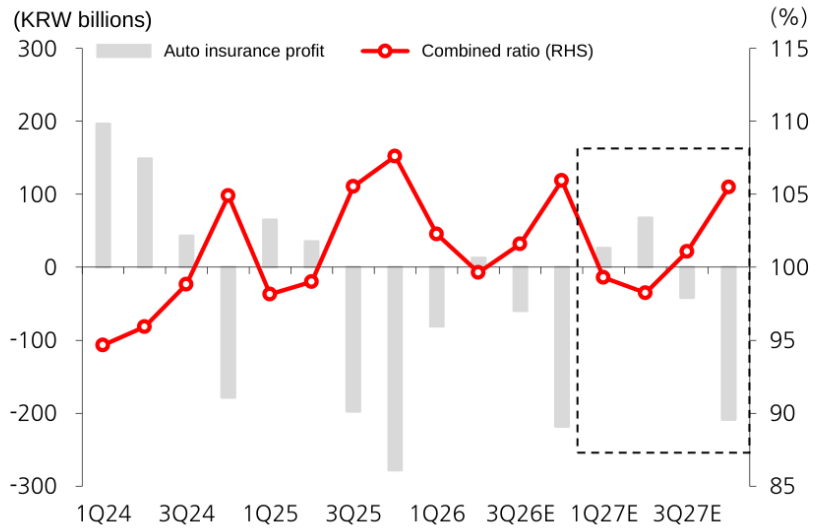
- Beyond core factors, institutional support is also expected. The fee for manual therapy, which had averaged just over KRW 100,000 nationwide, was included in managed benefits and fell to KRW 44,000, and as the supply of medical services fell by more than the price, manual therapy claims in August 2026 fell 96% YoY.
- Other physical therapy treatments increased instead, but in August manual therapy claims fell KRW 46.2 billion and the balloon effect amounted to KRW 8.4 billion, a combined improvement of about KRW 37 billion. Annualized, this is about KRW 450 billion, which supports our expectation that annual claims will be reduced by KRW 80 billion for the large companies.
- With the decline in the auto accident rate and institutional improvements by the Ministry of Land, Infrastructure and Transport and the financial authorities (the 8-week rule, standards for payment of future treatment costs, etc.), auto insurance profitability is also expected to improve.

Expected Improvement in Actual-versus-Expected Variance, Led by Non-Life Insurers, with the Introduction of Managed Benefits



Source: Company data, Hanwha Research Center

Auto Insurance Profit Trend and Forecast

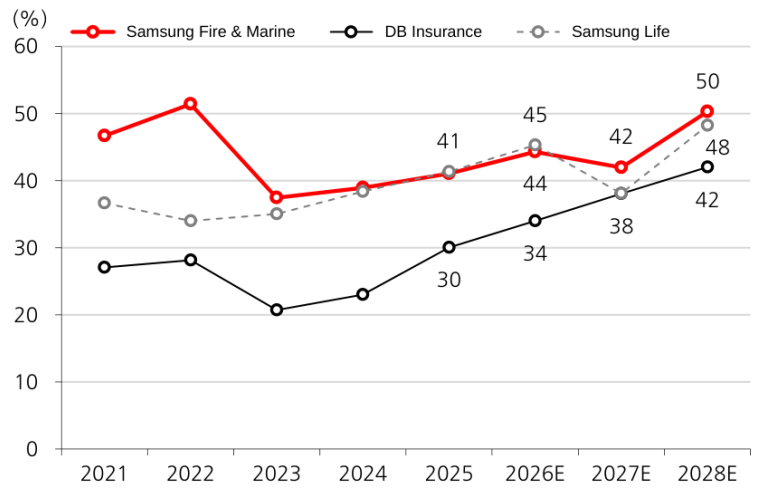


Source: Company data, Hanwha Research Center

Target of Gradually Rising Dividend Payout Ratios

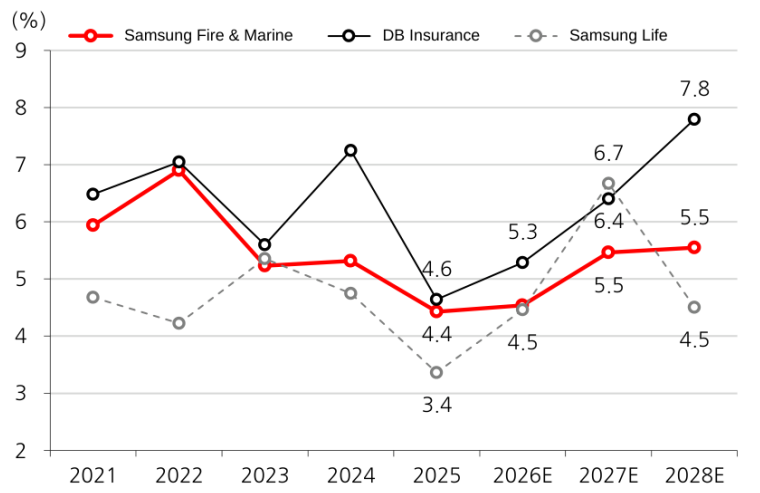
- Among listed primary insurers, only Samsung Fire & Marine, DB Insurance and Samsung Life are able to pay dividends, and they are presenting targets of a gradual rise in dividend payout ratios.
- For DB Insurance, we assumed that it will linearly follow the shareholder return policy announced last August (2030E standalone payout of 50%), while for Samsung Fire & Marine and Samsung Life we assumed that DPS rises while maintaining the payout ratios calculated if the 2025 gain on the sale of Samsung Electronics shares is included in dividends (Fire & Marine 40.5%, Life 38.4%). On this basis, expected dividend yields come to 4.5~5.3% for 2026E and 5.5~6.7% for 2027E.
- Samsung Fire & Marine and Samsung Life will announce new corporate value-up plans. The likelihood that this happens within the year has risen sufficiently, and we judge that share buybacks and cancellations need not be ruled out.
- Whether Hyundai Marine & Fire, Hanwha General and Hanwha Life pay dividends for 2027 is expected to be decided by the plan to ease surrender reserves that is currently under discussion.

Covered Insurers' Dividend Payout Ratio



Source: Quantiwise, Hanwha Research Center

Covered Insurers' Dividend Yield



Source: Quantiwise, Hanwha Research Center

DB Insurance (005830): Well Balanced

Buy (Maintained)

Target Price
247,000 KRW

Current Price (10/26)
179,700 KRW

Upside
▲37.5%

Market Cap	**KRW 11,770.4 billion**
Shares Outstanding	**65,500 thousand shares**
52-Week High / Low	**205,500 / 119,300 KRW**
90-Day Avg. Daily Value	**KRW 40.108 billion**
Foreign Ownership	**42.7%**

SHAREHOLDERS

Kim Nam-ho (+14 others)	**27.8%**
National Pension Service (+1 other)	**9.4%**
Treasury Shares (+1 other)	**7.4%**

2027 Net Income Forecast at +8% YoY

- DB Insurance's 2027 net income is forecast to rise 8% YoY.
- Insurance profit falls 3% YoY, but this is a base effect from the large indemnity-insurance reversal caused by the institutional change in 2Q26; excluding that factor, it is forecast to rise 21% YoY.
- Investment profit is forecast to rise 19% YoY. This is the result of the core spread rising 11bp YoY and a base effect from weak trading/valuation gains and losses in 2H26.

Well Balanced

- Insurance profit is expected to enter an improvement phase, with the indemnity loss ratio normalizing through reduced overtreatment and with policies curbing moral hazard in auto insurance.
- It is regrettable that an earnings shock is expected for 3Q26 results, but we judge concerns to be limited because (1) expectations for 2027 earnings have not been lowered (neither our estimates nor consensus), and (2) the decline in annual dividend yield from weak quarterly results is only in the 0.1% range.
- The company's dividend yield is expected at 5.2% in 2026 and 6.2% in 2027. Considering the benefits from improved sector profitability, sufficient capital capacity and non-organic earnings growth momentum, we maintain it as the top pick in the sector.

DB Insurance Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
Insurance Profit	1,619	1,036	1,375	1,343	1,515
Investment Profit	744	1,078	984	1,173	1,268
Operating Profit	2,363	2,114	2,359	2,516	2,783
Net Income (Controlling)	1,772	1,535	1,693	1,834	2,027
CSM Balance*	12,240	12,201	12,519	12,827	13,257
Adjusted EPS	29,516	25,199	26,307	28,995	32,181
Adjusted BPS	230,723	234,915	272,583	275,698	281,053
Adjusted PER	3.5	5.2	6.8	6.2	5.6
Adjusted PBR	0.4	0.6	0.7	0.7	0.6
Adjusted ROE	12.4	10.8	10.4	10.6	11.6
Dividend Yield	7.2	4.6	5.3	6.4	7.8

Note: Standalone financial statements; *Based on retained net liabilities
Source: Hanwha Research Center

DB Insurance (005830): Earnings Estimates

Table 53. DB Insurance Earnings Estimates (Unit: KRW billions, %)

(KRW billions, %)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Insurance Profit	226.6	561.8	292.2	294.9	306.5	347.8	362.4	323.2	1,035.9	1,375.5	1,340.0
Investment Profit	236.1	402.1	157.5	188.3	284.7	288.4	296.4	303.9	1,077.7	984.0	1,173.4
Operating Profit	462.7	963.9	449.7	483.1	591.3	636.2	658.8	627.1	2,113.7	2,359.4	2,513.3
Pre-Tax Profit	459.5	967.7	449.7	483.1	591.3	636.2	658.8	627.1	2,108.0	2,360.1	2,513.3
Net Income	268.5	711.1	344.1	369.7	431.0	463.7	480.2	457.1	1,534.9	1,693.5	1,832.1
% YoY											
Insurance Profit	-43.7	109.9	186.2	11.9	35.3	-38.1	24.0	9.6	-36.0	32.8	-2.6
Investment Profit	-3.2	16.7	-47.7	0.1	20.6	-28.3	88.2	61.4	44.9	-8.7	19.3
Operating Profit	-28.5	57.4	11.5	7.0	27.8	-34.0	46.5	29.8	-10.5	11.6	6.5
Net Income	-39.9	54.6	17.5	10.4	60.5	-34.8	39.5	23.6	-13.4	10.3	8.2
Invested Assets	7.2	7.8	4.7	1.8	2.6	3.5	4.3	4.3	13.0	1.8	4.3
CSM Balance*	-0.3	-3.5	-3.9	2.6	-1.3	0.1	-0.3	2.0	-0.3	2.6	2.0

SECTORS

I Food & Beverage
II Cosmetics
III Retail/Apparel
IV Airlines
V Internet/Games
VI Semiconductors
VII Banks
VIII Insurance
IX **Autos**
X Construction/Utilities
XI Defense
XII Steel/Non-ferrous
XIII Power Equipment

IX

Autos

Hold the Line

Korea 2027 Industry Outlook

Autos: Summary

1
2026 Review

- In '26, the domestic auto sector emerged early in the year as a beneficiary of Physical AI momentum, but returned its valuation premium amid macro uncertainty such as inflation and exchange rates and weak earnings from production disruptions and intensifying competition.

2
2027 Outlook

- Low demand growth continues in 2027 as macro uncertainty such as high interest rates/inflation persists.
- In a limited sales environment, achieving additional revenue growth through regional xEV sales growth ultimately matters.
- Profitability pressure intensifies from China's export offensive, strengthened protection of home markets (IAA) and continued rises in raw material prices.

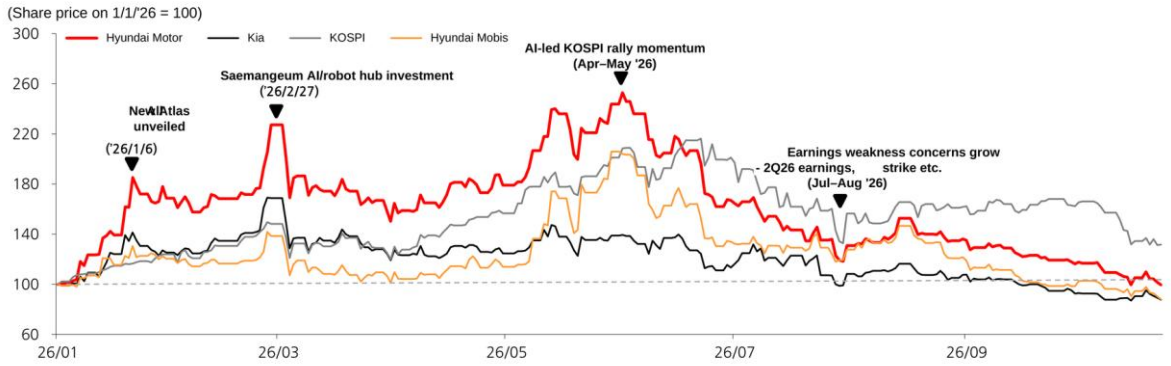
3
2027 Response: Hold the Line

- Efforts to strengthen local supply chains ahead of the imminent entry into force of the EU IAA: Hyundai Motor/Hyundai Mobis, which hold local bases, have the advantage.
- Secure profitability by expanding the North American HEV lineup, and defend against China's volume offensive by increasing BEV volume in Europe.
- Attention should be on future-readiness, such as pilot validation ahead of mass production of L2+ SDV and robots in 2028.

2026 Review: Auto Sector Share Prices Return All Early-Year Expectations

- Domestic auto sector shares emerged early in the year as beneficiaries of Physical AI momentum, but returned the entire valuation premium amid weak 2H earnings and growing macro uncertainty.
- Domestic automaker shares reflected Physical AI expectations with the unveiling of Boston Dynamics' 'New Atlas' in January, and recorded a year high on 6/1/'26.
- However, shares have fallen since June on growing macro uncertainty such as higher raw material prices from the prolonged Middle East war and interest rate volatility.
- In addition, the impact of weak earnings, including volume disruptions from a supplier fire in 1H and the July/August strikes and margin pressure from intensifying global competition, has compounded.

Domestic Automaker Share Price Return Comparison (YTD Basis)

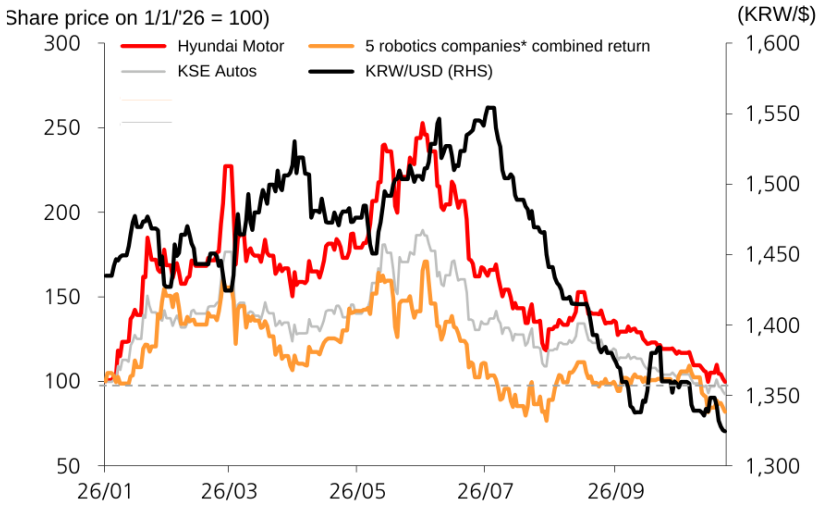


Source: Quantiwise, Hanwha Research Center

2026 Review: Physical AI Momentum That Failed to Overcome Macro Uncertainty

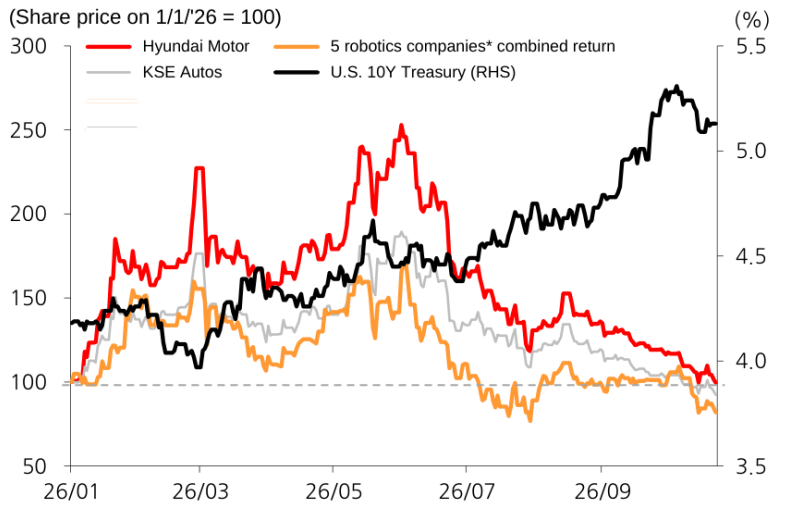
- In 1H26, on strong AI momentum, the rise in shares of robotics-related sectors, which emerged as a core pillar of Physical AI, slowed rapidly from 2H as exchange rate and interest rate volatility came to the fore.
- The decline in the KRW/USD exchange rate since July this year heightened concerns over lower profitability in the export-heavy auto sector, weighing on share prices.
- * On a standalone revenue basis, the export share in 1H26 was 62.7% for Hyundai Motor and 68.7% for Kia
- In addition, rates rose amid growing inflation concerns, such as higher oil prices from Middle East uncertainty and higher semiconductor prices from expanded AI CAPEX, which acted as a valuation burden on robotics and Physical AI-related growth stocks → weighing on the auto sector shares that had risen early in the year on Physical AI expectations.

Domestic Physical AI Sector Returns and KRW/USD Exchange Rate Trend



Note: *Doosan Robotics, Rainbow Robotics, Koh Young, ROBOTIS, SPG
Source: Quantiwise, Hanwha Research Center

Domestic Physical AI Sector Returns and U.S. 10-Year Treasury Yield Trend

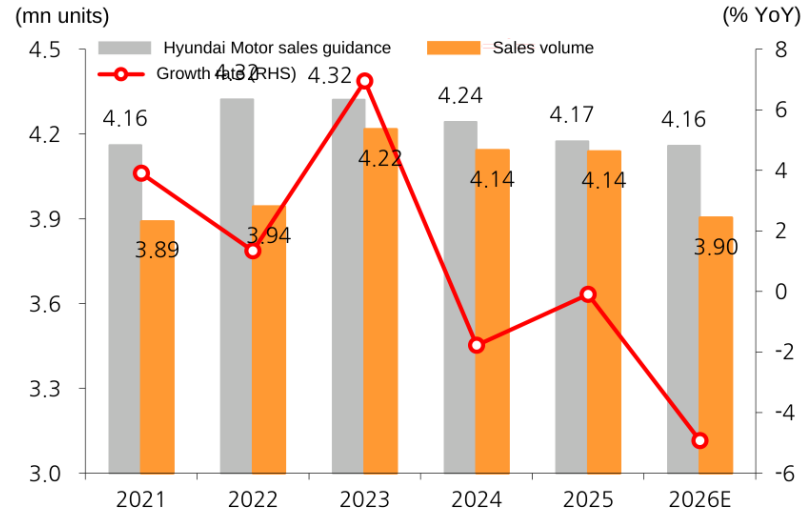


Source: Quantiwise, Hanwha Research Center

2026 Review: Weak Automaker Earnings – Sales Disruption and Lower Profitability

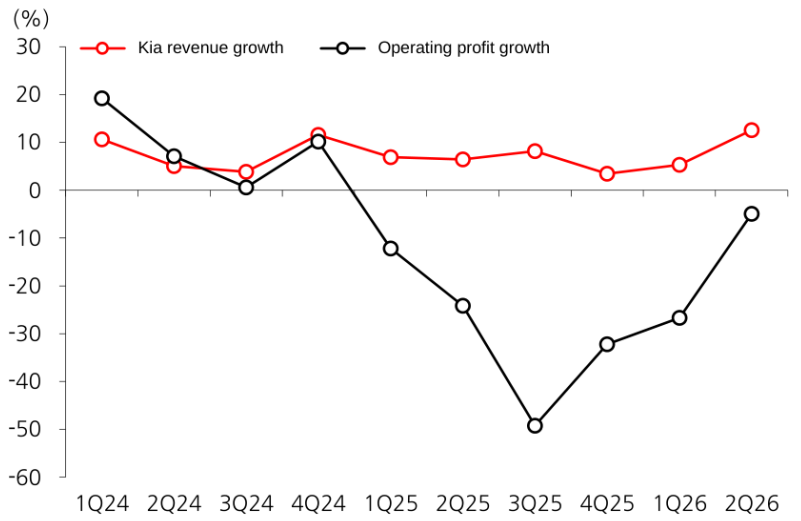
- In '26, domestic automaker earnings were weak overall on a Hyundai Motor/Kia basis. Hyundai Motor's volume decreased, while Kia's sales growth was good but profitability declined.
- Hyundai Motor is forecast to sell 3.904 million units (-5.7% YoY), 254,000 units below its annual sales guidance of 4.158 million units this year, owing to the supplier fire and strike impacts.
- Kia is expected to sell 3.293 million units (+5.0% YoY), close to its annual guidance of 3.35 million units, through new launches such as the Telluride and EV2 and expanded sales.
- However, profitability declined, despite the easing of last year's tariff impact, owing to sales growth centered on relatively low-margin affordable EVs and the effect of higher raw material prices.

Hyundai Motor Annual Sales Volume and Growth Rate Trend/Forecast – Continued Negative Growth from Sales Disruption



Source: Hyundai Motor, Hanwha Research Center

Kia Quarterly Revenue/Operating Profit Growth Rate Trend – Weak Profit Growth versus Revenue from Mix Deterioration

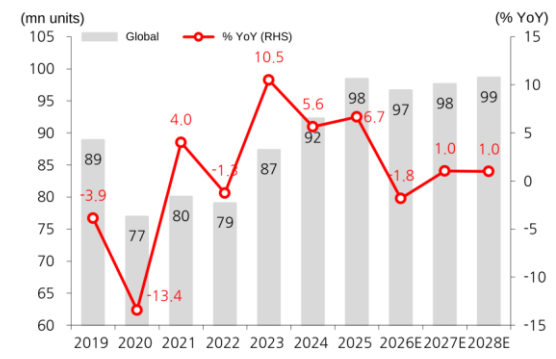


Source: Kia, Hanwha Research Center

2027 Outlook: Global Automaker Demand – Continued Low Growth amid Macro Uncertainty

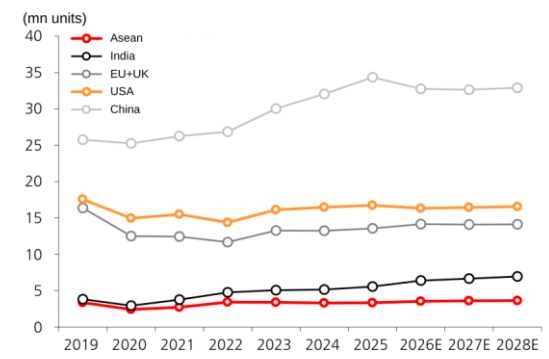
- Global auto industry demand continues to slow in growth after high growth in 2023, as uncertainty factors such as tariffs and changes in subsidy policies persist.
- In 2026, Europe and India showed growth of 4.5% and 14.5%, respectively, but the U.S. and China contracted (U.S. -2.4%, China -4.7%; YoY hereafter) as purchasing power fell on tariff effects, reduced subsidies and high oil prices/inflation.
- 2027 industry demand is forecast to continue low growth (+1.0%) as macro uncertainty such as high interest rates/inflation persists, despite the low 2026 base.
- The U.S. is forecast to grow at a low rate (+0.7%) as the effects of high oil prices/inflation persist. China is expected to fall below flat (-0.3%) as the demand slowdown continues.
- Europe's high growth on EV demand this year is forecast to slow somewhat (-0.5%) owing to macro uncertainty.
- India, by contrast, is expected to continue the most solid growth among global regions (+4.2%) on urbanization and OEMs' expanded local production capacity.

Global Auto Industry Demand Trend and Forecast



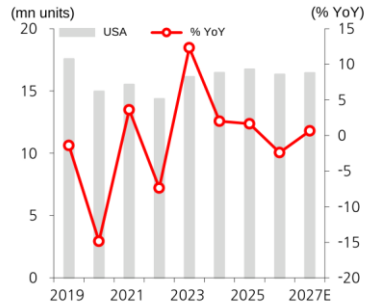
Source: S&P Global, Hanwha Research Center

Demand Trend and Forecast by Major Region



Source: S&P Global, Hanwha Research Center

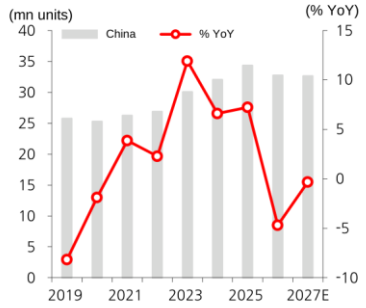
U.S. Demand Trend and Forecast – Low Growth (+0.7%) Forecast



Source: S&P Global, SNER, Hanwha Research Center

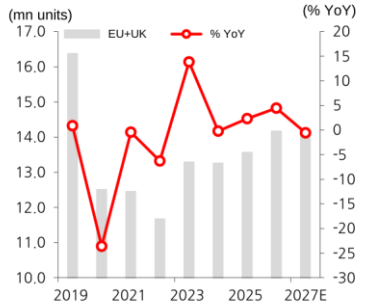
2027 Outlook: Global Automaker Demand – Continued Low Growth amid Macro Uncertainty (cont.)

China Demand Trend and Forecast – Continued Below Flat (-0.3%)



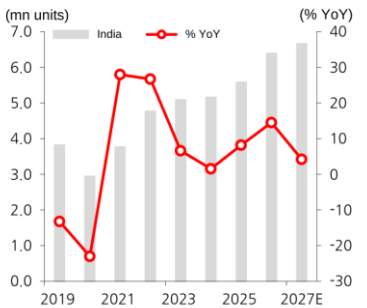
Source: S&P Global, SNER, Hanwha Research Center

EU Demand Trend and Forecast – Turn to Slowing Growth (-0.5%)



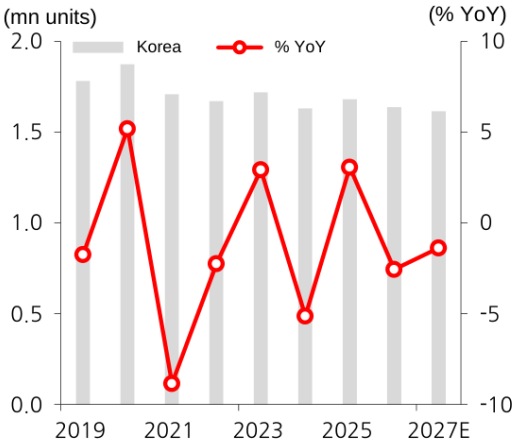
Source: S&P Global, SNER, Hanwha Research Center

India Demand Trend and Forecast – Stable Growth Continues (+4.2%)



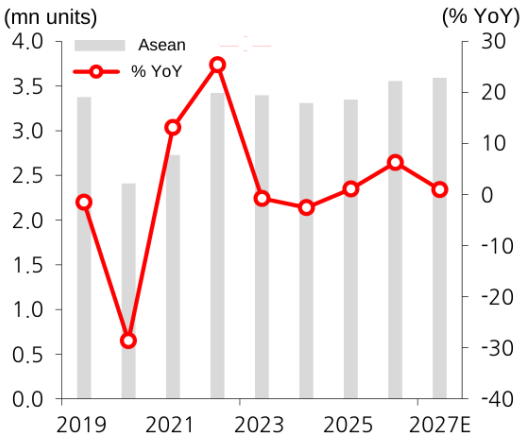
Source: S&P Global, SNER, Hanwha Research Center

Domestic Demand Trend and Forecast – Continued Below Flat (-1.4%)



Source: S&P Global, SNER, Hanwha Research Center

ASEAN Demand Trend and Forecast – Growth Slows Somewhat (+1.0%)



Source: S&P Global, SNER, Hanwha Research Center

2027 Outlook: xEV Growth Slows Somewhat but Is Most Important for Volume Growth

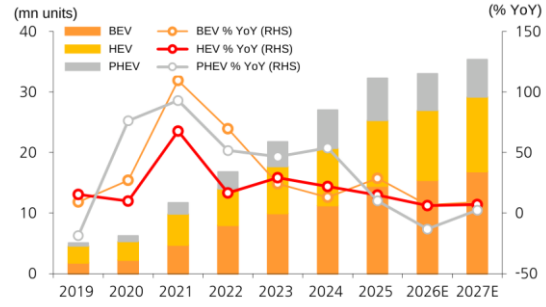
- In a limited sales environment owing to low market demand growth, automakers need to achieve additional revenue growth through regional xEV sales growth.
- xEV growth slows but remains relatively solid. 2027 global BEV demand is forecast at 16.85 million units (+9.1%) and HEV at 12.31 million units (+7.1%).
- [BEV] Growth turns in '27 on the low base from lower U.S. and China demand in '26. The EU continues high growth on sustained high demand for affordable EVs.
- (U.S./China) On the low base from the sharp drop in '26 BEV demand (-25.9%/-11.2%), a turn to growth (+2.9%/+4.3%) is forecast in '27.
- (Europe) On sustained demand centered on affordable EVs, '27 BEV demand grows to 3.9 million units (+19.2%), accounting for 27.9% of total demand.
- [HEV] Strong demand growth centered on the U.S./North America is expected to continue. Meanwhile, Europe/China continue relatively lower demand growth than BEV (+3.5%/+0.4%).
- (U.S.) High HEV demand growth (3.03 million units, +17.1%) continues as the powertrain replacing ICE. It is expected to account for the largest demand (22.5%) in the global HEV market.

Global Eco-friendly Vehicle (xEV) Industry Demand Trend and Forecast



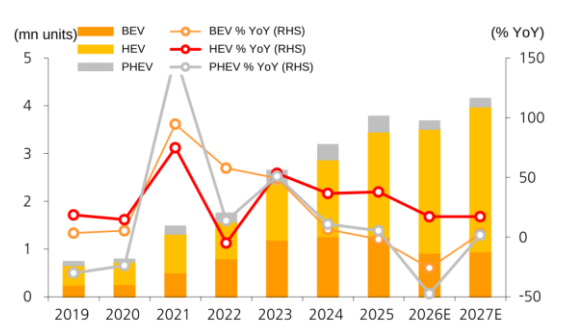
Source: S&P Global, Hanwha Research Center

Global xEV Demand Size and Growth Rate by PT



Source: S&P Global, SNER, Hanwha Research Center

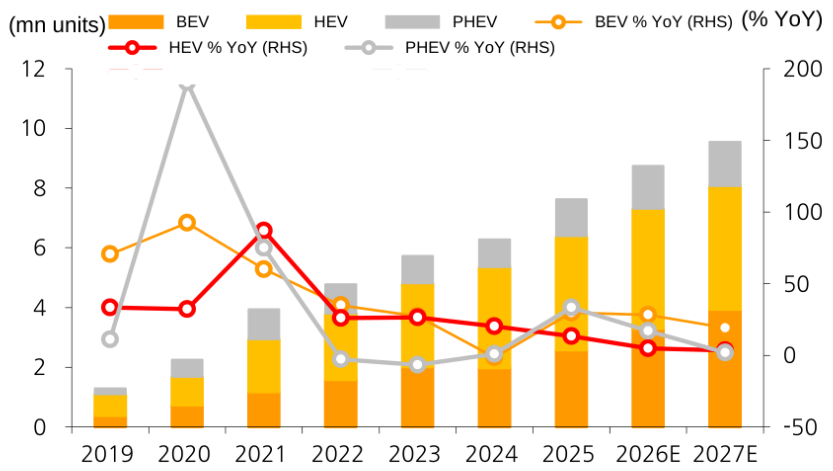
U.S. xEV Demand Size and Growth Rate by PT – Growth Continues Centered on Strong HEV Demand



Source: S&P Global, SNER, Hanwha Research Center

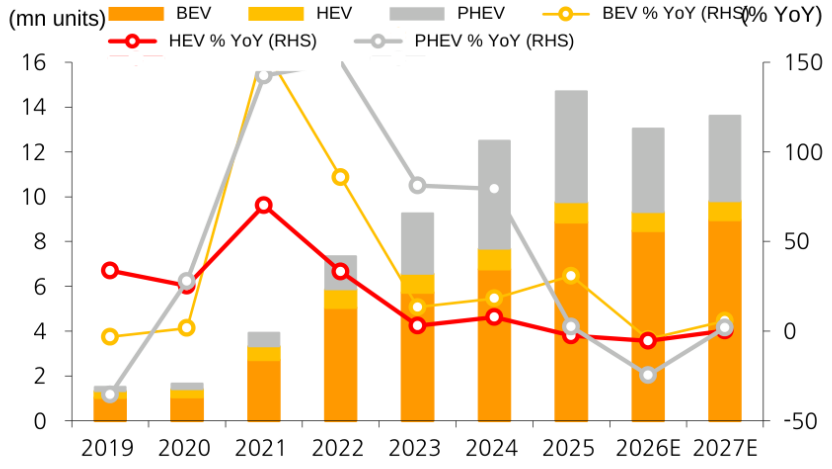
2027 Outlook: xEV Growth Slows Somewhat but Is Most Important for Volume Growth (cont.)

Europe xEV Demand Size and Growth Rate by PT – Growth Centered on BEV



Source: S&P Global, SNER, Hanwha Research Center

China xEV Demand Size and Growth Rate by PT

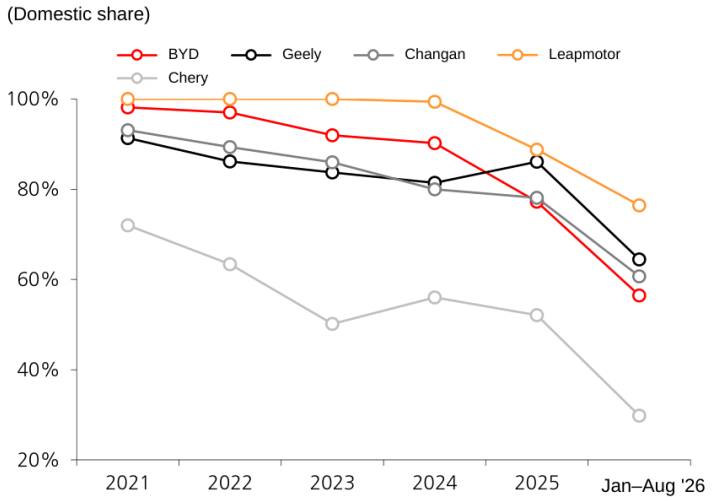


Source: S&P Global, SNER, Hanwha Research Center

2027 Key Issues 1) Intensifying Chicken Game from China – Pushing Volume into the EU

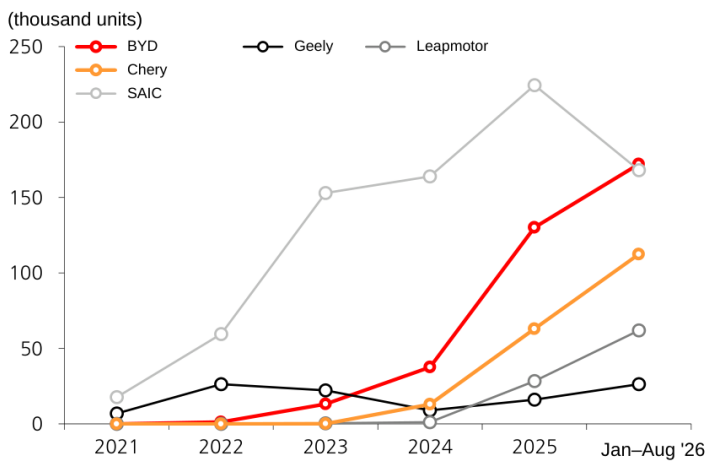
- Chinese local makers have been expanding export-centered sales volume from the domestic market since 2025, and considering the continued demand slowdown trend in China's domestic market in 2027 (-0.5%), they are expected to focus on export-centered volume expansion.
- The domestic sales share of total sales at major Chinese local makers including BYD has been shrinking by more than 10%p every year since 2025.
- The reduced domestic volume is shifting into expanded overseas export volume. China's global vehicle exports in 2026 are expected to reach about 10 million units.
- The expanding export volume shows a clear trend of rising sales centered on Europe, including the EU and UK.
- The cumulative sales of major Chinese local makers such as BYD and Chery in Europe from January to August 2026 have already exceeded their full-year 2025 sales.
- * Growth rate of sales versus the same period a year earlier, based on cumulative sales through August 2025: BYD 134.8%, Leapmotor 458.3%, Chery 283.1%

Share of Domestic Sales at Major Chinese Local Makers – Exports Increase from '25



Source: Marklines, Hanwha Research Center

Chinese Local Makers' Sales in Europe – Cumulative Aug '26 Sales Exceed Full-Year '25 Sales

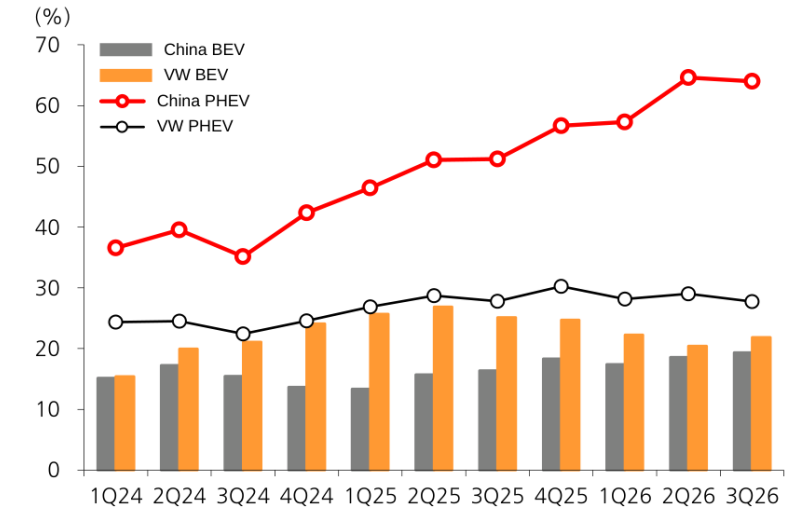


Source: Marklines, Hanwha Research Center

2027 Key Issues 1) Intensifying Chicken Game from China – Profitability Pressure within the EU

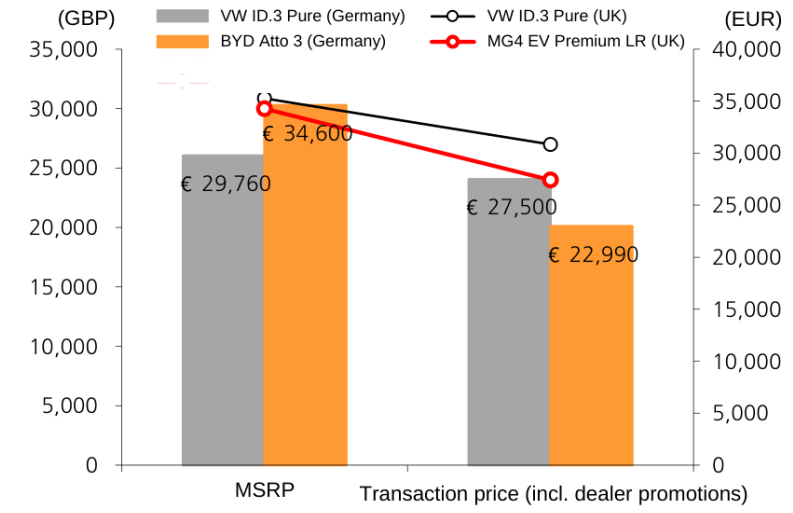
- Chinese local makers' sales growth in the European region is concentrated in BEVs and PHEVs, and they are expanding dominance especially in the PHEV market.
- Chinese BEV M/S in Europe is 19.3% as of 3Q26 (+2.9%p YoY) and PHEV M/S is 64% (+12.8%p), a sharp increase.
- VW, which retains the No. 1 BEV/PHEV M/S, saw its BEV M/S fall to 21.8% (-3.3%p) and its PHEV M/S to 27.7% (-0.1%p) as of 3Q26.
- The driver of Chinese local makers' push into the European market is price, as they focus on securing a transaction price advantage over MSRP (consumer price) through aggressive incentives.
- BYD and SAIC, among others, sell at lower prices than competing models even though they are subject to EU countervailing duties of 27% and 35.3%, respectively.

Chinese Makers' Share in the European BEV/PHEV Market



Source: SNER, Hanwha Research Center

Comparison of MSRP vs. Transaction Price of Models Sold in Europe

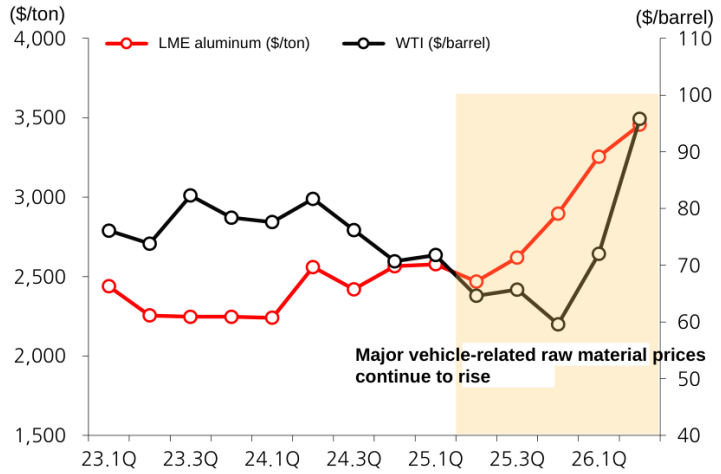


Source: Press reports, Hanwha Research Center

2027 Key Issues 2) Continued Rise in Raw Material Prices – Profitability Pressure across the Business

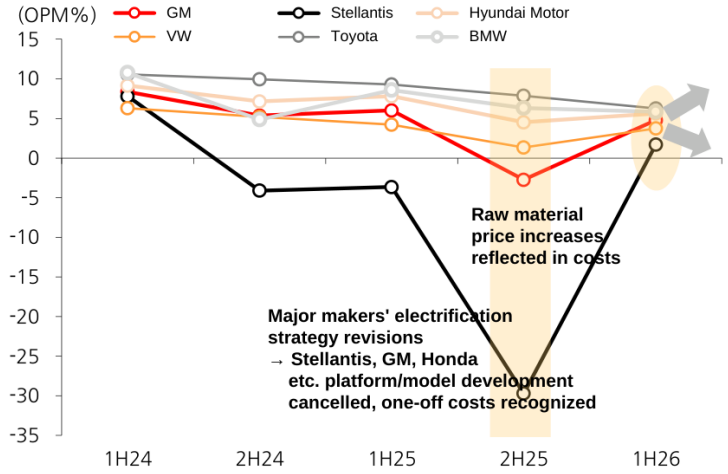
- Following the supply-demand volatility of non-ferrous metals from trade conflicts such as U.S. tariffs, cost pressure across the sector has intensified as oil prices continue to rise on the prolonged Middle East war.
- The rise in aluminum, which accounts for 10–15% of vehicle weight, and in oil prices, the feedstock of plastics whose share within vehicles has recently been increasing, continues to widen.
- * On an LME basis, 2Q26 aluminum rose +48.3% YoY and WTI rose +40% YoY
- Accordingly, concerns over lower profitability in the auto sector may persist in 2027 as well.
- Following the one-off electrification cost effects from last year's U.S. tariffs and the abolition of EV subsidies, higher raw material prices are gradually reflected from 2H26.
- If U.S.-China conflict and Middle East geopolitical uncertainty persist in '27, the manufacturing cost ratio in 2H could rise 0.5%–1%p versus 1H.

Major Raw Material Price Trend – Acting as a Pressure Factor on Vehicle Manufacturing Cost Increases



Source: SNER, Hanwha Research Center

Global Automakers' OPM (%) Trend – Raw Material Increases on Top of Tariff/Electrification Cost Effects



Source: SNER, Hanwha Research Center

2027 Key Issues 3) Strengthened Domestic Protectionism – EU IAA (Industrial Accelerator Act)

- Following the U.S. IRA, the EU has also announced the 'Industrial Accelerator Act (IAA)' for the purpose of fostering strategic industries within the region and regulating decarbonization, as a measure to counter Chinese subsidies.
- Target to raise the manufacturing share, about 14% of EU GDP as of 2024, to 20% by 2035.
- To that end, it pursues the direction of securing technology/manufacturing leadership within the EU, including mandatory European content and tighter screening conditions for FDI (foreign direct investment) of EUR 100 million or more.
- Electrification, software-defined vehicles (SDV) and autonomous driving are the top-priority targets of the IAA, and the Act demands structural changes that could directly affect automotive supply chain operations and the profitability of automakers/parts makers.
- The CAPEX and R&D investment burden of raising the local production share of vehicles/parts will act as downward pressure on global makers' profitability going forward.
- On the other hand, it is an opportunity to improve the competitiveness of global makers that already hold local production bases in the EU, compared with Chinese local makers that have relatively few local production bases.

Table 54. EU IAA (Industrial Accelerator Act) Background

Item	Focus	Key Content
Key Goal	Manufacturing Renaissance	Currently about 14% → 20% in 2035; expand manufacturing's share of EU GDP to 20% by 2035
Made in Europe	Mandatory European Content	Apply European-content ratios for parts/products when providing public procurement/subsidies; induce at least 70% European-made content in EV assembly within the EU and in parts
Accelerated Permitting	Fast-Track Introduction	Designate industrial acceleration zones; digitalize permit procedures into a single window; drastically shorten administrative procedures for key projects
Investment Regulation	FDI (Foreign Direct Investment) Screening	Regulate strategic sectors (batteries, solar, etc.) in which a specific country holds 40% or more of the global market; apply strict screening to investments of EUR 100 million or more; induce substantive value creation within the EU rather than simple assembly
Low-Carbon Market	Eco-friendly Incentives	Public preferential procurement of low-carbon products such as steel, cement and aluminum; create demand through the introduction of voluntary low-carbon labeling
Strategic Sectors	Focus Development Areas	Battery, Electric vehicle (EV), Solar, Wind power, Hydrogen, Nuclear power, Carbon capture (CCUS)

Source: Korea International Trade Association, Hanwha Research Center

2027 Key Issues 3) Strengthened Domestic Protectionism – EU IAA (Industrial Accelerator Act) (cont.)

Table 55. EU IAA Details – Focused on Automotive Industry Content

Category	Target	Application Date	Low-Carbon/EU-Origin Requirements	Other
Energy-intensive industrial products	Steel	From January 1, '29	Apply low-carbon steel to at least 25% of total steel used in buildings, infrastructure, automobiles, etc. (no EU-origin obligation)	–
Energy-intensive industrial products	Aluminum		Low-carbon and EU-origin application for at least 25% of total usage	–
Electric vehicles	Pure EVs / plug-in hybrids / hydrogen vehicles	6 months after the regulation takes effect	Assembly within the EU; EU-origin for at least 70% of non-battery parts value; EU-origin for at least 3 battery core parts, including battery cells	Additional requirements for EU-origin application (applied after 3 years): at least 5 battery core parts (including cells, cathode materials and BMS); at least 50% of electrification PT parts; at least 50% of major electronic systems
Electric vehicles	Small EVs (M1E)		Assembly within the EU; EU-origin for at least 70% of non-battery parts value, or EU-origin for at least 3 battery core parts, including battery cells	Same requirements as small zero-emission vehicles (ZEV) to benefit from super credits (※ Super credit: when calculating a manufacturer's CO2 emissions, one vehicle is counted as 1.3 vehicles rather than 1)

Source: Korea International Trade Association, Hanwha Research Center

2027 Response: Hold the Line 1) Optimizing Regional Local Supply Chains

- With the EU IAA, if it takes effect in 2027, expected to apply from 2028 at the earliest, the global auto industry's advance response is expected to begin in earnest.
- Chinese local makers with a minimal local base in Europe are pursuing expansion of local assembly bases, centered on Hungary and Spain, to respond to the regulation.
- * BYD plans to establish a 150,000-unit mass-production system in Hungary in 4Q26 and begin mass production of the 'Dolphin Surf' model
- The domestic automaker/parts industry is also expected to respond to the IAA regulation in earnest by converting existing production bases into electrification-centered bases such as BEV.
- (As of 2025, Europe's share of global sales is 14.5% for Hyundai Motor and 16.2% for Kia, one of the major regions)
- * Hyundai Motor has 580,000 units of production capacity in Europe. It is converting to electrification lines to respond to EV demand (BEV share 50%+), and began production of the Ioniq 3 in August
- * Kia's Slovakia plant also completed conversion to an EV production line early this year, recording cumulative production of 58,000 EV2 and EV4 units as of 3Q this year, and is in the ramp-up process
- * Hyundai Mobis has begun operating production bases in Spain, Hungary and elsewhere, in which it has expanded investment since '23 to increase non-captive orders, and is expanding its response to local sourcing demand

Table 56. Chinese Local Automakers: Accelerating Large-Scale 'Workaround Production'

Company	Base Location	Local Production Capacity (units)	Local Sales (units, 2025)	Remarks
BYD	Hungary (Szeged)	150,000 per year → 300,000	130,000 per year	Entered full-scale mass production from 4Q 2026 after trial production in early 2026; put its existing Türkiye (Manisa) investment plan on hold and concentrated company-wide capabilities on its plant in Hungary, an EU member state
SAIC	Spain (Galicia)	120,000 per year	225,000	Investing EUR 200 million to respond to MG sales in Europe; aims to break ground in 2027 and begin operation in 2028; to be used as a base for a vertical integration strategy including R&D and parts supply chain beyond vehicle assembly
Leapmotor	Poland (Tychy) & Spain (Zaragoza)	Using Stellantis's surplus capacity	29,000	Uses European plants through a JV (Leapmotor Intl.) rather than its own plants; until 2025 produced the T03 model by SKD at the Tychy, Poland plant; to respond to regulation, building a production line dedicated to the B10 compact SUV at the Zaragoza, Spain plant to accelerate local production

Source: Press reports, Hanwha Research Center

2027 Response: Hold the Line 1) Optimizing Regional Local Supply Chains (cont.)

Table 57. Korean Automakers and Parts Makers: Electrification-Centered Supply Chain Restructuring and Response to Local Parts Sourcing Demand

Company	Base Location	Production Capacity (units)	Main Production	Remarks
Hyundai Motor	Czechia	330,000–340,000 per year	Kona EV, Tucson	Large-scale expansion of EV production by 1H 2027; target to reach a 70% EV production share
Hyundai Motor	Türkiye	250,000 per year	i10, i20, Bayon, Ioniq 3	Building automated production facilities for EVs and battery packs; investing about KRW 1.25 trillion (EUR 715 million), mass-producing the Ioniq 3 from August '26; investing about KRW 96 billion in battery pack assembly automation; ※ As Türkiye is a non-EU country, if excluded from IAA application, the Ioniq 3 and others are expected to shift to production in Czechia
Kia	Slovakia	300,000 per year	Sportage, EV4, EV2	Converting EV production line with an investment of EUR 108 million; expanding EV production to 180,000 units by 2027 (3x the existing level)
Hyundai Mobis	Slovakia	280,000 per year	PE system	Beginning mass production of integrated motor/inverter/reducer system (September 2026)
Hyundai Mobis	Hungary	-	Chassis safety modules	Serving as a non-captive supply base, supplying chassis modules to global automakers such as Mercedes-Benz
Hyundai Mobis	Spain	360,000 per year	EV battery system (BSA)	Building a new plant to supply BSA for European EVs such as Volkswagen (end of 2025)

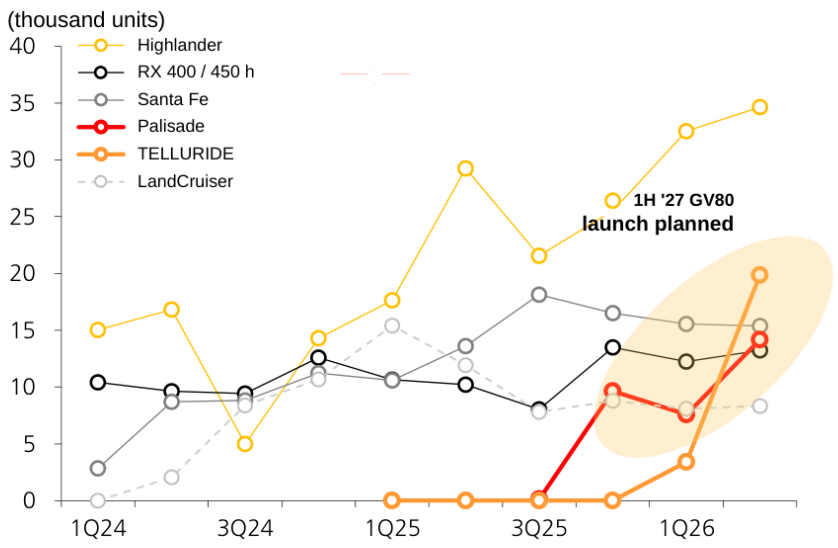
Source: Press reports, Hanwha Research Center

2027 Response: Hold the Line 2) Improve Profit with HEV, Secure Volume with BEV

- In a low-profit competitive situation from low global demand growth and intensifying competition, the feasible market response is ultimately product diversification and 'volume expansion'.
- → Expanding the lineup of North American HEV SUVs, a relatively high-margin market, and defending European BEV M/S through volume expansion amid low-profit competition from China's offensive are important.
- The domestic automaker sector has lineup expandability based on HEV- and BEV-centered PT variation relative to competitors → it is advantageous to expand new models centered on growth segments.
- (North America) The sector outperformed in the mid/large HEV SUV market traditionally led by Japanese makers, and solid M/S expansion and profitability improvement are expected going forward.
- * In '26, the introduction of the Palisade and Telluride was decisive in expanding M/S in a market previously centered on Japanese models (Toyota Highlander, Lexus RX400)
- In '27, the introduction of the GV80 HEV in 1H is expected to raise volume and improve mix in the premium HEV segment, and the Tucson and Seltos HEV new models will be introduced in the compact class.
- (Europe) The EV2 launch was decisive in the high-demand affordable EV segment, and expanded Ioniq 3 sales in '27 are expected to recover the weak EU M/S.
- * Expanding the mass-market EV lineup is negative for mix improvement, but is important for responding to the IAA through local production and for defending against the short-term volume offensive of Chinese local makers

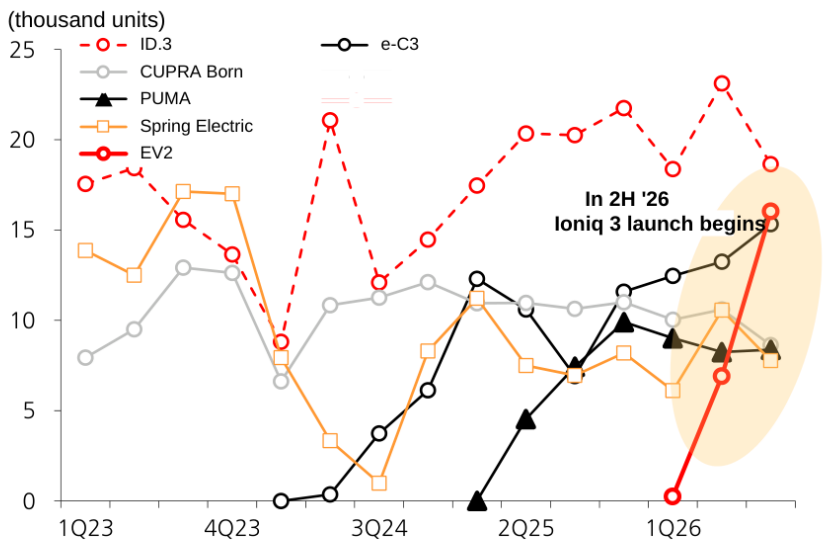
2027 Response: Hold the Line 2) Improve Profit with HEV, Secure Volume with BEV (cont.)

U.S. Mid/Large (D/E/F) SUV HEV Segment: Sales Trend of Major Models



Source: SNER, Hanwha Research Center

Europe Affordable SUV EV (C/D) Segment: Sales Trend of Major Models



Source: SNER, Hanwha Research Center

2027 Response: Hold the Line 3) Preparing for Full-Scale SDV/Autonomous Driving in 2028

- Major global automakers are pursuing in-house technology development and strategic partnerships, aiming for mass production of Full Stack SDV models equipped with advanced Level 2+ (L2+) and Level 3 (L3) autonomous driving functions from 2028.
- (Complementing electrification platforms) Ford and GM plan to newly develop next-generation platforms that fix the performance/quality/profitability problems of existing electrification platforms and apply them to SDVs.
- (Building integrated architecture) Developing and applying a centralized computing system capable of high-performance AI computation on an E/E architecture with an integrated controller structure.
- * GM is pursuing its own design, while VW and Mercedes-Benz are pursuing external collaboration with Rivian and NVIDIA, respectively
- Ahead of the commercialization of L2+ SDV in 2028, in 2027 software and core technologies are expected to be validated in integration in real driving environments, and trial-run vehicles such as the 'Pace Car' are expected to become more widespread to extend the technology to mass-production vehicles in the future.
- %Note: * A measure taken in response to extremely restricted overseas transfer of China geographic information and driving data

Table 58. Global Major Automakers' Autonomous Driving and SDV Promotion Plans – L2+ Applied in 2028

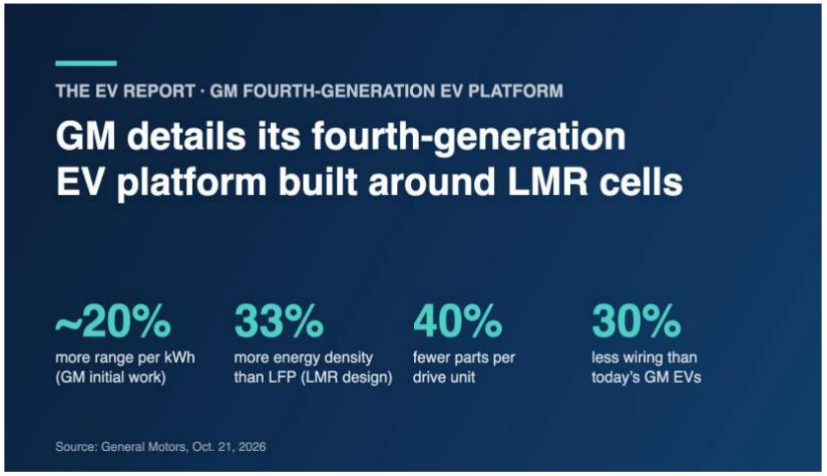
Automaker	L2+ Application Timing	Key Plans for L2+ Autonomous Driving and SDV
Ford	2028	Launch an affordable EV priced at around USD 30,000 in 2027 (based on the Universal EV Platform); install a central computing system based on an integrated-controller architecture in vehicles on that UEV platform; in 2028, plan to apply L2+/L3-class autonomous driving functions (an advanced BlueCruise) based on 'Eyes-off', which lets drivers take their eyes off the road in some sections
VW	2026	This year, launched the 'ID.Unyx08', which applies Xpeng's integrated control technology (CEA architecture), in April, commercializing highway-centered L2 and limited L3 technology in China; in 2024, established the JV 'RV Tech' with Rivian to develop a next-generation EV platform, and plans to launch the first model applying that technology in 2027
GM	2028	Support L2+ urban autonomous driving starting with the Cadillac Escalade IQ in 2028; expand the 'Super Cruise' autonomous driving system, which enables 'Eyes-off' in some sections (learning 3 billion virtual miles of driving daily from 1.2 billion miles of hands-off customer data); launch a 4th-generation EV platform for L2+ SDV and pursue applying a self-designed centralized computing unit (CCU) for high-performance AI computation (applying LMR (lithium manganese-rich) batteries with nickel content lowered to 30–40% of the existing level and a higher share of lithium/manganese, and lightening weight through 40% fewer parts and 30% less wiring)
Toyota	2028	Introduce a next-generation ADAS at the level of Tesla FSD (L2++) in 2028 model-year vehicles based on its in-house operating system 'Arene OS', aiming to prevent about 60% of traffic accident casualties in advance

2027 Response: Hold the Line 3) Preparing for Full-Scale SDV/Autonomous Driving in 2028 (cont.)

Table 58. Global Major Automakers' Autonomous Driving and SDV Promotion Plans – L2+ Applied in 2028 (cont.)

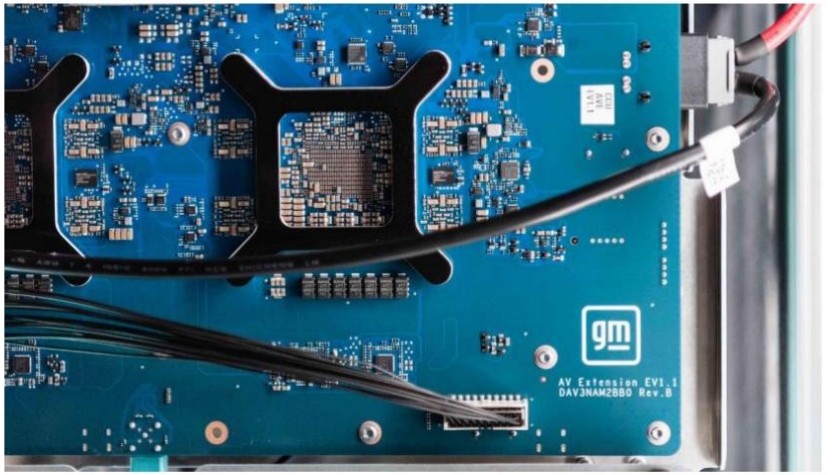
Automaker	L2+ Application Timing	Key Plans for L2+ Autonomous Driving and SDV
Mercedes-Benz	2027	Conduct trial operation of the L2+ 'MB Drive Assist Pro' with CLA customers at the end of this year and begin commercialization in Germany in 2027; apply the Hyperion architecture based on a total of 27 sensors (10 cameras, 5 radars, 12 ultrasonic sensors) and the NVIDIA high-performance chip (Orin), supporting 254–508 Tops of AI computation; pursue applying L2+ ADAS in the new China S-Class model in cooperation with Momenta (* A measure taken in response to extremely restricted overseas transfer of China geographic information and driving data)
Tesla	2024	With the release of FSD v12.3.3 (1H 2024), dropped 'Beta' from the official name and began service as 'Full Self-Driving (Supervised)'; after the Cybercab launch last September, expanded to more than 300 units in Austin within a month, expanding to the Dallas area in November and planning to expand to 1,000 units

GM 4th-Generation EV Platform – Improved Energy Efficiency, Weight Reduction through Fewer Parts/Wiring



Source: GM, VW, Hyundai Motor, Hanwha Research Center

GM's Self-Designed Centralized Computing Unit (CCU) – 1,000x Bandwidth Improvement



Source: GM, VW, Hyundai Motor, Hanwha Research Center

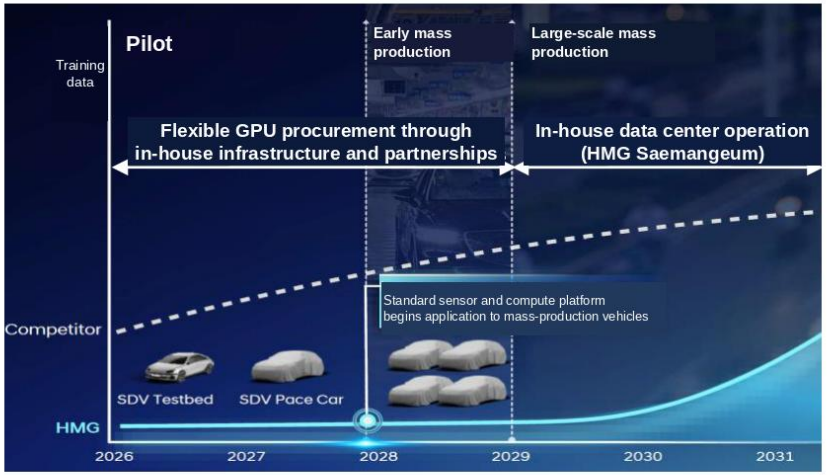
2027 Response: Hold the Line 3) Preparing for Full-Scale SDV/Autonomous Driving in 2028 (cont.)

Xpeng's Integrated Electronic Architecture (CEA) – Installed in VW's China Models



Source: GM, VW, Hyundai Motor, Hanwha Research Center

Hyundai Motor Group SDV Rollout Plan – Pace Car in 2027, L2+ Launch in 2028



Source: GM, VW, Hyundai Motor, Hanwha Research Center

Source: Press reports, Hanwha Research Center

Hyundai Motor (005380): Gritting Its Teeth for 2027

Buy (Maintained)

Target Price
600,000 KRW

Current Price (10/26)
288,000 KRW

Upside
▲108.3%

Market Cap	**KRW 58,598.3 billion**
Shares Outstanding	**203,466 thousand shares**
52-Week High / Low	**750,000 / 250,500 KRW**
90-Day Avg. Daily Value	**KRW 219.678 billion**
Foreign Ownership	**24.1%**

SHAREHOLDERS

Hyundai Mobis (+12 others)	**30.9%**
National Pension Service (+1 other)	**7.4%**
Hyundai Motor Employee Stock Ownership Association (+1 other)	**2.7%**

2026: Slower Revenue Growth and Lower Profit Unavoidable amid Volume Disruptions and a Smaller Positive FX Effect

- This year's annual sales are expected at 3.90 million units (-5.7%), well below guidance (4.16 million units). Mix weakens as HEV sales slow owing to production disruptions, and the positive FX effect also shrinks as the won appreciates, so we forecast 2026 revenue of KRW 186.7 trillion (+0.2%) and operating profit of KRW 10.1 trillion (-11.9%, OPM 5.4%).
- 2027: Earnings Turnaround Expected on a Deferred New-Model Cycle amid Macro Uncertainty from Rising Raw Materials and Negative FX Effects
- A conservative approach is needed to the pace of 2027 revenue growth and profit improvement, given the reflection of the 2026 rise in raw material prices and macro uncertainty such as the possibility of the KRW/USD rate falling below 1,300 on the downtrend in the won/dollar exchange rate.
- However, as the new-model sales effect from the 2H26 production disruptions is concentrated in 2027, profit is forecast to grow year on year. Under the 'North America HEV, Europe BEV' strategy, we expect a profitability-focused mix improvement by responding to U.S. demand with the Elantra, the full model change of the Tucson and Genesis HEV models, and expect Hyundai Motor to defend its M/S, as expanded sales of affordable EVs in Europe follow the full-scale start of Ioniq 3 production in Türkiye, amid the offensive of Chinese local makers.
- The company's role in the robotics business will be confirmed depending on its equity participation in the RA entity to be established in 2027 and its operating strategy. We present a target price of KRW 600,000 by applying a 30% discount to the equity value of BD, considering a lowered 2027 estimate that takes the won appreciation trend (1,350 → 1,300 won/$) into account and the recent value discount on growth stocks.
- Given the global major makers' 2028 SDV rollout plans, whether the company unveils its Pace Car and firms up its SDV Stack, including the E/E architecture, is important.

Hyundai Motor Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
Revenue	175,231	186,254	186,706	197,088	215,022
Operating Profit	14,240	11,468	10,100	12,020	15,295
EBITDA	18,527	16,484	15,319	17,784	21,751
Net Income (Controlling)	12,527	9,446	8,346	9,441	11,812
EPS	56,433	43,607	38,268	43,902	54,893
Net Debt	130,181	152,184	171,790	181,325	189,999
PER	5.1	6.6	7.5	6.6	5.2
PBR	0.7	0.7	0.6	0.6	0.6
EV/EBITDA	11.0	13.7	16.0	14.3	12.1
Dividend Yield (%)	4.2	3.5	3.5	4.2	4.3
ROE	12.4	8.4	7.1	7.7	9.1

Source: Hanwha Securities

Hyundai Motor (005380): Earnings Estimates

Table 61. Hyundai Motor Quarterly and Annual Earnings Estimates (Unit: KRW billions, %)

(KRW billions, %)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Revenue	45,939	49,215	44,605	46,947	47,310	50,548	48,933	50,296	186,254	186,706	197,088
% YoY	3.4	1.9	-4.5	0.2	3.0	2.7	9.7	7.1	6.3	0.2	5.6
Automotive	34,538	36,833	33,401	35,476	35,240	37,179	37,021	38,124	145,632	140,248	147,563
% YoY	-0.5	-2.1	-9.0	-3.0	2.0	0.9	10.8	7.5	6.5	-3.7	5.2
Finance	8,992	9,503	8,345	8,567	9,496	10,417	8,979	9,178	30,233	35,407	38,070
% YoY	21.5	15.7	16.1	15.3	5.6	9.6	7.6	7.1	6.3	17.1	7.5
Other	2,409	2,879	2,859	2,904	2,575	2,952	2,933	2,994	10,390	11,051	11,454
% YoY	5.1	16.9	1.5	3.1	6.9	2.5	2.6	3.1	3.3	6.4	3.6
Operating Profit	2,515	2,851	2,401	2,334	2,792	3,461	2,689	3,078	11,468	10,100	12,020
% YoY	-30.8	-20.8	-5.4	37.7	11.0	21.4	12.0	31.9	-19.5	-11.9	19.0
Automotive*	1,787	1,971	1,590	1,811	2,011	2,540	1,836	2,536	8,471	7,160	8,924
Finance	579	759	590	388	602	781	604	393	2,164	2,317	2,381
Other	148	121	221	134	178	140	249	148	833	624	716
Operating Margin	5.5	5.8	5.4	5.0	5.9	6.8	5.5	6.1	6.2	5.4	6.1
Automotive	5.2	5.4	4.8	5.1	5.7	6.8	5.0	6.7	5.8	5.1	6.0
Finance	6.4	8.0	7.1	4.5	6.3	7.5	6.7	4.3	7.2	6.5	6.3
Other	6.2	4.2	7.7	4.6	6.9	4.7	8.5	4.9	8.0	5.6	6.2
Pre-Tax Profit	3,522	3,646	3,204	2,165	3,548	4,173	3,438	2,917	13,842	12,536	14,077
% YoY	-21.1	-16.9	-3.7	29.9	0.8	14.5	7.3	34.8	-22.2	-9.4	12.3
Net Income (Controlling)	2,335	2,521	2,083	1,407	2,380	2,799	2,306	1,956	9,446	8,346	9,441
% YoY	-26.0	-15.9	-7.9	36.8	1.9	11.0	10.7	39.0	-24.6	-11.6	13.1

Source: Hyundai Motor, Hanwha Securities

Hyundai Mobis (012330): In 2027, Future Expandability Stands Out over Market Concerns

Buy (Maintained)

Target Price
700,000 KRW

Current Price (10/26)
326,000 KRW

Upside
▲114.7%

Market Cap	**KRW 29,281.5 billion**
Shares Outstanding	**89,821 thousand shares**
52-Week High / Low	**768,000 / 288,000 KRW**
90-Day Avg. Daily Value	**KRW 127.739 billion**
Foreign Ownership	**37.3%**

SHAREHOLDERS

Kia (+9 others)	**33.0%**
National Pension Service (+1 other)	**9.6%**
Mirae Asset Asset Management (+10 others)	**5.4%**

- 2026: Defending against the Impact of Vehicle Volume Disruptions and Higher Materials Costs such as Semiconductors through Structural Profitability Improvement
- We forecast 2026 revenue of KRW 64.3 trillion (+5.2%; YoY hereafter) and operating profit of KRW 3.7 trillion (+9.8%). Growth remains relatively stable despite vehicle production disruptions, lower North American electrification volumes and higher semiconductor/PCB costs.
- Offsetting the negative effects through mix improvement centered on high-value-added electronic components, module/core parts operating profit of KRW 83 billion continues to improve YoY, and A/S is expected to deliver high margins with operating profit of KRW 3.6 trillion (+9.8%, OPM 26.1%) on strong global demand and normalized pricing, despite the easing of the favorable FX in 2H.

2027: Expansion into Future Businesses Stands Out over Concerns about the Negative Market Environment

- The company's earnings improvement is forecast to continue despite a continued negative macro environment of rising raw materials such as semiconductors and won appreciation.
- The group-level expansion of Pleos connect integrates the previously dispersed electronic controllers, expanding the controller area the company provides, and contributes to higher high-value-added electronic component revenue and mix improvement as volume models roll out in sequence.
- In electrification, the impact of last year's abolition of U.S. EV subsidies acts as a low base, and North American electrification results are expected to recover with new production volume of the Mexico EV3. In Europe, expanded local production of affordable EVs such as the EV2 and Ioniq 3 and expanded European non-captive demand in response to the IAA are expected.
- We lower the target price to KRW 700,000 by applying a 30% discount to the equity value of BD and the robotics business value, considering the recent value discount on growth stocks. However, the company's shift to a future-centered business structure should stand out in the 2027 pilot preparation phase for the 2028 SDV launch and robotics mass production.

Hyundai Mobis Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
Revenue	57,237	61,118	64,324	71,342	78,144
Operating Profit	3,073	3,357	3,688	3,967	4,228
EBITDA	4,058	4,525	4,994	5,311	5,710
Net Income (Controlling)	4,056	3,656	3,949	4,431	4,777
EPS	43,611	40,995	44,983	51,349	58,022
Net Debt	-1,236	-1,256	-715	227	-410
PER	7.5	8.0	7.2	6.3	5.6
PBR	0.7	0.6	0.6	0.5	0.5
EV/EBITDA	6.9	6.2	5.7	5.6	5.1
Dividend Yield (%)	1.8	2.0	2.0	2.5	2.6
ROE	9.4	7.7	7.9	8.4	8.6

Source: Hanwha Securities

Hyundai Mobis (012330): Earnings Estimates

Table 64. Hyundai Mobis Quarterly and Annual Earnings Estimates (Unit: KRW billions, %, % YoY)

(KRW billions, %, %YoY)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Revenue	15,561	16,325	15,754	16,684	17,146	18,044	17,744	18,408	61,118	64,324	71,342
Module & Core Parts	12,041	12,894	12,309	13,277	13,714	14,563	14,186	14,766	47,800	50,522	57,229
Module Assembly	7,149	7,521	7,041	7,767	7,917	8,261	7,894	8,513	28,232	29,479	32,586
Core Parts	3,605	3,954	3,734	3,881	4,047	4,290	4,221	4,250	14,213	15,173	16,807
Electrification Parts	1,287	1,419	1,534	1,629	1,750	2,013	2,071	2,002	5,355	5,870	7,836
A/S	3,519	3,430	3,445	3,407	3,432	3,481	3,558	3,642	13,318	13,802	14,113
Revenue Share											
Module & Core Parts	77.4	79.0	78.1	79.6	80.0	80.7	79.9	80.2	78.2	78.5	80.2
Module Assembly	45.9	46.1	44.7	46.6	46.2	45.8	44.5	46.2	46.2	45.8	45.7
Core Parts	23.2	24.2	23.7	23.3	23.6	23.8	23.8	23.1	23.3	23.6	23.6
Electrification Parts	8.3	8.7	9.7	9.8	10.2	11.2	11.7	10.9	8.8	9.1	11.0
A/S	22.6	21.0	21.9	20.4	20.0	19.3	20.1	19.8	21.8	21.5	19.8
Operating Profit	803	975	921	989	761	931	1,133	1,143	3,357	3,688	3,967
Module & Core Parts	-121	22	31	151	-124	42	220	268	76	83	406
A/S	924	953	889	838	885	890	912	874	3,282	3,605	3,561
Pre-Tax Profit	1,292	1,355	1,403	1,281	1,228	1,608	1,650	1,512	5,115	5,330	5,997
Net Income (Controlling)	882	1,059	1,050	959	907	1,188	1,219	1,117	3,656	3,949	4,431
Operating Margin	5.2	6.0	5.8	5.9	4.4	5.2	6.4	6.2	5.5	5.7	5.6
Module & Core Parts	-1.0	0.2	0.3	1.1	-0.9	0.3	1.6	1.8	0.2	0.2	0.7
A/S	26.3	27.8	25.8	24.6	25.8	25.6	25.6	24.0	24.6	26.1	25.2
NPM	5.7	6.5	6.7	5.7	5.3	6.6	6.9	6.1	6.0	6.1	6.2

Hyundai Mobis (012330): Earnings Estimates (cont.)

Table 64. Hyundai Mobis Quarterly and Annual Earnings Estimates (Unit: KRW billions, %, % YoY) (cont.)

(KRW billions, %, %YoY)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
% YoY											
Revenue	5.5	2.4	4.8	8.4	10.2	10.5	12.6	10.3	6.8	5.2	10.9
Operating Profit	3.3	12.1	18.0	6.3	-5.2	-4.5	23.0	15.5	9.2	9.8	7.6
Net Income (Controlling)	-14.5	13.5	13.0	25.7	2.9	12.2	16.1	16.5	-9.9	8.0	12.2

Source: Hyundai Mobis, Hanwha Securities

SECTORS

I Food & Beverage
II Cosmetics
III Retail/Apparel
IV Airlines
V Internet/Games
VI Semiconductors
VII Banks
VIII Insurance
IX Autos
X **Construction/Utilities**
XI Defense
XII Steel/Non-ferrous
XIII Power Equipment

X

Construction/Utilities

Time to Prove It

Korea 2027 Industry Outlook

Construction/Utilities: Summary

1
2027 Earnings Outlook

- Construction: Growth on top of margin stabilization
- Utilities: Energy price volatility risk

2
Time to Prove It through Orders

- Construction: Start of an order growth cycle
- Utilities: Conditions for expanding the nuclear business

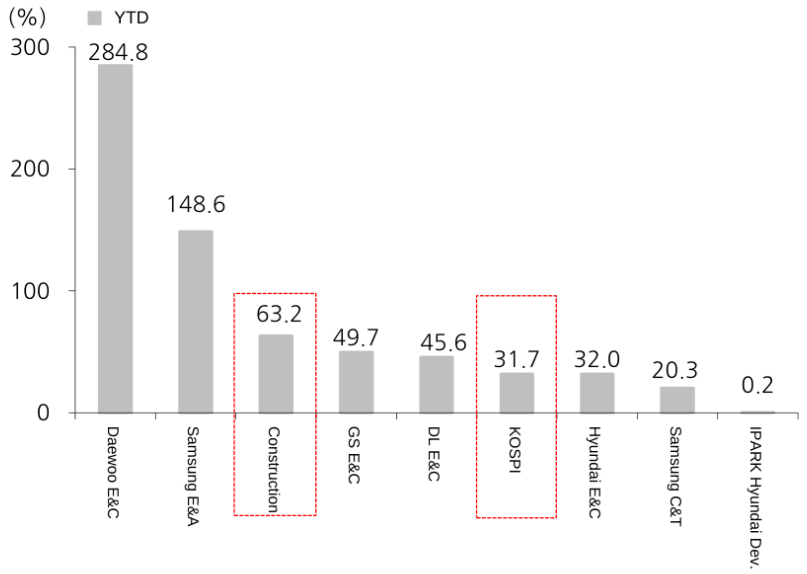
3
Investment Strategy

- Construction: In search of certain growth (Top pick: Samsung E&A)
- Utilities: Waiting for uncertainty to resolve

2026 Review: Even in an Unstable Macro Environment …

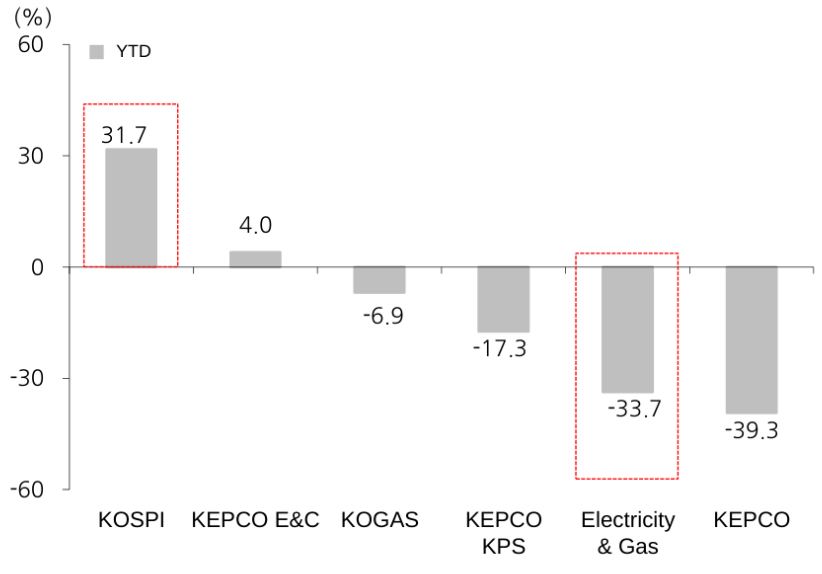
- The construction sector's YTD share price return of +63.2% exceeds the KOSPI return of +31.7%
- In mid-April this year, the sector outperformed KOSPI by 89.7%p, recording its share price peak
- By stock: Daewoo E&C +284.8% > Samsung E&A +148.6% > GS E&C +49.7% > DL E&C +45.6% > Hyundai E&C +32.0%
- The utilities sector's YTD share price return of -33.7% falls far short of the KOSPI return
- The main reason for the sector's weak return is the decline in KEPCO's share price after the U.S.-Iran conflict
- By stock: KEPCO E&C +4.0% > KOGAS -6.9% > KEPCO KPS -17.3% > KEPCO -39.3%

Major Construction Firms' YTD Share Price Return



Source: Fnguide, Hanwha Research Center

Major Utilities' YTD Share Price Return

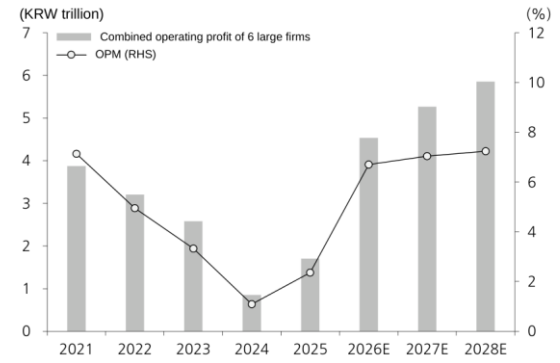


Source: Fnguide, Hanwha Research Center

2027 Outlook Earnings 1) Construction: Growth on Top of Margin Stabilization

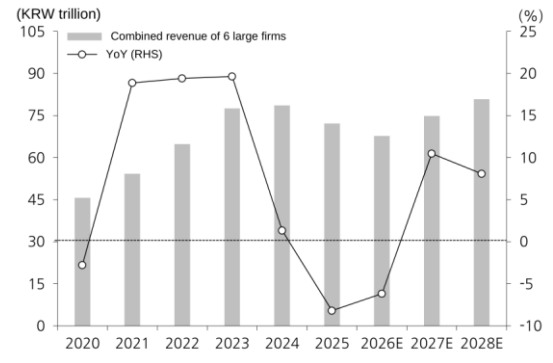
- The combined operating profit of the 6 large construction firms shows a clear upward trend
- Even though 2025–26 is a phase of shrinking top line, operating profit improves owing to margin normalization
- Operating profit growth is expected in 2027–28 on revenue growth
- 2027–28 average revenue growth rate: Samsung E&A +17.0% > IPARK Hyundai Development +13.1% > Daewoo E&C +12.0% > GS E&C +8.3% > Hyundai E&C +6.3%, DL E&C +4.9%

Combined Operating Profit and OPM Trend/Forecast of the 6 Large Construction Firms



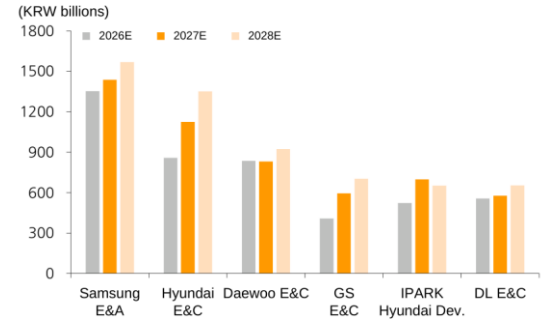
Note: 2026–28 earnings are based on market consensus
Source: Fnguide, Hanwha Research Center

Combined Revenue and Growth Rate Trend/Forecast of the 6 Large Construction Firms



Note: 2026–28 earnings are based on market consensus
Source: Fnguide, Hanwha Research Center

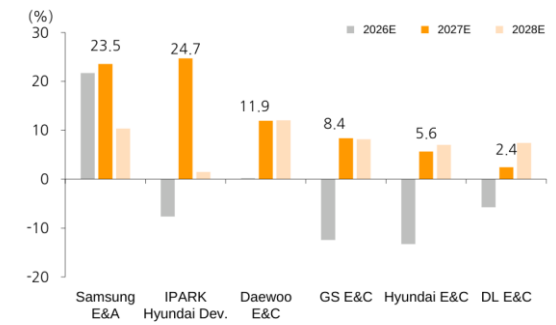
Operating Profit Trend/Forecast of the 6 Large Construction Firms (Consensus Basis)



Source: Fnguide, Companies, Hanwha Research Center

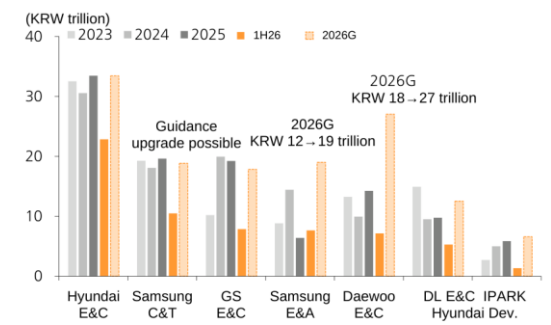
2027 Outlook Earnings 1) Construction: Growth on Top of Margin Stabilization (cont.)

Expected Revenue Growth Rate of the 6 Large Construction Firms (Consensus Basis)



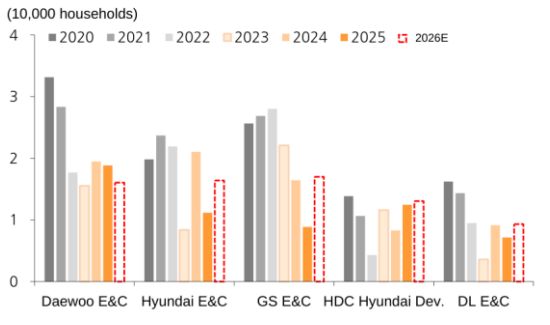
Source: Fnguide, Companies, Hanwha Research Center

New Orders Trend/Forecast of the 7 Large Construction Firms



Source: Fnguide, Companies, Hanwha Research Center

Housing Starts Trend/Plan of the 5 Large Construction Firms (Separate Basis)

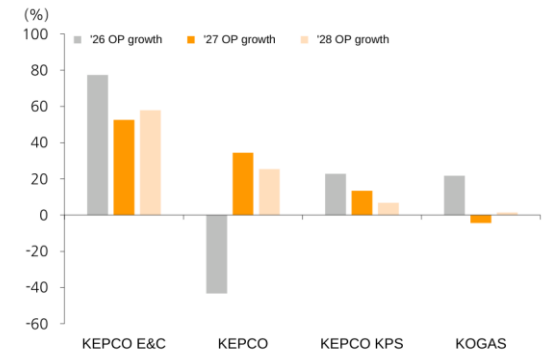


Source: Fnguide, Companies, Hanwha Research Center

2027 Outlook Earnings 2) Utilities: Energy Price Volatility Risk

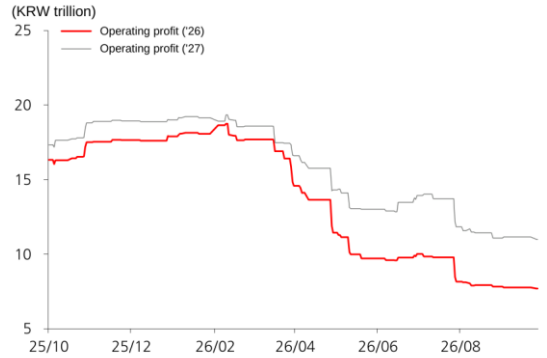
- Earnings estimates lowered on higher energy prices
- Following the Middle East situation, KEPCO's earnings estimates were cut sharply on oil and LNG price volatility, and KOGAS's receivables turned to an increase again
- Earnings uncertainty remains in 2027
- Upward pressure on energy prices continues from the escalation and prolongation of the Middle East war; considering a 4–6 month lag, it acts negatively until 1H next year
- KEPCO E&C and KEPCO KPS, which are free from this, are expected to continue their profit growth trend

Expected Operating Profit Growth Rates of Major Utilities



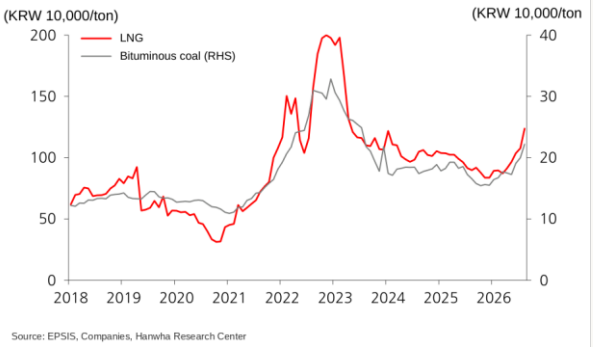
Source: Fnguide, Hanwha Research Center

KEPCO Operating Profit Consensus Trend



Source: Fnguide, Hanwha Research Center

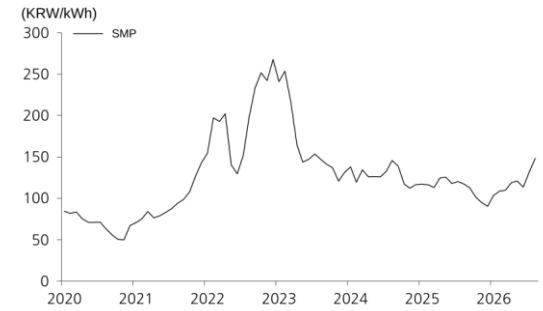
Major Energy Price Trend



Source: EPSIS, Companies, Hanwha Research Center

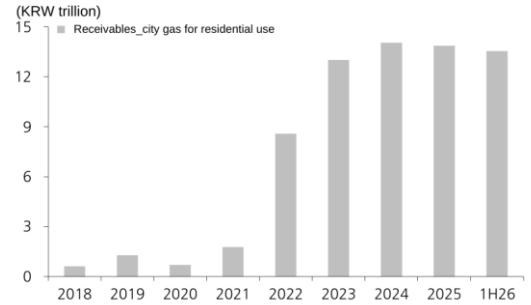
2027 Outlook Earnings 2) Utilities: Energy Price Volatility Risk (cont.)

SMP Trend



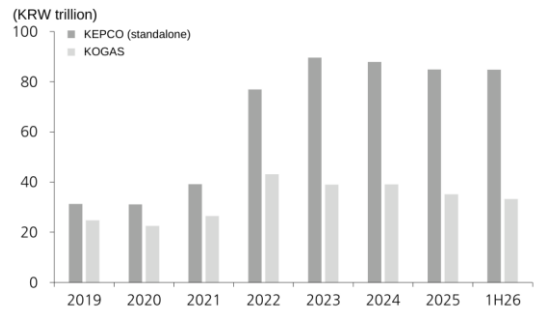
Source: EPSIS, Companies, Hanwha Research Center

KOGAS Receivables Trend: KRW 13.5 Trillion in 2Q26, Up QoQ



Source: EPSIS, Companies, Hanwha Research Center

KEPCO and KOGAS Borrowings Trend

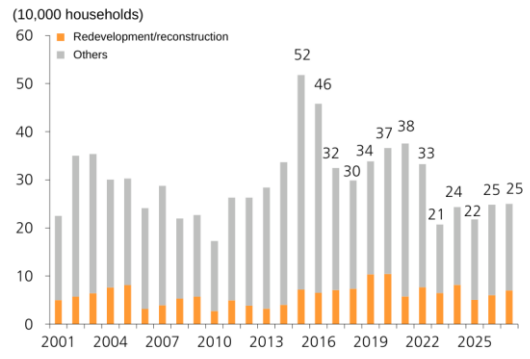


Source: EPSIS, Companies, Hanwha Research Center

2027 Outlook Time to Prove It 1) Construction: Order Growth – Housing

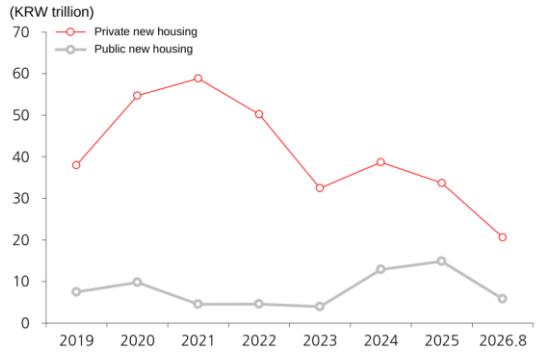
- Domestic housing (residential building) orders are expected to rise slightly in 2027
- Order increases continue, centered on urban redevelopment and public new housing; large construction firms strong in urban redevelopment and small/mid-sized firms strong in public housing orders are advantaged
- Until regional sales conditions improve, a meaningful rebound in private new housing orders is likely to be limited
- Nationwide apartment sales volume in 2027 is forecast at a level similar to this year
- Nationwide apartment sales supply this year is expected at about 250,000 households, and a slight increase in urban redevelopment volume is expected next year

Apartment Sales Supply Trend/Plan: 250,000 Households in '26, Expected to Be Maintained in '27



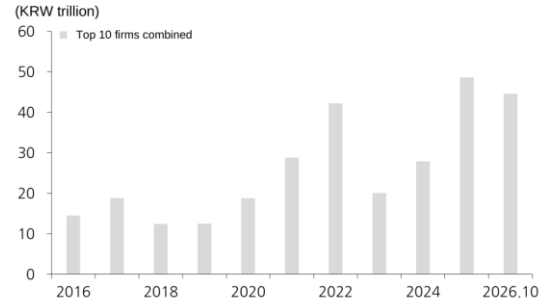
Source: REPS, Hanwha Research Center

New Housing Orders: Aug Cumulative YoY, Public +28.3%, Private -5.8%



Source: Construction Association of Korea, Hanwha Research Center

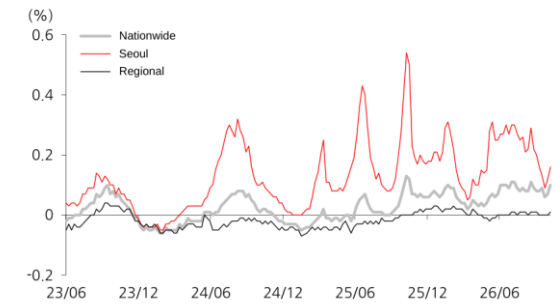
Top 10 Construction Firms' Urban Redevelopment Order Trend (Contractor Selection Basis)



Source: Press reports, Hanwha Research Center

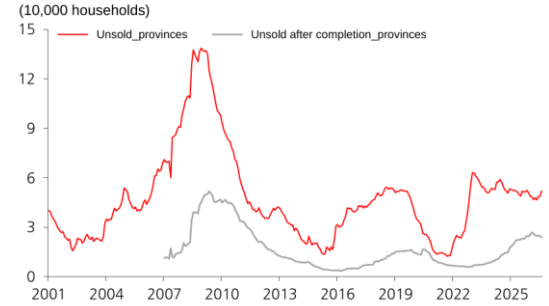
2027 Outlook Time to Prove It 1) Construction: Order Growth – Housing (cont.)

Weekly Change Rate of Apartment Sale Price Index by Region



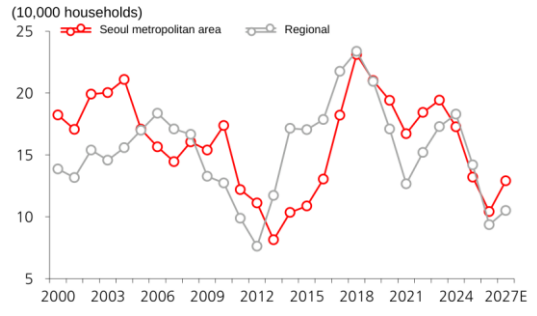
Source: Korea Real Estate Board, Hanwha Research Center

Unsold Housing in Provinces and Unsold Housing after Completion Trend



Source: REPS, Hanwha Research Center

Apartment Move-in Supply Trend/Forecast by Region



Source: REPS, Hanwha Research Center

2027 Outlook Time to Prove It 1) Construction: Order Growth – Non-Housing

- Strong orders continue in the factory/warehouse segment within domestic non-residential building
- This year's factory/warehouse orders are at a record-high level, recording +23% YoY on an Aug cumulative basis and driving growth in non-residential building orders
- While semiconductor-plant-related orders dominate, a meaningful increase in data center orders is also expected from next year
- Orders for AI infrastructure such as power generation and civil engineering are expected to continue
- Power plant construction to expand power infrastructure, and the general civil works that necessarily accompany investment in new areas, are also expected to increase

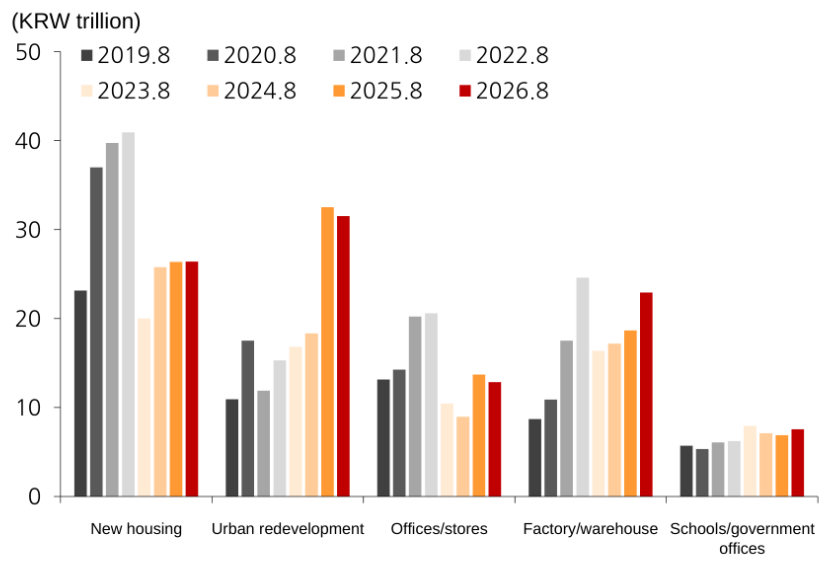
Table 65. Major New Orders in 2026 – Factory/Warehouse

Period	Order Details
Jan	- Yongin Semiconductor Cluster general industrial complex integrated energy project construction (KRW 780 billion)
Feb	- (Increase) Hyundai Motor Ulsan hydrogen fuel cell plant, Hyundai Motor C-Project new construction (KRW 370 billion)
Mar	- (Increase) Pyeongtaek Campus Phase 2 site development and P5 FAB construction (KRW 2.5 trillion); - [P4 Ph2 (Hadong)] FAB building/complex building finishing work (KRW 1.5 trillion); - (Increase) P4-PJT (KRW 1 trillion)
Apr	- (Increase) [P5] complex building, green building and substation frame work (KRW 1.3 trillion)
May	- Yongin Cluster Unit 1 Ph-4 IBL (KRW 3.9 trillion); - (Increase) Cheongju P&T7 new construction (KRW 1.9 trillion); - (Increase) Yongin Cluster Unit 1 build-out works (KRW 1.1 trillion); - Yongin Cluster Unit 1 Ph-4 OBL (KRW 660 billion); - O5L new PJT 154kV/green building/air pollution prevention/UPW new construction (KRW 550 billion)
Jun	- National AI Computing Center new construction (KRW 500 billion); - Pyeongtaek Campus P5 FAB1 Ph1 finishing work (KRW 220 billion)
Jul	- (New) Yongin Y1 Ph-2 new construction (KRW 1.7 trillion); - (Increase) P4 Ph4 (Sangdong) finishing work (KRW 480 billion)
Aug	- (Increase) SDR new construction (KRW 400 billion); - (Increase) [P4 Ph2 (Hadong)] FAB building/complex building finishing work (KRW 350 billion)

Source: Construction Association of Korea, Hanwha Research Center

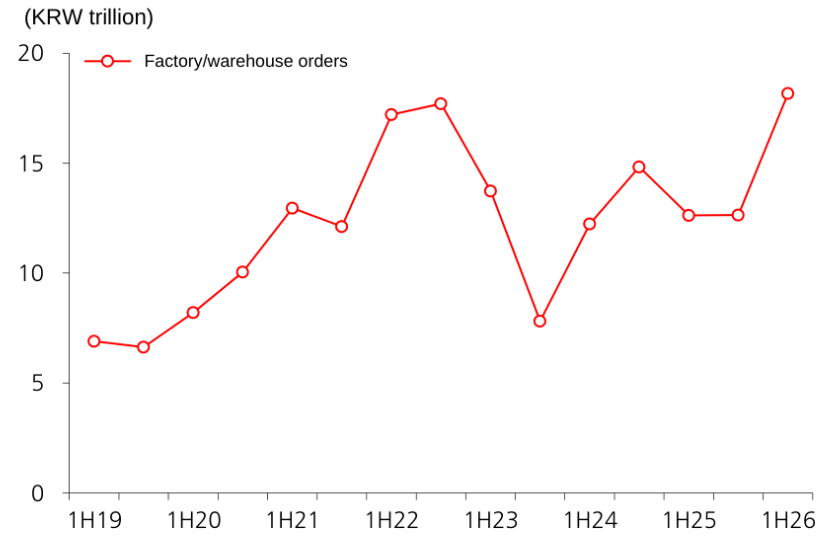
2027 Outlook Time to Prove It 1) Construction: Order Growth – Non-Housing (cont.)

Building Order Trend by Detailed Work Type



Source: Construction Association of Korea, Hanwha Research Center

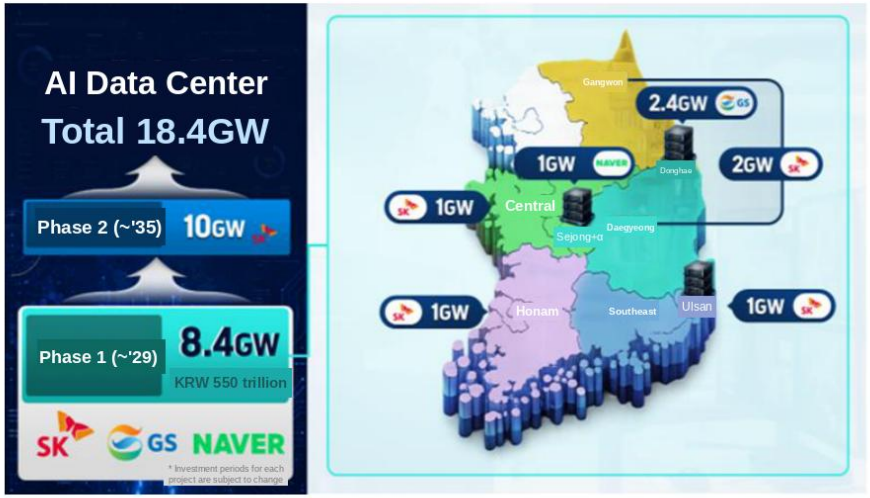
Factory/Warehouse Orders by Half-Year



Source: Construction Association of Korea, Hanwha Research Center

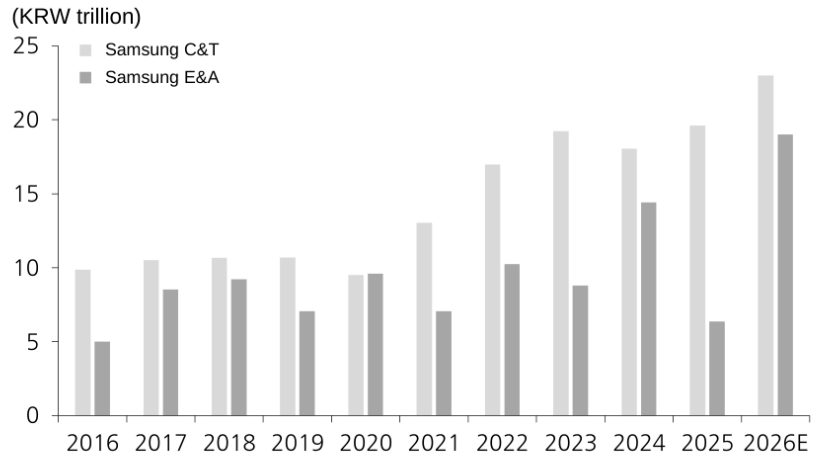
2027 Outlook Time to Prove It 1) Construction: Order Growth – Non-Housing (cont.)

AIDC Construction Plan among the 3 Mega Projects



Source: Hanwha Research Center

Samsung C&T and Samsung E&A New Order Trend/Forecast



Source: Hanwha Research Center estimates

2027 Outlook Time to Prove It 1) Construction: Order Growth – Overseas

- Overseas orders inevitably decline in 2026
- Base burden from the recognition of last year's Czech nuclear plant order (about USD 20 billion)
- Overseas orders are forecast to increase in 2027
- Overseas nuclear: main contracts are expected to be signed on key order items by Team Korea (Vietnam, Romania, etc.) and Hyundai E&C (Bulgaria, two U.S. SMR projects, etc.)
- LNG: Samsung E&A (Abadi, Indonesia), Daewoo E&C (Mozambique, Papua New Guinea) and Hyundai E&C (Papua New Guinea) hold order pipelines

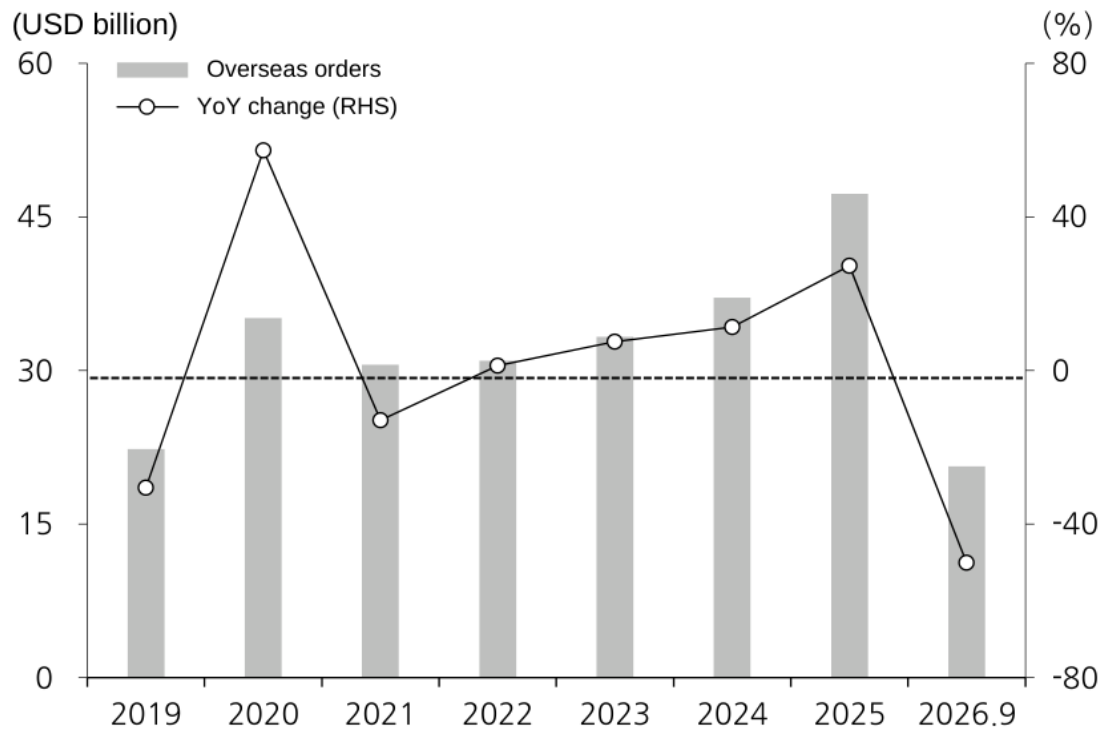
Table 66. Hyundai E&C Nuclear Order Pipeline

Region	Country	Project	Order Timing	Remarks
Europe	Bulgaria	Kozloduy Units 7, 8	2027	Pursuing 2nd ESC contract in 4Q26
Europe	Slovenia	Krško JEK2 (1 unit)	2027	WH+Hyundai E&C, competitive bidding, TFS completed
Europe	Finland	Large reactor	2028	WH+Hyundai E&C, competitive bidding, EWA under way
Europe	Netherlands	Large reactor, 2 units	2029	WH+Hyundai E&C, competitive bidding, Dual FEED
Europe	UK	(SMR) Cottam	2031	Holtec+Hyundai E&C, site secured
Middle East/Asia	Saudi Arabia	Its first nuclear plant (2 units)	-	Team Korea
Middle East/Asia	Vietnam	Ninh Thuan 2 (2 units)	2027	Team Korea
North America	U.S.	Fermi Matador Pjt	2027	Large reactor, FEED for 4 units completed
North America	U.S.	(SMR) Palisades (300MW*2)	2027	Holtec+Hyundai E&C, partial contract within the year
North America	U.S.	(SMR) Kemmerer FOAK (345MW)	2027	TerraPower+Hyundai E&C, NOAK 8 units
North America	U.S.	(SMR) Oyster Creek (300MW*4)	2028	Holtec+Hyundai E&C

Source: Hyundai E&C, Hanwha Research Center

2027 Outlook Time to Prove It 1) Construction: Order Growth – Overseas (cont.)

Overseas Order Amount Trend: USD 20.66 Billion Recorded as of End-September 2026 (YoY -50%)

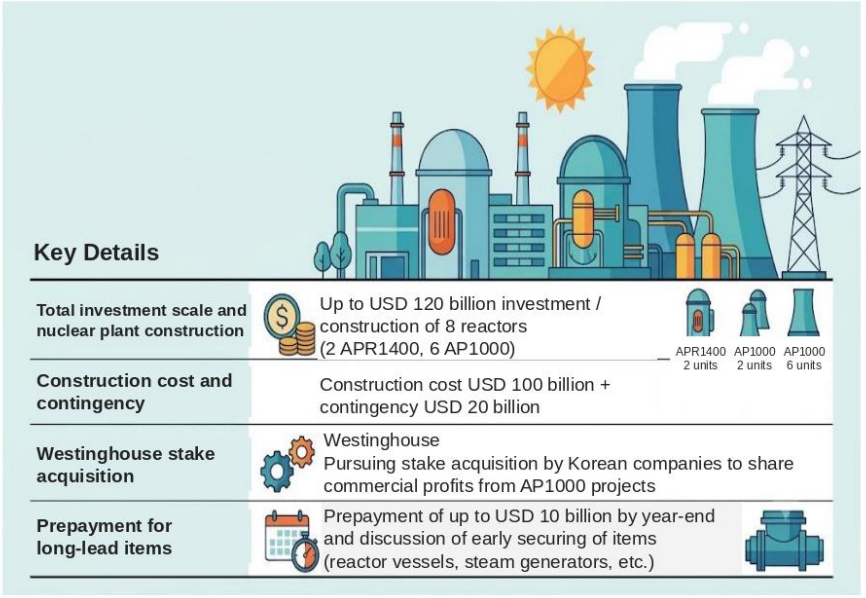


Note: The 2026 growth rate is versus the same period of the previous year on a September cumulative basis
Source: Overseas Construction Association, Hanwha Research Center

2027 Outlook Time to Prove It 2) Utilities: Expansion of Overseas Nuclear Business

- Agreement on APR1400 entering the U.S. through nuclear investment in the U.S.
- Pursuing construction of 8 reactors (2 APR1400, 6 AP1000), acquisition of a Westinghouse stake, etc.
- Going forward, individual projects such as site, business structure and construction schedule will be made concrete, and the final decision on whether to proceed will be made after reviewing the commercial rationality of each project and going through National Assembly procedures
- In addition, it is expected to contribute to raising trust in Korean reactor models in third-country markets and to improving the possibility of winning orders
- Resolving intellectual property rights and export controls in the course of cooperation with Westinghouse is the key going forward

Korea-U.S. Strategic Investment MOU – Korea-U.S. Nuclear Framework (Project Power)



Source: Ministry of Trade and Industry, Hanwha Research Center

Key Contents of the KHNP-Westinghouse Agreement on the Czech Nuclear Project

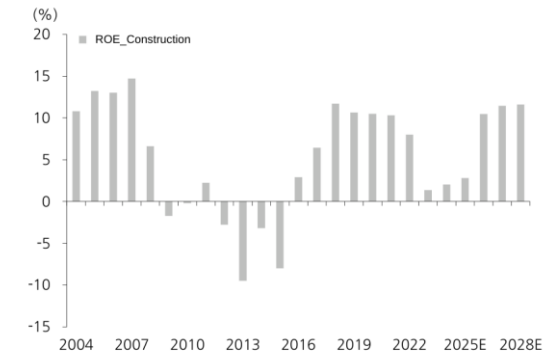


Source: Press reports, Hanwha Research Center

2027 Outlook Investment Strategy 1) Construction: In Search of Certain Growth

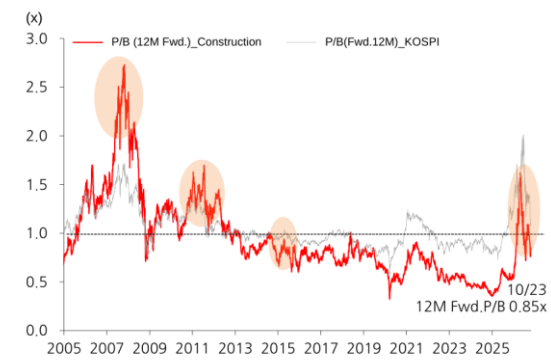
- Construction sector investment opinion maintained at Positive
- Even in an uncertain environment, the construction sector is expected to continue earnings improvement and order growth
- A common point in earnings is that housing revenue recovery and margin improvement lay an upward-sloping base
- On the other hand, because the regions/work types in which each company expects order growth all differ, earnings differentiation among companies is expected to deepen depending on 2026–27 order performance
- We judge that a strategy focusing on stocks that can expect more certain growth is effective
- Top pick among large caps is Samsung E&A (semiconductors), with Hyundai E&C (nuclear) and GS E&C (data centers) as second picks
- Preferred small/mid caps are Hanmi Global (semiconductors/data centers/nuclear) and Xi S&D (data centers/housing)

Construction Industry ROE Trend/Forecast



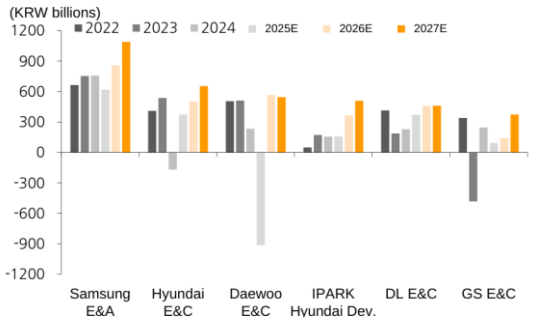
Source: Fnguide, Hanwha Research Center

Construction Industry Valuation Trend



Source: Fnguide, Hanwha Research Center

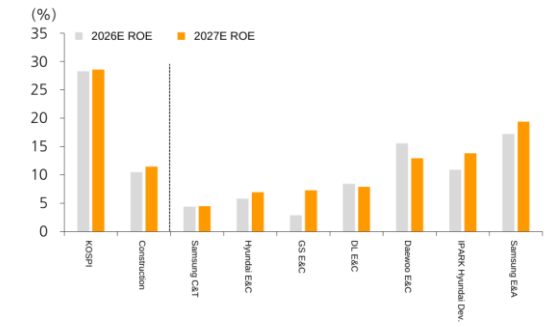
Major Construction Firms' Net Income Consensus



Source: Fnguide, Hanwha Research Center

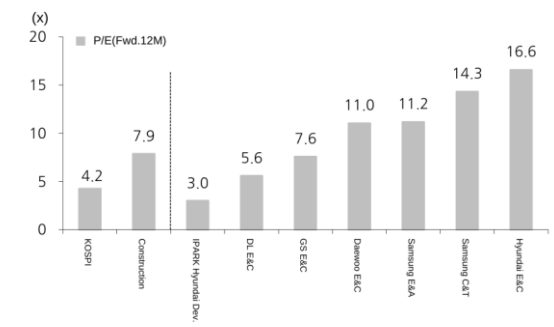
2027 Outlook Investment Strategy 1) Construction: In Search of Certain Growth (cont.)

Major Construction Firms' 2026–27 ROE Consensus



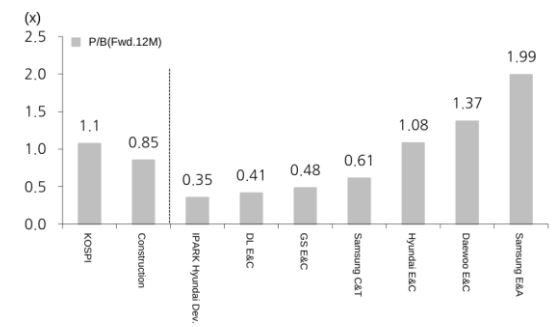
Source: Fnguide, Hanwha Research Center

Major Construction Firms' 12M Fwd. P/E



Source: Fnguide, Hanwha Research Center

Major Construction Firms' 12M Fwd. P/B

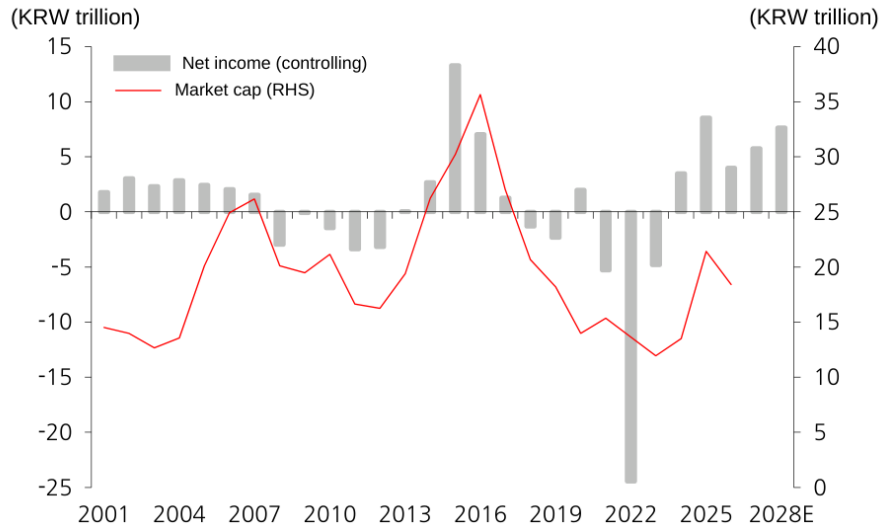


Source: Fnguide, Hanwha Research Center

2027 Outlook Investment Strategy 2) Utilities: Waiting for Uncertainty to Resolve

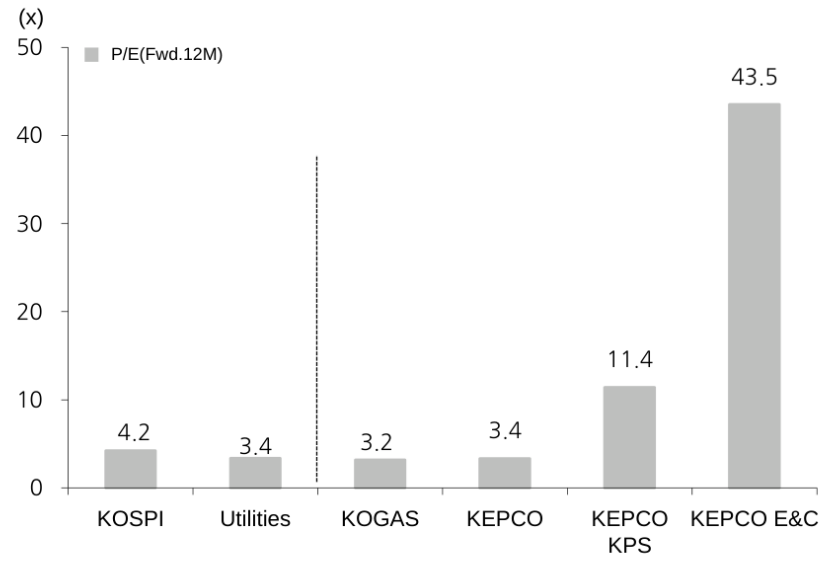
- Utilities sector investment opinion Neutral
- KEPCO, KOGAS: External variables such as energy prices and interest rates are acting negatively on earnings
- KEPCO E&C, KEPCO KPS: Earnings are relatively stable, but visibility on the expandability of nuclear orders is needed
- We judge that waiting is needed for uncertainty to resolve
- Recommend buying KEPCO, which has valuation appeal, once downward stabilization of energy prices is confirmed following the end of the war, etc.

KEPCO Net Income and Market Capitalization Trend



Source: Fnguide, Hanwha Research Center

Major Utilities' 12M Fwd. P/E



Source: Fnguide, Hanwha Research Center

Samsung E&A (028050): Overwhelming in Every Respect

Buy (Maintained)

Target Price
84,000 KRW

Current Price (10/26)
59,800 KRW

Upside
▲40.5%

Market Cap	**KRW 11,720.8 billion**
Shares Outstanding	**196,000 thousand shares**
52-Week High / Low	**64,400 / 23,250 KRW**
90-Day Avg. Daily Value	**KRW 108.137 billion**
Foreign Ownership	**40.4%**

SHAREHOLDERS

Samsung SDI (+7 others)	**20.6%**
National Pension Service (+1 other)	**9.3%**
Treasury shares (+1 other)	**0.1%**

From Orders to Earnings, Financial Position and Shareholder Returns

- Sharply raised its 2026 order guidance from KRW 12 trillion to KRW 19 trillion, so solid orders are expected to continue going forward
- With 4Q OPM guided at the 13% range, higher than the past 3-year average of 9.3%, and with affiliate and chemical revenue levels set to rise sequentially from next year, a trend-wise profit increase is readily expected
- The disclosure of treasury share acquisition and cancellation (KRW 690 billion) is interpreted as confidence in future earnings and cash flow

Investment opinion Buy, target price KRW 84,000, presented as the top pick in the sector

- It is still the early stage of improvement, too early to discuss a peak in earnings, and we judge it hard to find growth as certain as this in an uneasy macro environment
- The target price is calculated by applying a target multiple of 2.6x (expected ROE 19.3%) to 12-month forward BPS
- The current share price is at 12M Fwd. P/B of 2.0x and P/E of 11.2x on market consensus

Samsung E&A Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
Revenue	9,967	9,029	11,096	14,068	16,242
Operating Profit	972	792	1,404	1,661	1,904
EBITDA	1,041	874	1,496	1,760	2,011
Net Income (Controlling)	757	617	859	1,176	1,363
EPS	3,862	3,150	4,384	6,000	6,953
Net Debt	-2,661	-2,659	-3,370	-4,014	-4,796
PER	15.5	19.0	13.6	10.0	8.6
PBR	2.8	2.5	2.2	1.8	1.6
EV/EBITDA	8.7	10.4	5.6	4.4	3.4
Dividend Yield (%)	1.1	1.3	1.5	2.2	2.5
ROE	19.6	13.8	16.9	19.8	19.5

Source: Hanwha Securities

Samsung E&A (028050): Earnings Estimates

Table 69. Samsung E&A Quarterly and Annual Earnings Estimates (Unit: KRW billions, %)

	1Q26	2Q26	3Q26P	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Revenue	2,267	2,609	2,911	3,308	2,984	3,389	3,546	4,148	9,029	11,096	14,068
YoY (%)	8.1	19.8	45.8	20.0	31.6	29.9	21.8	25.4	-9.4	22.9	26.8
Chemical	1,129	1,073	1,049	1,061	927	1,062	1,225	1,487	5,151	4,313	4,701
Advanced Industries	574	838	1,071	1,402	1,364	1,541	1,596	1,841	2,531	3,884	6,342
New Energy	564	698	791	845	694	786	724	821	1,346	2,898	3,025
Cost of Goods Sold	1,924	2,197	2,285	2,711	2,502	2,833	2,967	3,465	7,695	9,117	11,767
COGS Ratio (%)	84.8	84.2	78.5	82.0	83.8	83.6	83.7	83.5	85.2	82.2	83.6
Chemical	84.0	85.1	73.8	82.0	85.0	85.0	85.0	85.0	85.6	81.3	85.0
Advanced Industries	86.1	82.8	83.0	82.5	83.7	83.2	83.2	82.8	86.0	83.2	83.2
Non-Chemical	85.2	84.5	78.6	81.0	82.5	82.5	82.5	82.5	82.2	82.0	82.5
SG&A Expenses	156	139	125	155	144	149	152	195	542	574	640
SG&A Ratio (%)	6.9	5.3	4.3	4.7	4.8	4.4	4.3	4.7	6.0	5.2	4.5
Operating Profit	188	273	501	442	339	407	427	488	792	1,404	1,661
YoY (%)	19.6	51.0	183.6	59.5	79.9	49.1	-14.8	10.3	-18.5	77.3	18.2
Operating Margin (%)	8.3	10.5	17.2	13.4	11.3	12.0	12.0	11.8	8.8	12.7	11.8
Non-Operating Income/Loss	21	-27	-202	-23	26	1	-25	-34	38	-232	-33
Pre-Tax Profit	209	246	299	419	364	408	402	454	830	1,173	1,627
Net Income	163	183	217	310	271	304	299	338	648	873	1,212
YoY (%)	3.9	28.8	37.7	61.6	66.1	66.4	38.1	8.9	1.5	34.6	38.9
Net Margin (%)	7.2	7.0	7.4	9.4	9.1	9.0	8.4	8.1	7.2	7.9	8.6
Net Income (Controlling)	156	181	218	304	263	295	290	328	617	859	1,176

Source: Samsung E&A, Hanwha Securities

Hyundai E&C (000720): When the Nuclear Market Opens

Buy (Maintained)

Target Price
170,000 KRW

Current Price (10/26)
90,700 KRW

Upside
▲87.4%

Market Cap	**KRW 10,100.0 billion**
Shares Outstanding	**111,356 thousand shares**
52-Week High / Low	**188,700 / 59,300 KRW**
90-Day Avg. Daily Value	**KRW 77.003 billion**
Foreign Ownership	**25.8%**

SHAREHOLDERS

Hyundai Motor (+6 others)	**34.9%**
National Pension Service (+1 other)	**10.6%**
BlackRock Fund Advisors (+12 others)	**5.0%**

Nuclear Orders Starting in 2027

- 3Q26 cumulative new orders are about KRW 29 trillion, and a record-high order year is possible considering the 4Q pipeline
- As a result, both revenue and operating profit are expected to increase from next year
- Most main contracts for nuclear construction are scheduled for 2027 or later, so full-scale order results are expected from next year

Investment opinion Buy, target price KRW 170,000, presented as a second-pick in the sector

- With the company receiving the highest valuation among large construction firms on the back of an overwhelmingly rich nuclear order pipeline, nuclear order performance is expected to determine the future direction of its share price
- The target price is calculated by applying a target multiple of 2.0x (expected ROE 6.6%) to 12-month forward BPS
- The current share price is at 12M Fwd. P/B of 1.1x and P/E of 16.6x on market consensus

Hyundai E&C Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
Revenue	32,670	31,063	26,038	27,339	29,114
Operating Profit	-1,263	653	803	1,158	1,434
EBITDA	-1,042	854	1,051	1,425	1,679
Net Income (Controlling)	-169	373	440	640	804
EPS	-1,521	3,343	3,947	5,738	7,213
Net Debt	-2,236	-1,712	-1,381	-1,963	-2,563
PER	-59.6	27.1	23.0	15.8	12.6
PBR	1.3	1.2	1.1	1.1	1.0
EV/EBITDA	-7.6	9.9	8.3	5.7	4.5
Dividend Yield (%)	0.7	0.9	0.9	0.9	0.9
ROE	-2.1	4.6	5.1	7.0	8.2

Source: Hanwha Securities

Hyundai E&C (000720): Earnings Estimates

Table 72. Hyundai E&C Quarterly and Annual Earnings Estimates (Unit: KRW billions, %)

(KRW billions)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Revenue	6,281	6,842	6,382	6,532	6,086	6,697	6,768	7,788	31,063	26,038	27,339
YoY (%)	-15.8	-11.4	-18.5	-19.0	-3.1	-2.1	6.1	19.2	-4.9	-16.2	5.0
Hyundai E&C	3,613	3,919	3,598	3,793	3,428	3,838	3,868	4,547	16,513	14,923	15,681
Civil Engineering	423	504	492	552	479	525	501	582	1,856	1,971	2,087
Building/Housing	1,872	2,279	2,093	2,276	2,026	2,250	2,279	2,579	9,320	8,519	9,134
Plant	1,276	1,037	964	905	883	1,013	1,038	1,326	5,149	4,183	4,260
Hyundai Engineering	2,537	2,668	2,533	2,577	2,478	2,649	2,691	2,991	13,897	10,315	10,808
Other Consolidated	132	256	250	162	180	210	210	250	654	800	850
Cost of Goods Sold	5,776	6,297	5,846	6,005	5,515	6,086	6,148	7,100	29,083	23,924	24,849
COGS Ratio (%)	92.0	92.0	91.6	91.9	90.6	90.9	90.8	91.2	93.6	91.9	90.9
Hyundai E&C	92.9	95.0	93.6	93.5	91.7	91.8	91.8	92.0	94.6	93.8	91.8
Civil Engineering	91.8	105.4	95.5	96.4	95.0	96.0	96.0	96.8	94.0	97.5	96.0
Building/Housing	95.6	86.8	90.5	90.0	89.8	89.6	89.5	89.2	93.6	90.5	89.5
Plant	90.4	113.0	102.0	103.4	96.3	97.0	97.0	97.5	98.6	101.5	97.0
Hyundai Engineering	90.9	88.6	89.6	90.2	89.5	89.7	89.7	90.1	93.4	89.8	89.8
Other Consolidated	86.4	82.4	83.4	83.1	86.0	88.0	88.0	89.4	73.6	83.5	88.0
SG&A Expenses	324	283	317	386	331	298	325	378	1,327	1,311	1,331
SG&A Ratio (%)	5.2	4.1	5.0	5.9	5.4	4.4	4.8	4.9	4.3	5.0	4.9
Operating Profit	181	262	218	141	240	313	295	310	653	803	1,158
YoY (%)	-15.4	20.7	110.9	19.1	32.6	19.6	35.3	119.3	-151.7	22.9	44.3
Operating Margin (%)	2.9	3.8	3.4	2.2	3.9	4.7	4.4	4.0	2.1	3.1	4.2
Hyundai E&C	84	97	81	49	114	187	165	170	251	310	636

Hyundai E&C (000720): Earnings Estimates (cont.)

Table 72. Hyundai E&C Quarterly and Annual Earnings Estimates (Unit: KRW billions, %) (cont.)

(KRW billions)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Hyundai Engineering	84	127	106	78	108	111	115	125	260	395	459
Other Consolidated	13	39	31	14	18	16	16	15	141	98	64
Non-Operating Income/Loss	93	-21	-91	2	19	-20	-43	-5	-6	-18	-50
Pre-Tax Profit	274	240	128	144	258	293	252	305	647	785	1,109
Net Income	207	157	94	106	191	217	187	226	559	564	820
YoY (%)	24.0	0.0	36.1	-35.9	-7.5	38.2	97.6	112.4	-173.0	1.0	45.3
Net Margin (%)	3.3	2.3	1.5	1.6	3.1	3.2	2.8	2.9	1.8	2.2	3.0
Net Income (Controlling)	174	116	71	80	149	169	145	176	373	440	640

Source: Hyundai E&C, Hanwha Securities

SECTORS

I Food & Beverage
II Cosmetics
III Retail/Apparel
IV Airlines
V Internet/Games
VI Semiconductors
VII Banks
VIII Insurance
IX Autos
X Construction/Utilities
XI **Defense**
XII Steel/Non-ferrous
XIII Power Equipment

XI

Defense

Beyond Infinity

Korea 2027 Industry Outlook

Defense: Summary

1
Global weapons demand enters a structural force-rebuilding cycle

- Past wars confirm that military spending keeps rising even after the war ends
- Prolonged geopolitical competition, replacement of aging forces and larger defense budgets are expected to expand structural force-rebuilding demand

2
Oversupply concerns remain limited despite global defense makers' production increases

- Despite production increases in the U.S. and Europe, the likelihood of oversupply is low owing to high order backlogs and production constraints
- K9, Chunmoo, Cheongung-II, KF-21 and K2 are all expected to continue to have export opportunities as competing products face supply constraints

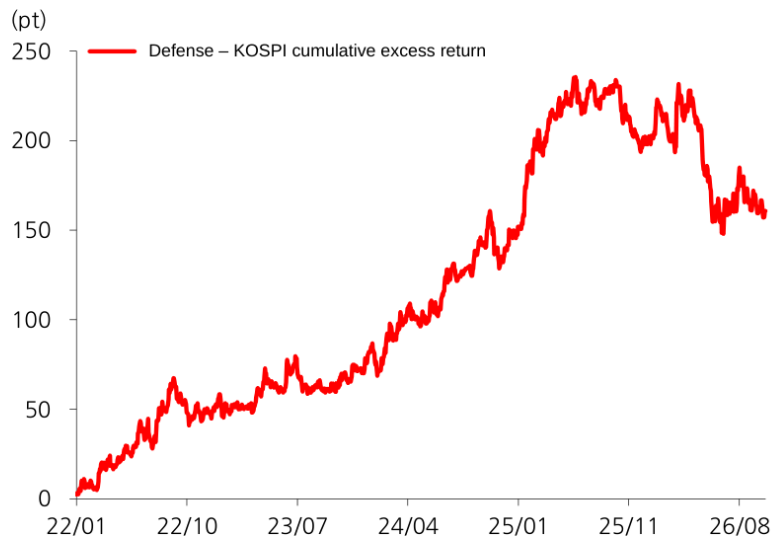
3
Korean defense sustains mid- to long-term growth; Top Pick Hanwha Aerospace

- Earnings growth continues over 2027–2029 on a large order backlog. New Middle East orders are the short-term share price variable
- We highly value the growth opportunities from the land/sea/air portfolio and entry into the U.S. self-propelled howitzer market, and present it as Top Pick

The Weapons Demand Cycle Continues Despite Concerns over the End of the War

- Various concerns are priced into the decline in global defense stocks. The core concern is lower weapons demand after the war ends
- Considering demand for force restoration and replacement of aging forces, military spending is likely to see only limited short-term declines even after the war ends/ceasefire
- Past wars also show many cases in which military spending kept rising after the war ended

Korean Defense Stock Prices Underperforming KOSPI Returns



Source: Hanwha Research Center

Defense Investors' Main Concerns

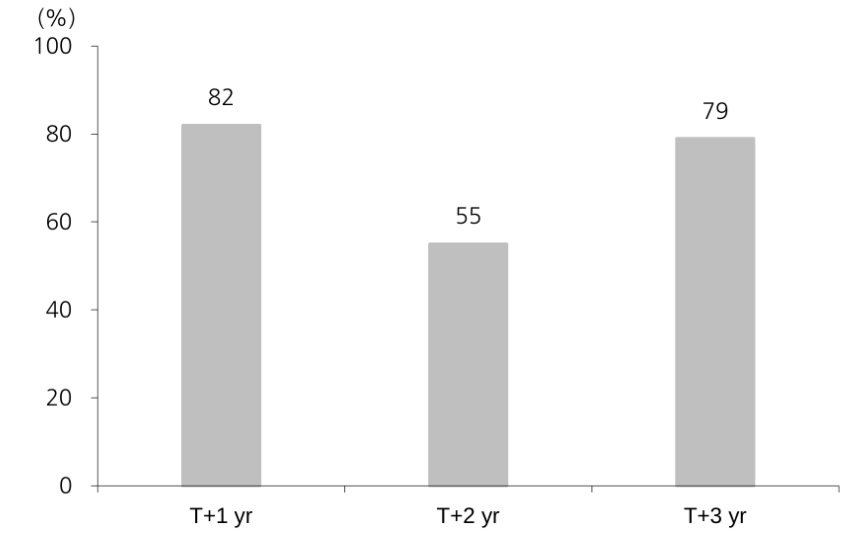


Source: Hanwha Research Center

Rising Military Spending after War's End Confirmed by Past Cases

- Analyzed changes in military spending after the war ended/ceasefire for the 22 cases with 1,000 or more casualties among 67 past interstate wars
- One year after the end/ceasefire, military spending rose year on year in 82% of countries, and five years later in 78%. This is a result of continued demand for force restoration and military modernization
- The ratio of military spending to GDP also exceeded the pre-war level in 82% of countries one year after the end/ceasefire and in 72% five years later

Share of Countries with Increased Military Spending at T+1, T+2 and T+5 Years after Past War End/Ceasefire



Source: SIPRI, Hanwha Research Center

Cases of Military Spending Decline Immediately after War End/Ceasefire and Change in Military Spending as a Share of GDP

Category	T+1		T+2		T+5	
	Military spending YoY	Military spending/GDP YoY	Military spending YoY	Military spending/GDP YoY	Military spending YoY	Military spending/GDP YoY
Iran (Iran-Iraq)	(26.0)	4.6	(11.2)	2.9	17.1	1.7
Ethiopia (Ethiopia-Eritrea)	(36.5)	4.4	(16.9)	3.8	0.4	2.8
Kuwait (Iraq-Kuwait)	(49.3)	31.8	(51.6)	12.4	(15.0)	10.3
India (India-Pakistan)	(5.8)	3.6	(6.6)	3.2	3.1	3.2
Tunisia (Tunisia-France)	(23.7)	1.7	0.3	1.5	4.8	1.3

Source: SIPRI, Hanwha Research Center

Military Spending Expected to Keep Expanding after the Russia-Ukraine and U.S.-Iran Wars End

- As in past cases, the Russia-Ukraine and U.S.-Iran wars are also expected to see continued military spending after the end/ceasefire for force restoration and responding to security threats
- The Russia-Ukraine war has demand for Ukraine's force rebuilding and Russia's military restoration. Europe is expected to continue force buildup in line with NATO's stance of higher defense spending
- In the U.S.-Iran war, the U.S. replenishment of missile and ammunition stocks and Middle East countries' demand to secure air defense systems and interceptor missiles are expected to underpin military spending

Table 73. Military Spending Outlook of Belligerents and Neighboring Countries after the Russia-Ukraine/U.S.-Iran War Ends

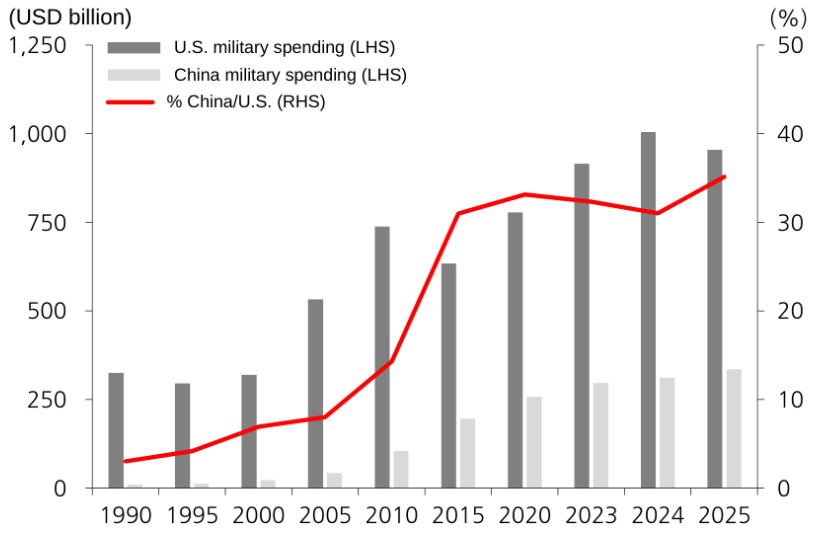
Category	Security Threat	Fiscal Capacity	Military Spending Outlook
Ukraine	Yes	Insufficient	Uncertain
Russia	Yes	Limited	Limited increase
Europe and other neighboring countries	Yes	Varies by country	Increase
U.S.	Yes	Relatively sufficient	Increase
Iran	Yes	Insufficient	Uncertain
Middle East and other neighboring countries	Yes	Varies by country	Increase

Source: Hanwha Research Center

Reduced U.S. Military Involvement, Greater Need for Major Countries' Own Force Buildup

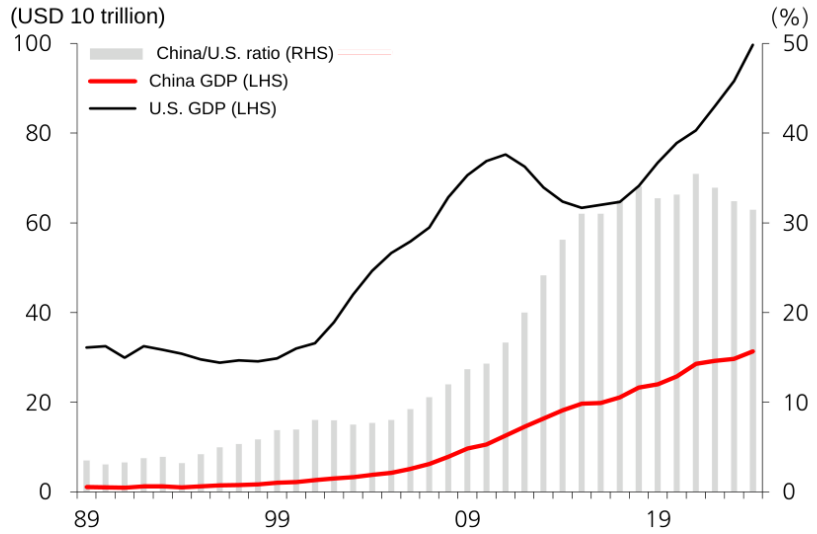
- As the U.S. concentrates its military power on strategic competition with China, it demands that its European and Middle East allies strengthen their own defense capabilities and bear a larger defense spending burden
- Through the Russia-Ukraine and Middle East wars, U.S. military superiority has weakened, and it is hard to restore exhausted forces in a short time given limited production capacity
- Even after the end/ceasefire, U.S. security guarantees alone are unlikely to sufficiently ease security threats, and demand for major countries to build up their own forces is expected to continue

U.S.-China Military Spending Trend Comparison



Source: SIPRI, Hanwha Research Center

U.S.-China GDP Trend Comparison

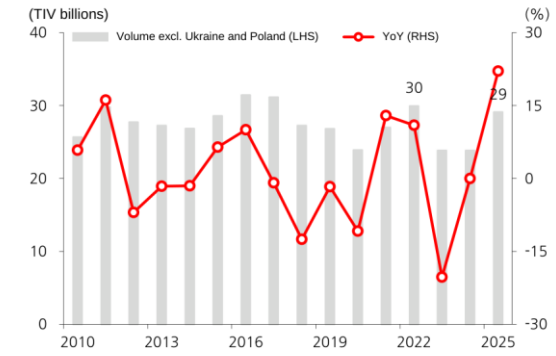


Source: SIPRI, Hanwha Research Center

Global Weapons Demand – The Full-Scale Force Buildup Cycle Has Not Yet Begun

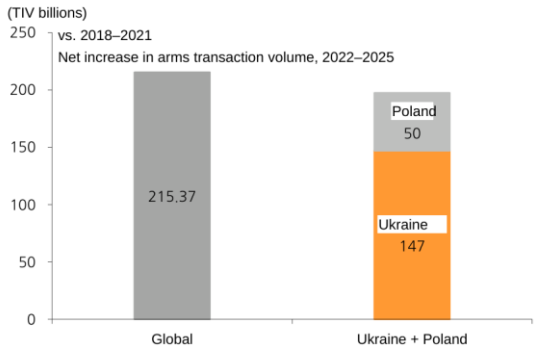
- Interest in the global defense sector has grown greatly since the Russia-Ukraine war, but total global arms transactions have been maintained without significant change
- 92% of the net increase in global arms in 2022–25 is concentrated in Ukraine and Poland. It stems from urgent force replenishment in some countries rather than broad global demand growth
- Major countries' defense budgets are rising fast, but actual force buildup is limited. There is still a long way to go before global rearmament

Global Arms Transaction Volume Trend (Excluding Arms Imports by Ukraine and Poland)



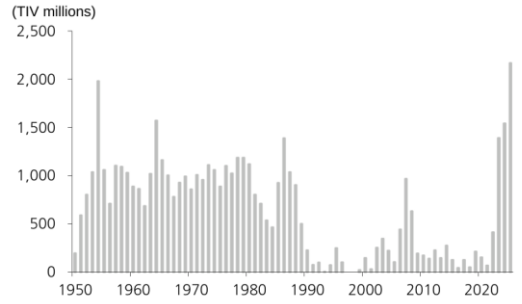
Source: SIPRI, Hanwha Research Center

Most of the Net Increase in Global Arms Transaction Volume Is Arms Imports by Ukraine and Poland



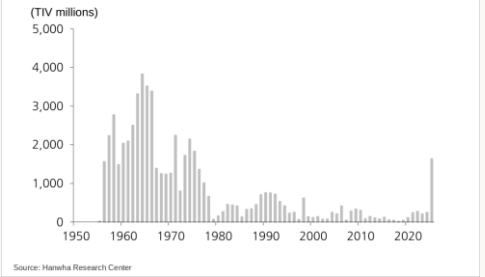
Source: SIPRI, Hanwha Research Center

Poland Arms Import Trend (1950–2025)



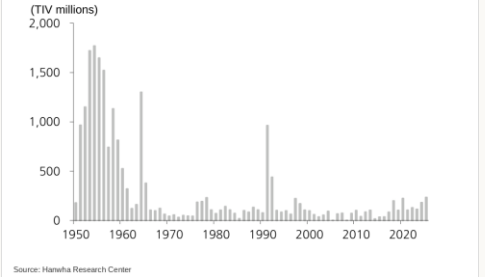
Source: Hanwha Research Center

Germany Arms Import Trend (1950–2025)



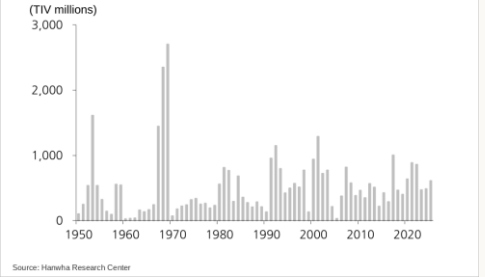
Source: Hanwha Research Center

France Arms Import Trend (1950–2025)



Source: Hanwha Research Center

UK Arms Import Trend (1950–2025)

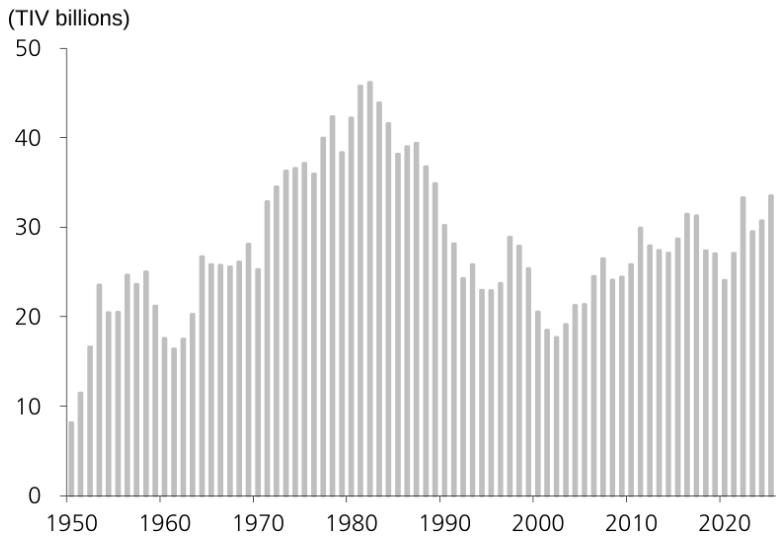


Source: Hanwha Research Center

Demand Expands from Urgent Force Replenishment to Structural Force Rebuilding

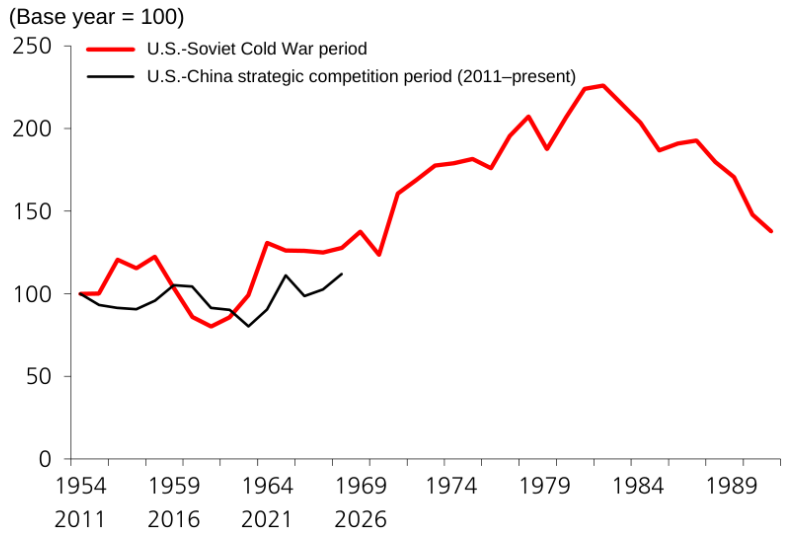
- If 2022–25 global weapons demand was concentrated on urgent force replenishment, demand is expected to expand going forward centered on structural force rebuilding
- The grounds for prolonged structural force-rebuilding demand are 1) prolonged geopolitical competition, 2) the need to replace aging forces, and 3) increased capacity to introduce new weapons
- As major countries' security threats persist and demand to replace aging forces is joined by expanded defense budgets, long-term growth in global weapons demand is expected

Global Arms Transaction Volume Trend (1950–2025)



Source: SIPRI, Hanwha Research Center

Comparison of Global Arms Transaction Volume Trends in the U.S.-Soviet Cold War and U.S.-China Strategic Competition Periods



Source: SIPRI, Hanwha Research Center

Key Is Whether European Defense Makers' Production Increases Absorb Regional Weapons Demand

- Global defense makers, including those in the U.S. and Europe, are pursuing production capacity expansion to respond to the weapons demand that has increased since the Russia-Ukraine war
- European defense makers are increasing production of major weapon systems to respond to regional rearmament demand. How much of the regional demand the expanded production capacity will absorb is the key
- As Korean defense makers compete directly with European-made weapon systems, it is necessary to monitor the pace of competitors' production capacity expansion and changes in delivery times

Table 74. Major Competing Weapon Systems of Korea and Europe

Category	Korea	European Competing Product	Key Company	Capacity Direction
Self-propelled howitzer	K9	CAESAR	KNDS France	Expanding
Self-propelled howitzer	K9	RCH 155	KNDS Deutschland	Expanding
Self-propelled howitzer	K9	Archer	BAE Systems	Expanding
Self-propelled howitzer	K9	PzH 2000	KNDS Deutschland	Unknown
Multiple rocket launcher	Chunmoo	PULS	Elbit Systems	Expanding
Multiple rocket launcher	Chunmoo	EuroPULS	KNDS / Elbit	Planned expansion
Tank	K2	Leopard 2	KNDS / Rheinmetall	Expanding
Air defense	Cheongung-II	SAMP/T NG	MBDA	Expanding
Air defense	Cheongung-II	IRIS-T SLM	Diehl Defence	Expanding
Fighter	KF-21	Rafale	Dassault Aviation	Expanding
Fighter	KF-21	Eurofighter	Airbus / BAE / Leonardo	Expanding
Fighter	KF-21	Gripen	Saab	Expanding

Source: Companies, Hanwha Research Center

Self-Propelled Howitzers – Tracked Competing Weapons, Low Likelihood of Further Expansion

- The main competing products of Korea's K9 are the M109A7 of BAE Systems (U.S.) and the PzH 2000 of KNDS (Germany)
- The M109A7 focuses on developing a next-generation self-propelled howitzer rather than increasing production of the existing model. Large-scale expansion of the existing production line is unlikely
- For the PzH 2000, order volume is limited as regional demand in Europe favors wheeled over tracked. Additional expansion is unlikely

Table 75. Global Self-Propelled Howitzer Expansion Status and Capacity Outlook

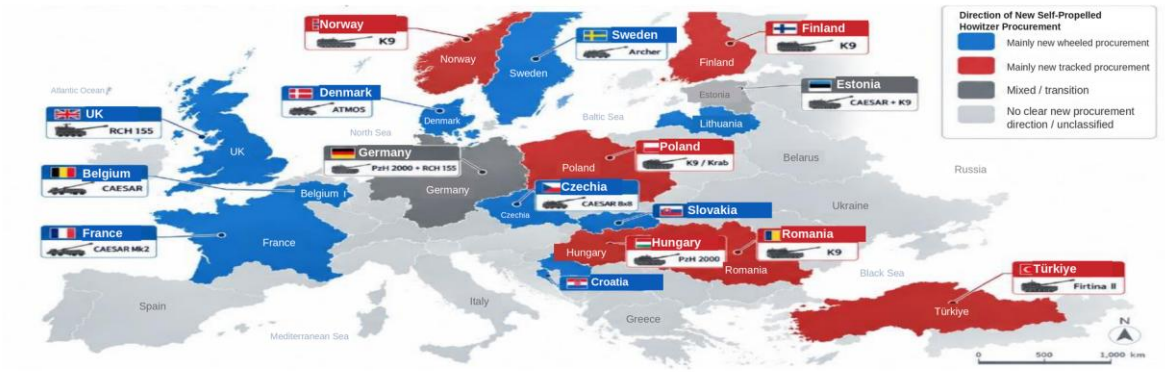
Category		Annual Production Capacity	Capacity Expansion Plan	Outlook
Tracked self-propelled howitzers	M109A7	60 guns (est.)	Not disclosed	Very low likelihood of capacity expansion
Tracked self-propelled howitzers	PzH 2000	10–15 guns (est.)	Not disclosed	Low likelihood of capacity expansion
Wheeled self-propelled howitzers	CAESAR	120 guns	144 guns	Low likelihood of additional capacity expansion
Wheeled self-propelled howitzers	RCH 155	25–35 guns (est.)	Expanding	Very high likelihood of additional capacity expansion
Wheeled self-propelled howitzers	ARCHER	15 guns (est.)	Expanding	Very low likelihood of additional capacity expansion

Source: Companies, Hanwha Research Center

Self-Propelled Howitzers – Wheeled Competing Weapons Increasing Production. Oversupply Concerns Limited

- The main competing products of Korea's K9MH are CAESAR of KNDS (France), RCH 155 of KNDS (Germany) and Archer of BAE Systems (UK)
- RCH 155 has entered the phase of full-scale mass-production expansion. Given high demand in Europe and the accumulated order backlog, oversupply concerns from production increases are limited
- CAESAR expanded annual production capacity from the existing 24 guns to about 120 guns. As much of the expansion is complete, the likelihood of additional large-scale expansion is low

New Self-Propelled Howitzer Procurement Map by European Country: Tracked (Red) vs. Wheeled (Blue)



Source: Hanwha Research Center

Multiple Rocket Launchers – Further Production Increases Likely, but Excess Demand Expected to Persist

- The main competing products of Korea's Chunmoo are HIMARS of Lockheed Martin (U.S.) and PULS of Elbit Systems (Israel)
- HIMARS has completed expanding annual production capacity from 48 to 96 units. There is also high room for further production increases, but demand is also continuing to increase, so excess demand is expected to persist
- For PULS, the scale of future EuroPULS production increases is the key variable. As mass-production plans are not yet finalized, full-scale capacity expansion is expected around 2030

Table 76. HIMARS System and Major Munition capacity Comparison before and after the Russia-Ukraine War

Category	capacity before 2022	capacity after 2022	Remarks
HIMARS system	48 units/yr	96 units/yr	100% increase
GMLRS (range 70km missile)	10,000 rounds/yr	14,000 rounds/yr	40% increase; includes ER GMLRS (150km)
ATACMS (range 300km missile)	320 rounds/yr	500 rounds/yr	U.S.: ATACMS → PrSM transition; overseas: demand continues
PrSM (range 499km missile)	Initial mass-production stage	400 rounds/yr	Up to 664 rounds/yr in FY2027; pursuing 4x expansion of long-term production capacity

Source: Hanwha Research Center

Table 77. PULS New Order Trend (Excluding Israel)

Category	Contract Date	Launchers	Performance Period	Remarks
Denmark	2023.02	8 units	3 years (~2026)	-
Netherlands	2023.05	20 units	5 years (~2028)	-
Undisclosed	2023.07	Undisclosed	3 years (~2026)	USD 150 million
Undisclosed	2024.08	Undisclosed	4 years (~2028)	USD 270 million
Undisclosed	2024.11	Undisclosed	4 years (~2028)	USD 340 million, European country
Germany	2025.02	5 units	Undisclosed	-
Undisclosed	2025.08	Undisclosed	5 years (~2030)	USD 1.64 billion, Serbia
Greece	2026.04	*36 units	4 years (~2030)	Launcher count per press reports

Source: Hanwha Research Center

Air Defense Systems – Excess Demand for Ballistic Missile Defense Systems Expected to Be Prolonged

- The main competing products of Korea's Cheongung-II are Patriot of RTX (U.S.) and SAMP/T NG of Eurosam (Europe)
- Despite production increases in U.S. and European air defense systems, excess demand for ballistic-missile-response systems is expected to persist until the mid-2030s
- With Patriot supply shortages, the market for air defense systems to complement it is expected to expand. Full-scale supply expansion of the key competing product SAMP/T NG is expected around 2030

Table 78. Global Air Defense System Expansion Status and Capacity Outlook

Category	Annual Production Capacity	Capacity Expansion Plan	Outlook
Patriot	12 batteries	Expanding	Specific battery capacity not disclosed; missile capacity expanding
SAMP/T	4–6 batteries (est.)	Expanding	SAMP/T NG to enter full-scale mass production; missile capacity expanding
NASAMS	3–5 batteries (est.)	Not disclosed	High likelihood of capacity expansion
IRIS-T	10 batteries	Expanding	16 batteries in 2028, 30 batteries over the mid- to long term

Source: Companies, Hanwha Research Center

Fighters – Production Capacity Expansion Slow Despite Rising New Orders

- The main 4.5th-generation competing products of Korea's KF-21 are F-16 of Lockheed Martin (U.S.), F-15EX of Boeing, Rafale of Dassault Aviation (France), Eurofighter (Europe) and Gripen of Saab (Sweden)
- After the Russia-Ukraine war, fighter deliveries were limited, but new orders are on a rising trend. Based on the accumulated order backlog, fighter deliveries are expected to enter a phase of expansion
- Fighter makers are actively pursuing production increases. Achieving target production capacity is likely to be difficult owing to supply chain bottlenecks and delays in expanding production facilities

Table 79. Global Fighter Expansion Status and Capacity Outlook

Category	Annual Production Capacity	Capacity Expansion Plan	Outlook
F-16	20–30 aircraft (est.)	48 aircraft	Target achievement delayed. Limited likelihood of additional expansion
F-15	12–17 aircraft (est.)	24 aircraft	Target achievement delayed. Possibility of additional expansion exists
Rafale	20–30 aircraft (est.)	48 aircraft	Target achievement delayed. Possibility of additional expansion exists after achievement
Eurofighter	12–14 aircraft (est.)	20–30 aircraft	Limited likelihood of additional expansion after target achievement
Gripen	15 aircraft (est.)	20–30 aircraft	Limited likelihood of additional expansion after target achievement

Source: Companies, Hanwha Research Center

Tanks – Focus on Switching to Next-Generation Tank Mass Production, Existing-Model Production Increases Limited

- The main competing products of Korea's K2 are Leopard 2 of KNDS·Rheinmetall (Germany) and M1 Abrams of General Dynamics (U.S.)
- Tank makers are focusing on switching to next-generation model mass production rather than large-scale production increases of existing models. Germany is pursuing a reorganization centered on the Leopard 2A8, and the U.S. centered on the M1E3
- As both the Leopard 2 and the M1 Abrams focus on switching to next-generation models, the likelihood of large-scale production increases of existing models is low

Table 80. Global Major Tank Expansion Status and Capacity Outlook

Category	Annual Production Capacity	Capacity Expansion Plan	Outlook
Leopard 2	20–30 tanks (est.)	40–50 tanks (est.)	Low likelihood of additional capacity expansion
M1A2	180 tanks (est.)	Equipment investment under way	Plant modernization for next-generation tank production estimated
Leopard 2 A-RC 3.0	Under development	Under development	Mass-production schedule undecided
KF51	Under development	Under development	Mass-production schedule undecided
MGCS	Under development	Under development	Mass production targeted around 2040
M1E3	Under development	Under development	Full-scale mass production expected before 2030

Source: Companies, Hanwha Research Center

Oversupply Likelihood Limited despite Expansion of Global Weapons Supply

- U.S. and European defense makers are expanding the production capacity of major weapon systems, but oversupply concerns are limited given high order backlogs and continued demand increases
- For the K9, competing products' room to increase production is limited, and for Chunmoo, export opportunities are expected to expand on persistent global excess demand
- Cheongung-II is expected to benefit over the long term from the shortage of ballistic missile defense system supply. KF-21 is expected to secure export competitiveness on the long delivery times of competing fighters

Table 81. Production Capacity and Expansion Status by Competing Weapon System of Korean Defense

Category	Weapon System	Annual capacity before the Russia-Ukraine War	Current Annual capacity	Target capacity	Remarks
Self-propelled howitzer	M109A7	60 guns (est.)	60 guns (est.)	Not disclosed	Low likelihood of expansion
Self-propelled howitzer	PzH 2000	5 guns (est.)	10–15 guns (est.)	Not disclosed	Low likelihood of expansion
Self-propelled howitzer	RCH 155	0 guns (pre-mass production)	25–35 guns (est.)	Expanding	Figure not disclosed
Self-propelled howitzer	CAESAR	24 guns	120 guns	144 guns	Low likelihood of additional expansion
Self-propelled howitzer	ARCHER	10–15 guns (est.)	15 guns (est.)	Expanding	Low likelihood of additional expansion
Multiple rocket launcher	HIMARS	48 units	96 units	Expansion completed	High likelihood of expansion
Multiple rocket launcher	PULS	Unknown	Unknown	Expanding (est.)	High likelihood of additional expansion
Air defense	Patriot	Unknown	12 batteries	Expanding	Figure not disclosed
Air defense	SAMP/T	1–3 batteries (est.)	4–6 batteries (est.)	Expanding	Figure not disclosed
Air defense	IRIS-T	Unknown	10 batteries	16 batteries	Long-term target of increasing to 30 batteries
Air defense	NASAMS	1–3 batteries (est.)	3–5 batteries (est.)	Not disclosed	High likelihood of expansion
Fighter	F-16	Mass production started after plant relocation	20–30 aircraft (est.)	48 aircraft	Limited likelihood of additional expansion
Fighter	F-15	10–15 aircraft (est.)	12–17 aircraft (est.)	24 aircraft	Possibility of additional expansion exists
Fighter	Rafale	12–20 aircraft (est.)	20–30 aircraft (est.)	48 aircraft	Possibility of additional expansion exists
Fighter	Eurofighter	10–12 aircraft (est.)	12–14 aircraft (est.)	20–30 aircraft	Limited likelihood of additional expansion
Fighter	Gripen	6–10 aircraft (est.)	15 aircraft (est.)	20–30 aircraft	Limited likelihood of additional expansion
Tank	Leopard 2	Unknown	20–30 tanks (est.)	40–50 tanks (est.)	Low likelihood of additional expansion
Tank	M1A2	180 tanks (est.)	180 tanks (est.)	Expanding	Facility modernization investment under way (est.)

Source: Companies, Hanwha Research Center

Hanwha Aerospace (012450): There Are Still Many Bigger Opportunities

Buy (Maintained)

Target Price

1,300,000 KRW

Current Price (10/26)	Upside
760,000 KRW	**▲71.1%**

Market Cap	**KRW 39,188.2 billion**
Shares Outstanding	**51,563 thousand shares**
52-Week High / Low	**1,537,000 / 760,000 KRW**
90-Day Avg. Daily Value	**KRW 173.0 billion**
Foreign Ownership	**44.9%**
SHAREHOLDERS	
Hanwha (+7 others)	**35.8%**
National Pension Service (+1 other)	**7.9%**
Hanwha Aerospace Employee Stock Ownership Association (+1 other)	**1.3%**

Expectations for entry into the U.S. defense market and higher share in artillery systems

- Selected in August 2026 as the prototype contractor for the U.S. wheeled self-propelled howitzer program. Expansion into the subsequent mass-production program and the tracked self-propelled howitzer modernization program is expected
- With supply constraints in global artillery systems continuing, concerns about intensified order competition are limited. The K9 is expected to maintain a stable share and the wheeled self-propelled howitzer to expand its share
- Chunmoo is expected to erode HIMARS's share on fast delivery and price competitiveness. Despite results in entering the U.S. market, the recent share price has continued to be weak

Mid- to long-term earnings growth continues on a large order backlog. Middle East orders are a short-term variable

- On a defense order backlog of about KRW 38 trillion, visibility of mid- to long-term earnings growth is high despite macro uncertainty
- As deliveries of existing orders expand, profit growth is expected to continue not only in 2027 but through 2028–2029
- Short-term share price momentum hinges on progress in Middle East export projects. Attention should be paid not only to stable earnings growth and artillery systems but also to expanded defense competitiveness across land, sea and air

Hanwha Aerospace Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
Revenue	11,240	26,703	31,721	33,251	36,443
Operating Profit	1,732	3,089	4,619	5,502	6,043
EBITDA	2,063	3,962	5,587	6,593	7,314
Net Income (Controlling)	2,299	1,405	2,366	3,249	3,548
EPS	49,621	27,247	45,986	63,156	68,969
Net Debt	7,536	4,717	6,913	7,649	8,819
PER	15.3	27.9	16.5	12.0	11.0
PBR	6.9	4.0	3.0	2.5	2.1
EV/EBITDA	22.7	11.1	8.3	7.1	6.6
Dividend Yield (%)	0.5	0.9	1.1	1.3	1.4
ROE	53.9	19.1	20.8	22.4	20.3

Source: Hanwha Securities

Hanwha Aerospace (012450): Earnings Estimates

Table 84. Hanwha Aerospace Earnings Estimates (Unit: KRW billions, %, % YoY)

(KRW billions, %, %YoY)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Revenue	5,751	9,293	7,128	9,549	6,896	7,661	7,973	10,721	26,703	31,721	33,251
Operating Profit	639	1,365	1,127	1,487	1,162	1,302	1,385	1,652	3,120	4,619	5,502
Pre-Tax Profit	555	1,247	947	1,327	1,041	1,168	1,302	1,519	2,241	4,075	5,030
Net Income	261	636	612	857	672	754	841	982	1,432	2,366	3,249
% YoY											
Revenue	4.9	47.2	9.9	13.4	19.9	(17.6)	11.9	12.3	137.6	18.8	4.8
Operating Profit	13.9	58.5	26.6	84.2	81.9	(4.7)	22.9	11.1	80.2	48.0	19.1
Net Income	201.2	253.1	14.8	35.5	157.9	18.5	37.5	14.5	(37.7)	81.9	23.4
Profitability Ratios											
Gross Profit	21.3	22.0	21.7	18.0	30.9	27.5	19.0	22.5	20.4	20.6	24.5
Operating Profit	11.1	14.7	15.8	15.6	16.9	17.0	17.4	15.4	11.7	14.6	16.5
Net Income	4.5	6.8	8.6	9.0	9.8	9.8	10.5	9.2	5.4	7.5	9.8

Source: Hanwha Securities Research Center

LIG D&A (079550): Supply Constraints on Ballistic Missile Interception Systems Persist

Buy (Maintained)

Target Price
670,000 KRW

Current Price (10/26)
429,000 KRW

Upside
▲56.2%

Market Cap	**KRW 9,438.0 billion**
Shares Outstanding	**22,000 thousand shares**
52-Week High / Low	**1,020,000 / 364,500 KRW**
90-Day Avg. Daily Value	**KRW 86.405 billion**
Foreign Ownership	**26.3%**

SHAREHOLDERS

LIG (+9 others)	**38.2%**
National Pension Service (+1 other)	**9.9%**
Treasury shares (+1 other)	**0.7%**

Ballistic missile defense system supply shortage persists; Cheongung-II export opportunities expected to expand

- After the U.S.-Iran war, the Patriot supply shortage stood out, raising expectations for Cheongung-II exports. The share price is weak as new order results fell short of expectations
- Despite production increases in U.S. and European air defense systems, the ballistic missile defense system supply shortage is expected to persist
- Patriot focuses on replenishing operator countries' inventories, and SAMP/T NG production increases are limited until around 2030. Export competitiveness is expected to strengthen when the Cheongung-III is fielded

Mid- to long-term earnings growth continues on a high-margin order backlog; additional Middle East orders are the key variable

- Despite a short-term gap in new orders, mid- to long-term growth remains valid on a high-margin defense order backlog centered on 3 Middle East countries
- With expanded deliveries of existing orders, stable profit growth is expected in 2027–2029. Securing additional export contracts would extend growth visibility into the 2030s
- Short-term share price momentum hinges on progress in additional Middle East air defense orders

LIG D&A Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
Revenue	2,309	3,276	4,307	4,968	5,825
Operating Profit	186	223	319	440	602
EBITDA	255	309	444	592	749
Net Income (Controlling)	175	219	253	400	567
EPS	7,953	9,974	11,516	18,325	25,955
Net Debt	-167	-75	896	1,624	1,521
PER	16.4	43.0	37.3	23.4	16.5
PBR	2.7	7.8	6.6	5.3	4.2
EV/EBITDA	10.6	30.3	23.3	18.7	14.6
Dividend Yield (%)	1.5	0.6	0.7	1.0	1.4
ROE	17.6	19.4	19.2	25.0	28.3

Source: Hanwha Securities

LIG D&A (079550): Earnings Estimates

Table 87. LIG D&A Earnings Estimates (Unit: KRW billions, %, % YoY)

(KRW billions, %, %YoY)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Revenue	1,168	1,110	1,151	1,540	1,328	1,440	1,387	1,671	4,307	4,968	5,825
Operating Profit	171	106	91	72	182	181	140	99	323	440	602
Pre-Tax Profit	177	101	98	79	197	195	146	108	282	455	646
Net Income	140	83	78	100	158	156	117	136	255	400	567
% YoY											
Revenue	28.7	17.4	9.7	9.6	13.7	29.7	20.5	8.5	31.5	15.4	17.2
Operating Profit	50.6	29.5	1.7	85.6	6.5	71.5	53.2	37.8	44.8	35.9	36.9
Net Income	66.1	(22.8)	31.8	2,049.4	13.1	88.2	49.5	36.9	16.3	56.8	41.6
Profitability Ratios											
Gross Profit	21.7	20.2	16.6	13.5	22.4	21.4	19.0	14.5	15.4	17.6	19.1
Operating Profit	4.3	2.7	0.1	5.6	0.5	5.0	3.8	2.3	7.5	8.8	10.3
Net Income	5.7	(2.1)	2.8	133.1	1.0	6.1	3.6	2.2	5.9	8.1	9.7

Source: Hanwha Securities Research Center

SECTORS

I Food & Beverage
II Cosmetics
III Retail/Apparel
IV Airlines
V Internet/Games
VI Semiconductors
VII Banks
VIII Insurance
IX Autos
X Construction/Utilities
XI Defense
XII **Steel/Non-ferrous**
XIII Power Equipment

XII

Steel/Non-ferrous

Bottom after Expectations Reset

Korea 2027 Industry Outlook

Steel/Non-ferrous: Summary

1

2026 Review: Share prices diverged from earnings expectations

- The KOSPI rose 32% year to date (October 23), but all 6 covered steel/non-ferrous stocks underperformed, and SeAH Steel was the only one to rise
- Of the three rebound rationales cited last year (liquidity, production cuts and inventory restocking), only some production cuts have been confirmed

2

2027 Outlook: Costs falling more than selling prices

- Steel: Raw material cost per ton of molten iron falls about 14%, while domestic hot-rolled falls around 2%. The sheet spread improves around 5% and Hyundai Steel's operating profit about doubles
- Non-ferrous: Zinc and silver prices fall about 8% and a stronger won reduces smelting profit

3

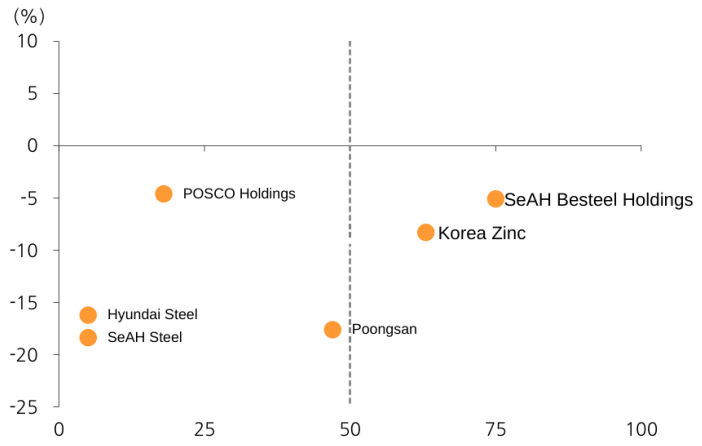
Investment Strategy: Consensus in a downgrade phase; accumulate steel stocks in tranches

- The steel stock bottom is likely around 1Q27, before the consensus downgrades end. Accumulate in tranches starting with POSCO Holdings and Hyundai Steel, which are at the low end of their P/B ranges
- Short-term preference for POSCO Holdings, which has relatively low consensus downgrade risk

2027 Steel/Non-ferrous Annual Outlook: Room for Consensus Downgrades; Approach Steel First

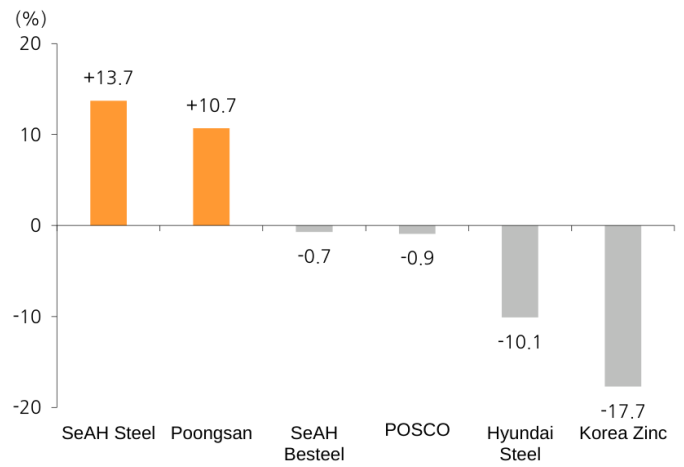
- With China and domestic demand weak in 2027, steel earnings growth is expected to come from raw material cost declines larger than selling price declines
- Steel: The sheet spread improves around 5%, and Hyundai Steel's operating profit is forecast to roughly double from KRW 268.3 billion in 2026 to about KRW 540.0 billion in 2027
- Non-ferrous: Smelting profit declines on zinc and silver price corrections and a stronger won. Whether steel pipe earnings grow depends on U.S. crude oil upstream investment guidance, the exchange rate and U.S. hot-rolled prices
- Some stocks' consensus assumes favorable price and contract terms. Korea Zinc's assumes silver averaging about USD 73 per year, and Hyundai Steel's is close to the upper-end path in which selling price declines are limited
- The steel stock bottom is likely around 1Q27, before the consensus downgrades end. Accumulating in tranches is effective, starting with Hyundai Steel and POSCO Holdings at the low end of their P/B ranges

2027E Hanwha Forecasts Are Below Consensus for All 6 Stocks; Valuation Lows Are the 3 Steel and Steel Pipe Stocks



Note: The horizontal axis is the 12-month forward P/B position since listing/spin-off (Oct 23)
Source: Fnguide, Hanwha Securities Research Center

2027 Earnings Consensus: Korea Zinc and Hyundai Steel Revised Down, SeAH Steel and Poongsan Revised Up



Note: July 24 → October 23
Source: Fnguide, Hanwha Securities Research Center

Price Forecasts and Assumptions: Raw Material Costs Fall More than Selling Prices; Zinc and Silver Decline, Lithium Recovers

- Iron ore stays at the 4Q level (USD 92) and coking coal falls from its 4Q peak. Adding the stronger won, blast furnace raw material cost falls about 14%
- Zinc falls about 8% as the mine shortage and LME inventory concentration ease. Silver's -8% is a base effect from the 1H26 high, and it recovers within 2027
- Copper (annual average USD 13,500) sees a mild correction, with the concentrate shortage supporting the lower bound. Gold is flat as central bank purchases and the interest rate burden offset each other
- Lithium carbonate rises every quarter on lower inventories, a possible Zimbabwe export ban and delays at new mines, for an annual average of +8%
- KRW/USD falls to 1,325 on the semiconductor export surplus, also lowering the KRW price of Chinese hot-rolled, so domestic hot-rolled falls around 2%

Table 88. Hanwha Securities 2027 Forecasts and Assumptions: Quarterly Average

Indicator (Unit)	3Q26A	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2026E	2027E	2027 Change
Iron ore 62% (USD/ton)	98.8	92	93	92	91	90	100.9	91.5	-9.3%
Coking coal, Australia (USD/ton)	246.8	262	245	230	228	225	244.7	232.0	-5.2%
Domestic hot-rolled, distribution (KRW thousand/ton)	953	917	908	893	884	878	913	891	-2.4%
Copper, LME (USD/ton)	14,104	14,400	13,900	13,600	13,300	13,200	13,669	13,500	-1.2%
Zinc, LME (USD/ton)	3,825	3,650	3,500	3,300	3,150	3,050	3,545	3,250	-8.3%
Silver (USD/oz)	62.6	57.0	60.5	62.5	64.5	66.5	69.3	63.5	-8.4%
Gold (USD/oz)	4,262	4,100	4,200	4,350	4,500	4,650	4,435	4,425	-0.2%
Lithium carbonate, China (CNY 10,000/ton)	14.8	10.2	13.0	15.0	16.5	17.5	14.4	15.5	+7.6%
KRW/USD (KRW)	1,421	1,345	1,340	1,330	1,320	1,310	1,433	1,325	-7.5%

Note: Quarterly average; 3Q26 is actual; lithium carbonate is battery grade
Source: Steel Daily, LME, Wind, Hanwha Securities Research Center

Investment Strategy: Steel at the Low End of P/B; Steel Pipe and Copper Products Face Expectation Burden

- Hyundai Steel and POSCO Holdings have ROE rising from the 2026 trough but still below the long-term average. The low P/B reflects the low ROE
- SeAH Steel and Poongsan have lower P/B relative to ROE, but 2027 earnings are flat or lower, and consensus is 17–18% above our forecasts
- Steel stocks tend to pass their bottom before earnings forecasts do. This is the point at which accumulating in tranches from the low end of P/B is effective

Table 89. Valuation of the 6 Covered Stocks (2027E)

Stock	Rating	Target Price (KRW)	Current Price (KRW)	Upside	P/E	2027E P/B	ROE 2026E→2027E	Long-term Average ROE	EV/EBITDA
Hyundai Steel	Buy	43,000	26,300	63.5%	11.3x	0.18x	0.5→1.7%	2.8%	5.0x
POSCO Holdings	Buy	500,000	269,500	85.5%	9.9x	0.37x	3.4→4.0%	4.3%	4.7x
SeAH Besteel Holdings	Buy	54,000	31,700	70.3%	9.7x	0.58x	4.5→6.2%	4.0~4.5%	6.7x
SeAH Steel	Buy	207,000	121,100	70.9%	3.5x	0.28x	7.9→8.4%	8.0~12.0%	3.3x
Poongsan	Buy	98,000	57,200	71.3%	6.5x	0.60x	12.2→9.9%	8.6%	5.4x
Korea Zinc	Buy	1,400,000	845,000	65.7%	17.3x	1.42x	10.5→8.6%	9.6%	12.5x

Note: Multiples are consensus 2027E (Oct 22); long-term average ROE is the average after business structure changes
Source: Fnguide, Hanwha Securities Research Center

Year in Review and Starting Point for Next Year: Consensus Assumes a 2x Recovery, but Rebound Rationale Is Lacking for Now

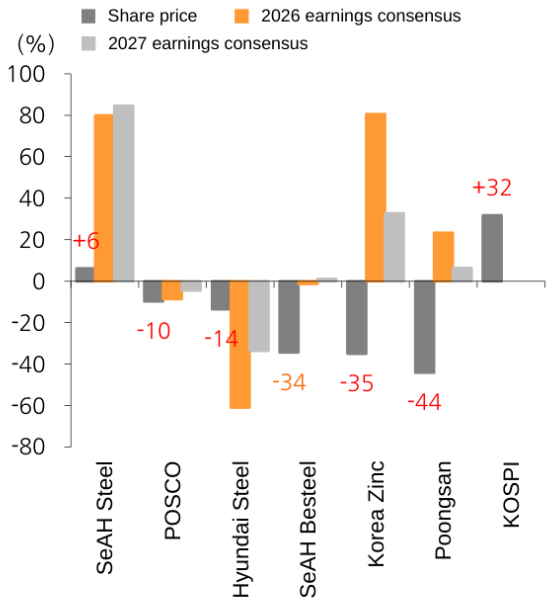
- In 2026 the KOSPI rose 32% year to date (October 23), but all 6 covered stocks underperformed. SeAH Steel (+6%) was the only one to rise
- Korea Zinc and Poongsan saw both this year's and next year's operating profit consensus rise, yet their shares fell 35% and 44%, and the silver price also fell 23% over the same period
- Hyundai Steel's consensus has been cut by 61% for this year and 34% for 2027, but the 2027 consensus still assumes a recovery to about 2x this year's level
- Of last year's rebound rationales, only production cuts have been partially confirmed. The previous Chinese inventory cycle lasted 59 months versus a 43-month average, and hot-rolled fell 2% over the first 12 months of this restocking period
- Viewed in the same framework, the rebound rationale for 1H27 is lacking, and hot-rolled is forecast to be flat to slightly lower from the current level

Table 90. Hot-rolled Fell 2% Even after 1 Year of Chinese Inventory Restocking

Cycle	Restocking	Reduction	Total	Hot-rolled during restocking period (%)
09.12~13.8	23	22	45	+14
13.9~16.10	12	26	38	-7
16.11~20.9	16	31	47	+23
20.10~25.8	19	40	59	+31
25.9~ (ongoing)	12	-	-	-2
7 completed cycles average	20	24	43	-

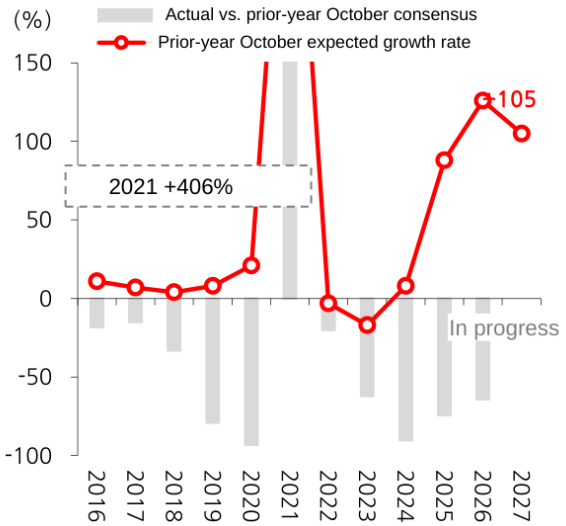
Year in Review and Starting Point for Next Year: Consensus Assumes a 2x Recovery, but Rebound Rationale Is Lacking for Now (cont.)

Of the 4 Stocks with Higher Consensus, Only SeAH Steel's Share Price Rose



Note: As of October 23
Source: Fnguide, Korea Exchange, Hanwha Securities Research Center

Hyundai Steel Earnings Missed Prior-Year Consensus in 9 of 10 Years



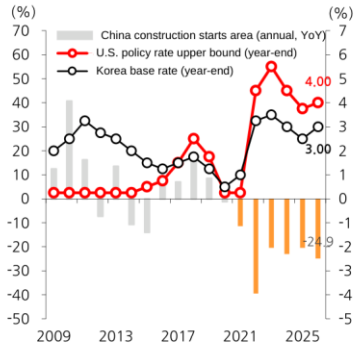
Source: Fnguide, Hanwha Securities Research Center

Note: Restocking, reduction and total are in months
Source: Mysteel, China National Bureau of Statistics, Wind, Hanwha Securities Research Center

Steel: No Confirmed Rebound in China Demand; Earnings Growth Comes from Lower Costs

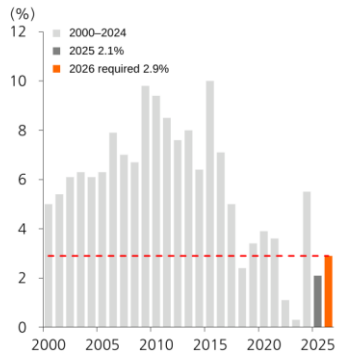
- China's property construction starts for January–September 2026 fell 24.9% from a year earlier, continuing the pattern of annual declines since 2020
- China's M1 (cash and deposits that can be withdrawn immediately) rose 3.2% year on year in September, below the market expectation of 4.0%
- A rise in M1 growth versus six months earlier is a steel rebound signal. The December figure to be released in mid-January would need to exceed June's 4.0%, but if the balance grows only 2.1% after end-September as in 2025, it would reach only 3.1%
- Even with infrastructure investment growing 8–12% a year for 3 years, domestic steel demand declined, and special bonds in 2026 are the same size as the previous year
- Production cuts were concentrated in the period when profitable steel mills fell to 8%, and some mills restarted in October as losses narrowed

China Construction Starts Fall Every Year; U.S. and Korea Rate Hikes (%)



Note: Interest rates are year-end (October for 2026); construction starts for 2026 are Jan–Sep
Source: China National Bureau of Statistics, FRB, Bank of Korea, Wind, Hanwha Securities Research Center

M1 Balance Growth Rate by Year, End-September to End-December (%)



Note: Each bar is the end-December M1 balance growth rate versus end-September of that year; 2026 is the value required for a December growth rate of 4.0%
Source: People's Bank of China, Wind, Hanwha Securities Research Center

China Steel Exports at 2015–16 Peak Levels



Note: Excluding semi-finished products
Source: China General Administration of Customs, Wind, Hanwha Securities Research Center

Steel: Domestic Demand and Shipments – Shipments Fall about 1%, Plate Is the Only Growing Item

- Domestic shipments of the 5 items rise about 2%, but exports fall 7–8%, so total shipments are forecast to fall about 1%
- The demand increase is driven by steel input for ships to be delivered in 2028 and by higher construction starts and orders in 2026
- The export decline reflects the reduced EU quota and the normalization of rebar exports to the U.S.
- Hyundai Steel, whose export share is 26–27%, sees shipments fall only about 0.4% under the same assumptions
- The October edition of worldsteel also raises Korea's demand to +1.3% and lowers China's to -1.0%

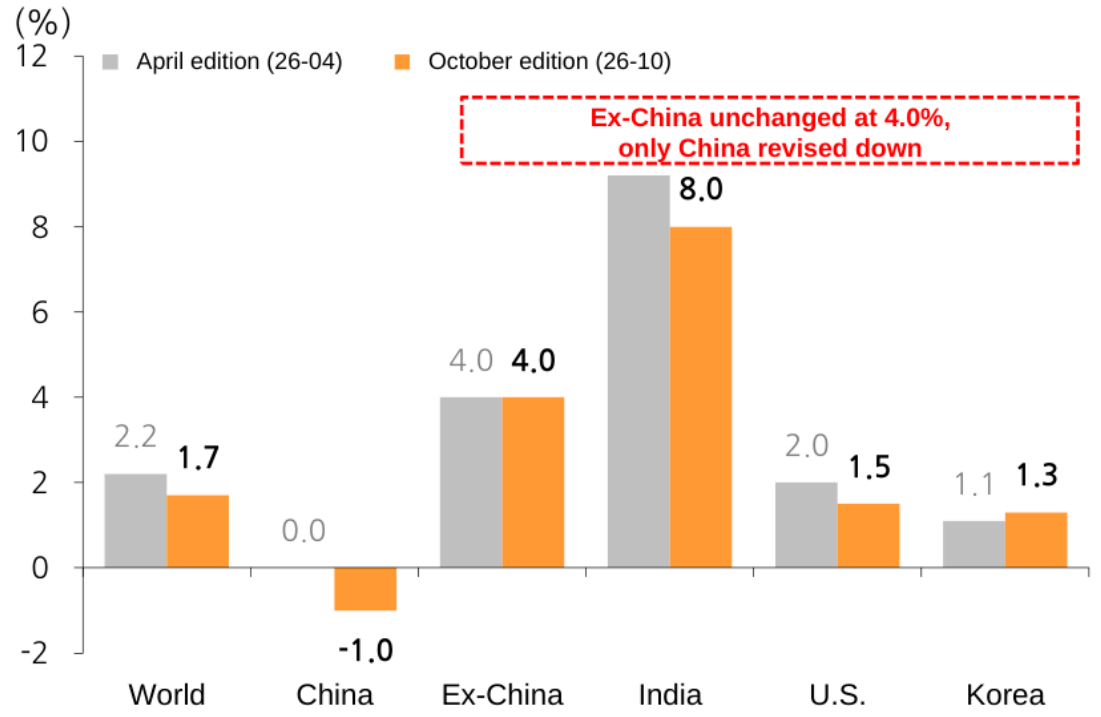
Table 91. 2027 Domestic Demand, Exports and Shipments by Item

Item	Domestic	Exports	Shipments
Plate	+6%	-5% to -9%	+2% to +3%
Hot-rolled	+1%	-6%	About -2%
Cold-rolled/coated	+0.5%	-2% to -7%	-1% to -3%
Rebar	+2.5%	From about 1 million tons to 300–400 thousand tons	-4% to -6%
Section steel	+1.5%	-5% to -8%	About -1%
Total of 5 items	+2.1%	-7% to -8%	About -1%

Source: Korea Iron & Steel Association, Hanwha Securities Research Center

Steel: Domestic Demand and Shipments – Shipments Fall about 1%, Plate Is the Only Growing Item (cont.)

worldsteel 2027 Global Demand +2.2% → +1.7%, Most of the Downgrade Is China

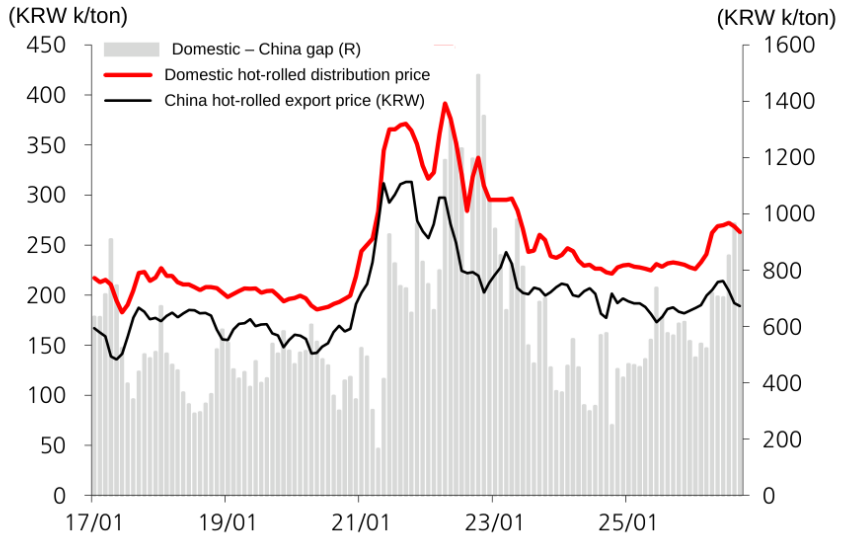


Note: Based on apparent consumption (including imports)
Source: worldsteel, Hanwha Securities Research Center

Steel: Domestic Prices and Spreads – Raw Material Costs Fall Further, Spread Improves Slightly

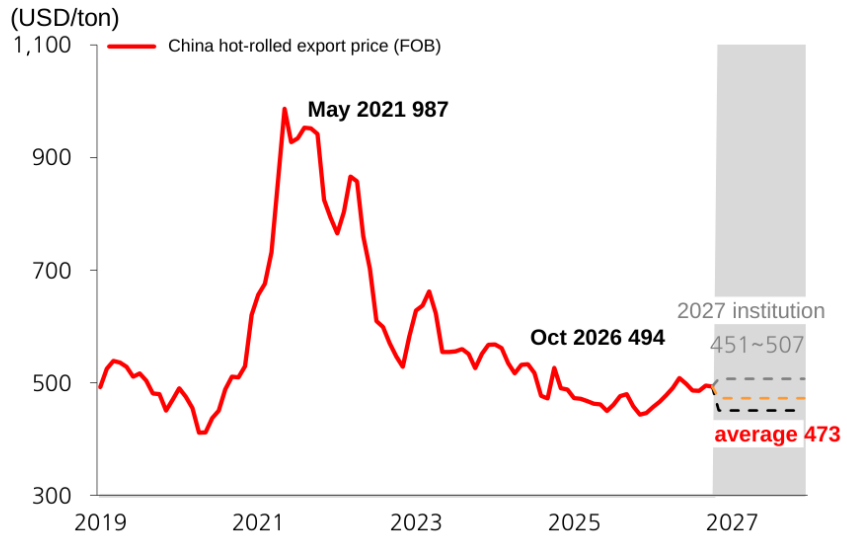
- Since 2017, domestic sheet prices have moved more closely with Chinese hot-rolled prices (in won) than with raw material costs
- In 2027, Chinese hot-rolled is forecast to be flat to slightly lower in USD terms, and about 9% lower in won terms on the stronger won
- Coking coal averages USD 232 in 2027 (USD 245 in 2026) on Shanxi coal mine recovery, and adding the stronger won, blast furnace raw material cost falls about 14%
- With raw material cost falling more than selling prices, the base case is a sheet spread improvement of around 5% versus 2026. If Chinese sheet offers fall more than raw materials, it is flat

Domestic and Chinese Hot-rolled (in Won) Moved Together, and the Gap Widened after Anti-dumping



Note: Chinese hot-rolled is the KRW conversion of the export price (FOB)
Source: Steel Daily, Bank of Korea, Hanwha Securities Research Center

China Hot-rolled Export Price: 2027 Institution Average of USD 473, about 4% below October

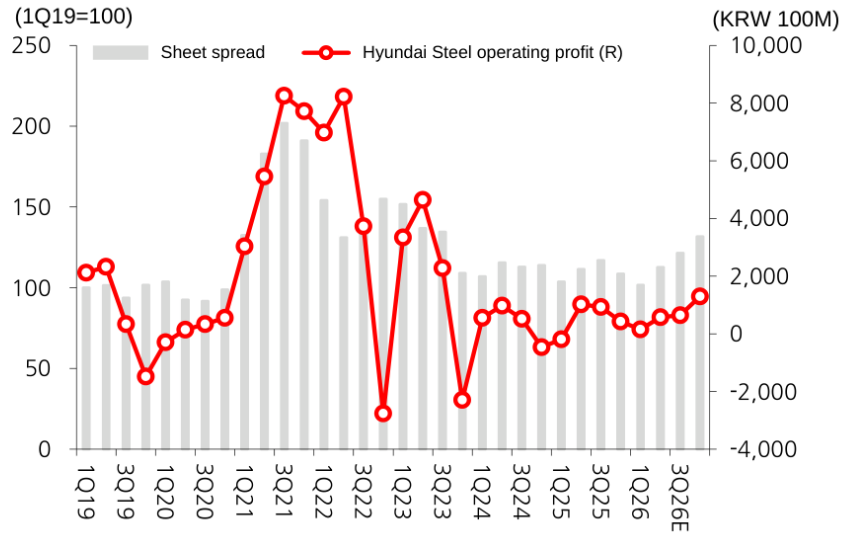


Note: Institutions = 5 surveyed by Bloomberg
Source: Steel Daily, Bloomberg, Hanwha Securities Research Center

Steel: 2027 Earnings – Hyundai Steel Operating Profit Forecast about 16% below Consensus

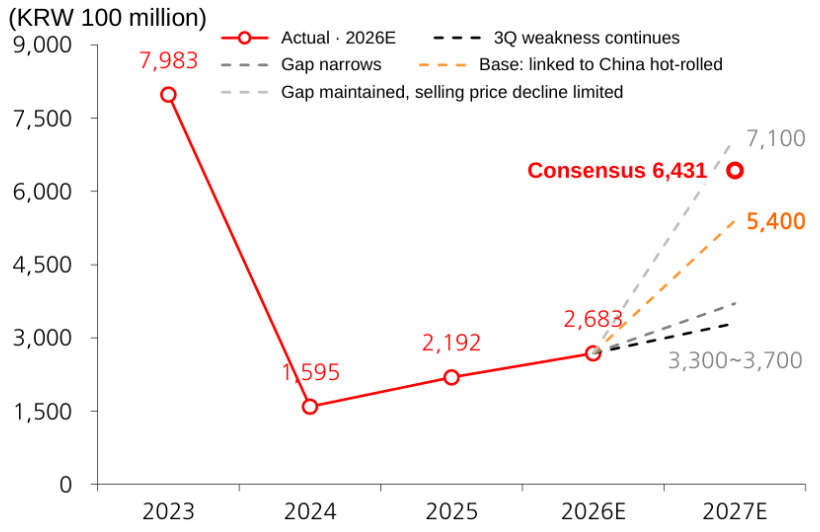
- Our 2027 Hyundai Steel operating profit forecast is about KRW 540.0 billion on the base path (sheet spread improving around 5%). The October consensus of KRW 643.1 billion has been revised down consecutively after the last 4 earnings releases
- It assumes that earnings remain about KRW 45.0 billion lower per quarter than before 2025 at the same spread
- The upper path, in which the domestic-Chinese hot-rolled price gap that opened after anti-dumping (about KRW 250,000 per ton in October) is maintained and selling price declines are limited, is about KRW 710.0 billion, above consensus
- The regional electricity rate cut would be KRW 41.0–68.0 billion per year if implemented as designed, and is reflected at the lower end in the base path

Sheet Spread and Hyundai Steel Quarterly Operating Profit



Note: Based on domestic distribution price, 1Q19 = 100; 3Q26 and 4Q26 operating profit are estimates
Source: Steel Daily, Korea Customs Service, DART, Hanwha Securities Research Center

Hyundai Steel 2027 Operating Profit Base about KRW 540.0 Billion; Consensus Near the Upper Path

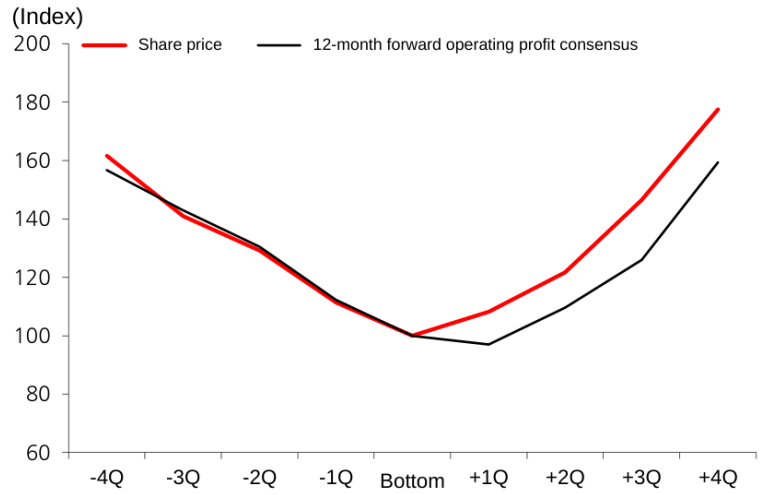


Source: DART, Fnguide, Hanwha Securities Research Center

Steel: Buying Timing and Value – Low End of Valuation; Share Prices Bottom Before Earnings

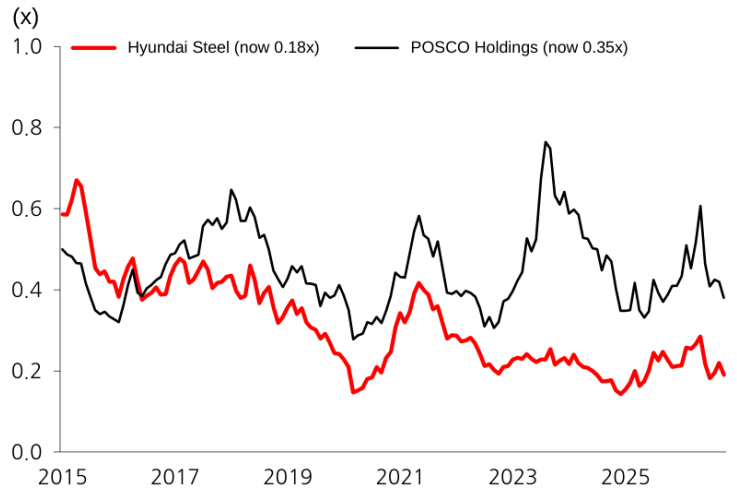
- Hyundai Steel's forward P/B of 0.18x is in the bottom 11% since 2015. Since 2015, steel share price bottoms have come the same quarter to 2 quarters before earnings forecast bottoms (no late cases)
- The 2027 operating profit consensus is likely to be revised down through 1H, and the KOSPI is also in a downtrend, so approach from an accumulate-in-tranches perspective
- POSCO Holdings is expected to be re-rated on a steel spread recovery and lithium turning to profit, and the variable is the lithium price. 2027 lithium operating profit is about KRW -124.0 billion, and adding Australian mine joint venture equity-method gains (about KRW 215.0 billion) gives about +KRW 91.0 billion
- From 2Q27, when coking coal declines are reflected in costs, costs fall more than selling prices, and sheet margins are forecast to widen

Steel Share Price Bottoms Come the Same Quarter to 2 Quarters Before Earnings Forecast Bottoms (8 Cases)



Note: Median of 8 steel 5-company share price bottoms since 2015, bottom quarter = 100, ex post basis
Source: Fnguide, Korea Exchange, Hanwha Securities Research Center

Forward P/B: Hyundai Steel in Bottom 11%, POSCO Holdings in Bottom 18% (Since 2015)

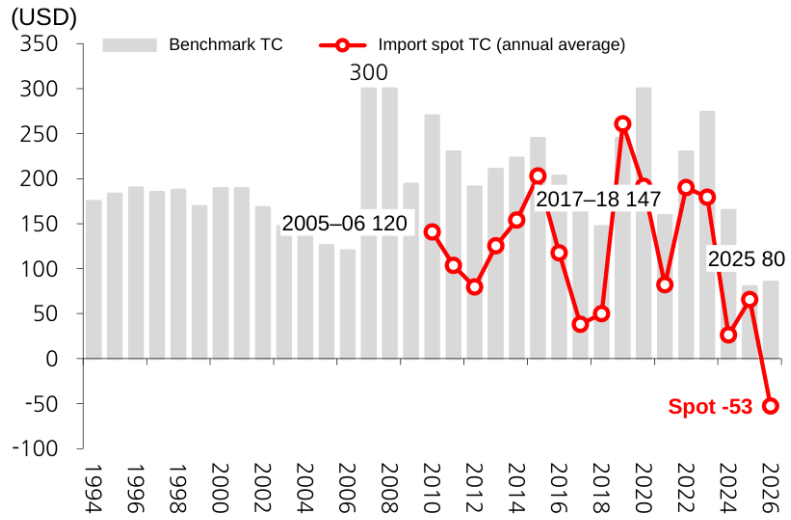


Source: Fnguide, Hanwha Securities Research Center

Non-ferrous: Smelting Profit Structure – Profit Falls on Lower Metal Prices; Rare Metals Provide Some Cushion

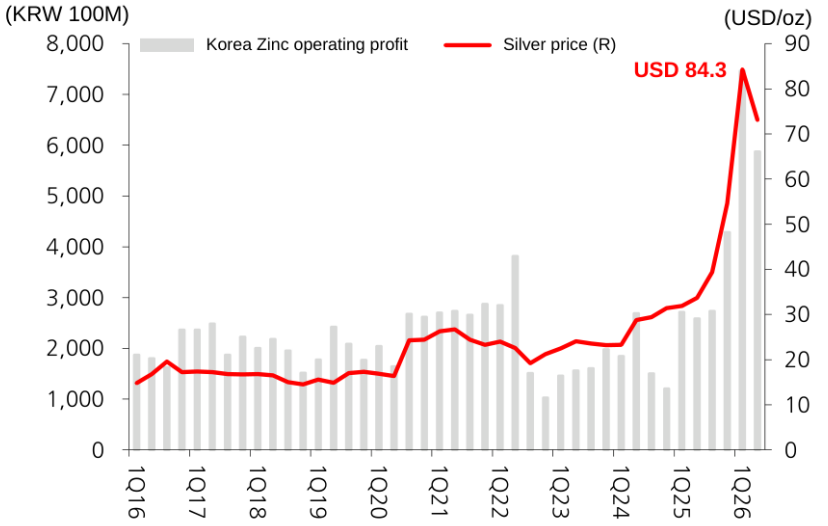
- Of Nordic smelter Boliden's 2025 gross smelting profit, TC accounts for 18% and the recovery excess (free metal) for 56%
- Korea Zinc derived 62% of its 2Q26 standalone revenue from gold and silver, and rare metals gross profit was equivalent to 31% of its 2025 operating profit
- The spot TC for zinc concentrate arriving in China was around USD -150 per ton in October. The 2027 benchmark to apply to annual contract volumes is usually agreed in February
- Factors reducing Korea Zinc's 2027 profit are the zinc and silver prices (each about -8% versus the 2026 average), partly offset by increases in rare metals, including the start of germanium sales

Zinc Benchmark TC at USD 80, the Lowest Since 1994; Spot Is Negative



Source: Bloomberg, LME, Fastmarkets, Hanwha Securities Research Center

Korea Zinc Operating Profit Has Moved with the Silver Price since 2025



Note: Operating profit is consolidated; silver is London spot
Source: DART, Wind, Hanwha Securities Research Center

Non-ferrous: Copper and Zinc – Refined Copper Remains, So Copper Corrects Mildly to USD 13,500

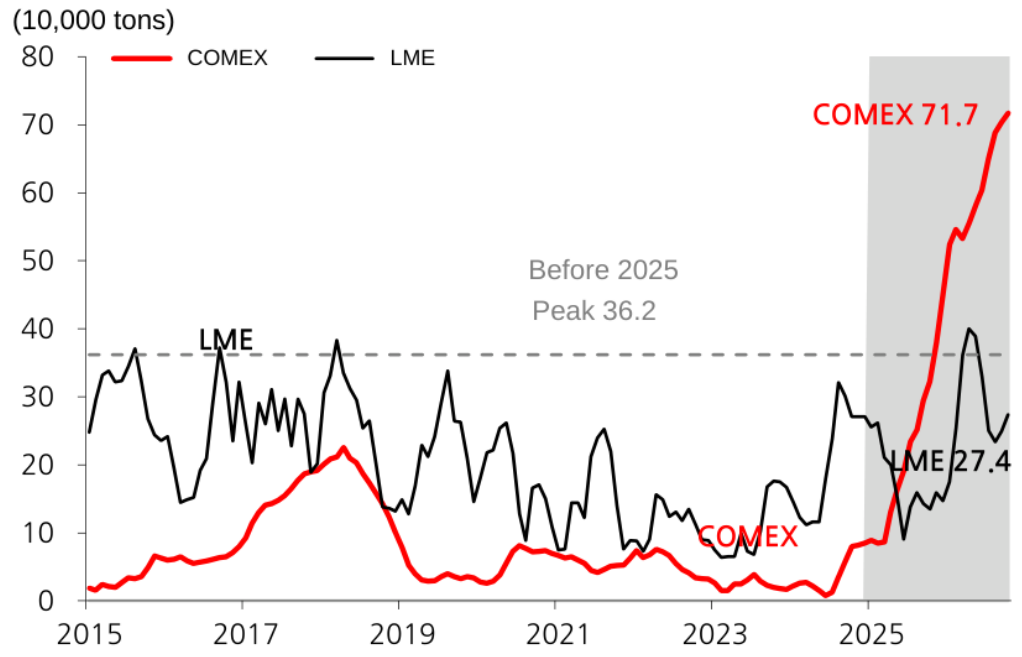
- Copper mine supply is declining: 1H global production -1.1%, and the Chilean government lowered its 2026 production forecast to -8% to -9%
- Refined copper, on the other hand, is growing. New smelting capacity and scrap recycling refining are increasing, and ICSG forecasts a 2027 refined copper surplus of 368 thousand tons (1.2% of usage)
- Smelters have held on without cutting operations despite concentrate shortages by lowering treatment charges (TC) to negative. If this leads to actual production cuts, refined copper shortages would push prices up
- Institutions' 2027 refined copper supply-demand forecasts range from a 400 thousand ton shortage to a 400 thousand ton surplus, but excess inventory in U.S. warehouses (about 630 thousand tons) is larger, and the January tariff decision on whether to release this inventory is the biggest variable

Table 92. Concentrate Is Tight and Refining Is Growing; Zinc Is Effectively Balanced in 2027

Item (YoY; refining balance in 10,000 tons, + = surplus)	2026	2027
Copper mine production	+1.3%	+3.1%
Copper refined production	+0.4%	+3.4%
Copper refined balance	+10.4	+36.8
Zinc mine production	-2.6%	+3.0%
Zinc refined production	+0.9%	+2.0%
Zinc refined balance	-8.8	+2.5

Non-ferrous: Copper and Zinc – Refined Copper Remains, So Copper Corrects Mildly to USD 13,500 (cont.)

COMEX Copper Inventory Is 2x the Pre-2025 Peak; LME Is within Its Historical Range



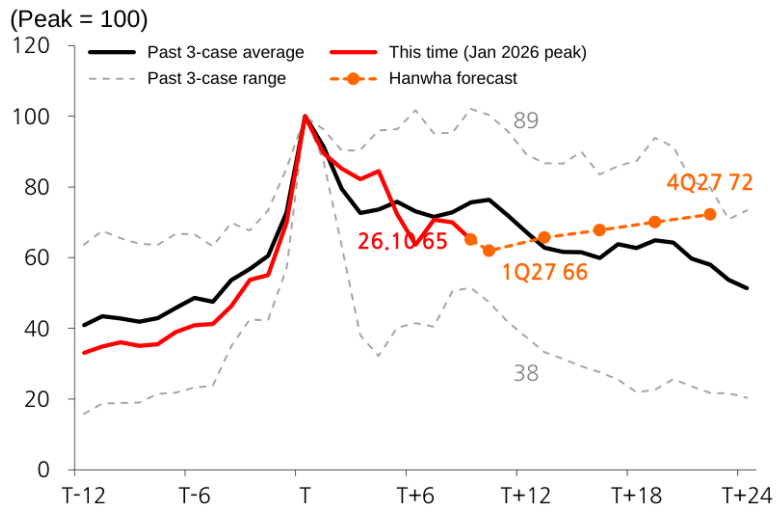
Note: 10,000 tons, month-end; COMEX is converted from short tons to metric tons; shaded area = period awaiting U.S. refined copper tariff
Source: COMEX, LME, SHFE, Wind, Hanwha Securities Research Center

Note: ICSG and ILZSG forecasts
Source: ICSG, ILZSG, Hanwha Securities Research Center

Non-ferrous: Silver and Exchange Rate – Stronger Won and Lower Silver Price than 2026 Weigh on Smelting and Copper Products

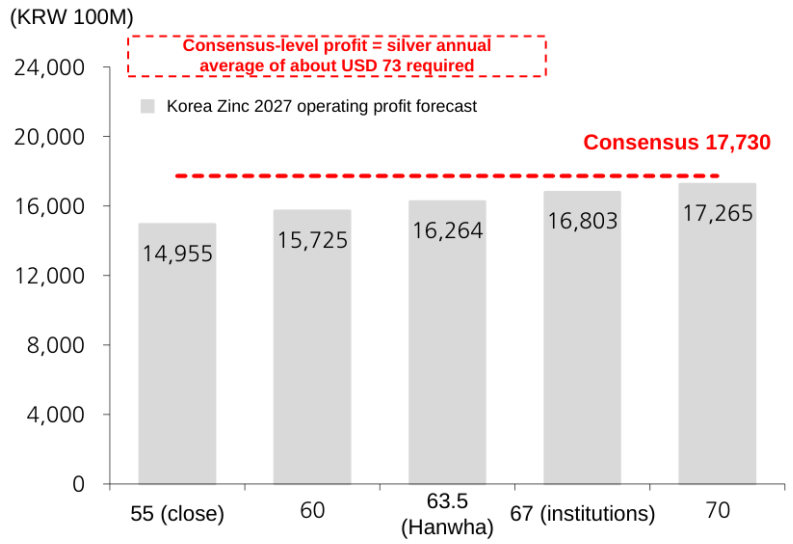
- The 2027 silver annual average forecast of USD 63.5 is higher than the October 21 close (USD 55) but 8% lower than the 2026 average (about USD 69)
- In 2027, physical supply and demand is forecast to turn to surplus on reduced silver use in solar. The recovery within the year (USD 60.5 → 66.5) relies on investment demand after the end of rate hikes
- KRW/USD falls from a 2026 average of 1,433 to 1,325 in 2027, lowering smelters' translated profit and copper product makers' won copper price
- Our 2027 operating profit forecast is 8% below consensus for Korea Zinc, and 17% below for Poongsan on reduced metal effects and defense assumption differences

12 Months after Silver Surge Peaks: Past 38–89%, 2027 Forecast Path of 66–72% Also within Range



Note: London spot monthly average, peak = 100, 3 past samples
Source: Wind, Bloomberg, Hanwha Securities Research Center

Consensus-Level Korea Zinc Profit Is Estimated to Require Silver Averaging about USD 73

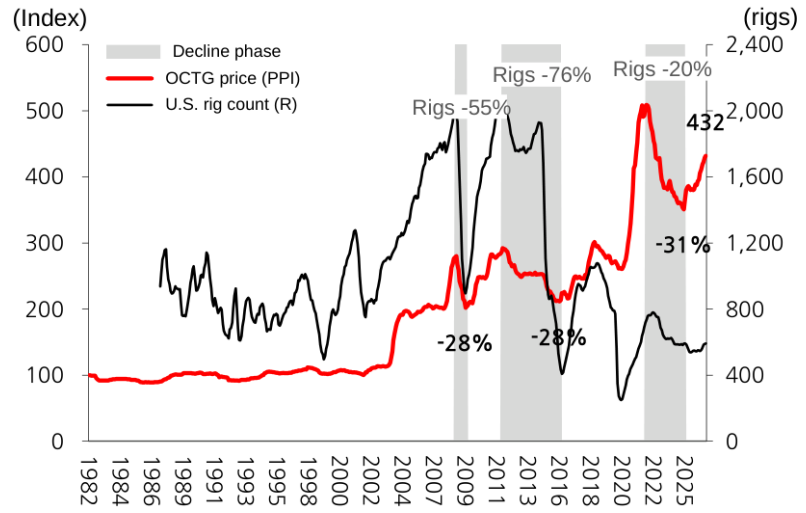


Source: Fnguide, Hanwha Securities Research Center

Steel Pipe: U.S. OCTG – Prices Normalize in 2H; SeAH Steel 18% below Consensus

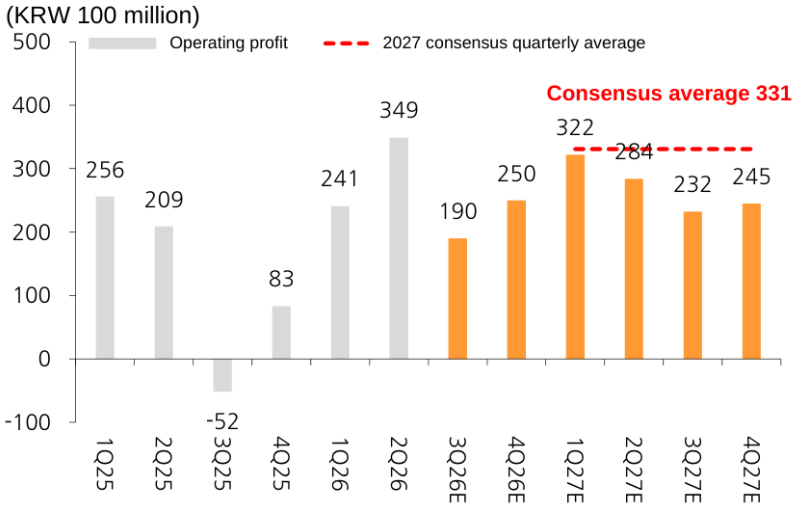
- U.S. oil country tubular goods (OCTG) imports have halved from 2022 on tariffs, and the spot price is about 45% above 1Q26
- Wells awaiting completion after drilling are about 4.6 months' worth, the lowest since 2014, so there is little room for OCTG demand to fall even without a large rig increase
- However, in the past three times OCTG spot prices rose without a rig increase, they all fell 14–37% within 2–4 quarters. In 2H27, a decline in U.S. hot-rolled is a normalization factor
- Our 2027 SeAH Steel operating profit forecast is KRW 108.2 billion, similar to 2026 but 18% below consensus. For certain earnings growth, we estimate that orders for offshore wind and large energy projects and higher U.S. hot-rolled price and exchange rate assumptions would be needed

OCTG Price Declines of about 30% Occurred with Sharp Rig Drops or Reversals of Surges; This Time +23%



Note: U.S. Bureau of Labor Statistics producer price index (OCTG); rigs are oil and gas combined
Source: U.S. Bureau of Labor Statistics, Baker Hughes, Hanwha Securities Research Center

SeAH Steel Quarterly Earnings Forecast

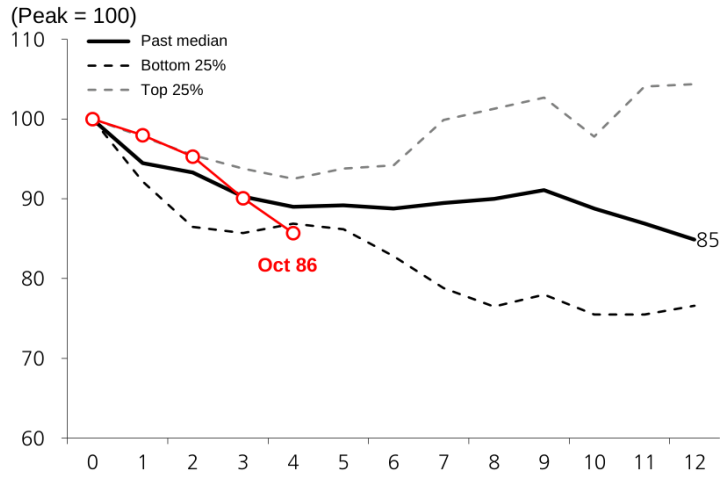


Source: DART, Fnguide, Hanwha Securities Research Center

Special Steel: SeAH Besteel Holdings Expected to Grow Earnings, but 18% of the Forecast Is Pre-Shipment/Pre-Order

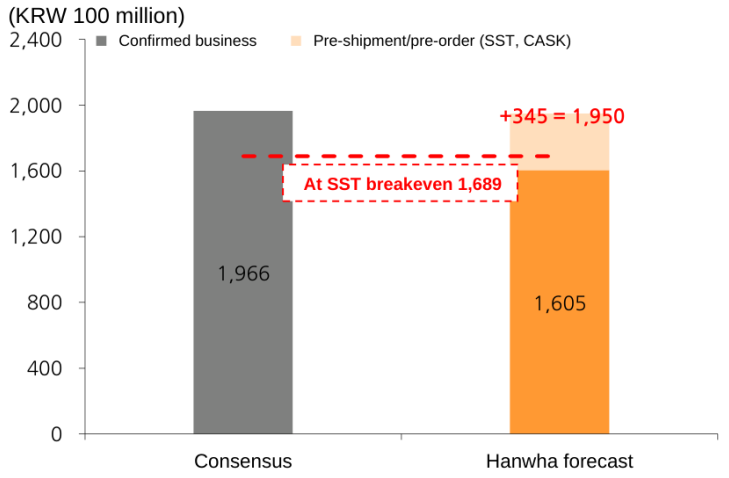
- As U.S.-bound rebar exports, which drove strong scrap prices in 1H26, decline, Heavy A scrap has fallen 14% from its peak. In 2027 it is forecast to be slightly higher than in 1H as the Gwangyang electric arc furnace ramps up in 2H
- If the provisional tariff on bars (decision at end-November) is imposed, the price gap between imported Chinese bars and domestic bars (about KRW 200 per kg for carbon steel) would largely narrow. The forecast reflects only a +1–2% selling price increase from 2Q, after the pre-purchased inventory is exhausted
- Our 2027 operating profit forecast of KRW 195.0 billion is similar to the consensus (KRW 196.6 billion) based on the latest estimates
- The 2027 forecast reflects about KRW 26.0 billion of operating profit in the first year of U.S. specialty alloy (SST), with earnings growth widening toward 2H. The share price already partly reflects the earnings growth expectation, and further re-rating is expected to come from SST earnings visibility

Decline 4 Months after Peak: Past 19 Cases Median -11%, This Time -14%



Note: Steel Daily Heavy A; 19 declines of more than 10% since 2006
Source: Steel Daily, Hanwha Securities Research Center

18% of 2027 Operating Profit Forecast Comes from Businesses Pre-Shipment/Pre-Order

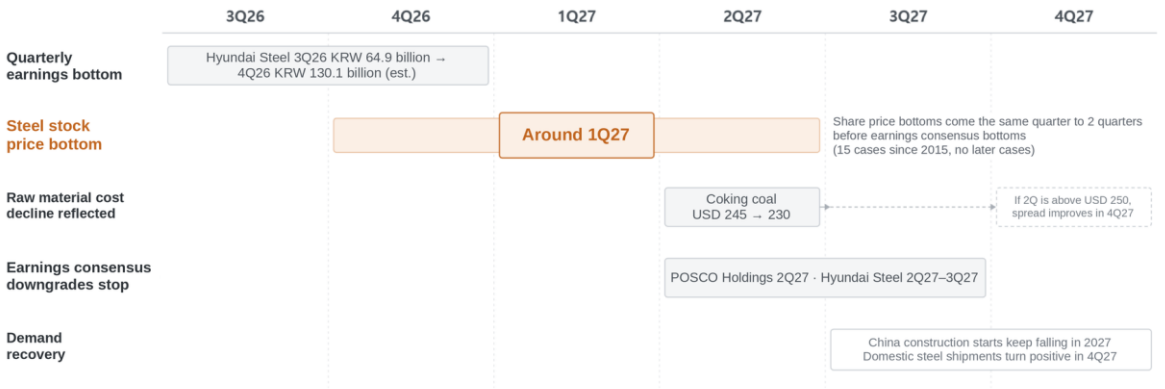


Source: Fnguide, Hanwha Securities Research Center

Investment Strategy: 2027 Quarterly Flow – 6 Stocks Below Consensus; Steel Margins Recover in 2Q

- Our base Hyundai Steel forecast of about KRW 540.0 billion is a path in which selling prices partly follow the decline in Chinese hot-rolled in won terms, while the KRW 643.1 billion consensus is closer to the path in which the domestic-Chinese hot-rolled price gap that opened after anti-dumping is maintained
- Korea Zinc's consensus is estimated to be achievable only if silver is held at an annual average of about USD 73, and the gap versus our USD 63.5 assumption is about KRW 150.0 billion of operating profit
- Poongsan's and SeAH Steel's consensus is rising, but our forecasts are 17–18% lower, reflecting reduced metal profit and the 2H normalization of OCTG prices
- Buying Hyundai Steel and POSCO Holdings at the low end of P/B is effective. If coking coal remains above USD 250 (upper-end forecast) in 2Q as well, the sheet spread improvement comes in 4Q

2027 Steel: Earnings and Share Price Bottom First, Demand Recovery Last



Note: Share price bottom leading is based on 15 steel/non-ferrous cases since 2015 (ex post basis)
Source: Fnguide, DART, Hanwha Securities Research Center

POSCO Holdings (005490): Steel Earnings Up; Lithium Profitable Including Equity-Method Gains

Buy (Maintained)

Target Price
500,000 KRW

Current Price (10/26)	Upside
269,500 KRW	**▲85.5%**

Market Cap	**KRW 21,355.6 billion**
Shares Outstanding	**79,242 thousand shares**
52-Week High / Low	**535,000 / 269,500 KRW**
90-Day Avg. Daily Value	**KRW 81.386 billion**
Foreign Ownership	**31.8%**

SHAREHOLDERS

National Pension Service (+1 other)	**8.3%**
BlackRock Fund Advisors (+14 others)	**5.8%**
Treasury shares (+1 other)	**4.6%**

3Q26 Preview: Steel improves, secondary batteries in loss

- 3Q consolidated operating profit estimated at KRW 756.3 billion (+17% YoY), 7% below consensus
- In steel, POSCO standalone operating profit is +32% QoQ on selling price increases and production increases before major repairs
- Secondary batteries are in loss on brine plant repairs and expensive concentrate inventory, and 4Q profit declines on the Gwangyang Blast Furnace No. 2 relining

2027: Steel and POSCO International earnings rise; lithium profitable including equity-method gains

- Operating profit of about KRW 3.7 trillion (+25%), in line with consensus
- Under the lower-end path in which selling prices largely follow the raw material decline, POSCO standalone operating profit is about KRW 1.1 trillion instead of KRW 1.6 trillion
- Lowering the lithium price assumption from CNY 194,000 to CNY 155,000 gives an operating profit of about KRW -124.0 billion (loss at the PPLS ore lithium plant), and adding Australian mine equity-method gains (non-operating, about KRW 215.0 billion) turns it profitable
- Our assumption is higher than institutions' forecasts (CNY 120,000–140,000) (Zimbabwe concentrate export ban, new mine production shortfalls), and each CNY 10,000 is worth about KRW 54.0 billion of operating profit
- POSCO International (about 40% of group profit) grows on Senex production increases and the Indonesian palm acquisition

POSCO Holdings Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
Revenue	72,688	69,095	72,855	75,178	77,142
Operating Profit	2,174	1,827	2,910	3,658	4,230
EBITDA	6,158	5,986	7,365	8,641	9,623
Net Income (Controlling)	1,095	658	1,598	1,909	2,355
EPS	13,252	8,126	21,135	25,248	31,137
Net Debt	11,444	13,793	15,830	20,218	23,538
PER	20.3	33.2	12.8	10.7	8.7
PBR	0.4	0.4	0.4	0.4	0.4
EV/EBITDA	5.3	5.9	5.0	4.8	4.7
Dividend Yield (%)	3.7	3.7	4.1	4.1	4.1
ROE	2.0	1.2	2.8	3.3	3.9

Source: Fnguide, Hanwha Securities Research Center

POSCO Holdings (005490): Steel Earnings Up; Lithium Profitable Including Equity-Method Gains (cont.)

Investment opinion Buy, target price KRW 500,000 maintained

- The forward P/B of 0.35x is in the bottom 18% since 2015 and near the low end of the range (0.36–0.41x) consistent with the long-term average ROE (about 4.3%). Re-rating comes when lithium turns to profit
- Despite 2027 steel earnings growth, the operating profit forecast is 4% below consensus on the lithium loss. Watch the lithium price and certification for the re-rating timing
- 10% of the proceeds from the partial sale of subsidiary stakes goes to treasury share buybacks and cancellation

POSCO Holdings (005490): Earnings Estimates

Table 95. POSCO Holdings Earnings Estimates (Unit: KRW billions, %, % YoY)

(KRW billions, %, %YoY)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Revenue	17,876	19,259	17,854	17,867	18,754	18,951	18,752	18,721	69,096	72,856	75,178
Steel	14,964	15,393	15,241	14,932	15,509	15,874	15,491	15,158	59,411	60,530	62,033
Infrastructure	13,859	15,466	13,670	13,907	14,564	14,678	14,525	14,926	53,005	56,903	58,692
Secondary batteries	979	1,052	816	904	1,149	998	1,203	1,082	3,338	3,750	4,433
Internal transactions, etc.	-11,926	-12,652	-11,873	-11,877	-12,469	-12,599	-12,467	-12,446	-46,658	-48,327	-49,980
YoY growth rate	2.5%	9.7%	3.4%	6.1%	4.9%	-1.6%	5.0%	4.8%	-4.9%	5.4%	3.2%
Steel	-1.0%	2.5%	3.3%	2.8%	3.6%	3.1%	1.6%	1.5%	-4.5%	1.9%	2.5%
Infrastructure	5.2%	15.9%	3.8%	4.5%	5.1%	-5.1%	6.3%	7.3%	-6.8%	7.4%	3.1%
Secondary batteries	5.3%	37.7%	-18.4%	40.3%	17.4%	-5.1%	47.5%	19.8%	-12.8%	12.3%	18.2%
Operating Profit	707	819	756	628	556	1,090	1,088	924	1,827	2,910	3,658
Steel	345	403	450	413	268	614	622	525	1,961	1,611	2,029
Infrastructure	405	493	438	353	436	514	519	373	682	1,690	1,842
Secondary batteries	-7	41	-52	-58	-77	32	17	95	-441	-77	67
Operating Margin	4.0%	4.3%	4.2%	3.5%	3.0%	5.8%	5.8%	4.9%	2.6%	4.0%	4.9%
Steel	2.3%	2.6%	3.0%	2.8%	1.7%	3.9%	4.0%	3.5%	3.3%	2.7%	3.3%
Infrastructure	2.9%	3.2%	3.2%	2.5%	3.0%	3.5%	3.6%	2.5%	1.3%	3.0%	3.1%
Secondary batteries	-0.7%	3.9%	-6.4%	-6.5%	-6.7%	3.2%	1.4%	8.8%	-13.2%	-2.0%	1.5%

Source: Hanwha Securities Research Center

Hyundai Steel (004020): Earnings Double on Lower Costs; Consensus Downgrades Unavoidable

Buy (Maintained)

Target Price
43,000 KRW

Current Price (10/26)	Upside
26,300 KRW	**▲63.5%**

Market Cap	**KRW 3,509.6 billion**
Shares Outstanding	**133,446 thousand shares**
52-Week High / Low	**46,500 / 24,500 KRW**
90-Day Avg. Daily Value	**KRW 18.594 billion**
Foreign Ownership	**14.4%**

SHAREHOLDERS

Kia (+7 others)	**36.0%**
National Pension Service (+1 other)	**9.8%**
Treasury shares (+1 other)	**1.4%**

3Q26 Preview: Volume decline leads to below consensus

- 3Q consolidated operating profit estimated at KRW 64.9 billion, 29% below the consensus of KRW 92.0 billion
- With the Chuseok holiday overlapping the construction off-season, standalone sales volume is estimated to fall about 10% from 2Q
- In sheet products, the spread narrows on the lagged reflection of higher raw material prices and the stronger won; in bars and sections, the spread widens on higher selling prices and flat steel scrap
- 4Q operating profit estimated at KRW 130.1 billion on a volume recovery and reflection of price increases for automotive steel sheet and shipbuilding plate

2027: Costs decline and earnings double, but the recovery is smaller than consensus

- 2027 operating profit of about KRW 540.0 billion (2x the 2026E KRW 268.3 billion), 16% below the consensus of KRW 643.1 billion
- The base forecast is a path in which selling prices partly follow the decline in Chinese hot-rolled in won terms, while consensus is closer to the path in which the domestic-Chinese hot-rolled price gap that opened after anti-dumping is maintained
- The upper path, in which the price gap is maintained and selling price declines are limited, is about KRW 710.0 billion, and the path in which volume weakness like that of 3Q26 continues is about KRW 330.0 billion
- The regional cut in industrial electricity rates would save about KRW 41.0–68.0 billion per year if implemented as designed, and is reflected at the lower end in the base forecast

Hyundai Steel Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
Revenue	23,226	22,733	23,381	23,342	23,575
Operating Profit	159	219	268	540	653
EBITDA	1,870	1,981	1,940	2,207	2,308
Net Income (Controlling)	-12	-7	25	236	312
EPS	-87	-52	187	1,792	2,372
Net Debt	8,258	7,769	9,111	8,669	8,341
PER	-302.0	-507.4	140.5	14.7	11.1
PBR	0.2	0.2	0.2	0.2	0.2
EV/EBITDA	6.3	5.7	6.5	5.5	5.1
Dividend Yield (%)	2.9	1.9	1.9	1.9	1.9
ROE	-0.1	0.0	0.1	1.2	1.5

Source: Fnguide, Hanwha Securities Research Center

Hyundai Steel (004020): Earnings Double on Lower Costs; Consensus Downgrades Unavoidable (cont.)

Investment opinion Buy, target price KRW 43,000 maintained

- The forward P/B of 0.18x is in the bottom 11% since 2015 and below the low end (0.20–0.22x) based on the long-term average ROE (2.8%), leaving room for re-rating in line with the 2027 ROE recovery
- Consensus downgrades are expected to continue through 1H27, but the share price may bottom first. Accumulate in tranches at a P/B of 0.18x

Hyundai Steel (004020): Earnings Estimates

Table 98. Hyundai Steel Earnings Estimates (Consolidated) (Unit: KRW billions, %, % YoY)

(KRW billions, %, %YoY)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Revenue	5,740	6,107	5,638.4	5,895	5,848	6,122	5,559.5	5,813	22,733	23,381	23,342
Hyundai Steel (standalone)	4,474	4,838	4,440.3	4,709	4,605	4,819	4,378.1	4,643	17,800	18,462	18,445
Sheet products	3,182	3,347	3,082.2	3,285	3,236	3,288	3,018.6	3,195	12,451	12,895	12,738
Bars and sections	1,293	1,491	1,358	1,425	1,369	1,531	1,360	1,448	5,350	5,567	5,707
Subsidiaries	1,265	1,269	1,198	1,186	1,243	1,303	1,181	1,169	4,933	4,919	4,897
Operating Profit	16	58	64.9	130	138	178	53.1	171	219	268	540
Operating Margin	0.3%	0.9%	1.2%	2.2%	2.4%	2.9%	1.0%	2.9%	1.0%	1.1%	2.3%
Hyundai Steel (standalone)	-72	11	18	100	107	139	18	136	89	57	400
Operating Margin	-1.6%	0.2%	0.4%	2.1%	2.3%	2.9%	0.4%	2.9%	0.5%	0.3%	2.2%
Subsidiaries	88	47	47	30	31	39	35	35	130	211	141
Operating Margin	7.0%	3.7%	3.9%	2.5%	2.5%	3.0%	3.0%	3.0%	2.6%	4.3%	2.9%

Source: Hanwha Securities Research Center

SECTORS

I Food & Beverage
II Cosmetics
III Retail/Apparel
IV Airlines
V Internet/Games
VI Semiconductors
VII Banks
VIII Insurance
IX Autos
X Construction/Utilities
XI Defense
XII Steel/Non-ferrous
XIII **Power Equipment**

XIII

Power Equipment

One More Jump Up

Korea 2027 Industry Outlook

Power Equipment: Summary

1

2026 Review and 2027 Outlook

- Strength that continued through May; adjusted on AI power demand uncertainty
- Growth continues on the order backlog

2

Concerns over AI DCs

- Is DC demand slowing?
- Will power equipment investment shrink?
- BTM vs FTM

3

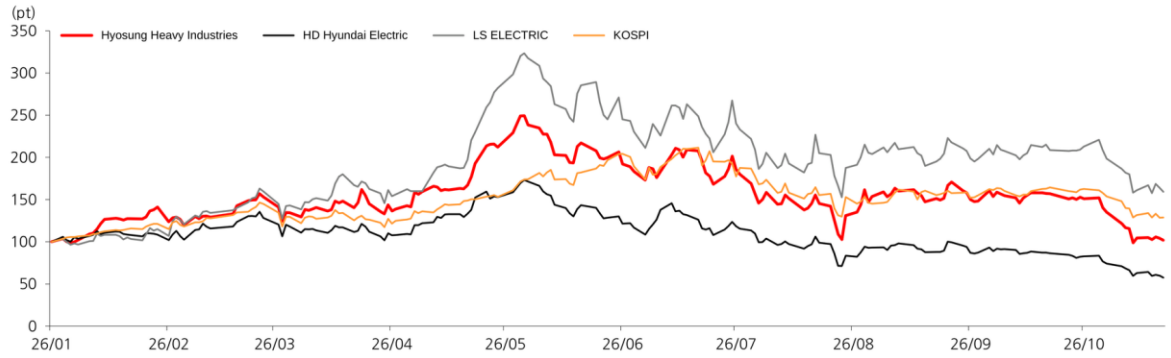
2027 Watch Points

- Profitability: High-value product mix effect takes hold
- Top line: Capacity expansions faster than scheduled
- New driver: Arrival of the 800VDC architecture

2026 Review: Strength Continued through May, Adjusted on AI Power Demand Uncertainty

- The 3 major domestic electrical equipment companies (Hyosung Heavy Industries, HD Hyundai Electric and LS ELECTRIC) recorded an average YTD return of +6.1%, 22.7%p below the KOSPI (+28.8%)
- LS ELECTRIC rose 59.3%, while Hyosung Heavy Industries and HD Hyundai Electric returned +1.7% and -42.6%, showing stock-by-stock divergence
- In 1H, share prices rose steeply on expectations of structural demand growth from expanded AI data center investment and North American grid replacement. After May, valuation burden, profit-taking, a reset of expectations for AI infrastructure investment and the absence of new momentum combined to bring the shares into a correction phase
- The share prices, now back down to the start-of-year level, have given up a considerable part of even the existing structural growth drivers such as rising power demand and aging grid replacement. We judge this to be an excessive correction relative to fundamentals

Share Price Performance of the 3 Covered Electrical Equipment Companies

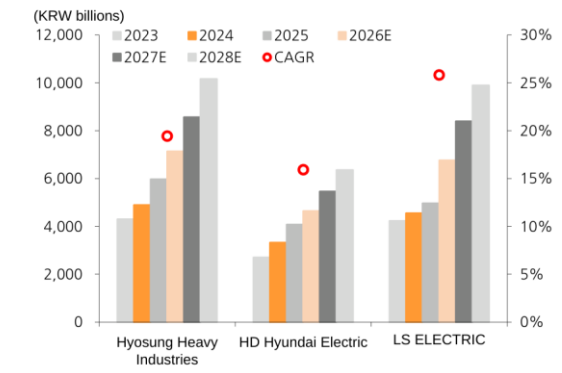


Source: Quantiwise, Hanwha Securities Research Center

2027 Outlook: Growth Continues on the Order Backlog

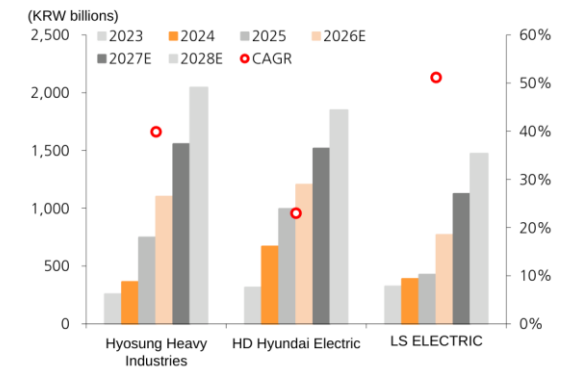
- The electrical equipment companies' 2027 earnings are expected to continue growing on the order backlog secured over a long period
- Concerns over mid- to long-term demand, including a slowdown in data center investment, are reflected in share prices, but are not at a level that would lead to downward revisions of the earnings consensus
- The key going forward is not the mid- to long-term earnings direction itself, but whether the existing order backlog converts to revenue without disruption and whether the growth in new orders continues

Revenue Trend and Consensus of the 3 Domestic Electrical Equipment Companies



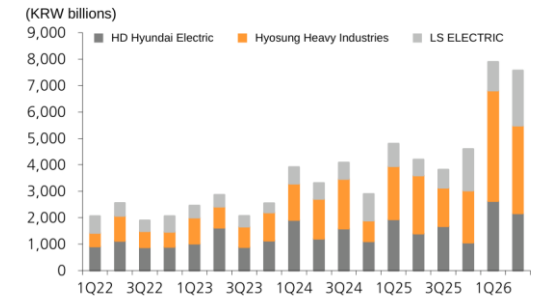
Source: Quantiwise, Hanwha Securities Research Center

Operating Profit Trend and Consensus of the 3 Domestic Electrical Equipment Companies



Source: Quantiwise, Hanwha Securities Research Center

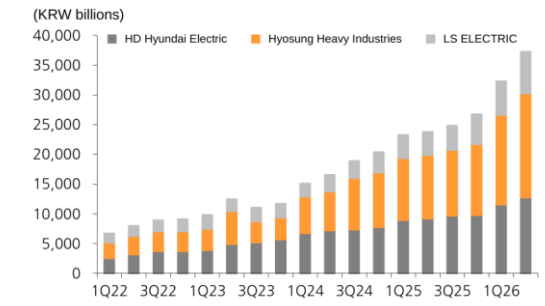
Combined New Orders of the 3 Covered Companies



Source: Companies, Hanwha Securities Research Center

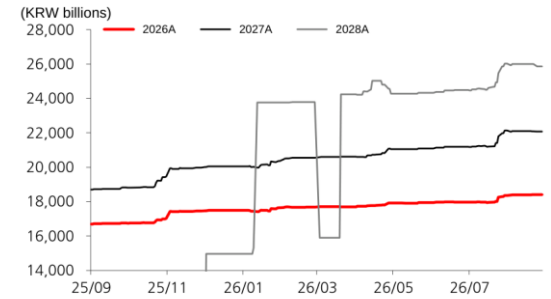
2027 Outlook: Growth Continues on the Order Backlog (cont.)

Combined Order Backlog of the 3 Covered Companies



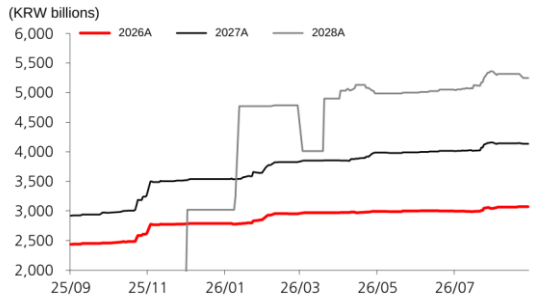
Source: Hanwha Securities Research Center

Combined Revenue Consensus Trend of the 3 Covered Companies



Source: Quantiwise, Hanwha Securities Research Center

Combined Operating Profit Consensus Trend of the 3 Covered Companies



Source: Quantiwise, Hanwha Securities Research Center

Concerns over AI DCs: Is DC Demand Slowing?

- In the U.S., the possibility of overestimated data center power demand applications has recently come into focus, and cases of project cancellations and permitting delays have occurred
- However, it is hard to judge a slowdown in data center market demand from some cancellation and delay cases
- Data center capacity under construction in North America in 1H26 was 7.5GW, up 24.8% from a year earlier, a record high
- 80.4% of capacity under construction is pre-leased, and the vacancy rate remains low at 1.4%. This suggests that actual leasing demand is absorbing new supply despite expanded supply
- The recent cancellations and delays are less a slowdown in data center demand than a process of re-verifying the feasibility of demand planned at the early development stage
- In particular, grid connection delays are a factor that postpones the data center start-up date, but at the same time highlight the importance of expanding generation and transmission/distribution infrastructure to resolve power supply bottlenecks

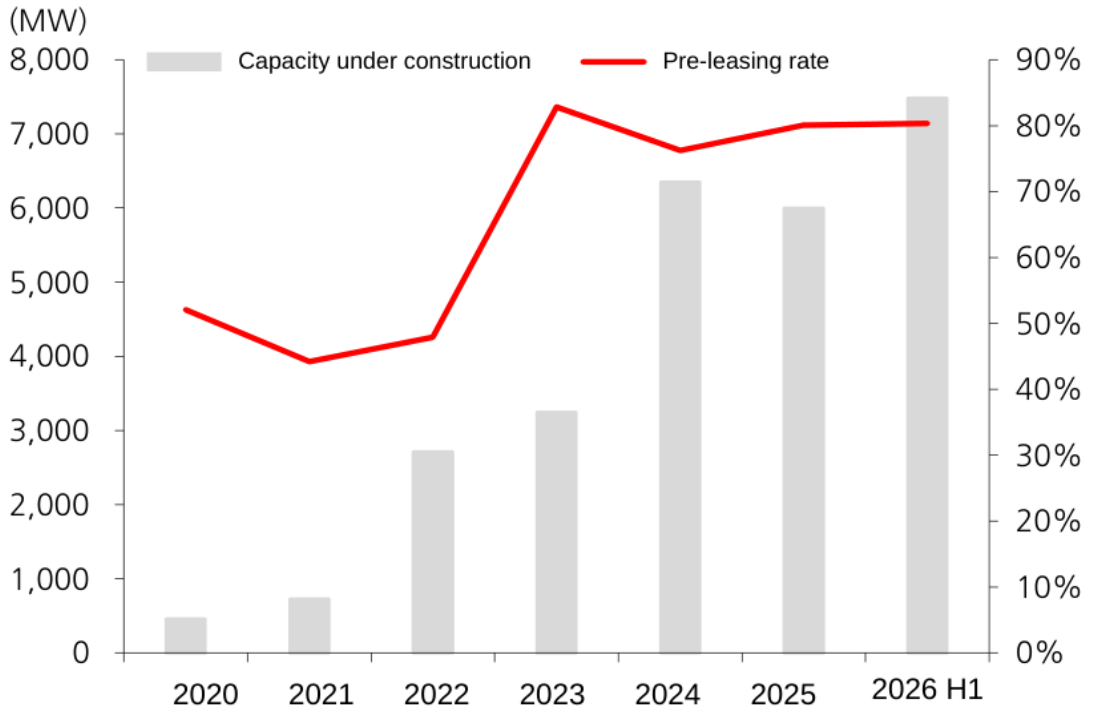
Table 99. U.S. Data Center Project Delays and Cancellations and Main Causes

Date	Details	Cause of delay or cancellation
2026.03	New Mexico Oracle Project Jupiter (2.5GW) permit denied; the permit for a fuel-cell-based microgrid of about 2.5GW of natural gas to supply power to the data center, and for the gas pipeline, was refused	Constraints on self-generation and fuel supply infrastructure
2026.04	Minnesota Nobles County data center (400MW) project rejected; concerns over land-use change in an agriculture-centered region and resident opposition; possibility of relocating to another area under review	Siting and local community acceptance issues
2026.09	Texas: new large power connection applications frozen and fully inspected; Texas large power demand connection applications surged from about 48GW in 2023 to over 474GW in 2026; new connection procedures suspended to re-verify the scale and feasibility of applications	Tightened review of power demand and grid connection
2026.09	Nevada Townsite data center (167MW) approval halted; problem is that the environmental assessment of the existing project was reused as is; regulatory risk from the environmental review procedure, not cancellation due to project economics	Permitting and environmental regulation constraints
2026.09	Texas: new environmental permits for data centers put on hold; Governor Greg Abbott directed that permits related to new data centers be held until the grid stability review ends	Permitting and environmental regulation constraints
2026.09	Wisconsin Oracle Project Lighthouse (1.3GW) review delayed; the procedure was effectively reset as the transmission line permit review was re-filed in September	Delay in building transmission infrastructure

Source: Press reports, Hanwha Securities Research Center

Concerns over AI DCs: Is DC Demand Slowing? (cont.)

Data Center Capacity under Construction in North America and Pre-Leasing Rate

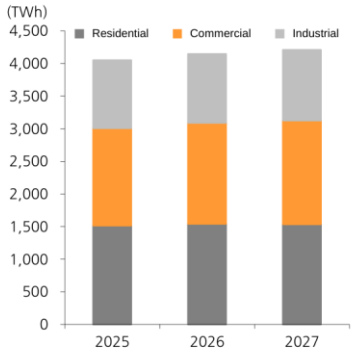


Source: CBRE, Hanwha Securities Research Center

Concerns over AI DCs: Will Power Equipment Investment Shrink?

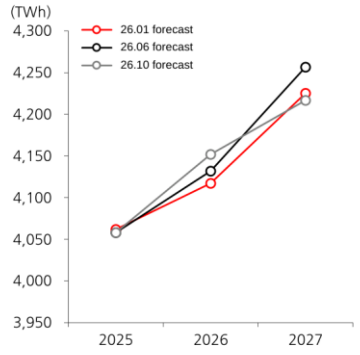
- The outlook for overall U.S. power demand is still rising
- According to the EIA's October 2026 short-term outlook, commercial sector power demand, which includes data centers, continues to grow in 2027, rising 2.8% from the previous year. Industrial sector demand is expected to rise 2.7%
- However, the power sales outlook for the West South Central region was revised down due to factors such as the halt of new data center grid connections in Texas
- Power demand and grid investment are determined not only by data center demand but also by various factors such as aging grid replacement, rising industrial power demand, connecting new generation sources and resolving regional power supply-demand imbalances
- Even if the pace of data center expansion slows, the power demand outlook can be revised up, and the impact on the need to expand transmission infrastructure in particular is relatively limited

Annual U.S. Electricity Sales Forecast



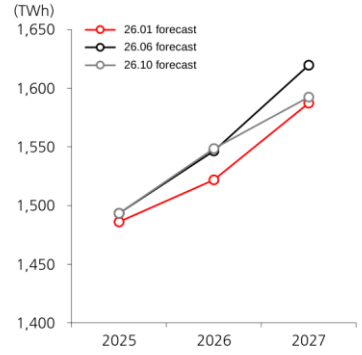
Source: EIA, Hanwha Securities Research Center

Changes in U.S. Electricity Sales Forecast



Source: EIA, Hanwha Securities Research Center

Changes in U.S. Electricity Sales Forecast (Commercial)

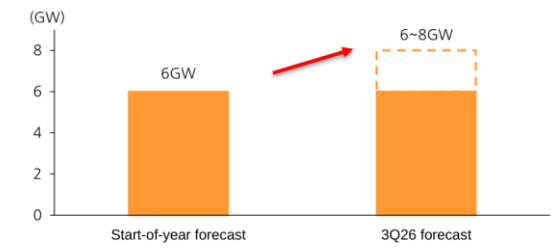


Source: EIA, Hanwha Securities Research Center

Concerns over AI DCs: Will Power Equipment Investment Shrink?

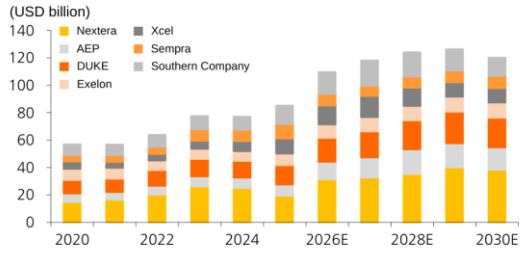
- Investment plans of utilities and Big Tech remain on an expansionary trend
- NextEra Energy raised its long-term forecast for large load at its Florida power subsidiary (FPL) through 2032 from the previous 6GW to 8GW
- Meta adjusted its annual CapEx guidance from USD 130–145 billion to USD 135–145 billion, raising the lower end by USD 5 billion
- The mid- to long-term investment plans are also confirmed by long-term supply contracts of electrical equipment companies
- Last October, LS ELECTRIC signed a contract to deliver 345kV-class ultra-high-voltage transformers for North American data centers through 2030
- Last July, HD Hyundai Electric signed a long-term master agreement to supply distribution and power equipment for North American data centers worth up to KRW 1,121.2 billion

NextEra Energy Raises Long-Term Power Load Forecast (~2032)



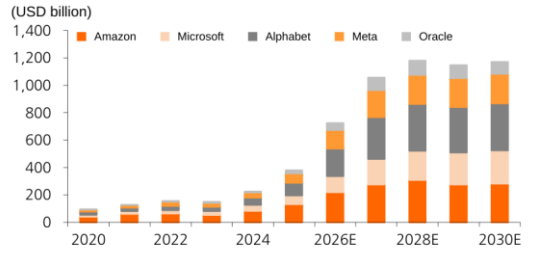
Source: NextEra Energy, Hanwha Securities Research Center

CapEx Trend and Forecast of Major U.S. Utilities



Source: Bloomberg, Hanwha Securities Research Center

CapEx Trend and Forecast of Major Big Tech Companies

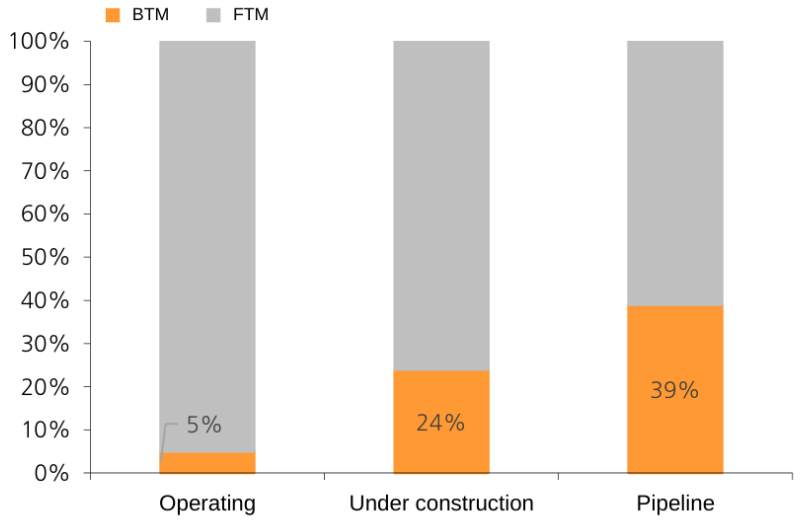


Source: Bloomberg, Hanwha Securities Research Center

Concerns over AI DCs: BTM vs FTM

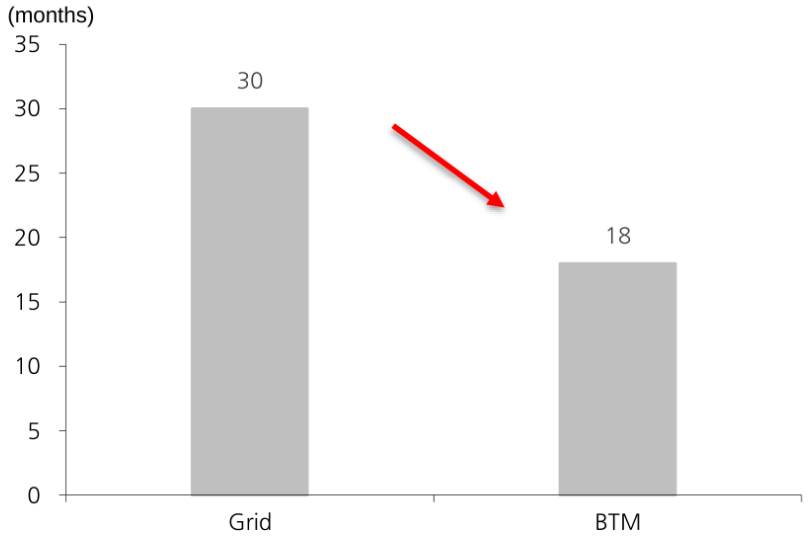
- BTM power generation is emerging as an alternative amid surging data center power demand and delays in grid connection
- BTM (Behind-the-Meter): A method of directly supplying power by installing generation facilities on the consumer side, such as data centers that use the power
- FTM (Front-of-the-Meter): A method of supplying power produced at power plants to demand sites through transmission and distribution networks
- The move is to bring forward the data center start-up date by procuring power from self-generation facilities instead of waiting for grid connection
- BTM is estimated to shorten the time to first operation by about 12 months compared with grid-based supply

BTM Share by Data Center Project Stage



Note: As of July 2026
Source: Bernstein, Hanwha Securities Research Center

Time to First Operation: BTM Generation vs. Grid Power

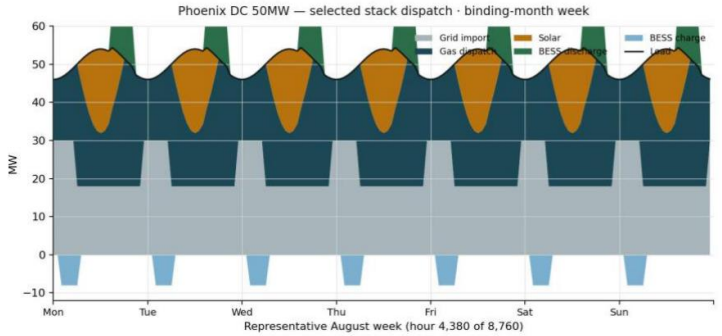


Source: Carnegie Endowment, Hanwha Securities Research Center

Concerns over AI DCs: BTM vs FTM

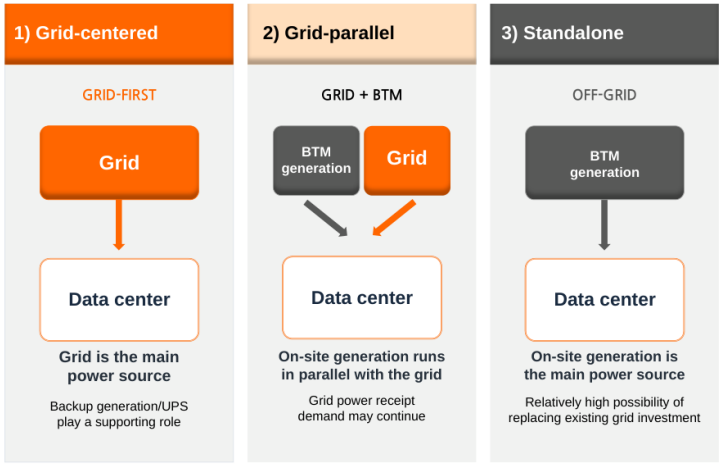
- It is hard to conclude that FTM demand will decline from BTM expansion alone
- BTM can bring forward initial operation when grid supply is delayed, but whether it runs in parallel with the grid and how long-term power is procured differ by project
- Covering the power demand of a large data center for a long period with self-generation alone faces cost and facility scale constraints, so demand for grid power and transmission/substation infrastructure continues even after BTM adoption
- Distribution infrastructure is needed for power supply within the data center regardless of BTM or FTM, and is also used when BTM facilities are connected to the grid
- BTM role classification
- 1) Peak response: Reduces power drawn from the grid by using on-site generation or batteries at times when power demand is concentrated
- 2) Bridge power before grid connection: Installs self-generation to start data center operation even before transmission and substation facilities are completed
- 3) Baseload power: Runs in parallel with the grid, or at some facilities self-generation covers a considerable part of baseload power demand

24-Hour Power Supply Configuration of a Data Center



Source: Hanwha Securities Research Center

Comparison by Data Center Power Supply Structure

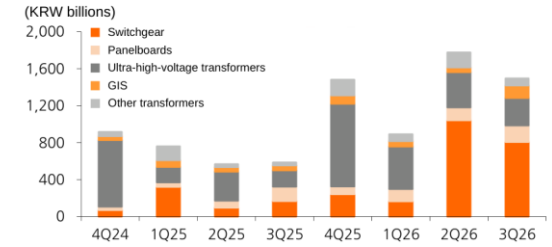


Source: Hanwha Securities Research Center

2027 Watch Points: 1) High-Value Product Mix Effect Takes Hold

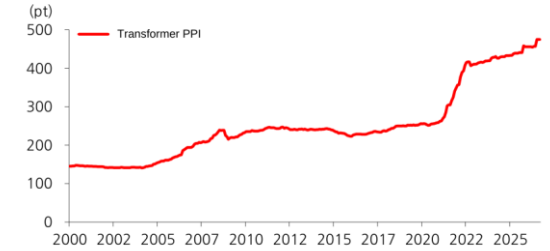
- On the premise that the growth narrative (data centers) remains valid, this year's key watch points are to check the speed at which existing growth drivers convert into earnings and whether new growth opportunities materialize
- 1) Profitability improvement: effect of a better high-value product mix, 2) Top-line growth: shorter expansion schedules, 3) New growth opportunity: focus on the 800VDC transition
- (Transmission) Revenue recognition of high-value products such as 765kV ultra-high-voltage transformers is expected to take hold, raising expectations for improvement in average selling price (ASP) and margin
- Possibility of further increases in the producer price index (PPI) and export unit prices
- (Distribution) A better product mix is expected from a larger share of switchgear, which has relatively higher profitability

LS ELECTRIC New Orders by Major Product Group: Switchgear Orders Expand



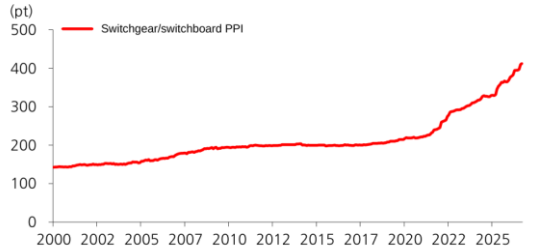
Source: LS ELECTRIC, Hanwha Securities Research Center

U.S. Transformer Producer Price Index Trend



Source: FRED, Hanwha Securities Research Center

U.S. Switchgear and Switchboard Price Index Trend



Source: FRED, Hanwha Securities Research Center

2027 Watch Points: 2) Capacity Expansions Faster than Scheduled

- Expansion schedules and the pace of utilization increases are exceeding existing plans, so capacity expansion is trending faster than expected
- LS ELECTRIC: Subsidiary LS Power Solution announced expansion of ultra-high-voltage transformers and distribution transformers (revenue capacity KRW 200.0 billion → KRW 650.0 billion)
- HD Hyundai Electric: Decided on Phase 2 investment in Cheongju distribution transformers (revenue capacity +KRW 250.0 billion) and targets reaching 100% utilization at the Ulsan transformer plant early
- With production bottlenecks easing, revenue conversion of the existing order backlog is expected to accelerate and capacity to respond to additional orders to expand

Table 100. Revenue Increase Effect from Capacity Expansion of the 3 Domestic Electrical Equipment Companies

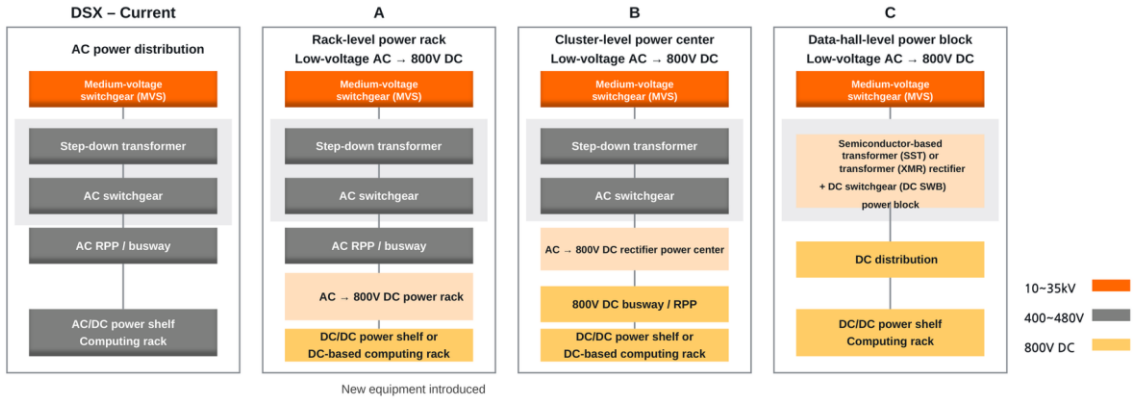
Company	Site	Period (per source column span)	Details
HD Hyundai Electric	Korea, Ulsan	2026–2027	Expansion completed (+KRW 200.0 billion)
HD Hyundai Electric	U.S., Alabama	2027	Scheduled completion (+KRW 200.0 billion)
HD Hyundai Electric	Korea, Cheongju	2025–2026	1st expansion completed (+KRW 150.0 billion); additional expansion through end-2030 (+KRW 250.0 billion)
Hyosung Heavy Industries	Korea, Changwon	2025	Expansion completed (+KRW 30.0 billion)
Hyosung Heavy Industries	Korea, Changwon	2026	Expansion completed (GIS, +KRW 340.0 billion)
Hyosung Heavy Industries	Korea, Changwon	2027–2028	Scheduled completion (HVDC ultra-high-voltage transformers, +KRW 600.0 billion)
Hyosung Heavy Industries	U.S., Memphis	4Q26–2027	1st scheduled completion (transformers from 130 to 250 units per year, +USD 200 million)
Hyosung Heavy Industries	U.S., Memphis	2028	2nd scheduled completion (+USD 200 million)
LS ELECTRIC	Korea, Busan	2025–2026	Expansion completed (+KRW 600.0 billion)
LS ELECTRIC	LS Power Solution	2025–2026	Acquisition completed (+KRW 100.0 billion)
LS ELECTRIC	LS Power Solution	2027	Scheduled completion (ultra-high-voltage transformers, +KRW 200.0 billion)
LS ELECTRIC	LS Power Solution	2028	(Switchgear, +KRW 250.0 billion)
LS ELECTRIC	U.S., Utah	2027	Scheduled completion (+KRW 300.0 billion)
LS ELECTRIC	U.S., Utah	2028	Additional expansion through end-2030 (+KRW 400.0 billion)

Note: The source is a quarterly timeline (1Q25–4Q28) with merged cells; the Period column shows the year(s) spanned by each cell and is approximate
Source: Hanwha Securities Research Center

2027 Watch Points: 3) Arrival of the 800VDC Architecture

- 800VDC: A next-generation power architecture that raises the power distribution voltage inside the data center to about 800V direct current (DC)
- Introduced to solve the problems of rising conversion losses, wiring and heat burden in the existing power supply structure as the power consumption of AI GPUs and power density per rack increase
- Existing structure: AC power supplied from the grid is converted to DC inside the data center, and converted again to a lower voltage at the rack/server level
- → 800VDC structure: High-voltage DC is supplied to near the rack, reducing the current and wiring burden in the power delivery process and simplifying the power conversion stages
- Existing data centers transition in stages, in parallel with the adoption of 800V DC in new data centers
- Rather than rebuilding existing data centers all at once, 800V DC distribution is applied selectively by rack (A), cluster (B) or data hall (C) unit according to existing power infrastructure, expansion plans and target power density

Phased Roadmap of AI Data Center Power Distribution Architecture



Source: Hanwha Securities Research Center

2027 Watch Points: 3) Arrival of the 800VDC Architecture

- The main equipment required includes medium-voltage switchgear, transformers or SST, AC/DC rectifiers, DC switchgear and circuit breakers, and DC busways and cables
- In the early stage, when existing AC-based facilities are used, a hybrid approach is possible that keeps transformers, AC switchgear and AC busways while adding rack- or cluster-level power conversion equipment
- SST (Solid-State Transformer: A device that converts voltage using high-frequency power conversion circuits and semiconductor devices, and unlike existing core-and-winding transformers integrates power conversion and control functions. Possibility of emerging as a new equipment market following changes in data center power architecture
- NVIDIA presented 2027 as the timing for full-scale production and adoption of 800V DC infrastructure to support next-generation 1MW-class racks
- However, early 800V DC adoption is possible with the existing combination of transformers and rectifiers, so growth in the DC distribution market and growth in the SST market need to be distinguished
- The full-scale blooming of the market for medium-voltage DC conversion equipment, including SST, is forecast for after 2028

Table 101. Distribution and Power Conversion Solutions of the 3 Domestic Electrical Equipment Companies

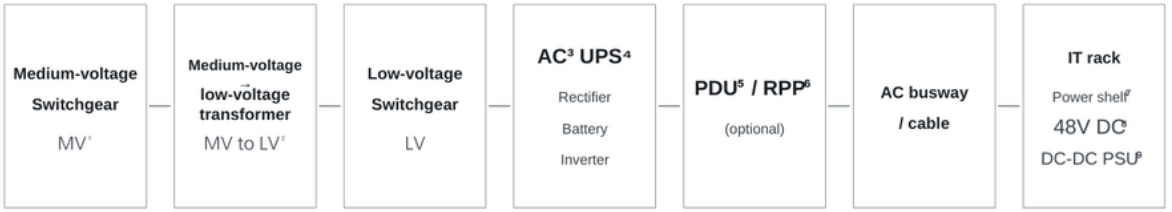
Company	Details
LS ELECTRIC	LVDC: SST, SSCB (solid-state circuit breaker), DC MCCB, DC ACB, etc.; MVDC: MMC Valve, C&P, etc.; HVDC: Converter transformers, Valve, etc. (GEV partnership)
Hyosung Heavy Industries	SST, HVDC solutions (independently developed)
HD Hyundai Electric	SST, DC distribution system and HVDC solutions (Hitachi partnership)

Source: Hanwha Securities Research Center

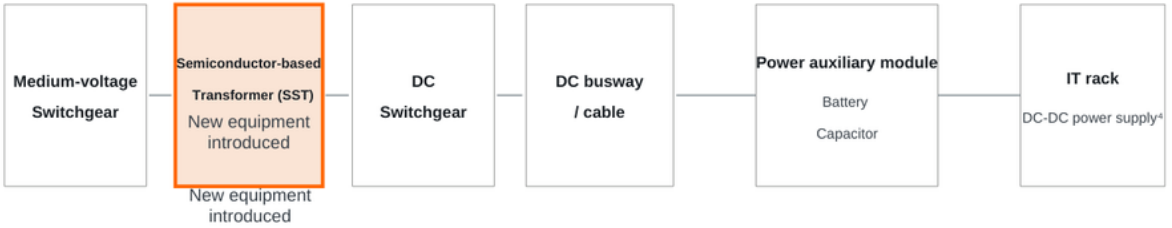
2027 Watch Points: 3) Arrival of the 800VDC Architecture (cont.)

Changes in Data Center Power Distribution Architecture

Low-voltage AC distribution



800V DC distribution



Source: Hanwha Securities Research Center

Investment Strategy and Valuation

- On the premise that the main growth narrative (data centers) remains valid, further rebound requires confirming the key watch points: the speed at which existing growth drivers convert into earnings and whether new growth opportunities materialize
- 1) Profitability improvement: effect of a better high-value product mix, 2) Top-line growth: shorter expansion schedules, 3) New growth opportunity: focus on the 800VDC transition
- Maintain a Positive investment opinion on the electrical equipment sector
- Prefer companies that smoothly convert expanded orders and already-secured orders into revenue and can successfully enter the 800VDC ecosystem, the next-generation data center power architecture
- Top pick LS ELECTRIC, second pick Hyosung Heavy Industries

Table 102. Coverage Stock Ratings and Target Prices

Company	Rating	Market Cap (KRW billions)	Target Price (KRW)	Rating Change	Current Price (KRW)	Upside (%)	26E P/E	27E P/E	27E Operating Profit Growth (%)
LS ELECTRIC	Buy	22,935	260,000	Maintained	152,600	70%	42.1	28.5	47.9
Hyosung Heavy Industries	Buy	17,278	4,500,000	Maintained	1,847,000	143%	23.2	16.6	39.3
HD Hyundai Electric	Buy	16,113	1,000,000	Maintained	449,000	124%	18.5	15.6	18.6

Note: Based on October 26 closing prices
Source: Hanwha Securities Research Center estimates

LS ELECTRIC (010120): Growth Plates Still Open

Buy (Maintained)

Target Price
260,000 KRW

Current Price (10/26)
152,900 KRW

Upside
▲70.0%

Market Cap	**KRW 22,935.0 billion**
Shares Outstanding	**150,000 thousand shares**
52-Week High / Low	**318,500 / 73,700 KRW**
90-Day Avg. Daily Value	**KRW 115.218 billion**
Foreign Ownership	**18.5%**

SHAREHOLDERS

LS (+11 others)	**48.5%**
National Pension Service (+1 other)	**8.8%**
Treasury shares (+1 other)	**0.8%**

3Q26 Review: Operating profit KRW 233.5 billion, above consensus

- 3Q results: revenue KRW 1,877.8 billion (YoY +54.4%), operating profit KRW 233.5 billion (YoY +131.7%, OPM 12.4%)
- In the power equipment segment, profitability improvement was limited by delays in passing through Europe and Southeast Asia cost increases to selling prices, but the effect of price increases will apply from October
- The power infrastructure segment recorded an OPM of 17.1%, with expanded switchgear and ultra-high-voltage transformer revenue plus the effect of customs duty refunds. Excluding the refunds, profitability is estimated to have continued to improve QoQ

A virtuous cycle of order growth, fast revenue conversion and additional growth through capacity expansion

- Although concerns over the sustainability of AI investment are spreading, no sign of slowing is seen in actual order intensity. Cumulative 3Q new orders of KRW 4.8 trillion, plus about KRW 350.0 billion of already-disclosed 4Q orders secured. Likely to exceed the upper end of the annual order guidance (KRW 6.0–6.5 trillion)
- LS Power Solution expansion: ultra-high-voltage transformer capacity KRW 100.0 billion → KRW 300.0 billion (2H27), distribution transformer capacity KRW 100.0 billion → KRW 350.0 billion (2H28)
- Investment opinion BUY and target price KRW 260,000 maintained, presented as the sector top pick. The customer base and product lineup are expanding, and active expansion accelerates growth. With structural growth drivers intact, valuation burden has eased on the recent sector-wide share price correction

LS ELECTRIC Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
Revenue	4,552	4,966	6,764	8,316	9,494
Operating Profit	390	426	788	1,150	1,516
EBITDA	503	559	939	1,323	1,715
Net Income (Controlling)	239	287	544	804	1,074
EPS	1,591	1,911	3,633	5,372	7,172
Net Debt	749	695	795	537	-29
PER	96.1	80.0	42.1	28.5	21.3
PBR	2.5	2.2	9.0	7.0	5.4
EV/EBITDA	47.0	42.3	25.3	17.7	13.4
Dividend Yield (%)	0.4	0.4	0.4	0.4	0.4
ROE	13.4	14.7	23.6	27.8	28.7

Source: Hanwha Securities

LS ELECTRIC (010120): Earnings Estimates

Table 105. LS ELECTRIC Earnings Estimates (Unit: KRW billions, %, % YoY)

(KRW billions, %, %YoY)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Revenue	1377	1577	1878	1933	1963	1964	2081	2308	4966	6764	8316
Power equipment	268	292	306	323	310	338	354	374	947	1188	1377
Power infrastructure	643	725	892	955	1050	957	1036	1187	1911	3215	4230
Automation	82	98	86	87	87	104	90	92	334	353	372
Renewables	48	75	95	69	56	57	83	73	271	286	270
Subsidiaries and consolidation adjustments	336	388	449	499	459	508	518	582	1500	1672	2068
Operating Profit	127	179	234	250	248	245	317	340	426	788	1150
Power equipment	36	45	44	54	55	59	62	65	177	180	242
Power infrastructure	78	93	153	131	154	148	166	199	202	454	666
Automation	3	9	6	6	9	9	6	7	9.5	25	31
Renewables	-9	-1	-3	0	0	0	-3	1	-26	-13	-2
Subsidiaries and consolidation adjustments	18	32	34	59	31	29	86	67	65	143	213
Pre-Tax Profit	154	157	194	225	258	234	296	319	410	731	1107
Net Income	121	119	141	164	187	170	215	232	284	545	804
YoY											
Revenue	41%	32%	67%	43%	45%	22%	13%	20%	9%	36%	23%
Operating Profit	45%	64%	132%	93%	96%	37%	36%	36%	9.4%	84.9%	45.9%
Net Income	80%	76%	114%	95%	55%	43%	53%	41%	17%	92%	48%
Profitability Ratios											
Gross Profit	21.3%	21.5%	24.3%	24.8%	24.7%	24.4%	27.0%	26.5%	21.2%	23.2%	25.7%
Operating Profit	9.2%	11.3%	12.4%	12.9%	12.7%	12.5%	15.2%	14.7%	8.6%	11.7%	13.8%
Net Income	8.8%	7.5%	7.5%	8.5%	9.6%	8.6%	10.4%	10.0%	5.7%	8.1%	9.7%

Source: Hanwha Securities Research Center

Hyosung Heavy Industries (298040): One-offs Are Passing

Buy (Maintained)

Target Price
4,500,000 KRW

Current Price (10/26)
1,853,000 KRW

Upside
▲142.8%

Market Cap	**KRW 17,278.4 billion**
Shares Outstanding	**9,325 thousand shares**
52-Week High / Low	**4,601,000 / 1,757,000 KRW**
90-Day Avg. Daily Value	**KRW 125.264 billion**
Foreign Ownership	**25.3%**

SHAREHOLDERS

Hyosung (+12 others)	**44.0%**
National Pension Service (+1 other)	**10.0%**
Treasury shares (+1 other)	**0.1%**

3Q26 Preview: Operating profit KRW 292.0 billion, estimated below consensus

- Due to deferred Middle East volumes and delivery timing adjustments at customers' request, the company's 3Q26 results are expected to fall below market expectations
- Heavy industry segment OPM is forecast at 21.3%. FX hedging is applied from the contract date to the revenue recognition date, so the impact of a lower KRW/USD rate on operating profit is limited
- No particular issues were identified in the construction segment

765kV revenue taking off and expanded U.S. local production drive growth

- Despite short-term earnings volatility, the company's mid- to long-term growth, based on expanded revenue of high-margin products for North America and capacity expansion, is unchanged
- From 2027, the revenue contribution of 765kV ultra-high-voltage products is expected to take hold, with top-line growth and profitability improvement continuing
- Investment opinion BUY and target price KRW 4,500,000 maintained. One-off factors are assumed to be resolved within the year, so annual earnings growth is expected to continue

Hyosung Heavy Industries Financial Summary (Unit: KRW billions, KRW, x, %)

Financial Information	2024	2025	2026E	2027E	2028E
Revenue	4,895	5,969	7,168	8,460	9,485
Operating Profit	362	747	1,155	1,552	1,871
EBITDA	435	833	1,252	1,650	1,973
Net Income (Controlling)	223	520	745	1,038	1,273
EPS	23,876	55,755	80,036	111,474	136,698
Net Debt	729	598	222	-801	-1,625
PER	77.6	33.2	23.2	16.6	13.6
PBR	9.1	7.3	5.7	4.3	3.3
EV/EBITDA	41.4	21.5	14.0	10.0	7.9
Dividend Yield (%)	0.3	0.4	0.4	0.4	0.4
ROE	14.9	24.4	27.7	29.6	27.7

Source: Hanwha Securities

Hyosung Heavy Industries (298040): Earnings Estimates

Table 108. Hyosung Heavy Industries Earnings Estimates (Unit: KRW billions, %, % YoY)

(KRW billions, %, %YoY)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Revenue	1358	1687	1728	2395	1949	2109	2180	2223	5969	7168	8460
Heavy industry	881	1137	1229	1862	1415	1574	1660	1668	4148	5109	6317
Construction	477	549	499	533	533	534	520	555	1816	2057	2143
Operating Profit	152	264	292	446	330	392	420	411	747	1155	1552
Heavy industry	118	230	262	410	297	361	389	377	699	1020	1423
Construction	34	34	30	36	33	31	31	34	48	135	129
Pre-Tax Profit	129	237	269	397	324	354	397	350	626	1032	1425
Net Income	87	173	196	289	236	258	289	255	520	745	1038
YoY											
Revenue	26%	11%	6%	37%	43%	25%	26%	-7%	22%	20.1%	18%
Operating Profit	49%	61%	33%	71%	117%	48%	44%	-8%	106%	54.6%	34%
Net Income	-15%	87%	31%	65%	171%	49%	47%	-12%	67%	19%	13%
Profitability Ratios											
Gross Profit	19.9%	23.7%	24.9%	26.7%	25.1%	26.6%	27.3%	26.6%	21.0%	24.2%	26.4%
Operating Profit	11.2%	15.7%	16.9%	18.6%	16.9%	18.6%	19.3%	18.5%	12.5%	16.1%	18.3%
Net Income	6.4%	10.2%	11.4%	12.1%	12.1%	12.2%	13.3%	11.5%	8.7%	10.4%	12.3%

Source: Hanwha Securities Research Center

Target Price and Deviation

Samyang Foods (003230)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2024.12.23	Buy	1,000,000	-23.82	-11.40
2025.02.19	Buy	1,200,000	-24.64	-16.75
2025.05.16	Buy	1,700,000	-22.97	-11.65
2025.08.18	Buy	1,900,000	-21.13	-14.21
2025.10.21	Buy	1,800,000	-28.72	-19.11
2026.01.30	Buy	1,900,000	-36.58	-27.53
2026.05.14	Buy	2,000,000	-41.18	-27.80
2026.07.16	Buy	1,800,000		

Cosmax (192820)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2025.01.23	Buy	220,000	-23.14	-10.86
2025.05.14	Buy	270,000	-15.96	4.44
2025.11.11	Buy	220,000	-18.91	-5.00
2026.04.02	Buy	230,000	-10.56	-1.30
2026.05.13	Buy	250,000	-30.11	-17.80
2026.08.11	Buy	270,000	-11.05	-7.59
2026.08.20	Buy	300,000	-6.60	2.83
2026.10.20	Buy	370,000		

Lotte Shopping (023530)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2025.05.12	Buy	110,000	-34.82	-24.45
2025.11.10	Buy	120,000	-37.52	-19.17
2026.02.09	Buy	150,000	-25.66	-7.67
2026.05.11	Buy	220,000	-27.85	-20.14
2026.05.29	Buy	280,000	-36.46	-27.32
2026.06.30	Buy	300,000	-53.03	-38.33
2026.08.07	Buy	200,000		

Handsome (020000)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2024.11.15	Buy	23,000	-34.91	-30.52
2025.02.10	Buy	21,000	-26.32	-21.00
2025.05.08	Buy	19,000	-12.82	-5.37
2025.08.05	Buy	18,000	-13.39	6.39
2026.02.10	Buy	26,000	-9.72	3.08
2026.04.17	Buy	33,000	-21.89	-15.30
2026.05.18	Buy	37,000	-40.55	-27.84
2026.08.04	Buy	28,000	-43.08	-33.71
2026.09.22	Buy	36,000		

Note: Deviation calculated using adjusted share prices. Source: Hanwha Securities Research Center

Target Price and Deviation (2)

Korean Air (003490)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2024.11.26	Buy	35,000	-32.44	-25.86
2025.04.04	Buy	30,000	-23.78	-12.50
2025.11.21	Buy	27,000	-12.64	7.22
2026.03.26	Buy	32,000	-16.23	0.00
2026.10.08	Buy	43,000		

Jeju Air (089590)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2025.05.23	Hold	7,000	-6.50	4.71
2025.11.21	Hold	5,500	0.64	-10.45
2026.03.26	Buy	6,500		

NHN (181710)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2025.05.14	Buy	28,000	-4.81	21.25
2025.09.04	Buy	30,000	-1.77	16.00
2026.01.26	Buy	36,000	-10.90	-7.92
2026.02.12	Buy	43,000	-11.12	-1.40
2026.04.02	Buy	48,000	-17.25	24.17
2026.07.08	Buy	50,000	-23.70	-12.60
2026.08.11	Buy	65,000	5.18	15.69
2026.08.28	Buy	87,000		

Kakao Games (293490)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2024.11.19	Hold	18,000	-8.24	16.11
2025.04.09	Hold	16,000	0.14	46.88
2026.02.11	Hold	15,000	-27.29	-53.80
2026.08.05	Buy	10,000	-9.25	1.40
2026.10.15	Buy	12,000	-12.92	-3.75
2026.10.27	Buy	15,000		

Note: Deviation calculated using adjusted share prices. Source: Hanwha Securities Research Center

Target Price and Deviation (3)

Samsung Electronics (005930)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2024.11.01	Buy	90,000	-38.60	-34.78
2024.12.17	Buy	73,000	-23.58	-15.34
2025.06.13	Buy	79,000	-20.08	-8.10
2025.08.01	Buy	84,000	-14.81	-4.17
2025.09.19	Buy	110,000	-15.95	-5.36
2025.10.31	Buy	140,000	-9.27	35.79
2026.02.23	Buy	260,000	-26.75	-16.15
2026.04.08	Buy	300,000	-28.23	-24.67
2026.05.04	Buy	330,000	-6.00	9.85
2026.06.29	Buy	580,000		

SK hynix (000660)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2024.11.27	Buy	250,000	-26.47	-9.80
2025.01.24	Buy	280,000	-28.29	-21.07
2025.03.12	Buy	290,000	-29.11	1.03
2025.06.27	Buy	360,000	-21.46	0.28
2025.09.25	Buy	440,000	1.26	29.09
2025.10.31	Buy	680,000	-0.95	39.56
2026.02.23	Buy	1,300,000	-23.64	-5.77
2026.04.24	Buy	1,630,000	20.29	69.57
2026.06.22	Buy	4,300,000	-49.49	-32.12
2026.07.30	Buy	3,150,000		

Note: Deviation calculated using adjusted share prices. Source: Hanwha Securities Research Center

Target Price and Deviation (4)

KB Financial Group (105560)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2025.04.09	Buy	110,000	-27.68	-22.73
2025.04.25	Buy	115,000	-10.73	6.09
2025.07.09	Hold	127,000	-8.50	-5.83
2025.07.25	Buy	142,000	-20.28	-15.77
2025.10.31	Buy	152,000	-17.43	-11.38
2025.11.14	Buy	161,000	-20.23	-11.18
2026.02.06	Buy	181,000	-15.27	-6.74
2026.04.08	Buy	210,000	-25.21	-21.81
2026.06.05	Buy	226,000	-25.35	-17.61
2026.10.06	Buy	220,000		

DB Insurance (005830)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2025.01.14	Buy	129,000	-27.21	-20.00
2025.04.17	Buy	125,000	-23.99	-10.64
2025.06.12	Buy	140,000	-13.98	-10.14
2025.07.04	Buy	152,000	-12.42	-4.28
2025.09.15	Buy	175,000	-20.74	17.43
2026.03.06	Buy	256,000	-37.18	-23.95
2026.08.18	Buy	260,000	-28.03	-21.92
2026.10.12	Buy	247,000		

Hyundai Motor (005380)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2025.01.14	Buy	335,000	-36.36	-33.73
2025.01.24	Buy	310,000	-36.65	-28.39
2025.07.01	Buy	270,000	-18.15	-1.85
2025.10.31	Buy	305,000	-8.09	3.44
2026.01.06	Buy	340,000	7.12	21.03
2026.01.15	Buy	490,000	-0.12	12.04
2026.01.30	Buy	650,000	-21.26	3.69
2026.04.07	Buy	660,000	-8.96	13.64
2026.06.18	Buy	760,000	-45.03	-19.34
2026.10.08	Buy	670,000	-53.54	-49.85
2026.10.27	Buy	600,000		

Note: Deviation calculated using adjusted share prices. Source: Hanwha Securities Research Center

Target Price and Deviation (5)

Hyundai Mobis (012330)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2024.11.20	Buy	315,000	-22.04	-18.25
2025.01.13	Buy	330,000	-21.29	-9.24
2025.07.07	Buy	360,000	-15.48	-9.86
2025.11.03	Buy	370,000	-14.82	2.03
2025.12.16	Buy	440,000	-13.74	2.50
2026.01.15	Buy	590,000	-17.32	30.17
2026.06.24	Buy	810,000	-43.88	-32.47
2026.10.13	Buy	800,000	-56.90	-54.31
2026.10.27	Buy	700,000		

Samsung E&A (028050)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2024.11.13	Buy	26,000	-26.24	-9.42
2025.07.03	Buy	31,000	-12.97	-2.26
2025.11.25	Buy	32,000	-21.61	-15.63
2026.01.26	Buy	37,000	1.17	41.62
2026.04.24	Buy	63,000	-19.03	2.22
2026.07.01	Buy	65,000	-31.98	-20.46
2026.07.24	Buy	70,000	-32.07	-25.71
2026.10.23	Buy	84,000		

Hyundai E&C (000720)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2025.01.31	Buy	50,000	-26.14	-2.10
2025.05.23	Buy	78,000	-11.49	3.97
2025.09.01	Buy	92,000	-29.16	3.15
2026.01.15	Buy	126,000	-15.83	-10.32
2026.02.05	Buy	148,000	-21.94	-13.31
2026.02.23	Buy	160,000	-4.28	6.31
2026.04.08	Buy	200,000	-35.59	-5.65
2026.10.19	Buy	170,000		

Hanwha Aerospace (012450)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2024.11.04	Buy	462,812	-22.58	5.96
2025.02.12	Buy	640,059	2.05	17.54
2025.04.09	Buy	925,623	-11.80	-2.23
2025.06.10	Buy	1,100,000	-18.68	-9.27
2025.08.01	Buy	1,350,000	-25.89	-1.48
2026.02.10	Buy	1,500,000	-8.62	2.47
2026.05.04	Buy	1,800,000	-40.83	-18.61
2026.10.26	Buy	1,300,000		

Note: Deviation calculated using adjusted share prices. Source: Hanwha Securities Research Center

Target Price and Deviation (6)

LIG Defense & Aerospace (079550)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2024.11.11	Buy	304,000	-26.00	-4.61
2025.02.17	Buy	350,000	-17.84	6.43
2025.05.09	Buy	460,000	8.97	37.17
2025.07.23	Buy	740,000	-24.05	37.84
2026.05.11	Buy	1,050,000	-29.90	-4.57
2026.10.26	Buy	670,000		

POSCO Holdings (005490)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2025.07.18	Buy	500,000	-41.31	-33.00
2025.10.16	Buy	490,000	-30.38	-4.29
2026.05.04	Buy	550,000	-35.20	-2.73
2026.09.28	Buy	500,000		

Hyundai Steel (004020)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2025.07.18	Buy	50,000	-31.26	-7.00
2026.07.13	Buy	43,000		

LS ELECTRIC (010120)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2026.08.19	Buy	260,000		

Hyosung Heavy Industries (298040)

Date	Investment Opinion	Target Price (KRW)	vs. Avg Price (%)	vs. High/Low (%)
2026.08.19	Buy	4,500,000		

Note: Deviation calculated using adjusted share prices. Source: Hanwha Securities Research Center

Investment Ratings and Distribution

Stock Investment Ratings

For individual stocks, our company assigns a 'Buy' rating to stocks for which an absolute return of +15% or more is expected over the next year. A 'Hold' rating is assigned to stocks for which an absolute return of -15% to +15% is expected, and a 'Sell' rating to stocks for which -15% or less is expected. The calculation of absolute return, including the valuation method, follows the estimates of the analyst covering each stock, and the cycle for setting target prices or changing investment ratings differs by stock.

Industry Investment Ratings

For industries, our company assigns a 'Positive' rating when the industry's returns over the next year are expected to be favorable compared with past returns. A 'Neutral' rating is assigned when returns over the next year are expected to be similar to past returns, and a 'Negative' rating when they are expected to be weaker than past returns. The outlook for industry returns follows the analysis and judgment of the analyst in charge of the stocks covered within the industry.

Distribution of Investment Ratings in Our Company's Research (As of September 30, 2026)

Investment Rating	Buy	Neutral	Sell	Total
Share of Financial Investment Products	96.4%	3.6%	0.0%	100.0%

Compliance Notice

Publication Date: October 28, 2026

This English version was translated from the original Korean-language report using Claude (Anthropic). Please refer to the Korean original for the authoritative version.

This report was prepared by the research analyst based on objective facts, accurately reflecting their own opinions without improper external pressure or interference. The analyst has no financial interest to disclose under relevant regulations as of the publication date regarding the securities covered in this report. The analyst has not provided this report to institutional investors or third parties in advance. (Kim So-hye, Song Yu-rim, Kim Do-ha, Kim Sung-rae, Han Yu-jeong, Lee Jin-hyeop, Park Su-yeong, Kwon Ji-woo, Park Jun-young, Chae Un-saem, Kim Ye-in, Kim Na-woo)

Our company does not hold 1% or more of the issued shares of the securities covered in this report as of the publication date.

Hanwha Aerospace, Hanwha General Insurance and Hanwha Life are affiliates of our company under the Monopoly Regulation and Fair Trade Act.

This report is distributed only to our company's customers to assist investors' securities investment, and the copyright belongs to our company. Illegal reproduction and distribution are prohibited. The content in this report was obtained from sources that our Research Center believes to be reliable, but our company cannot guarantee its accuracy or completeness. Therefore, this report cannot be used as evidence of legal liability related to customers' securities investment results under any circumstances.